

Exhibit 39

Company Code: 603661

Abbreviation: Henglin Co., Ltd

Henglin Home Co., Ltd. 2019 Annual Report

Important reminder

1. The company's Board of Directors, Board of Supervisors, directors, supervisors, and senior management guarantee the truthfulness, accuracy, and completeness of the annual report content, with no false records, misleading statements, or material omissions, and bear individual and joint legal liability.

2. All directors of the company attend the board meeting.

3. Tianjian Certified Public Accountants (Special General Partnership) issued a standard unqualified audit report for the Company.

4. The company's responsible person, Wang Jianglin, the person in charge of accounting Zhu Sidong, and the head of the accounting department (chief accountant) Zhu Sidong declares: We guarantee the truthfulness, accuracy, and completeness of the financial reports in the annual report.

5. Profit distribution plans or capital reserve conversion plans for capital during the reporting period reviewed by the Board of Directors

After review at the 18th meeting of the fifth Board of Directors, the company's 2019 profit distribution plan is drafted as follows: based on the total share capital of A shares as of the equity registration date at the time of the 2019 profit distribution, cash dividends will be distributed to all shareholders for every 10 shares 2.80 yuan (tax included), totaling 28,000,000.00 yuan, with the remaining undistributed profits carried forward to subsequent years for distribution.

This proposal has been reviewed and approved at the 18th meeting of the company's fifth board of directors and still needs to be submitted to the company's 2019 annual general meeting of shareholders for approval.

6. Risk Statements Regarding Forward-Looking Statements

☒ Applicable ☐ Not Forward-looking descriptions of future plans, development strategies, and other aspects in this report do not constitute a substantive commitment by the company to investors. Investors are advised to be aware of investment risks.

7. Whether there is non-operational use of funds by the controlling shareholder and their related parties

No

8. Are there any cases where the company violated the prescribed decision-making procedures by providing external guarantees?

No

9. Major Risk Warning

The company has described in detail the risks it may face in this report. Please refer to "Section 4: Discussion and Analysis of Operating Conditions" - "3. Discussion and Analysis of the Company's Future Development" - "(4) Risks Likely to Face"

10. Others

☐ applicable, ☒ not applicable

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Section Definition One

1. Definition

In this report, unless the context requires, the following terms have the following meanings:

Common word definitions		
Henglin Co., Henglin, the Company, and the Company	Point	Henglin Home Co., Ltd
Henglin Trading	Point	Anji Henglin Trading Co., Ltd
Hengyou Technology	Point	Anji Hengyou Technology Co., Ltd. is a wholly-owned subsidiary of the company
Hengyi furniture	Point	Anji Hengyi Furniture Co., Ltd. is a wholly-owned subsidiary of the company
Guangde Henglin	Point	Guangde Henglin Home Furnishing Co., Ltd. is a wholly-owned subsidiary of the company
Shenzhen Henglin	Point	Henglin (Shenzhen) Home Furnishing Co., Ltd. is a wholly-owned subsidiary of the company
Henglin, Tibet	Point	Tibet Henglin Furniture Co., Ltd., a subsidiary controlled by the company
Mead International	Point	MIDE International Limited is a wholly-owned subsidiary of the company
Henglin Technology	Point	Anji Henglin Technology Development Co., Ltd. is a wholly-owned subsidiary of the company
Meijia Investment	Point	Meijia Investment (Hong Kong) Co., Ltd., a wholly-owned subsidiary of the company
Huzhou Hengxin	Point	Huzhou Hengxin Metal Products Co., Ltd., a subsidiary controlled by the company
Ruide Sponge	Point	Ruide Sponge (Zhejiang) Co., Ltd., a subsidiary controlled by the company
Hengrui resided at home	Point	Anji Hengrui Home Co., Ltd., a subsidiary controlled by the company
Zhejiang is second best	Point	Zhejiang Weiya Office Furniture Trading Co., Ltd. is a company-affiliated company
Yongyu Bamboo Industry	Point	Zhejiang Yongyu Bamboo Industry Co., Ltd., a company-affiliated company
Anji Agricultural and Commercial Bank	Point	Anji Rural Commercial Bank Co., Ltd
Heye Technology	Point	Zhejiang Heye Health Technology Co., Ltd
Anhui Trust Promise	Point	Anhui Cigna Furniture Co., Ltd., a subsidiary of Guangde Henglin Holdings
Vinh Yu, Vietnam	Point	Vietnam Yongyu Flooring Co., Ltd., a Meijia Investment Associate Company
Sponsoring Institution	Point	Industrial Securities Co., Ltd
China Securities Regulatory Commission	Point	China Securities Regulatory Commission
New Third Board	Point	National Equities Exchange and Quotations (NEEQ) for Small and Medium-sized Enterprises
Reporting period	Point	From January 1, 2019 to December 31, 2019

Section Company profile and key financial indicators Two

1. Company Information

The company's Chinese name	Henglin Home Co., Ltd
The company's Chinese abbreviation	Henglin Co., Ltd
The company's foreign name	Henglin Home Furnishings Co.,Ltd
The abbreviation of the company's foreign name	HENG LIN
The company's legal representative	Wang Jianglin

2. Contact person and contact information

	Board Secretary	Securities Affairs Representative
Name	Chen Jianfu	Tang Hongyan, Zhou Lisha
Contact address	No. 378 Jiaxi Road, Dipu Street, Anji County, Zhejiang Province	No. 378 Jiaxi Road, Dipu Street, Anji County, Zhejiang Province
Phone	0572-5227673	0572-5227673
Fax	0572-5227503	0572-5227503

Email	hlgf@zjhenglin.com	hlgf@zjhenglin.com
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3. Basic Information

Company registered address	No. 378 and 380 Jiayi Road, Dipu Subdistrict, Anji County
The postal code of the company's registered address	313300
Company office address	No. 378 and 380 Jiayi Road, Dipu Subdistrict, Anji County
The postal code of the company's office address	313300
Company website	http://www.henglin.com
Email	hlgf@zjhenglin.com

4. Information Disclosure and Preparation Locations

The names of information disclosure media selected by the company	China Securities Journal, Shanghai Securities News, Securities Times, Securities Daily
The website designated by the China Securities Regulatory Commission to publish the annual report	http://www.sse.com.cn
Location for filing the company's annual report	No. 378 Jiayi Road, Dipu Street, Anji County, Zhejiang Province

5. Company stock profile

Company stock profile				
Types of stocks	Stock exchanges	Stock abbreviation	Stock code	Stock abbreviations before the change
A -shares	Shanghai Stock Exchange	Henglin Co., Ltd	603661	None

6. Other relevant materials

Accounting firms employed by the company (domestic)	Name	Tianjian Certified Public Accountants (Special General Partnership)
	Office address	Block B, China Resources Building, No. 1366 Qianjiang Road, Hangzhou, Zhejiang Province
	Signature name of the accountant	Shi Qilin and Zhang Jiandong
Sponsoring institutions that perform continuous supervision duties during the reporting period	Name	Industrial Securities Co., Ltd
	Office address	No. 268 Hudong Road, Fuzhou City, Fujian Province
	Signature name of the sponsor representative	Liu Dexin, Chen Quan
	During the period of continuous supervision	From November 21, 2017 to December 31, 2019

7. Main Accounting Data and Financial Indicators in the Past Three Years (1) Key Accounting Data

Unit: Yuan Currency: Renminbi

Key accounting data	2019	2018	This period changed (%) compared to the same period last year	2017
Operating income	2,903,737,030.75	2,317,811,065.00	25.28	1,895,893,756.11
Net profit attributable to shareholders of the listed company	243,394,956.06	170,950,478.82	42.38	165,730,302.45
Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses	187,853,937.85	133,983,839.35	40.21	160,307,566.74
Net cash flow from operating activities	286,223,308.02	15,506,135.27	1,745.87	130,355,205.27
	End of 2019	End of 2018	Year-end change compared to the same period last year (%)	End of 2017
Shares belonging to listed companies	2,520,942,464.42	2,261,091,674.49	11.49	2,179,150,849.75

Net assets				
of Dong	3,744,191,015.09	2,886,980,978.31	29.69	2,644,516,233.63
Total assets				

(2) Key Financial Indicators

Key financial indicators	2019	2018	This period changed (%) compared to the same period last year	2017
Basic earnings per share (RMB/share)	2.43	1.71	42.11	2.15
Diluted earnings per share (RMB/share)	2.43	1.71	42.11	2.15
Basic earnings per share after deducting non-recurring gains and losses (yuan/share)	1.88	1.34	40.30	2.08
Weighted average return on equity (%)	10.29	7.73	An increase of 2.56 percentage points	19.63
Weighted average return on net assets after deducting non-recurring gains and losses (%)	7.94	6.06	An increase of 1.88 percentage points	18.99

Explanation of the Company's Main Accounting Data and Financial Indicators for the First Three Years at the End of the Reporting Period ☒ Applicable ☐ Not Applicable For explanations of the company's main accounting data and key financial indicators, please refer to the section "Section 4: Discussion and Analysis of Operating Conditions."

8. Differences in accounting data under domestic and overseas accounting standards

(1) The difference between net profit and net assets attributable to shareholders of the listed company in financial reports disclosed simultaneously in accordance with both International Accounting Standards and Chinese Accounting Standards

☐ applicable, ☒ not applicable

(2) The difference between net profit and net assets attributable to shareholders of the listed company in financial reports disclosed under both overseas accounting standards and Chinese accounting standards

☐ applicable, ☒ not applicable

(3) Explanation of differences in domestic and foreign accounting standards:

☐ applicable, ☒ not applicable

9. Key quarterly financial data for 2019

Unit: Yuan Currency: Renminbi

	First Quarter (January-March)	Second Quarter (April-June)	Third Quarter (July-September)	Fourth Quarter (October-December)
Operating income	583,661,088.49	599,574,774.36	768,867,794.74	951,633,373.16
Net profit attributable to shareholders of the listed company	46,512,709.05	79,184,695.43	92,431,802.67	25,265,748.91
Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses	39,085,390.29	49,406,408.26	82,990,304.95	16,371,834.35
Net cash flow from operating activities	-7,891,494.30	90,121,758.54	16,173,551.41	187,819,492.37

Explanation of differences between quarterly data and disclosed periodic report data ☐ Applicable ☒ Not applicable

10. Non-recurring profit and loss items and amounts

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Non-recurring profit and loss items	2019 amount	Notes (if applicable)	2018 amount	2017 amount
Gains and losses on disposal of non-current assets	-2,443,049.16		-2,226,003.51	-461,932.49
Overstepping authority in approval, or lack of formal approval documents, or occasional tax refunds or reductions				
Government subsidies included in current profit or loss, but those closely related to the company's normal business operations, comply with national policy regulations, and are continuously enjoyed according to certain fixed or quantitative standards	27,088,491.16		21,398,499.72	8,189,089.70
Fund occupation fees charged to non-financial enterprises included in current profit or loss				
The investment cost for the enterprise to obtain subsidiaries, associates, and joint ventures is less than the income generated by the fair value of the investee's identifiable net assets at the time of acquisition				
Non-monetary asset exchange gains and losses				
Profits and losses from entrusting others to invest in or manage assets	30,913,678.98		53,230,927.31	2,983,660.33
Impairment provisions for various assets made due to force majeure factors, such as natural disasters				
Gains and losses from debt restructuring				
Corporate restructuring expenses, such as employee placement expenses and integration costs				
Gains and losses exceeding fair value arising from transactions with clearly unfair prices				
Net profit or loss of subsidiaries arising from the merger under common control from the beginning to the merger date				
Gains and losses arising from contingent matters unrelated to the company's normal business operations				
Except for effective hedging business related to the company's normal operations, gains or losses on fair value changes arising from holding trading financial assets and trading financial liabilities, as well as investment income from disposals of trading financial assets, trading financial liabilities, and available-for-sale financial assets			-18,874,458.96	
In addition to effective hedging business related to the company's normal operations, the fair value gains and losses arising from holding trading financial assets, derivative financial assets, trading financial liabilities, derivative financial liabilities, as well as disposal of trading financial assets, derivative financial assets,	2,171,058.96			/

Investment income from trading financial liabilities, derivative financial liabilities, and other debt investments				
Reversal of impairment provisions for receivables that were tested separately				
Gains and losses from outsourced loans				
Gains and losses arising from changes in fair value of investment property measured subsequently using the fair value model				
The impact of one-time adjustments to current profit or loss in accordance with tax, accounting, and other laws and regulations				
Income from management fees obtained through entrusted operations				
Other non-operating income and expenses not listed above	8,200,918.32		-9,689,585.94	-4,057,661.01
Other profit and loss items that meet the definition of non-recurring gains and losses	355,641.71		94,305.25	
Minority Equity Impact	-542,349.35		-279,887.56	-242,043.16
Income tax impact	-10,203,372.41		-6,687,156.84	-988,377.66
Total	55,541,018.21		36,966,639.47	5,422,735.71

11. Projects measured at fair value

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project name	Opening balance	Ending balance	Changes during the current period	The amount of impact on current profit
Financial liabilities measured at fair value with changes recognized in profit or loss for the period	6,854,058.96			
Total	6,854,058.96			

12. Others

□ applicable, √ not applicable

Section 3 Company Business Overview

1. Explanation of the main business, operating model, and industry situation of the company engaged in during the reporting period

(1) The main business engaged in by the company

Founded in 1998, the company is a high-tech enterprise integrating the research, development, production, and sales of office chairs, sofas, massage chairs, office furniture, custom home furnishings, office environment solutions, and accessories. Since its establishment, it has focused on the seating industry, committed to providing customers with comfortable and professional seating products. It is a leading domestic seating developer and currently one of the largest office chair manufacturers and exporters in China. While deeply cultivating its existing core business, the company embraces the philosophy that "creating a good office environment is not a cost, but an investment," integrating global resources and expanding the market for office environment solutions, driving company development through the implementation of "office environment solutions" and "large home furnishings" strategies. According to statistics from the National Customs Information Center of the General Administration of Customs and the China Chamber of Commerce for Import and Export of Light Industry and Handicrafts, from 2008 to 2019, the company's office chair annual export value consistently ranked first in the industry. Relying on strong technical capabilities and excellent product quality, the company has passed strict certification from

well-known buyers in Europe, the United States, Japan, and other countries and regions, and collaborates with globally renowned companies such as IKEA , NITORI , and Office Depot Staples , SourceByNet, Home Retail , and LI&FUNG have established long-term and stable partnerships.

The company aims to become a world-leading home furnishing manufacturer and service provider, and with twenty-two years of continuous and simple dedication, it has established its important position in the industry. It has participated in drafting eleven national standards, six light industry standards, and two Zhejiang manufacturing group standards. The company's relentless efforts in operations have also earned high recognition within the industry, winning awards such as "Best Partner at the G20 Hangzhou Summit," "Huawei Quality Supplier Award," "Government Quality Award," "Independent Innovation Project Award," "Star Enterprise," "2015-2019 Huzhou Major Taxpayer," and "2017 . "Huzhou City Golden Bull Enterprise of the Year," "Zhejiang Famous Trademark," "Zhejiang Well-known Business," "Zhejiang Famous Brand Product," "Zhejiang Export Famous Brand," "Tax Credit AAA," "2016 Outstanding Contribution Unit in China's Furniture Industry," "Excellent Enterprise in China's Furniture Industry," "China Furniture Design Award," and "Customs AA ." Honors such as "Category Management Enterprise," "Leading Enterprise in Zhejiang Furniture Industry," "Integrity Enterprise," "Enterprise Merit Award," "Financial Contribution Award," "Advanced Enterprise in Export Trade," and "Contract-abiding and Trustworthy Unit"; It holds qualifications such as National Intellectual Property Advantage Demonstration Enterprise, Provincial Enterprise Research Institute for Intelligent Functional Equipment, Provincial High-Tech Enterprise R&D Center for Intelligent Functional Equipment, Zhejiang Provincial Enterprise Technology Center, Zhejiang Provincial Industrial Design Center, Zhejiang Provincial Postdoctoral Workstation, and Academician and Expert Workstation. The company has received numerous honors and awards domestically due to its excellent business performance and corporate governance standards. In 2019, the company was awarded the title of Advanced Unit for Furniture Standardization Work in Zhejiang Province, Leading Enterprise in Zhejiang Furniture Industry for 2019, Major Taxpayer in Huzhou City for 2019 , and Anji County 2019 Star Enterprise, one of Anji County 's Top Ten Foreign Trade Enterprises in 2019, Outstanding Board of Directors of the 15th China Listed Companies Golden Roundtable Award, Best Board of Directors of the 10th China Listed Companies Investor Relations, and once again shortlisted in the 2019 Zhejiang Business National Top 500 by Zhejiang Business magazine . Ranked 342nd ; Chairman Wang Jianglin was named "Most Strategic Visionary Chairman" by Board Magazine, selected by Securities Times as one of the "Top Ten Entrepreneurial Leaders of China's Listed Companies in 2019," selected by Securities Times as one of the "18th Outstanding Entrepreneurs of Zhejiang Province," and honored as one of the " Top Ten Influential Zhejiang Businessmen of 2019," reflecting the government, capital market, Mainstream media and the public have highly recognized the company's sustained, steady development and standardized operations.

The company's main products are office chairs, sofas, massage chairs, office furniture, and accessories. Among them, office chairs, sofas, and massage chairs are seating tools, and accessories are seat accessories. Each product can be divided into several subseries based on differences in appearance design, built-in functions, and other features. Among them, office chairs and sofas offer the richest product types in the industry, meeting the needs of different customers and consumers for seating. The company's product design expands the functional diversity of the seat, fully integrating aesthetics and ergonomics concepts through material selection, structural design, and simulation, maximizing flexibility to adapt to changes in the human form and reflecting the healthy attributes of the seat.

The company's main product introductions are as follows:

Product categories		Product illustration
	Ergonomic chair (mesh fabric).	

	Chair)	
	Leather chair	
		

Seat series	Lunch break chair Esports chair	 170° 平躺姿态
Hurry to rocking chairs		 On November 30, 2019, thanks to the outstanding product design and R&D capabilities of its design team, the Acorn Twisting Chair (YOUNG) won the "Contemporary Good Design Excellence Award." Placing YOUNG in a home environment brings the breath of nature to the home, and when you sway on it, you feel like a joyful squirrel, enjoying the freedom and joy of life. Of course, YOUNG can also be placed in office and leisure areas, helping you relax stiff muscles in your waist and hips during breaks and quickly regain vitality. Multiple color options add more color and fun to life and work.

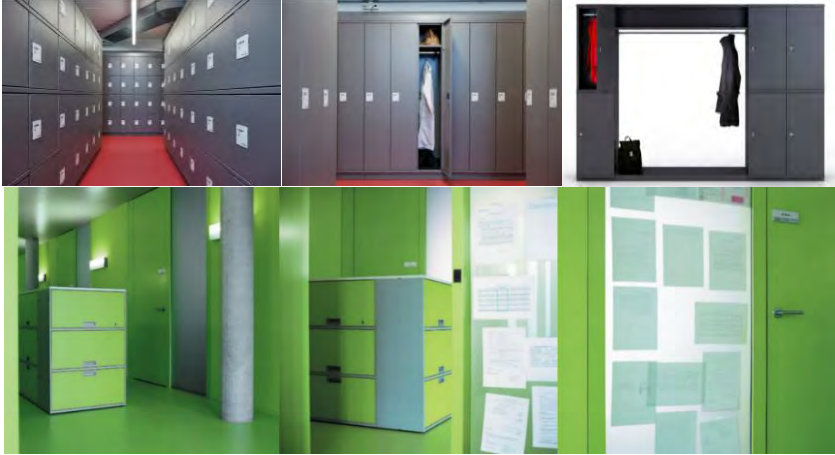
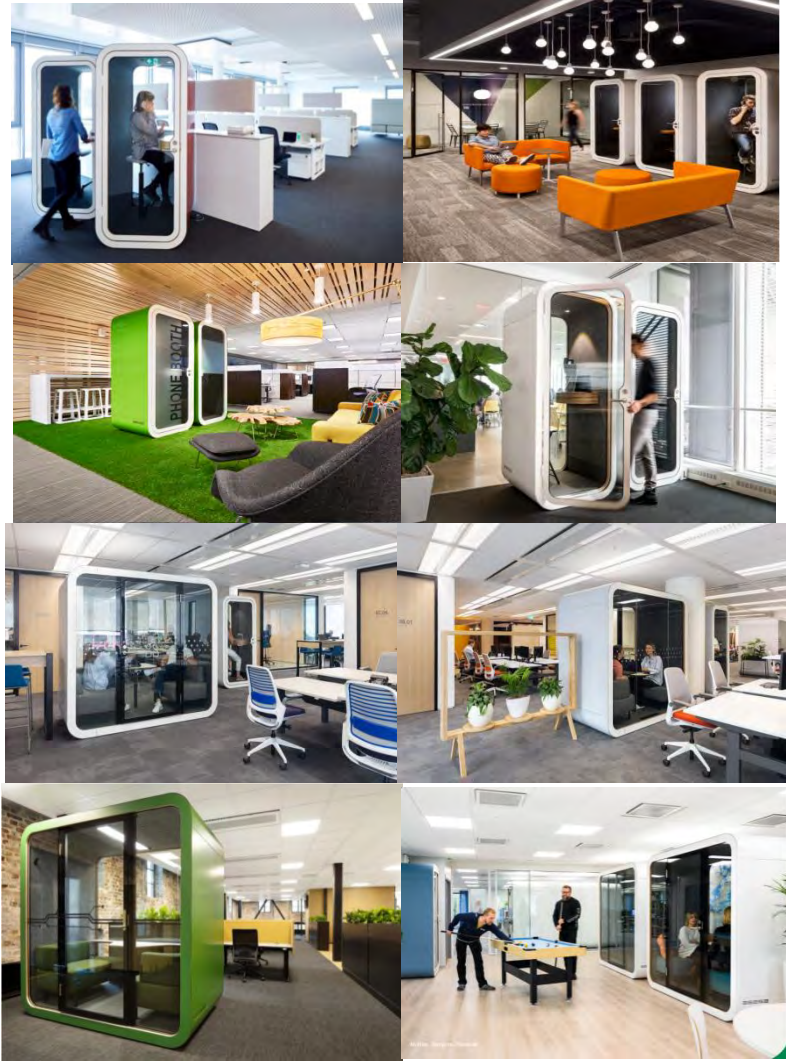
			On February 5, 2020, thanks to the outstanding creative design and R&D capabilities of its design team, the MOORE office chair won the 2020 German iF Design Award. Moore is a lightweight office multi-purpose chair released by the company in 2019, featuring a brand-new bridge span support structure for the cushion section, making it lighter and easier to move. Moore cushions use eco-friendly green materials, breathable mesh fabric, and filled with sponge for a light and comfortable seating experience; The base plate uses eight inclined cuts, forming triangular support with the two legs when tilting the entire chair surface, ensuring reliable stability. This product is very comfortable to use, easy to move, and looks like a sculpture when not in use. Moore pays tribute to Mr. Henry Moore's sculpture and is a natural companion for height-adjustable desks.
	Lounge chair	 	
	Functional sofas		
	Fixed sofa		

Sofa series	Single electric sofa	  舒适休闲 休闲娱乐 午后小憩 帮助起身
	NOUHAUS	 reddot award 2020 winner  reddot award 2020 winner  reddot award 2020 winner  Celebration Promotion 누하스 안마의자 누적 계약 판매 대수 1만대 돌파 기념 프로모션! 여러분의 아낌없는 사랑에 보답드립니다. 클래식 안마의자 15만원 할인은 물론 강릉 용도 + 사은품 2종까지 득템하는 찬스! 4.3 ~ 4.30 @nouhaus_korea Thanks to the outstanding creative design and R&D capabilities of the design team, the NOUHAUS Classic Massage Chair won the 2020 German Red Dot Award. The NOUHAUS Classic Massage Chair is a highly aesthetic massage chair that can create a natural atmosphere in any space. Its graceful curves perfectly harmonize the strong straight lines of the furniture, making the space look more lively. Natural cowhide combined with premium fabric, combined with meticulous stitching, creates a perfect combination, giving you a quality massage experience and a tasteful home environment. Ergonomically designed LS-type rails cover neck, shoulders, back, waist, hips, and other areas, kneading, tapping, and acupressure massage for a comprehensive massage experience.

Massage chair series	Light series	Butterfly swallows	    巧克力色 紫色 灰色 橙色
		Swift	    紫色 巧克力色 橙色 灰色
		Petrel	   巧克力色 紫色 酒红色
		Lingyan	    紫色 巧克力色 酒红色 黑色
		Jin Yan	  黑色 红色

		Wild goosebumps	 棕色 黑色 红色 米色
		Yun Yan	 兰绿色 巧克力色
		Koala	 黑色 金色 咖啡色 灰色
		Slow series Penguins	 黑色 咖啡色 红色
	Office desk (height-adjustable desk) + chair		

Office furniture series	
Office storage cabinets	  The LO Next modular storage cabinet, launched by Swiss subsidiary Lista Office, was awarded the 2020 German Product Design Red Dot Award for its outstanding design and quality. The LO Next drawer and shelf system transforms office spaces into work environments with personalized and customized needs. LO Next components can be flexibly combined, suitable for all office space layouts, allowing storage functions to be configured separately from both sides. Drawers, partitions, shelves, and shelves can be freely combined and expanded at any time, creating a flexible and efficient office environment with practical storage space.

	Modular lockers	
	Cubicles/lounges	

	Comprehensive office environment solutions	
	Whole-house customization	

Accessories	Sofa Iron Frame (Manual)	
	Sofa Iron Frame (Electric)	

(2) Main Business Model of the Company

1. Industry Business Model

In the international market, since international brand owners have already matured their brand building and market channels, domestic manufacturers face significant challenges and long cycles for building their own brands using the OBM model. Currently, most operate using OEM models for contract processing or ODM models for design and manufacturing, with companies with strong R&D and design capabilities leading to this process. Mainly in ODM mode. As China's seat furniture manufacturing enterprises continue to grow, Wei Rulai will innovate more business models to bring its own brands into the international market.

In the domestic business, seatware manufacturers adopt business models including OEM manufacturing and independent brand operations. The former mainly exists among companies with weaker innovation capabilities and development relying on cost advantages, while companies with overall strength and certain R&D and design advantages usually operate under their own brands.

2. Company Business Model

1. R&D model

The company has established a market-demand-oriented R&D mechanism, forming a design and R&D operation model focused on original design R&D, supplemented by collaboration with international designers. The company's sales department proposes preliminary design and R&D requirements based on customer interactions; The Product Management Department conducts detailed analyses of the needs proposed by the sales department, detailing factors such as product types, customer groups, materials used, and pricing, and sets detailed R&D requirements to the R&D department; On this basis, the R&D department collaborates with the sales department to conduct in-depth market research and industry analysis, proposing a preliminary design plan; The company organizes 2-3 rounds of internal reviews, conducting prototyping, finalizing, and trial sales of the approved design products, and finalizing the design and R&D products to be officially launched on the market. In addition, for newly expanded whole-house custom home projects, the company's R&D team has dedicated personnel to research and analyze real estate market trends, mainstream layouts, decoration styles, new materials for upholstered furniture, and internationally popular new elements, proposing forward-looking R&D and design ideas.

2. Procurement model

The company's procurement mainly includes raw material procurement and supporting finished product purchases. The procurement model is primarily centralized procurement, conducted according to the principle of "production based on sales and production-based purchase." Production plans are determined based on sales plans, and procurement plans are formulated based on production schedules, inventory, delivery cycles, and other factors.

The company selects suppliers based on internally established selection criteria; After selecting and identifying raw material suppliers, the company regularly monitors and inspects their costs, quality, and supply capacity, strengthening in-process controls to ensure the quality and supply cycle of raw materials. The company's raw material procurement mainly includes leather, mesh fabric, sponge, plastics, wood products, electronic and electrical components, and hardware accessories, as well as OEM supporting products; Finished supporting product procurement mainly includes office desks, filing cabinets, etc. The company sources supporting products externally, which not only helps the company leverage its core advantages but also achieves integrated sales of related products, ensuring a unified and coordinated overall design style for consumers when purchasing office furniture products, meeting customers' one-stop purchasing needs. The company is located in and surrounding areas with numerous raw material suppliers, forming a complete supply chain industrial cluster, and the company has established long-term and stable cooperative relationships with major suppliers.

3. Production model

In manufacturing, the company uses internationally advanced furniture manufacturing equipment such as Germany's HOMAG, Italy's BIESSE, and Germany's WEMHONER to build product data management systems (PDM) and bill of materials systems BOM, Manufacturing Execution System (MES), Enterprise Resource Planning System (ERP), Supply Chain Management System (SCM), Customer Relationship Management System (CRM), and warehousing and logistics systems WMS, intelligent seat assembly and packaging production lines, and other digital systems to establish highly information-based, automated manufacturing factories and efficient production management systems to achieve mass production of standardized products; Strengthen coordination among sales planning, production planning, and material planning, forming a circular coordination mechanism based on sales order and production order and purchase cycle, adopting a manufacturing model dominated by independent production. Independent production means the company builds its own factory, purchases production equipment independently, and recruits employees to conduct production. The company owns advanced production bases, integrating furniture production software information technology to combine automated production systems with manufacturing technology achievements, enabling modular breakdown, large-scale production of standard parts, and flexible manufacturing of non-standard parts, achieving internal specialized division of labor and forming a highly flexible production system. Promote the construction of smart factories and intelligent seat production lines, continuously improve automation, intelligence, and information technology manufacturing levels, and enhance production efficiency.

4. Sales model

The company's sales model includes OEM, ODM, and OBM. During the reporting period, the company mainly adopted the ODM model, supplemented by the OBM (Swiss subsidiary lista office) model. The company's sales are divided into domestic and overseas sales. During the reporting period, overseas sales were mainly based on ODM and OBM (Swiss subsidiary lista office) models. In the future, we will strive to expand the share of OEM and ODM and continue to increase OBM business volume. Currently, the company's sales model is mostly ODM, but to enhance market competitiveness and brand reputation, the company is increasing investment in R&D and design, strengthening participation in product design, and vigorously promoting the recognition and sales of its own brands "Henglin," " Lista Office LO," and "LO."

Under the OEM model, the company directly produces samples according to the brand owner's samples and produces them in batches; Under the ODM model, the company provides samples of its own designs or designs according to the orders intended by foreign customers, which select and mass-produce them. The company works with most foreign clients

The cooperation mainly follows this model. Under the OBM model, the company independently designs and manufactures products and owns its own brand. This model is the company's cooperation with some domestic customers; Additionally, on August 22, 2019, the company completed the acquisition of 100% equity of Swiss FFL Holding AG, directly owning its subsidiary "Lista Office LO " and " LO" is a well-known brand. The operating entity of Swiss FFL Holding AG , Lista Office, operates under the OBM model . During the reporting period, the self-owned brand Lista Office (2019 In August [year], it was included in the consolidated financial statements) achieving operating revenue of 321.8872 million yuan. The company's current marketing model consists of existing B2B marketing and incremental B2C marketing. Existing B2B marketing focuses mainly on offline business, while incremental B2C marketing focuses on online business, focusing on incremental B2C Under the marketing model, the focus is on building cross-border e-commerce and experimenting with emerging marketing such as influencer livestream sales. Currently, the company still focuses mainly on offline business, but will focus on online operations in the future to expand new profit growth opportunities for the company.

(3) Industry Situation Explanation

According to the "Industry Classification Guidelines for Listed Companies" issued by the China Securities Regulatory Commission (2012 revision), the company operates in the "C21 Furniture Manufacturing Industry."

I. Industry Development Status (1) Overview of
the Global Furniture Industry Development

1. Global furniture production and trade landscape

According to estimates by the Milan Light Industry Information Center (CSIL) in Italy, in 2019, global furniture production was approximately \$490 billion, a decrease of 1% compared to 2018 (in current US dollars). Of this, exports accounted for nearly one-third, about \$160 billion, remaining flat year-on-year.



Looking at specific regions, the Asia-Pacific region remains the main force in furniture production, accounting for 50% of the global total . The region saw a decline in furniture production in 2019, totaling about \$260 billion. In 2019 , China's total furniture production accounted for 37% of the global total, down 2 percentage points from 39% in 2018 .



In contrast, North America continued its previous growth trend in 2019 and began to accelerate.



Europe failed to maintain the growth momentum seen since 2015, with furniture production declining in 2019. The economic downturn seen in recent years in South America has yet to subside, and the furniture industry is still recovering. The furniture industry in the Middle East and Africa is considered underdeveloped, and in 2019, it still accounted for only a very small proportion globally.

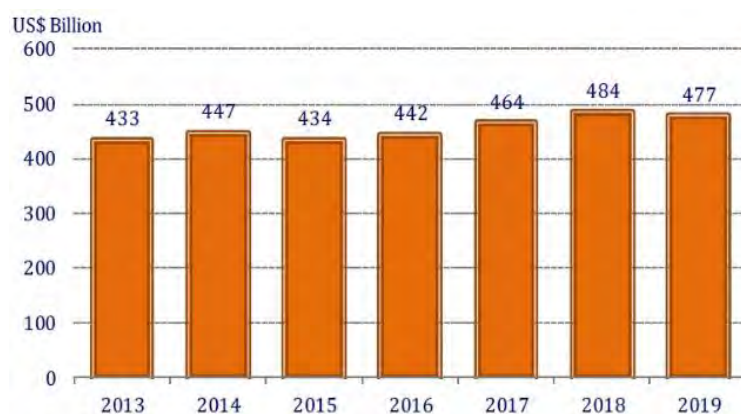
However, it is worth noting that in recent years, the global furniture industry landscape has undergone some shifts, with product flows and value chains being reshaped.

Among the top ten global furniture producers: China, the United States, Germany, Italy, and others are major traditional furniture producers, but India, Poland, and Vietnam have seen rapid growth in furniture production in recent years, with Vietnam in particular showing impressive growth rates. Due to rising domestic consumption levels and huge market demand, India has stimulated significant expansion of the furniture industry. Poland and Vietnam have the opposite situation; both countries have advantages in furniture exports, increasing furniture production by expanding their share of the international furniture market.

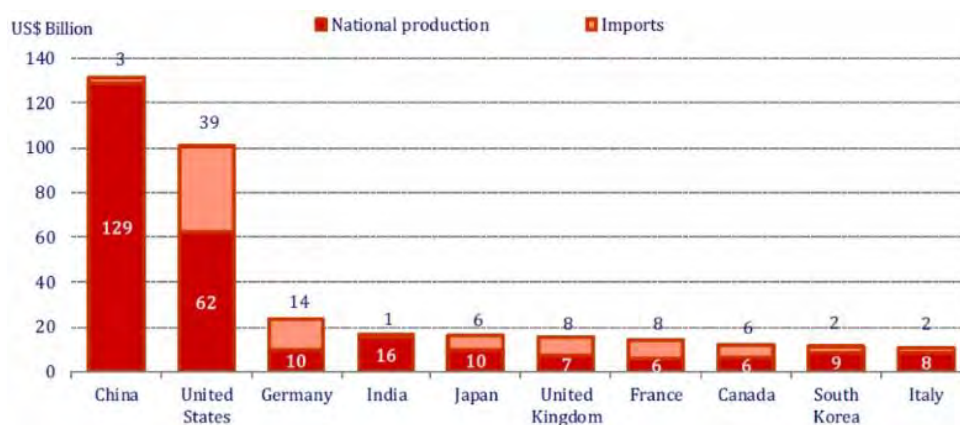
Among the top ten furniture export countries, China still leads by a wide margin and holds the top spot (in 2019, China's furniture exports totaled \$56.093 billion, a year-on-year increase of 0.96 %, accounting for about 35% of global exports). Poland's furniture exports have surpassed those of Italy, and Vietnam's exports have more than doubled. With the development and stabilization of emerging furniture production regions, it is predictable that new major players will emerge in the global furniture industry in the future. The outbound regions of furniture goods worldwide will expand from Western Europe, East Asia, North America, and even to Eastern Europe and Southeast Asia.

2. Global furniture consumption market

Behind production is the consumer market, and the shrinking furniture output reflects a cooling consumer environment. In 2019, global furniture consumption was \$477 billion, a year-on-year decrease of 2%.



Specifically, the main furniture producers are the main furniture consumers. The top ten countries in the world by furniture consumption are China, the United States, Germany, India, Japan, the United Kingdom, France, Canada, South Korea, and Italy.



It can be seen that the largest furniture market globally is the Asia-Pacific region, followed by Europe. China is the world's largest furniture consumer market, followed by the United States, Germany, India, Japan, the United Kingdom, France, Canada, South Korea, and Italy. China, India, South Korea, and Italy are dominated by domestic industries, with low penetration rates of imported products, while other markets such as the United States, Germany, and Japan have relatively balanced shares of domestic and foreign industries.

Overall, the Asian market is relatively closed, while the North American market is the most open. Currently, about 16% of the global furniture market (excluding China) is filled by Chinese products.

Analyzing global data and China's share shows: 1. Although furniture production in some regions saw positive growth, the overall global furniture industry fell into a slump in 2019, leading to a contraction in total production. 2. China still maintains its position as the world's largest furniture producer, exporter, and consumer market, but the proportion of production and exports globally shows a slowdown in growth rate. 3. International furniture trade growth slowed sharply in 2019. In terms of furniture exports, China has consistently outperformed the world average over the years, but in 2019, China's furniture exports performed poorly, dropping from a rapid 8% growth rate in 2018 to a slow 1%. 4. Despite the slowdown in growth, China's export growth continues, because in some regions of China, including mature and rapidly growing markets, market share growth has not reached saturation. 5. Factors affecting China's exports include: slowing international trade and high uncertainty affecting the global situation, constantly changing conditions in certain export markets, tariff and non-tariff barriers, challenges to the

competitiveness of Chinese furniture due to rising labor costs and adapting to new regulations and standards, and ongoing pressure from Asian competitors such as Vietnam. 6. The global trend of improving furniture consumption remains unchanged. On one hand, urbanization in developing countries continues to deepen, per capita disposable income keeps rising, and the demand for furniture is considerable. On the other hand, developed countries, especially North America, still maintain high willingness to consume furniture.

3. Overview of the Global Office Furniture Market

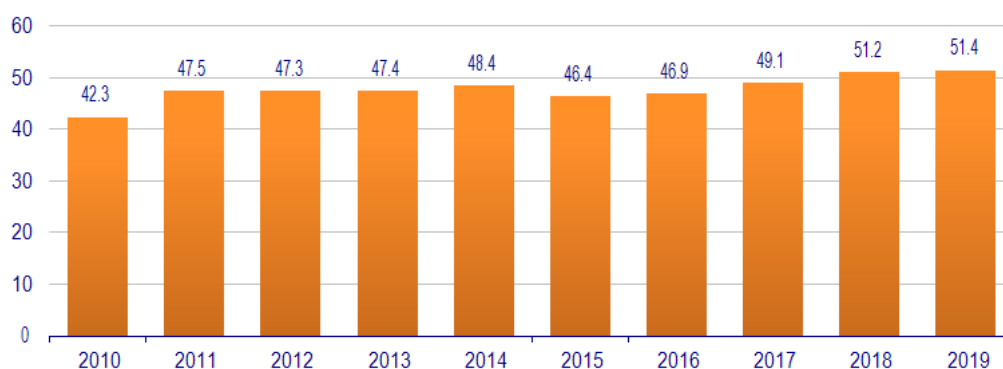
According to the report "Global Office Furniture Market Outlook" published by the Milan Industrial Research Center (CSIL) in December 2019, the global office furniture output value reached \$53 billion in 2019, accounting for about 12% of the world's total furniture production. The Asia-Pacific region is the main production area for office furniture, accounting for 47% of global office furniture production, followed by North America at 28%. Europe ranks third, accounting for 19% of global office furniture production. The share of output from other regions is negligible. Office furniture production is highly concentrated in eight countries, accounting for about 78% of total output: China (\$16 billion), the United States (\$13 billion), followed by Germany (\$10 billion), Japan (\$3 billion), India (\$3 billion), Canada (\$2 billion), Brazil (\$1 billion), and Italy (\$10.0 million), billions of dollars).

After significant growth in 2017 and 2018, office furniture production in 2019 saw almost no increase, but increased by 8% compared to 2013. In 2013 and 2019, production in Asia-Pacific and North America exceeded other regions, with cumulative increases of 19% and 20% respectively, while other regions saw declines.

Globally, China clearly holds a dominant position. In 2010, China replaced the United States as the world's largest producer of office furniture, while the United States slipped to second place. Currently, China's output exceeds \$16 billion, accounting for 31% of global office furniture production.

Among the major office furniture producing countries, Japan, the United States, and Canada have strong specialization, accounting for over 15% of office furniture production.

2010-2019年办公家具全球消费概况 单位：十亿美元



来源:CSIL

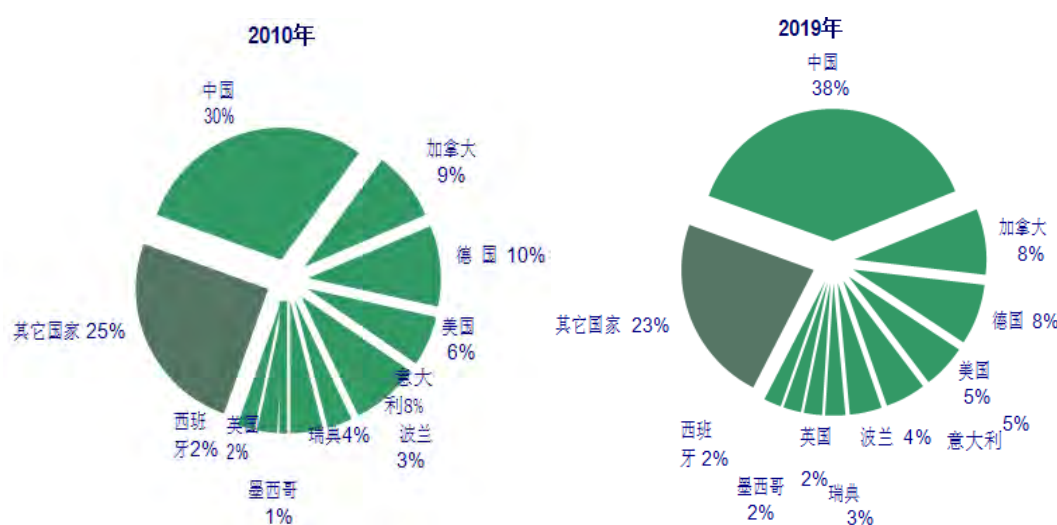
2019年：初步预估

In 2019, global office furniture consumption was approximately \$51 billion, accounting for about 12% of the world's total furniture consumption. The Asia-Pacific region is the main global consumer market for office furniture, accounting for 41% of global office furniture consumption. Next are North America and Europe, accounting for 32% and 20% of global consumption, respectively. From 2013 to 2019, global office furniture consumption grew by 8% cumulatively, while the entire furniture market grew by 11% during the same period. The importance of the Asia-Pacific region is becoming increasingly significant, with office furniture consumption rising

from \$18 billion in 2013 to \$21 billion in 2019. Office furniture consumption in the North American market grew rapidly, with Asia increasing by 22% from 2013 to 2019, while other regions experienced negative growth. About 80% of global office furniture consumption occurs in the United States, China, Japan, Germany, India, Canada, Brazil, France, the United Kingdom, and Australia. Based on per capita office furniture consumption in 60 countries selected by CSIL, the regions with the highest per capita spending levels are North America and Western Europe, while South America, Eastern Europe, and Asia have the lowest per capita consumption.

In terms of office furniture import and export, The United States is the largest importer of office furniture, with imports exceeding \$2.7 billion. The largest importer of office furniture in the U.S. is China, followed by Canada, Mexico, Taiwan, and Germany. China's share of total U.S. office furniture imports is declining due to US-China trade tensions.

The main export countries for office furniture are: China, Canada, Germany, the United States, and Italy. The proportion of office furniture exports in China rose from 30% in 2010 to 38% in 2019.



In 2010, global office furniture trade was \$7.6 billion, reaching \$10.9 billion in 2019. According to CSIL's forecast, global trade will grow by 2% in 2020 and 3% in 2021, respectively.

4. Overview of the U.S. Office Furniture Market

The United States is a major global consumer and importer of office furniture, accounting for 29% of global furniture consumption and 28% of total imports.

U.S. office furniture mainly includes four main categories: complete office system furniture, office chairs, custom office furniture, and office file storage units. According to IBISWorld statistics, complete office furniture systems, office decoration, and office chairs account for 52.4%, 29.7%, and 8.3% of the total office furniture market, respectively. In recent years, the market share of customized complete office furniture sets has grown rapidly. Since custom office furniture includes consulting services and furniture customization, the profit margin from orders is much higher than that of traditional office furniture. More importantly, due to cultural differences, the domestic U.S. custom office furniture market has certain industry barriers, so it is less affected by imports and has gradually gained attention from major U.S. office furniture manufacturers. In terms of revenue composition from U.S. office furniture channels, commercial direct sales account for 57.5%, ranking first; Reretail platforms represented by Office Depot and Staples account for about 28.5%; The proportion of independent wholesalers dropped to 6.9%. In the past, office furniture manufacturers mainly relied on distributors for product sales and inventory clearance, but with the rise of e-commerce platforms and a surge in demand for personalized customization, consumers are purchasing goods and services directly

It has become mainstream, making direct selling of goods the main and most important sales channel for U.S. office furniture manufacturers, while the importance of independent wholesalers continues to decline. As the second-largest office furniture channel in the U.S., Office Depot and Staples hold over 70% of the office furniture reretail market share, primarily serving small businesses and home consumers.

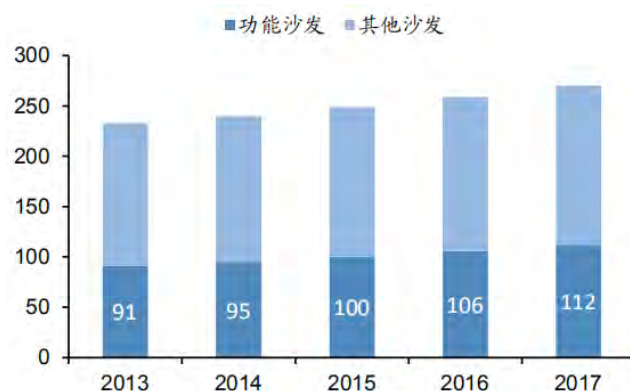
The U.S. office furniture market is mainly dominated by several large companies from the U.S. and Canada (with revenues exceeding \$ 500 million), which are also global leaders in the office furniture industry. In 2018 , the top five companies together held a market share of about 55 %. Over 70% of the market share is held by the top ten companies. Steelcase Inc., Herman Miller Inc., Haworth, Inc., HNI Corporation, and Knoll, Inc It is ranked among the top five global brands, followed closely by KI, Kimball , and Canada's two largest companies, Global and Teknion . Currently, the U.S. office furniture market is in a mature and stable phase, with increasing industry concentration, and small and micro enterprises are gradually withdrawing from market competition. The Matthew effect of U.S. office furniture production is evident, with nearly half of the market share divided by five giants including Steelcase and Herman Miller, with Steelcase alone holding 18.6% and became the most influential office furniture manufacturer in the United States.

5. Global office chair market size

Office furniture can generally be divided by function into desks, chairs, cabinets, screens, shelves, and other auxiliary parts. As an important component of office furniture, the market size and development trends of office chairs also indirectly reflect the current state of office furniture. Office chairs are products of modern commercial society, and their market demand is highly correlated with the level of economic development. According to CSIL data, the global office chair market size was \$23.6 billion in 2018 , with a five-year compound annual growth rate of 7.16 %. Based on this, it is estimated that the global office chair market size will reach this level by 2020 26.8 billion USD. Developed economies such as Europe, the US, and Japan are traditional markets for office chairs, and demand growth has slowed. In 2018, the size of the office chair industry in the US and Europe was \$4.33 billion and \$3.22 billion respectively, a year-on-year increase of 4.8 %. 1.9%, significantly lower than the global average. The rise of emerging economies such as China, India, and Brazil has increased the potential market demand for office chairs. In 2018, the market size for office chairs in developing countries was about \$13.82 billion, a year-on-year increase of 8.8 %, exceeding the global average of 1.6 %. A percentage point. Europe and the United States are both mature markets, but due to differences in economic development levels and living habits, there are significant differences in the consumption of residential and office furniture. As the world's largest economy, the United States has a prosperous life and spacious housing, with a habit of regularly replacing furniture. According to surveys, American households update their furniture every four years, so overall furniture consumption levels are relatively high, maintaining a growth rate of around 5% even during stable development periods. European furniture replacement frequency is significantly lower than in the US, but it demands higher standards for design and variety.

6. Size of the U.S. sofa market

The size of the U.S. sofa market from 2013 to 2017 (USD 100 million).



According to the research report "Learning from Beauty: Comparing Software Giants and Their Growth Paths" released by GF Securities on July 29, 2019, between 2013 and 2017, the total size of American sofas grew from 233 Growth from USD 100 million (approximately RMB 142.7 billion) to USD 27 billion (approximately RMB 181.7 billion), with a compound annual growth rate of 4%. Among them, functional sofas are growing faster than the industry average. The United States is the largest consumer of functional sofas globally, with its functional sofa market size increasing from \$9.1 billion in 2013 (approximately 55.7 billion RMB) to 2017 11.2 billion USD (approximately 75.4 billion RMB), accounting for 41.5% of total sofas from 39.1% to 41.5%, with a compound annual growth rate of 5.3%.

(2) Current Development Status of China's Furniture Industry

1. Data from China's furniture industry

2016-2019年中国家具行业数据概况								
	2019年	同比增减 (%)	2018年	同比增减 (%)	2017年	同比增减 (%)	2016年	同比增减 (%)
累计完成主营业务收入 (亿元)	7117.16	+1.48	7011.88	+4.33	9055.97	+10.11	8559.46	+8.57
累计完成利润总额 (亿元)	462.73	+10.81	425.88	+4.33	565.15	+9.31	537.48	+7.88
累计产量 (万件)	89698.45	-1.36	71277.36	-1.27	80703.47	+3.64	79464.15	+1.27
家具全行业累计出口 (亿美元)	560.93	+0.96	555.77	+8.08	514.24	+4.54	491.89	-9.38
累计进口 (亿美元)	27.6	-16.10	32.9	+7.80	30.52	+15.65	25.22	4.90
说明: 以上数据来源中国家具协会								

The performance of China's furniture industry in 2019 is worth reflecting on. Throughout 2019, there were 6,410 enterprises above designated size in the furniture industry, with cumulative operating revenue of 711.716 billion yuan, a year-on-year increase of 1.48%; Total cumulative profit was 46.273 billion yuan, up 10.81% year-on-year; Cumulative output was 896.9845 million pieces, down 1.36% year-on-year; Cumulative fixed asset investment by furniture enterprises above designated size decreased by 0.7% year-on-year; Cumulative retail sales of goods reached 197.03 billion yuan, a year-on-year increase of 5.1%; The industry's total exports reached 56.093 billion USD, a year-on-year increase of 0.96%; Cumulative imports amounted to 2.76 billion USD, down 16.10% year-on-year.

Data shows that in 2019, for furniture industry enterprises above designated size, except for a 10.81% increase in total profits—reflecting the industry's gradual increase in product added value to achieve higher profits—the growth rates of main business income and fixed asset investment were both the same as China's accession to the WTO in 2001 the lowest point since then; The growth rate of furniture imports and exports also ranks among the lowest in history, which aligns with the "very tough" 2019 felt by most furniture companies.

After years of rapid development, the furniture industry has exposed many pain points: weak growth, an increasingly obvious trend of economic downturn, the disappearance of the demographic dividend and rising raw material costs leading to high operating expenses for enterprises, the lack of internationally renowned brands, low levels of industry informatization and industrialization, significant survival pressures for enterprises, and severe challenges to international competitiveness due to Sino-US trade frictions and rising tariffs..... However, it is also evident that some outstanding companies in the industry are actively promoting and applying technologies such as the internet, intelligent manufacturing, and green production, gradually improving the manufacturing level of the furniture industry; Platform companies like Tmall and Douyin are also changing the business models of their industries.

2020 was also destined to be a year of competition and challenges. It can be said that the outbreak of the pandemic in early 2020 accelerated the industry's reshuffling, cultivated new growth drivers, and will drive the industry toward higher-quality development after reintegration.

2. Overview of China's Office Furniture Market

With the rapid development of China's economy and the increasingly sound commercial system, office furniture consumption in China entered a period of rapid growth starting in 2012. According to data from Qianzhan Industry Research Institute, the market size reached 181.1 billion yuan in 2017, a year-on-year increase of 5.8 %. At present, although China's GDP growth has slowed somewhat, it remains generally stable, and the growth rate of the tertiary industry continues to outpace GDP growth. Against the backdrop of a stable overall economy and a continuously improving industrial structure, it is expected that the office furniture market demand will maintain an annual growth rate of about 6%, and it is projected to reach In 2019, the market size will exceed 200 billion yuan. It is expected that in the next 3-5 years, the growth of China's office furniture market will gradually shift from being driven by quantity to improving quality. From current trends, system furniture is expected to surpass office chairs to become the largest niche market for office furniture in the future, and office chairs, as essential accessories, will maintain a significant market share.

China is the world's largest producer of office furniture. While meeting domestic market demand, a significant portion of its products are also exported overseas. Currently, the main office furniture products exported from China include height-adjustable rotating chairs (Tariff No. 94013000), plastic office or school supplies (Tariff No. 39261000), wooden office furniture (Tariff No. 94033000), and metal office furniture (Tariff No 94031000) and metal filing cabinets, file baskets, pen trays, and other office supplies (Tariff No. 83040000). From 2011 to 2012, China's office furniture exports grew rapidly, and except for 2016, exports maintained a steady growth rate of around 6%. The United States is China's largest exporter of office furniture.

With the steady growth of market demand, the number of office furniture manufacturers in China has entered a period of steady annual growth of about 6%. In 2017, there were more than 1,200 office furniture manufacturers nationwide, a year-on-year increase of 7.9 %, with East China accounting for the largest number of companies 554 companies, accounting for 46.19 %, making it the main concentration area for office furniture manufacturers in China. Additionally, South China and Central China account for 24.2% and 10.4% respectively. The output value of office furniture from the Pearl River Delta and Yangtze River Delta accounts for two-thirds of China's total output, but in terms of the number of enterprises, the Pearl River Delta is nearly twice that of the Yangtze River Delta, mainly because they are at different stages of development. The office furniture industry cluster in the Pearl River Delta formed earlier, and has now completed initial industrial integration, with increased concentration. The Yangtze River Delta region is still in its early stages of industrial development, with fragmented industries and numerous small and medium-sized enterprises. Against the backdrop of ongoing China-US trade frictions, as the industry matures and production costs gradually rise, our office furniture industry is entering an accelerated period of consolidation, and the number of office furniture manufacturers is expected to decline.

3 . Market Size of Chinese Office

Chairs According to the latest statistics from the " China Office Furniture Industry Market Research and Investment Forecast Analysis Report " released by Qianzhan Industry Research Institute: In 2017, the market size of China's office furniture market was 181.1 billion yuan, with the market sizes for office chairs and system furniture being as follows 56.4 billion yuan and 52.6 billion yuan, accounting for 31% and 29% of the office furniture market share, respectively . Qianzhan Industry Research Institute believes that intelligent and customized office furniture will drive growth across the entire office furniture industry. It is estimated that from 2020 to 2024, the market size of China's office furniture will reach between 225.3 billion and 280 billion yuan, according to the estimate In 2017, office chairs accounted for 31% of the market share in office furniture, and it is estimated that from 2020 to 2024, the market size for office chairs will reach 69.8 billion yuan 86.8 billion yuan, with very promising development prospects.

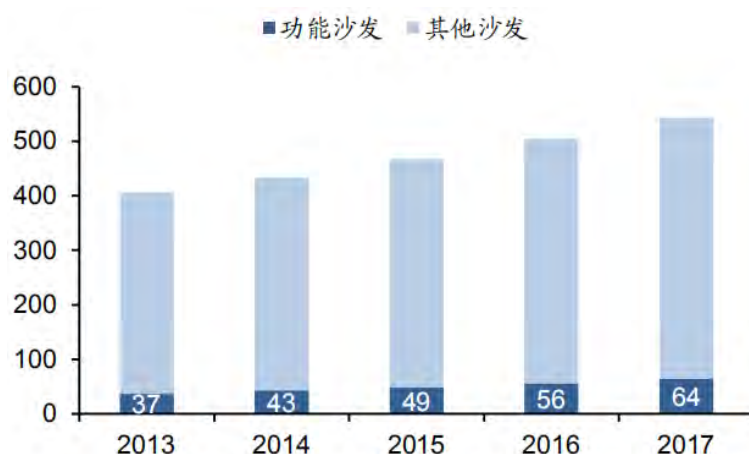
After years of development, China's chair manufacturers have made significant leaps in both production processes and R&D design, but still cannot truly enter the overseas contract market with higher product quality and pricing. Take office chairs as an example: "adjustable height rotating chairs " are the main export category of office chairs in China, with export value of about 2.09 billion USD in 2017 and accounting for a share of total U.S. imports in 2018 66.33%, accounting for 43.90 % of Germany's total imports and 64.40% of Japan's total imports Although China's office chair export value accounts for a high proportion among importing countries, it is only one-tenth of the global office chair market size. This shows that exports of Chinese office chairs are still limited to the retail market and have not truly entered the larger contract market. In the global chair industry, developed countries still play an important role, especially traditional powerhouses like Italy and Germany. They either leverage their design advantages, processing equipment, and technological advantages to firmly occupy the high-end international chair market, gradually shifting production of mid- to low-end products to developing countries. During industrial upgrading and optimization, developed countries have gradually strengthened their pricing power over the manufacturing stage, forming a clear competitive advantage and continuously squeezing the survival space of the intermediate segment. For China's chair industry, it is urgent to replicate the development paths of developed countries such as Europe and America, and to enhance its position in the global chair industry through qualitative improvement rather than quantitative growth.

4. Situation of the Chinese sofa market

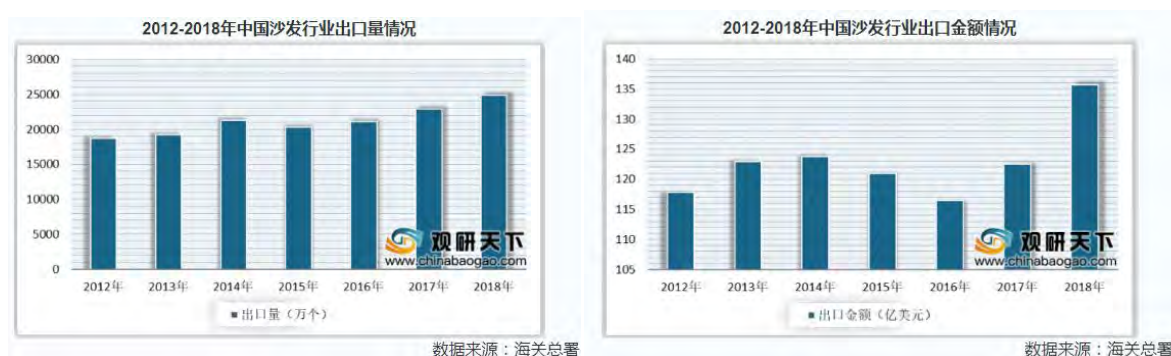
As one of the world's largest sofa demand markets, China has abundant labor and raw material resources, making it a major global sofa supply region. In recent years, China's sofa industry has developed rapidly. In terms of output, the industry's output has steadily increased, and as one of the most common pieces of furniture, demand for sofas continues to rise.

According to the research report "Learning from Beauty: Comparing Software Giants and Their Growth Paths" released by GF Securities on July 29 , 2019, the overall growth rate of Chinese sofas is slightly slower than that of the United States, with leather sofas dominating the market and functional sofas growing rapidly. Between 2013 and 2017, the overall size of sofas in China grew from 40.6 billion yuan to 54.2 billion yuan, with a compound annual growth rate of 7.5 %. Among them, functional sofas grew from 3.7 billion yuan to 6.4 billion yuan due to consumption upgrades, rising from 9.1% to 11.8 % of total sofas, with a compound annual growth rate of 14.7% , far exceeding the overall growth rate of sofas. Looking at material segments, according to the "China Sofa Comfort and Health White Paper" developed by Lezhibao Adjustment, consumers who love leather sofas hold an absolute majority, reaching as high as 55.65 %; Next is fabric sofas at 21.1%, followed by wooden sofas at 19.75 %. In recent years, the market size of China's sofa industry has maintained a strong growth trend. Data shows that in 2018, the market size of China's sofa industry reached 54.57 billion yuan, a year-on-year increase of 4.5%, and is expected to reach 59.34 billion yuan by 2020 Billion yuan. As a category within sofas, the market size of functional sofas is also continuously growing. Data shows that in 2018, the market size for functional sofas reached 7.59 billion yuan, a year-on-year increase of 15.2 %, and is expected to continue until 2020 The annual market size of China's functional sofa industry is about 8.84 billion yuan. From 2013 to 2017, China's sofa market size (billion

yuan).



The import and export scale of China's sofa industry is showing a growth trend. Looking at sofa imports, as of 2018, China's sofa imports reached 1.36 million units, a year-on-year increase of 51.1 %, with an import value of \$333 million, up 22% year-on-year . China's sofas are mainly imported from countries such as Italy, Vietnam, and the United States. Data shows that in 2018 , Italy imported 55.03 % of sofas from China, while Vietnam and the United States accounted for 6.31% and 6.18%, respectively. Additionally, Mexico, Thailand, and Malaysia accounted for 4.93%, 3.54%, and 2.81% respectively.



In terms of sofa exports, in 2018, China's sofa export volume was 248.82 million units, a year-on-year increase of 8.8 %, with export value reaching 13.566 billion USD, up 10.7 % year-on-year . Our sofas are mainly exported to the United States, the United Kingdom, Japan, and other countries.

Data shows that in 2018, 41.68% of sofas exported from China to the United States were exported, while the United Kingdom and Japan accounted for 5.62% and 5.02%, respectively. Additionally, South Korea, Australia, and Canada account for 4.68%, 4.52%, and 4.15% respectively.

5. Industry data of Zhejiang Province's furniture industry

In 2019, Zhejiang's furniture industry withstood downward pressure, showing an overall stable development trend, with a moderate slowdown and improved quality. According to data released by the Zhejiang Provincial Department of Economy and Information Technology and the Zhejiang Provincial Bureau of Statistics, from January to December, Zhejiang's large-scale furniture enterprises achieved a total industrial output value of 97.356 billion yuan, a decrease of 0.55%; Industrial sales output value reached 94.586 billion yuan, down 0.61 %; Export delivery value reached 52.346 billion yuan, down 2.10%; New product output value reached 44.472 billion yuan, up 8.86%; The production-to-sales ratio was 97.16%.

Down 0.06%. In 2019, 4,000 furniture enterprises in Zhejiang Province are expected to achieve a total industrial output value of 253.457 billion yuan, a year-on-year increase of 4.9%, with exports totaling 13.503 billion USD, Year-on-year growth of 1.8%, with the growth rate remaining within a reasonable range.

6. Industry data for chair industry in Anji County, Zhejiang Province

According to statistics from the Zhejiang Chair Industry Association, in 2019, Anji had more than 700 chair enterprises, achieving sales revenue of 40.5 billion yuan; Anji County had 190 chair industry enterprises above designated size, with 59 enterprises exceeding 100 million yuan, and enterprises above designated size achieving sales revenue of 23.05 billion yuan, a year-on-year increase 2.2%, accounting for 38.7 % of the total sales revenue of enterprises above designated size in Anji County, ranking first in profit and tax contribution among major industries in Anji County; Anji County's furniture exports totaled 19.036 billion yuan, a year-on-year increase of 7.2%, accounting for 70.9% of the county's total exports. (3) Market Competition Landscape of Similar Products in Regions for Main Product Exports

The main export regions and countries for the company's products are the Americas (such as the United States and Canada), Europe (Germany, France, etc.), and Asia (Japan, the Middle East, Southeast Asia, etc.), primarily in economically developed countries. The local office chair and sofa market is strong, making it a major global furniture importer.

Below is the market competition landscape in the main export regions for the company's products:

产品主要出口区域	办公椅竞争格局	沙发竞争格局	办公家具竞争格局
美洲（美国、加拿大等）	Steelcase Inc. Herman Miller Inc. Haworth, Inc. Allsteel HON Sit-on-it	Ashley Lazy Boy Simmons Ethan Allen	美国： Steelcase Inc. Herman Miller Inc. Haworth, Inc. HNI Corporation Knoll, Inc. KI (Krueger International) Inc Kimball International, Inc. 加拿大：Global、Teknion
欧洲（德国、法国等）	Vitra Knoll Interstuhl	Natuzzi Rolf Benz Himolla Parker Knoll Stressless KOINOR	Lista Office LO (瑞士) Steelcase Kinnarps Nowy Styl
亚洲（日本、东南亚等国家）	冈村 (Okamura) 国誉 (Kokuyo) 伊藤喜 (Itoki) SIDIZ	尼达利 (NITORI) KARIMOKU UNICO CHLOROS	冈村 (Okamura) 国誉 (Kokuyo) 伊藤喜 (Itoki) 内田洋行 (Uchida Yoko)

2. Industry Position of the

Company The company is a leading domestic manufacturer and seller of professional seating and office furniture. Its office chairs, sofas, and massage chairs are mainly exported. Its Swiss subsidiary , Lista Office , is Switzerland's leading provider of professional office environment solutions and office furniture manufacturer, owning Lista Office LO The LO office furniture brand can provide customers with integrated office environment solutions for the design, R&D, manufacturing, and integration of office furniture. It also offers a combination of acoustic and aesthetic design office environment solutions, holding a 25% market share and ranking first in the industry, becoming Switzerland's leading brand in comprehensive office environment services. The company's office chair production and sales have long ranked among the top in China. According to statistics from the National Customs Information Center of the General Administration of Customs and the China Chamber of Commerce for Import and Export of Light Industry and Handicrafts, from 2008 to 2019 , the company's annual office chair export value consistently ranked first in the industry; From 2017 to 2019, the proportion of the company's office chair export value in Huzhou's office chair export value was 12.13%, 12.37%, and 14.88%, respectively, from 2017 to 2019 The annual proportion of the company's office chair export value to the national office chair export value was 6.35%, 6.50%, and 7.05%; Its market position is very solid. In 2019 , the company launched two new office chair products: the MOORE office chair and the Acorn Twisting Lumbar Chair (YOUNG). Thanks to the outstanding creative design and R&D capabilities of the design team, the MOORE office chair was honored At the 2020 German iF Design Award, the Acorn Twisting Chair (YOUNG) won the "Contemporary Good Design Excellence Award ", The award fully demonstrates the company's strong independent innovation capabilities and advantages in product R&D and design in the field of office chair R&D and manufacturing. The company entered the massage chair industry in 2014 , launching its own brands "Taemi" and "NOUHAUS" massage chairs. In 2019, the company introduced the NOUHAUS classic massage chair. Thanks to the outstanding product creativity and R&D capabilities of the design team, the NOUHAUS classic massage chair won the 2020 German Red Dot Award, rapidly enhancing its market position; The company's comprehensive advantages in R&D technology accumulation and market channel construction in the seating industry are expected to further strengthen its position in the massage chair market. The LO Next modular storage cabinet launched by its Swiss subsidiary Lista Office LO was awarded the 2020 German Product Design Red Dot Award for its outstanding design and quality , fully reflecting the Swiss subsidiary Lista Office Its R&D innovation strength and brand influence in the international office furniture market. The company aims to become a world-leading home furnishing manufacturer and service provider, and with twenty-two years of continuous and simple dedication, it has established its important position in the industry. It has participated in drafting eleven national standards, six light industry standards, and two Zhejiang manufacturing group standards. The company's relentless efforts in operations have also earned high recognition within the industry, winning awards such as "Best Partner at the G20 Hangzhou Summit," "Huawei Quality Supplier Award," "Government Quality Award," "Independent Innovation Project Award," "Star Enterprise," " 2015-2019 Huzhou Major Taxpayer," "2017 Huzhou Golden Bull Enterprise," "Zhejiang Famous Trademark", "Zhejiang Well-known Business Title", "Zhejiang Famous Brand Product", "Zhejiang Export Famous Brand", " Tax Credit AAA", "2016 China Furniture Industry Outstanding Contributor", "China Furniture Industry Excellent Enterprise", "China Furniture Design Award", " Customs AA " Honors such as "Category Management Enterprise," "Leading Enterprise in Zhejiang Furniture Industry," "Integrity Enterprise," "Enterprise Merit Award," "Financial Contribution Award," "Advanced Enterprise in Export Trade," and "Contract-abiding and Trustworthy Unit"; It holds qualifications such as National Intellectual Property Advantage Demonstration Enterprise, Provincial Enterprise Research Institute for Intelligent Functional Equipment, Provincial High-Tech Enterprise R&D Center for Intelligent Functional Chairs, Zhejiang Provincial Enterprise Technology Center, Zhejiang Provincial Industrial Design Center, Zhejiang Provincial Postdoctoral Workstation, and Academician and Expert Workstation, fully reflecting the company's industry status.

The company has received numerous honors and awards domestically due to its excellent business performance and corporate governance standards. During the reporting period, the company was awarded the 2019 Zhejiang Province Advanced Unit for Furniture Standardization Work, the 2019 Zhejiang Province Leading Enterprise in the Furniture Industry, the 2019 Huzhou City Major Taxpayer, the 2019 Anji County Star

Enterprise, and the Anji County 2019 Award Top 10 Foreign Trade Enterprises of the Year, Outstanding Board of Directors of the 15th China Listed Companies Golden Roundtable Award, Best Board of Directors of the 10th China Listed Companies Investor Relations, and was once again listed in the 2019 Zhejiang Business Magazine's Top 500 Zhejiang Businessmen , ranking 342nd; Chairman Wang Jianglin was named "Chairman with the Most Strategic Vision" by the board magazine, one of the "Top Ten Entrepreneurial Leaders of China's Listed Companies in 2019" by Securities Times, one of the "18th Outstanding Entrepreneurs of Zhejiang Province" by the Zhejiang Enterprise Confederation and Zhejiang Entrepreneurs Association, and one of the " Top Ten Influential Zhejiang Businessmen of 2019 ." This reflects the high recognition of the company's sustained, steady development and standardized operations by the government, capital markets, mainstream media, and all sectors of society.

2. Explanation of significant changes in the company's main assets during the reporting period

√ applicable; □ not applicable. For changes in major assets and analysis of their causes during the reporting period, please refer to "Section 4: Discussion and Analysis of Operating Conditions" under "Main Operating Conditions During the Reporting Period" under "Analysis of Assets and Liabilities."

Of which: overseas assets are
1,773,856,370.75 (unit: yuan).

Currency: RMB), accounting for 47.40% of total assets.

3. Analysis of Core Competitiveness During the Reporting Period

√ applicable □ Not applicable During the reporting period, the company's core competitive advantages mainly included the following aspects:

1. Industry position and corporate image advantages

Since its establishment, the company has focused on the seating industry, dedicated to providing customers with comfortable and professional seating products. It is a leading domestic manufacturer and seller of professional seating products. Its Swiss subsidiary , Lista Office , is a leading provider of professional office environment solutions and office furniture in Switzerland, owning Lista Office LO and LO An office furniture brand capable of providing customers with integrated office environment solutions for design, R&D, manufacturing, and integration. It also offers a combination of acoustic and aesthetic design solutions, ranking first in the industry with a 25% market share, becoming Switzerland's leading brand in comprehensive office environment services. The company's office chair production and sales have long ranked among the top in China. According to statistics from the National Customs Information Center of the General Administration of Customs and the China Chamber of Commerce for Import and Export of Light Industry and Handicrafts, from 2008 to 2019, the company's office chair annual export value consistently ranked first in the industry; From 2017 to 2019, the proportion of the company's office chair export value in Huzhou's office chair export value was 12.13%, 12.37%, and 14.88%, respectively, from 2017 to 2019 The annual proportion of the company's office chair export value to the national office chair export value was 6.35%, 6.50%, and 7.05 %; Its market position is very solid. The company aims to become a world-leading home furnishing manufacturer and service provider, establishing its authoritative position in the industry through nearly twenty years of continuous and sincere dedication, and has participated in drafting eleven national standards, six light industry standards, and two Zhejiang manufacturing group standards. The company's relentless efforts in operations have also earned high recognition within the industry, winning awards such as "Best Partner at the G20 Hangzhou Summit," "Huawei Quality Supplier Award," "Government Quality Award," "Independent Innovation Project Award," "Star Enterprise," " 2015-2019 Huzhou Major Taxpayer," "2017 Huzhou Golden Bull Enterprise," Zhejiang Famous Trademarks, "Zhejiang Famous Businesses," "Zhejiang Famous Brand Products," "Zhejiang Export Famous Brands," and "Tax Credit AAA ." Honors such as "2016 Outstanding Contribution Unit in China's Furniture Industry," "Outstanding Enterprise in China's Furniture Industry," "China Furniture Design Award," "Customs AA Management Enterprise," "Leading Enterprise in Zhejiang Furniture Industry," "Integrity Enterprise,"

"Enterprise Merit Award," "Financial Contribution Award," "Advanced Enterprise in Export Trade," and "Contract-Abiding and Trustworthy Unit"

fully demonstrate the company's industry status and corporate image advantages.

The company has received numerous honors and awards domestically due to its excellent business performance and corporate governance standards. During the reporting period, the company was awarded the 2019 Zhejiang Province Advanced Unit for Furniture Standardization Work, the 2019 Zhejiang Province Leading Enterprise in the Furniture Industry, the 2019 Huzhou City Major Taxpayer, the 2019 Anji County Star Enterprise, and the Anji County 2019 Award. It was named one of the Top Ten Foreign Trade Enterprises of the year, an Excellent Board of Directors at the 15th China Listed Companies Golden Roundtable Award, and the Best Board of Directors of the 10th China Listed Investor Relations. It was once again listed among the 2019 Top 500 Zhejiang Merchants by Zhejiang Business magazine, ranking 342nd name; Chairman Wang Jianglin was named "Most Strategic Visionary Chairman" by the board magazine, named one of the "Top Ten Entrepreneurial Leaders of China's Listed Companies in 2019" by Securities Times, named one of the "18th Outstanding Entrepreneurs of Zhejiang Province" by the Zhejiang Enterprise Confederation and Zhejiang Entrepreneurs Association, and honored as one of the "Top Ten Influential Zhejiang Businessmen of 2019," reflecting the government, capital market, Mainstream media and the public have highly recognized the company's sustained, steady development and standardized operations.

2. Technological innovation and R&D team advantages

The technological innovation and R&D team, as the company's core competitive advantages, are mainly reflected in the following aspects: (1) Continuous investment in R&D and innovation. In 2007, the company established an R&D technology department, taking the lead in industrial transformation and upgrading within traditional manufacturing. In 2010, the company became one of the first national high-tech enterprises in the industry and holds qualifications such as National Intellectual Property Advantage Demonstration Enterprise, Provincial Enterprise Research Institute for Intelligent Functions, Provincial High-Tech R&D Center for Intelligent Functional Equipment, Zhejiang Provincial Enterprise Technology Center, Zhejiang Provincial Industrial Design Center, Zhejiang Postdoctoral Workstation, and Academician and Expert Workstation. After years of research and development, the company has achieved fruitful results. In 2019, the company launched two new office chair products: the MOORE office chair and the acorn twisting lumbar chair (YOUNG). The MOORE office chair won the 2020 Germany award iF Design Awards: Acorn Twisting Chair (YOUNG) won the "Contemporary Good Design Excellence Award"; The company launched the NOUHAUS classic massage chair, which won the 2020 German Red Dot Award; The LO Next modular storage cabinet launched by its Swiss subsidiary Lista Office LO was awarded the 2020 German Product Design Red Dot Award for its outstanding design and quality. In 2019, the company's R&D expenses were 109.2147 million yuan. Continuous investment in R&D innovation is a key guarantee for maintaining product competitiveness and a strong support for realizing the company's innovation strategy.

(2) Excellent and stable R&D teams: China's seated furniture has a relatively short R&D history, with few professionals and fierce competition. The quality and stability of the R&D team are key to achieving technological innovation. The company currently has an outstanding R&D team with solid design theory, rich R&D experience, and a reasonable age structure. It includes industry experts bringing advanced overseas design concepts, technical backbones with years of grassroots experience, and young reserve talents with strong professional skills and innovative awareness. A high-level R&D team brings cutting-edge technologies, including digital modeling design, 3D printing, finite element analysis, and dynamic simulation, which can significantly shorten R&D cycles and bring R&D results into production faster. The company values R&D team building, continuously expanding platforms to attract outstanding talent, and maintains team stability through equity incentives, attractive compensation, and generous R&D rewards. (3) Regular Industry-University-Research Collaboration: The company has successively invited academicians of the Chinese Academy of Engineering,

professors from Hefei University of Technology, senior engineers, and experts to jointly conduct R&D, and has established chair R&D laboratories and creative centers with key domestic and international universities and internationally renowned R&D institutions such as Zhejiang University, Xi'an Jiaotong University, and Zhejiang University of Technology. In 2014, the company established China's first academician and expert workstation in the chair industry. The increasingly sophisticated industry-university-research cooperation mechanism ensures the company's R&D direction remains forward-looking, maintaining industry competitiveness while successfully attracting a large number of professionals cultivated through cooperation.

(4) Company Product Patents and Copyrights During the Reporting Period As of December 31, 2019 , Henglin Co., Ltd. held a total of 650 domestic patents, including 14 invention patents and utility model patents 166 patents, 470 design patents; 41 overseas patents; 13 computer software copyrights; One copyright in the work.

3. Advantages in product quality and production efficiency

Product quality is the foundation of a company's brand value and competitiveness. The company has established a series of comprehensive quality management systems and set up a dedicated quality management department, the Industrial Engineering Department, responsible for full-process quality control from raw materials, production, to after-sales service; Each business unit has its own dedicated quality department, formulates operating standards for different products and positions, and implements strict 6S on-site production management systems. The company's production system has passed IOS9001 quality management system certification, and product manufacturing strictly follows the US ANSI/BIFMA 5.1 , European EN1335, EN1728, EN1022 testing standards, and QB/T2280-2016 Office furniture and office chairs meet national light industry industry standards and have obtained the GREENGUARD green product certification from the United States. The company currently owns the largest and most comprehensive enterprise testing center in the seating industry. The company implements strict quality management systems and high-level product testing to ensure product quality from all aspects.

Production efficiency is an important reflection of a company's competitiveness. Continuously advancing the "machine replacing human traffic" project to reduce labor costs, continuously improve automation, intelligence, and information manufacturing levels, and enhance production efficiency. Facing a rapidly increasing variety of products, the company optimizes production processes using German HOMAG , Italian BIESSE , and German WEMHONER (Wenkanna) and other internationally advanced furniture manufacturing equipment, building product data management systems such as PDM, bill of materials systems (BOM), manufacturing execution systems (MES), enterprise resource planning systems (ERP), and supply chain management systems (SCM). Customer Relationship Management System (CRM), warehousing logistics system (WMS), intelligent chair assembly and packaging production lines, and other digital systems have been established, establishing highly informatized and automated manufacturing plants and efficient production management systems to achieve mass production of standardized products. Efficient production based on product quality further enhances the company's competitive advantage, greatly increasing the likelihood that high-quality customers will choose the company as a long-term cooperation goal.

4. Customer resources and sales channel advantages

Currently, the company maintains long-term and stable cooperative relationships with many high-quality clients, including globally renowned companies such as IKEA, NITORI, Office Depot , and Staples Internationally influential buyers such as SourceByNet, Home Retail (Jiayue Procurement Group), and LI&FUNG (Lifeng Group); Office furniture clients of the Lista Office LO brand include Credit Suisse AG (Credit Suisse Group), UBS (UBS Group), FIFA (FIFA), and others Nestlé , Swiss National Television, Swiss Re, Schweizerische Bundesbahnen SBB , KPT (Swiss Insurance), Rolex SA (Rolex Group), Novartis Pharma AG, Stadt Zürich (Zurich Municipality).

Hall), Universität Basel (University of Basel), etc. First, by cooperating with high-quality clients with strict certifications, the company's overall competitiveness can be significantly enhanced; Second, these customers have extensive sales channels worldwide, ensuring the company's business remains stable and sustainable.

5. Advantages in business scale and product structure

The company's business scale continues to expand, and its product structure is steadily improving. Maintaining a large business scale not only helps dilute product manufacturing costs but also meets the bulk purchasing needs of international buyers. The company has twenty-two years of seating manufacturing experience and over ten years of R&D and design experience. Its product range is diverse, covering four major categories: office chairs, sofas, massage chairs, office furniture, and custom home furnishings, with thousands of product models. The product range is rich, the product structure is reasonable, prices are broad, and market adaptability is strong. A diversified product structure also provides more space for R&D personnel, facilitating the joining of technical talent and further enhancing the company's overall competitiveness.

6. Advantages of geographical location and industrial clusters

Anji County enjoys a superior location with convenient transportation. Anji County is located at the geometric center of the Yangtze River Delta Economic Circle and serves as an important northwestern node in the Hangzhou metropolitan area. Anji County has 2 expressways, 1 national highway, 3 provincial roads, and 49 county roads, with a total highway length of 2,236 kilometers; It owns 16 docks with a total channel length of 50 kilometers; It owns one general aviation airport. With the completion and use of projects such as the Shanghe-Hangzhou High-Speed Railway (expected to open in June 2020) and the Shenjiahu Expressway (Phase II) (expected to be completed and opened in 2021), the comprehensive transportation network has become more complete, truly achieving a 30-minute trip to Hangzhou and Huzhou, 90 minutes for fast travel to Shanghai, Suzhou, Nanjing, and Hefei. The company is located in Anji County, Zhejiang Province, known as the "Hometown of China's Chair Industry," and is the largest office chair manufacturing base in China. In 2003, the China National Light Industry Council and the China National Furniture Association awarded Anji County the title of "Hometown of China's Chair Industry"; In 2010, Anji County was recognized by the Zhejiang Provincial People's Government as a "Zhejiang Province Modern Industrial Cluster Demonstration Zone." As a mature seat industry cluster in China, Anji County has complete upstream and downstream industrial support, high production efficiency and synergy efficiency, comprehensive infrastructure and supporting policies, and strong service awareness from local government departments and associations in promoting industrial development; Moreover, Anji has a clear regional brand advantage. Every year, local government departments encourage and organize major chair industry enterprises in the county to participate in well-known domestic and international furniture exhibitions, attracting international customers and significantly enhancing the reputation of Anji's chair industry. According to statistics from the Zhejiang Chair Industry Association, in 2019, Anji had more than 700 chair enterprises, achieving sales revenue of 40.5 billion yuan; Anji County had 190 chair industry enterprises above designated size, with 59 enterprises exceeding 100 million yuan, and sales revenue of 23.05 billion yuan achieved year-on-year growth 2.2%, accounting for 38.7% of the total sales revenue of enterprises above designated size in the county, ranking first in tax and profit contribution among major industries in the county; Anji County's furniture exports totaled 19.036 billion yuan, a year-on-year increase of 7.2%, accounting for 70.9% of the county's total exports.

7. Advantages of Comprehensive Office Environment Solutions Swiss subsidiary Lista Office is Switzerland's leading provider of professional office environment solutions and office furniture manufacturers, with the "Lista Office LO" and "LO" brands An office furniture brand with two major high-end fully automated production bases, an R&D and design center, and a product testing center in Switzerland. It has core competitive advantages in product design and R&D, offering products including desk and lounge desk series (standard desks, height-adjustable desks, sit/stand desks, wall-side desks, conference tables, conference tables, functional desks), and storage systems (modular cabinets, storage systems, room dividers, wardrobes, room dividers, and shelf systems). seating, meeting supplies, partitions / lounges, lighting, etc. We can provide customers with integrated office environment solutions for the design, research and development, manufacturing, and integration of office furniture. We also offer office environment solutions combining acoustics and aesthetic design. Our sales and service network covers major and medium-sized cities in Switzerland, providing office environment solutions for an average of 300,000 square meters of space annually With a 25% market share, it ranks first in the industry, becoming Switzerland's leading brand in comprehensive office environment services. Lista Office's clients include

Credit Suisse AG , UBS , FIFA , and Nestle (Nestlé), Swiss National Television, Swiss Re, Schweizerische Bundesbahnen SBB (Swiss Federal Railways), KPT (Swiss Insurance), Rolex SA (Rolex Group), Novartis Pharma AG (Novartis), Stadt Zürich (Zurich City Hall), Universität Basel (University of Basel). and more.

Section Discussion and analysis of business conditions

Four

I. Discussion and Analysis of Business Conditions

(1) External Business Environment According to data from the National Bureau of Statistics, the total GDP for 2019 was 990865 billion yuan, an increase of 6.1% over the previous year. Among them, the added value of the primary industry was 7,046.7 billion yuan, up 3.1%; The added value of the secondary industry was 386165 billion yuan, up 5.7 %; The added value of the tertiary industry was 534233 billion yuan, up 6.9 %. The added value of the primary industry accounts for 7.1% of GDP , the secondary industry 39.0 %, and the tertiary industry 53.9 %. The contribution rate of final consumption expenditure to GDP growth for the year was 57.8 %, to gross capital formation was 31.2 %, and to net exports of goods and services was 11.0 %. Per capita GDP was 70,892 yuan, up 5.7% from the previous year . Gross National Income 988458 billion yuan, an increase of 6.2% over the previous year. The overall labor productivity rate was 115009 yuan per person, an increase of 6.2% over the previous year. Facing the trend of slowing global economic growth and the severe situation of domestic economic structural adjustment, economic growth and consumption growth continue to decline. The total value of goods imports and exports for the year was 315446 billion yuan, an increase of 3.4% over the previous year. Among them, exports were 172298 billion yuan, up 5.0%; Imports 143148 billion yuan, up 1.6%. Balancing imports and exports, the surplus was 2.915 trillion yuan. General trade imports and exports accounted for 59.0% of total imports and exports, an increase of 1.2 percentage points from the previous year. Exports of electromechanical products grew by 4.4 %, accounting for 58.4% of total exports. China's imports and exports with the EU and ASEAN grew by 8.0 % and 14.1% respectively; Imports and exports with Belt and Road countries showed strong growth, with a combined increase of 10.8% with these countries , outpacing the growth rate of total goods imports and exports 7.4 percentage points. Large-scale industrial enterprises achieved export delivery value of 124216 billion yuan for the year, an increase of 1.3% over the previous year. In 2019, the national per capita disposable income of residents was 30,733 yuan, with a real growth of 5.8% after adjusting for price factors; Among them, the per capita disposable income of urban residents was 42,359 yuan, with a real growth of 5.0% after adjusting for price factors.

Under economic downward pressure, resident income growth and stable consumption growth face challenges, but economic growth is expected to remain within a reasonable range. In 2019, China's total population exceeded 1.4 billion. From the perspective of urban-rural structure, the permanent urban population was 848.43 million, an increase of 17.06 million from the end of the previous year; The rural permanent population was 551.62 million, a decrease of 12.39 million; The urban population accounted for 60.60% of the total population (urbanization rate), an increase of 1.02% from the end of the previous year A percentage point. The furniture consumer base is very large, and the total demand for furniture, as a necessity for work and daily life, will continue to grow. With the rise of per capita disposable income in China, people's demands for quality of life will gradually rise. With higher urbanization rates, the emergence of mid-to-high-end consumer groups, and the growing popularity of remote and mobile work, consumption of office chairs, office furniture, sofas, massage chairs, and furniture is expected to grow further. (2) Company Operations In 2019, facing a complex situation with significantly rising domestic and international risks and challenges, the company faced difficulties head-on, overcame various obstacles, followed industry development trends,

actively seized development opportunities, and continuously deepened innovation and transformation in business management.

Comprehensively promote management improvement, strengthen risk control and cost control, promote internal management resource integration, systematically streamline and optimize management processes, and achieve cost reduction and efficiency improvement; Continue to implement a key account marketing strategy, guided by user and customer needs, enhance the competitiveness and influence of the company's products in domestic and international markets by increasing R&D and innovation, innovating product categories, and expanding marketing channels, fully utilizing existing online B2C marketing and offline channels

B2B marketing resources, further expanding the company's own brand online sales, focusing on building cross-border e-commerce and exploring emerging marketing such as influencer livestream sales, thereby improving domestic and international market performance; Optimize supply chain management, promote centralized procurement, and reduce procurement costs; While deeply cultivating existing OEM and ODM businesses, we integrate global resources and develop OBM business with the philosophy that "creating a good office environment is not a cost, but an investment," and is implementing the "office environment solutions" and "big home" strategies to drive company growth. Through organic growth and external mergers and acquisitions, the company expands its scale, improves operational efficiency, and drives sustainable development.

By the end of the reporting period, the company's operating income and net profit attributable to shareholders of the listed company achieved dual growth. In 2019, the company achieved operating revenue of 2,903.737 million yuan, a year-on-year increase of 25.28%; Operating profit reached 280.1693 million yuan, a year-on-year increase of 37.25 %; Net profit attributable to shareholders of the listed company was 243.395 million yuan, a year-on-year increase of 42.38%. A review of the company's main operations during the reporting period is as follows:

1. Build domestic and overseas production and manufacturing bases to form a global manufacturing layout

After years of accumulation and development in the production of seating and furniture, the company has matured the timing for going global. Its technology, market, team, and other factors are all well-suited for a global manufacturing route. On the other hand, in recent years, the pace of leading domestic furniture companies "going global" and building factories has been accelerating, and multinational production and operations have become an important way for furniture companies to stand out in international competition. The construction of overseas production bases is an important step in the company's global layout. Currently, by reasonably dispersing manufacturing base centers, the company has sufficient capability to withstand the risks posed by current trade frictions. The company will advance its global layout, focusing on improving asset quality, strengthening its existing overseas business system, and effectively implementing international operations. Only through internationalization can trade barriers be broken; National strategies such as the "Belt and Road" contain enormous development opportunities and also bring chances for the company's globalization. Improve the globalization promotion system: further clarify plans and strategies; Further clarify and improve the responsibilities and workflows of headquarters departments, subsidiaries, and overseas companies in promoting internationalization, and optimize the company's internationalization management and control system; Ensure resource security; Accelerate talent team building; Improve risk prevention systems and mechanisms; Strengthen headquarters leadership over internationalization efforts. By the end of the reporting period, the company had established production bases at headquarters in Area A+B+C (manufacturing office chairs, sofas, massage chairs), subsidiary Hengxin Metal production base (manufacturing furniture accessories), Ruide Sponge production base (manufacturing sponges), Guangde Henglin Custom Furniture production base (manufacturing custom furniture), Anhui Cinno panel furniture production base (manufacturing IKEA panel furniture), and Vietnam production base (manufacturing office chairs, sofas) and the Swiss Lista Office production base (manufacturing office furniture), with a global manufacturing layout initially formed.



In 2020, to better expand the global market and orderly implement the company's global manufacturing division of labor layout to ensure the sustained and stable development of the company's business, the company will continue to advance the layout of global production and manufacturing bases, focusing on the expansion of the domestic Guangde Henglin custom furniture production and manufacturing bases and Ruide sponge production bases, as well as the construction of office chair and sofa production bases in Vietnam, Indonesia, and Belarus.

2. Build smart factories to achieve intelligent manufacturing of seats

Based on the characteristics of the company's seating industry production model and process, and in response to challenges such as frequent changes in seating product types, frequent reconstruction and switching of production lines, low levels of automation and intelligence, and excessive reliance on manual labor, the company has focused on intelligent manufacturing in the seating industry, focusing on 'digitalization of workshop/ factory design' and 'Digitalization of product design', "digitalization of manufacturing process equipment", "informatization of manufacturing process management", "data interconnection", "informatization of logistics and distribution", and "intensive utilization of energy and resources." In this regard, applied industry

4.0 and intelligent manufacturing concepts, and other advanced manufacturing concepts. Analyze the demand for intelligent seat manufacturing, accelerate the company's digitalization, networking, and intelligent transformation, build intelligent manufacturing production lines for seat production, and achieve efficient integration of automation and informatization to finely control the seat production process. This will enhance production flexibility, shorten production cycles, enhance product quality, increase production efficiency, reduce production costs, and drive collaborative innovation across the seat industry chain. Enhance development quality and efficiency, and promote high-quality development of the company's seat manufacturing industry.

Through intelligent manufacturing unit integrated control technology based on multi-sensor fusion and robot-assisted technology, hierarchical status data collection and information integration technology for intelligent production lines, and key technologies for seat intelligent manufacturing systems based on highly informatized integration and intelligent device resources, the company realizes intelligent chair manufacturing. First, the production process flow of various components for public seat seats was reviewed, addressing issues such as discrete seating processes and insufficient process informatization in current chair manufacturing processes, and AGVs were introduced Hanging systems and assembly lines (the industry's first seating process flow), robots, and other forms connect various processes to form a new office chair production flow, adapting it to intelligent office chair production models; Second, based on new process flows, core manufacturing equipment for seating has been improved, including the intelligent flexible manufacturing unit for shaping cotton, intelligent injection molding robot unit, robotic laser welding intelligent manufacturing unit, environmentally friendly vacuum electrostatic spray coating assembly line unit, and intelligent warehousing (the first in the seating industry to create an intelligent three-dimensional warehouse). Through robots and assembly lines, various intelligent manufacturing units are connected, and based on information sensing technologies such as the industrial internet, the system achieves interconnection integration of production site equipment and automation of the production process; Third, establish a basic database for seat raw material procurement, design, manufacturing, and sales, based on enterprise resource planning (ERP) systems, advanced scheduling systems (APS), manufacturing execution systems (MES), product lifecycle management (PLM), and customer relationship management systems (CRM), warehouse management system (WMS). Information platforms: research on information integration technologies between heterogeneous information platforms to form intelligent manufacturing information systems; Fourth, information sensing technology and multi-dimensional data collection technology are introduced into the seat production line, collecting data from the equipment layer, control layer, management layer, enterprise layer, cloud service layer, and network layer into the intelligent manufacturing information system, building a seat intelligent manufacturing system with self-decision-making, self-execution, and intelligent quality management, achieving networked seat production equipment, production data visualization, and transparent production processes.

After the completion of the intelligent factory, the intelligent production line for seats meets customers' needs for small-batch, multi-variety discrete manufacturing. An efficient logistics system and intelligent warehousing system have been established, and the intelligent manufacturing information system has been improved. In particular, the integration technology of information platforms such as ASP, MES, PLM, data collection and analysis between information systems and production lines, as well as overall solutions, helps the company reduce labor costs and improve production efficiency. Fundamentally solve the core production issues of cost reduction, quality improvement, and efficiency enhancement.

3. Continuous investment in R&D and innovation, yielding fruitful results

In 2007, the company established its R&D technology department, taking the lead in industrial transformation and upgrading within traditional manufacturing. In 2010, the company became one of the first national high-tech enterprises in the industry and holds qualifications such as National Intellectual Property Advantage Demonstration Enterprise, Provincial Enterprise Research Institute for Intelligent Functions, Provincial High-Tech R&D Center for Intelligent Functional Equipment, Zhejiang Provincial Enterprise Technology Center, Zhejiang Provincial Industrial Design Center, Zhejiang Postdoctoral Workstation, and Academician and Expert Workstation. After years of research and development, the company has achieved fruitful results. In 2019, the company launched two new products: the MOORE office chair and the acorn twisting chair (YOUNG). The MOORE office chair won the 2020 German iF award Design Award; Acorn Twisting Chair (YOUNG) won the "Contemporary Good Design Excellence Award"; The company's first overseas launch of the NOUHAUS classic massage chair won the 2020 German Red Dot Award; The LO Next modular storage cabinet, launched by its Swiss subsidiary Lista Office LO, was awarded the 2020 German Product Design Red Dot Award for its outstanding design and quality. In 2019, the company's R&D expenses were 109.2147 million yuan. Continuous investment in R&D innovation is a key guarantee for maintaining product competitiveness and a strong support for realizing the company's innovation strategy.

During the reporting period, the company and its subsidiaries obtained a total of 129 patent certificates issued by the National Intellectual Property Administration (including 1 invention patent, 27 utility model patents, and 101 design patents) and 5 patents issued by the National Copyright Administration Computer software copyright; As of December 31, 2019, Henglin held a total of 650 domestic patents, including 14 invention patents and utility model patents 166 patents, 470 design patents, 41 overseas patents, 13 computer software copyrights, and 1 work copyright Neck; He also participated in drafting eleven national standards, six light industry standards, and two Zhejiang manufacturing group standards. The acquisition of the above patents and copyrights, as well as participation in drafting national, industry, and group standards, demonstrate the company's R&D and innovation capabilities, which will help the company further improve its intellectual property protection system, leverage its independent intellectual property advantages, establish a continuous innovation mechanism, and enhance its core competitiveness.

4. The company and its subsidiaries are recognized as high-tech enterprises

On January 20, 2020, the Office of the National High-Tech Enterprise Recognition Management Work issued the "Reply on the Filing of Zhejiang Province High-Tech Enterprises in 2019" (Guoke Huozhi [2020] No. 32), which shows Henglin Co., Ltd., Hengyi Furniture, and Hengyou Technology have been recognized as high-tech enterprises, with certificate numbers GR201933002158, GR201933004146, GR201933004374, and issuance date December 4, 2019. The validity period is three years, as shown in the table below:

序号	公司名称	证书编号	发证日期	有效期	享受企业所得税税率
1	恒林股份	GR201933002158	2019年12月4日	连续三年(2019年至2021年)	15%
2	恒宜家具	GR201933004146	2019年12月4日	连续三年(2019年至2021年)	15%
3	恒友科技	GR201933004374	2019年12月4日	连续三年(2019年至2021年)	15%

According to the Corporate Income Tax Law of the People's Republic of China and national tax incentives for high-tech enterprises, Henglin Co., Ltd., Hengyi Furniture, and Hengyou Technology have been recognized as high-tech enterprises for three consecutive years (2019, 2020, 2021). Year) can enjoy relevant national preferential policies for high-tech enterprises, namely paying corporate income tax at a rate of 15 %.

5. Expand cross-border e-commerce business and build overseas warehousing and logistics bases

In recent years, with the continuous improvement of internet infrastructure and the construction of global logistics networks, cross-border e-commerce has grown at a high pace, with transaction volumes continuously expanding. Benefiting from policy support and the competitive advantages of China's manufacturing industry, China's cross-border e-commerce development is strong.

In 2019, the company vigorously promoted cross-border e-commerce business and established its own overseas warehousing and logistics base, firmly seizing the highly promising growth point of its office chair and sofa cross-border e-commerce business. It introduced a cross-border e-commerce operation team with rich experience in the furniture industry, established a cross-border e-commerce department, streamlined and improved the organizational structure of the cross-border e-commerce team and overseas warehouse, allocated key personnel according to business and job needs, formulated standardized processes for domestic and international cross-border e-commerce departments, and set the standards for cross-border e-commerce, KPI assessment indicators for overseas warehouses ensure the achievement of cross-border e-commerce business targets. Invested in establishing overseas cross-border e-commerce operating companies Nouhuas (Korea) Co., Ltd., Nouhaus Inc. Inc., and Riverforest Holdings Inc., USA) ; At the same time, the company has established overseas warehousing and logistics bases and cross-border e-commerce warehouses in the eastern and western U.S. markets, using these as distribution centers to expand its sales network in the U.S. and North America. This transforms the company's previously scattered international product transportation into bulk shipping, reduces logistics costs, shortens order cycles for exports to North America, improves turnover rates, enhances customer and user experience, and better serves North American market customers, further expanding the North American market and expanding product category sales scope and volume. This will enhance the company's competitiveness in the North American market.

6. Strengthen management to reduce costs, tap potential to increase efficiency

In 2019, facing the ever-changing international trade environment, the company adapted to industry trends, actively seized development opportunities, and continuously deepened innovation and transformation in production and operation management. Comprehensively advancing management improvement, strengthening risk control and cost control, integrating internal management resources, systematically streamlining and optimizing management processes, achieving cost reduction and efficiency improvement, adhering to the 2018 concept of "survival of the fittest, survival of the changer," the company has clarified "strengthening management to reduce costs and unlocking potential to increase efficiency" while planning production operations and global expansion Management objectives. In 2019, the company comprehensively strengthened the quality improvement of sales management, procurement management, supplier management, production

management, quality management, human resources management, and financial management. In production management, through statistical analysis of multiple data including production and sales, profit and expenses, inventory consumption, 6S sites, lean production, product quality, delivery time, and safety of the headquarters and subsidiaries, real-time monitoring of their production and operation status has been strengthened. In terms of product quality management, we regularly conduct on-site inspections and evaluations of the products of the company and its subsidiaries, organize the exchange of quality management experiences and the promotion of quality standards, and ensure product quality remains basically stable throughout the year. In cost management, we actively promoted special initiatives to improve management and reduce costs and increase efficiency. Focusing on comparative analysis of material and labor cost costs across various processes in production departments and subsidiaries, manufacturing process optimization and transformation have been carried out to reduce production costs and improve production efficiency. In terms of fund management, the company actively utilizes idle self-owned and idle raised funds for wealth management, achieving a total income of 30.9137 million yuan from both proprietary and raised funds, improving the efficiency of fund utilization, increasing company returns, and creating more investment returns for the company and its shareholders.

7. Integrate the upstream and downstream of the industry chain to enhance the company's competitiveness

Since 2018, the company has accelerated investment and acquisitions across the domestic and international industrial chain, helping the company grow stronger and larger through external mergers and acquisitions. For example, acquiring 80% equity of Ruide Sponge Company will make the company's raw material supply more stable, while integrating the industrial chain can effectively improve product quality and further enhance the company's competitiveness; By acquiring 100% equity of Tatung Vietnam under Taiwan Tatung Co., Ltd., the company will indirectly invest in building factories in Vietnam, expand into Southeast Asia and other overseas markets, and orderly implement a global manufacturing division of labor layout to ensure the company's business continues to develop steadily and avoid risks of international trade frictions; Acquiring 30.91% equity of Yongyu Bamboo Industry, a company listed on the New Third Board, provides a good complement to the company's "customized home furnishing" business. By acquiring 100% equity of Lista Office, a leading Swiss office furniture manufacturer, the company has entered high-end manufacturing, expanded into the European market, promoted global development, leveraged synergy with Lista Office, and integrated resources in market and channels, products and technology, production and operations management experience, and capital. It enhances the overall market competitiveness and brand influence of listed companies, while also providing a good complement to the company's "office environment solutions" business. On August 9, 2019, through joint investment with Yongyu Bamboo Industry in Vietnam, Vietnam Yongyu was established as a shareholding company under Meijia Investment, Vietnam Yongyu, aligning with the company's focus on "office environment solutions". The strategy of integrating assets or capital with the "custom home furnishing" industry aligns with the company's long-term development strategy, effectively improving operating performance and bringing better returns to shareholders. On December 17, 2019, its controlling subsidiary Guangde Henglin completed the acquisition of 51% equity in Anhui Cigna Furniture Co., Ltd., and acquired 51% of Anhui Cinnuo through Guangde Henglin equity in the company can establish a closer strategic partnership with the client, IKEA.

8. Rely on capital operations to enhance operational capabilities

(1) On April 30, 2019, in order to better expand into the European market, accelerate the international layout of production, R&D, and markets, enhance the company's overall market competitiveness and brand influence, further expand its market share and industry position, and strengthen its operating performance; Enhance the company's R&D and design capabilities, attract world-class talent to join the company, build competitive advantages in office environment solutions, and improve the company's sustainable profitability and core competitiveness; The company held the eighth meeting of the fifth board of directors and reviewed and approved the "Proposal on Binding Bidding for the Acquisition of Overseas Company Equity." The company's wholly-owned subsidiary Meijia Investment established a wholly-owned subsidiary Heng Ruy AG in Switzerland, which was established on May 31, 2019 signed a Share Purchase Agreement with Alfred Lienhard and Franziska Lienhard Nava, with Heng Ruy AG acquiring Alfred Lienhard and Franziska Lienhard in cash Nava holds 100% equity in Swiss FFL Holding AG. On August 22, 2019, FFL Holding AG (which owns Lista Office LO and LO FFL Holding AG (which owns the Lista Office LO and LO brands) became a wholly-owned subsidiary of Meijia Investment. Swiss Lista Office is Switzerland's leading provider of professional office environment solutions and office furniture manufacturers, with the Lista Office LO and LO office furniture brands It can provide customers with integrated office environment solutions for the design, R&D, manufacturing, and integration of office furniture, as well as a combination of acoustic and aesthetic design solutions. With a 25% market share, it ranks first in the industry, becoming Switzerland's leading brand in comprehensive office environment services. (2) On November 26, 2018, the company orderly implemented its global manufacturing division of labor layout to avoid risks of international trade frictions, fully expand into Southeast Asia and other overseas markets, better meet international market demands, enhance the company's profitability and competitive strength, provide support for the company's sustainable and healthy development, and consolidate and enhance its industry market position. laying a solid foundation for the company's future development; The company held the fifth meeting of the fifth Board of Directors and reviewed and approved the "Henglin Co., Ltd. Proposal on Wholly-Owned Subsidiary's Investment in Vietnam," investing USD 48 million to build an office and residential furniture production base in Vietnam. On December 27, 2018, the company paid \$20.8 million (approximately 143 million RMB), Acquired 100% equity of Taiwan Tatung Co., Ltd. (Tatung Co., Ltd.) Vietnam Responsibility Co., Ltd. (Tatung Vietnam), the Vietnamese subsidiary. The main purpose of the acquisition was to utilize existing land, factories, and other assets to build a Vietnam office and residential furniture manufacturing base, enabling rapid production and operation and avoiding trade frictions. In 2020, the company planned to invest an additional USD 12 million in its production base in Vietnam, bringing the total investment in Vietnam to USD 60 million. (3) Purchase of 29.8128% equity in Yongyu Bamboo Industry, a company listed on the New Third Board, and related party transactions by cash. For details, see "Section 5: Major Matters" under "14. Major Related Party Transactions" under "(2) Related Party Transactions Arising from Asset or Equity Acquisition or Sale" under "2. Matters Disclosed in Interim Announcement but Subject to Subsequent Implementation or Changes." As of November 20, 2019, the company held 28,401,782 shares of Yongyu Bamboo Industry, representing a 30.91% stake Investing in outstanding flooring brand companies aligns with the company's strategy of asset or capital integration around the "office environment solutions" and "custom home furnishing" industries, and also aligns with the company's long-term development strategy. At the same time, as a benchmark enterprise in China's SPV and SPC flooring industries, Yongyu Bamboo Industry also provides a good complement to the company's "office environment solutions" and "custom furnishing" businesses. The company will leverage the synergy effect with Yongyu Bamboo Industry to complement each other's advantages and integrate resources in market and channels, products and technology, production and operations management experience, and capital. This strong synergy will further expand the company's market share, effectively improve operating performance, and bring better returns to shareholders.

(4) The company's wholly-owned subsidiary Meijia Investment established Vietnam Yongyu, a joint investment company in Vietnam on August 9, 2019, with a registered capital of USD 11.26 million, holding a 49.00% stake. This joint investment with Yongyu Bamboo Industry in Vietnam aligns with the company's strategy of asset or capital integration around the "office environment solutions" and "custom home furnishing" industries, as well as the company's long-term development strategy, effectively improving operating performance, and bringing better returns to shareholders.

9. Rush to support Wuhan Huoshenshan Hospital and earnestly fulfill social responsibilities

While creating value for customers, employees, shareholders, and society, the company also pays attention to the lives of vulnerable groups and those in difficulty. It actively responds to Anji County's call to "contribute to poverty alleviation." The Party Committee, combined with the company's actual situation, fully leverages the support and assistance functions of the "Henglin Charity Fund." Party members and cadres actively participated, giving back to society in various forms and showing love, earnestly fulfilling their social responsibilities.

In 2019, the company assisted weak villages in Suichang County with 150,000 yuan and invested 780,000 yuan to support the construction of rural Liangshan Cultural Halls, supporting rural revitalization; Invested 500,000 yuan in Anji County's civilization creation project, building 40 caring post booths; Sponsored 50,000 yuan for the Anji County Entrepreneurs Scholarship Fund to support impoverished college students; 100,000 yuan for the Peace Guard in Zhangwu Town, Anji County, and 120,000 yuan for the construction of Xiaode Garden in Xiaofeng Town, Anji County; 20,000 yuan for consolation to teachers at Anji County Sunshine Primary School; Subsidies of 30,000 yuan for employees' children attending kindergarten; Actively participated in subdistrict family planning publicity and activities to comfort impoverished students, earnestly fulfilling corporate social responsibility.

When the company learned that Huoshenshan Hospital and Leishenshan Hospital, which are focusing on treating COVID-19 patients in Wuhan, were under construction around the clock, and since the preparation time for these two hospitals was very short, the local hospital was seeking assistance, hoping that a company could provide ready-made office furniture. So the company actively contacted Wuhan Huoshenshan and Leishenshan hospitals, offering to donate office furniture for hospital use. As a listed company with social responsibility and commitment, the company has always paid close attention to the development of the pandemic, caring deeply about Hubei, the people of the entire country, and the safety of medical staff. On the morning of January 30, 2020, the company launched an emergency support campaign for Wuhan, holding a dispatch ceremony in Area C for donating office furniture to Huoshenshan and Leishenshan Hospitals. Henglin Co., Ltd. launched an emergency aid campaign in Wuhan and held a donation ceremony for office furniture to Huoshenshan and Leishenshan Hospitals in Anji County, donating 1,100 office chairs, 200 nap chairs, and 40 Sofa sets and are transported by truck to Wuhan Huoshenshan and Leishenshan Hospitals. The company donated all the necessary office furniture to Wuhan Huoshenshan and Leishenshan Hospitals. This targeted donation was made to meet urgent supplies for the hospitals, demonstrating the company's strong sense of social responsibility and contributing to improving the rest and working environment for frontline medical staff, enabling them to better engage in the fight against the epidemic.

10. Honors and awards received by the company in 2019

The company has received multiple honors and awards domestically due to its excellent business performance and governance standards. During the reporting period, the company was awarded the 2019 Zhejiang Province Advanced Unit for Furniture Standardization Work, the 2019 Zhejiang Province Leading Enterprise in the Furniture Industry, the 2019 Huzhou City Major Taxpayer, the 2019 Anji County Star Enterprise, and the Anji County 2019 Award Top 10 Foreign Trade Enterprises of the Year, Outstanding Board of Directors of the 15th China Listed Companies Golden Roundtable Award, Best Board of Directors of the 10th China Listed Company Investor Relations, and once again listed among the 2019 Zhejiang Business Magazine's Top 500 Zhejiang Businessmen, ranking 342nd; Chairman Wang Jianglin was named "Most Strategically Visionary Chairman" by Board Magazine and named one of the "Top Ten Entrepreneurial Leaders of Chinese Listed Companies in 2019" by Securities Times. Awarded the "18th Zhejiang Outstanding Entrepreneur" by the Zhejiang Enterprise Confederation and Zhejiang

Entrepreneurs Association, and awarded the "Top Ten Influential Zhejiang Businessmen of 2019", reflecting the government, capital market, Mainstream media highly recognize the company's sustained and stable development and standardized operations.

11. Strengthen Party building to support the company's high-quality development

During the reporting period, guided by Xi Jinping Thought on Socialism with Chinese Characteristics for a New Era, and in accordance with the overall requirements of Party building in the new era, the company closely focused on the company's overall production and operational development goals, deeply implementing the "Double Creation and Double All-Inclusive" approach. The project focuses on laying a solid foundation, co-building with the Party and the masses, promoting the "Two Reds", thematic education, and uniting efforts. It further standardizes self-construction, solidifies activity carriers, serves production and operations, unites the Party-masses, cares for employees, and plays a driving role in responding to trade frictions, building overseas bases, adjusting production layout, and promoting job stability and efficiency improvement. First, fully leverage the principle of "Party building serving enterprise development as the core", insisting on integrating Party leadership into all aspects of the company's production and business development to guide the company's growth. Second, insist that all work be done at the branch level, solidifying the foundation of organizational learning. Taking organizational foundation as the foundation, we have solidly implemented basic work such as the Three Meetings and One Lesson, as well as themed Party Days, promoted standardized branch construction, and enhanced the Party's organizational strength. Third, we insist on promoting the main theme of the "Two Reds" to enhance the company's development momentum. In 2019, the Party Committee took "singing the main theme of the Two Reds and striving to be the vanguard of the Two Mountains" as the main line, vigorously promoting the creation of the Red Leadership Academy and Red Workshops, known as the "Two Reds", intensifying efforts in serving the company's talent development and workshop management, promoting the organic integration of Party building with production and operations. The assessment mechanism for Henglin Party School, Business School, Chair Research Institute, Staff Lecture Hall, and social practice classrooms has been improved, standardizing process assessments from aspects such as "teaching progress, personnel participation, faculty, and practical effectiveness". Fourth, insist on Party building leading mass organization construction and gather joint efforts. Standardized mass organization elections were completed, electing a new cohort and leveraging the cohesive power of mass organizations. Fifth, adhere to the emphasis on effectiveness in thematic education and strengthen accountability. In September 2019, in the second batch of "Stay True to Our Original Aspiration and Keep Our Mission Firmly in Mind". Since the launch of the thematic education, the Party Committee has insisted on theoretical study, relevance to practice, and improvement, actively playing the exemplary role of Party members and cadres, and has enhanced cohesion and combat effectiveness in dealing with trade frictions. Sixth, persist in caring and uniting people's hearts, creating a harmonious home. Strengthen dual care for employees' spirit and material needs, continuously improving employee happiness index. The Party Committee has successively organized cultural and sports interactive activities with enterprises and institutions such as Yucun in Anji County and Anji County Rural Commercial Bank. Using care and concern as a carrier, we are committed to building Henglin into a beautiful and harmonious home.

II. Main Business Operations During the Reporting Period

As of December 31, 2019, the company's total assets were 3,744.1910 million yuan, an increase of 29.69% from the beginning of the year, with total liabilities of 114,393.64 10,000 yuan, an increase of 97.98% from the beginning of the year, a debt-to-asset ratio of 30.55%, and equity attributable to the parent company of 2,520.9425 million yuan, an increase of 11.49% from the beginning of the year. During the reporting period, the company achieved operating revenue of 2,903.737 million yuan, an increase of 25.28% compared to the same period last year; Operating profit reached 280.1693 million yuan, an increase of 37.25% compared to the same period last year; Net profit attributable to shareholders of the listed company was 243.395 million yuan, an increase of 42.38% compared to the same period last year; Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses was 187.8539 million yuan, an increase of 40.21% compared to the same period last year; Basic earnings per share were 2.43 yuan, up 42.11% year-on-year.

(1) Main Business Analysis

1. Analysis of changes in the income statement and cash flow statement related items

Unit: Yuan Currency: Renminbi

Subject	Current Issue	Figures for the same period last year	Change rate (%)
Operating income	2,903,737,030.75	2,317,811,065.00	25.28

Operating costs	2,178,558,275.53	1,863,574,085.83	16.90
Selling expenses	195,226,887.94	123,748,175.86	57.76
Administrative expenses	163,191,514.51	77,212,212.01	111.35
R&D expenses	109,214,652.04	97,799,183.95	11.67
Financial expenses	-6,575,961.08	-16,779,698.92	-60.81
Net cash flow from operating activities	286,223,308.02	15,506,135.27	1,745.87
Net cash flow from investing activities	-365,178,838.19	-8,297,349.97	4,301.15
Net cash flow from financing activities	221,675,824.98	-47,280,950.82	-568.85

1. Main reasons for the year-on-year increase in operating income: primarily due to an increase in sales orders;
2. Main reasons for the increase in operating costs during the same period: primarily due to increased sales orders;
3. Main reasons for the year-on-year increase in selling expenses: Mainly due to increased sales revenue alongside increased transportation and miscellaneous costs, sales staff

wages, booth fees, and other expenses;

4. Main reasons for the increase in management expenses during the same period: mainly due to increased employee wages and benefits, increased depreciation and amortization in management expenses caused by increased office fixed assets, higher overseas investment consulting fees, and higher management expenses for newly established and acquired subsidiaries;

5. Main reasons for the year-on-year increase in R&D expenses: mainly due to increased R&D expenditure and higher salaries for R&D personnel;
6. Main reasons for the decrease in financial expenses during the same period: primarily due to exchange rate fluctuations;

7. Main reasons for the increase in net cash flow from operating activities during the same period: mainly growth in sales revenue, accelerated collection of accounts receivable, and increased cash flow from operating activities of newly acquired subsidiaries;

8. Main reasons for the decrease in net cash flow from investing activities during the same period: mainly due to payments from subsidiaries and other

business units

Increased cash flow from investing activities;

9. Main reasons for the increase in net cash flow from financing activities during the same period: mainly due to increased bank borrowing.

2. Revenue and cost analysis

√ applicable □ not applicable Revenue and cost analysis as follows:

(1). Main business by industry, product, and region

Unit: Yuan Currency: Renminbi

Main Business by Industry						
By industry	Operating income	Gross Margin Operating Cost (%)	Operating revenue increased or decreased compared to the previous year (%)	Operating costs increased or decreased compared to the previous year (%)	Gross profit margin	year-on-year change (%)

Manufacturing	2,885,229,747.30	2,169,266,423.06	24.81	25.26	16.57	An increase of 5.60 percentage points
Main business by product						
By product	Operating income	Operating costs	Gross Margin (%)	Operating revenue increased or decreased compared to the previous year (%)	Operating costs increased or decreased compared to the previous year (%)	Gross profit margin year-on-year change (%)
Office chair	1,462,544,286.60	1,110,380,505.08	24.08	10.20	4.48	An increase of 4.16 percentage points
Sofa	716,797,750.11	536,392,611.79	25.17	-1.89	-8.94	An increase of 5.8 percentage points
Massage chair	33,255,020.39	18,970,479.18	42.95	-29.62	-37.81	An increase of 7.51 percentage points
Office environment solutions	321,887,244.78	219,606,377.25	31.78	100.00	100.00	
Others	350,745,445.42	283,916,449.76	19.05	76.71	58.94	An increase of 9.05 percentage points
Total	2,885,229,747.30	2,169,266,423.06	24.81	25.26	16.57	An increase of 5.6 percentage points
Main business by region						
By region	Operating income	Operating costs	Gross Margin (%)	Operating revenue increased or decreased compared to the previous year (%)	Operating costs increased or decreased compared to the previous year (%)	Gross profit margin year-on-year change (%)
Outside the borders	2,419,983,452.87	1,796,032,699.51	25.78	24.05	14.89	An increase of 5.92 percentage points
Within the territory	465,246,294.43	373,233,723.55	19.78	31.92	25.40	An increase of 4.18 percentage points
Total	2,885,229,747.30	2,169,266,423.06	24.81	25.26	16.57	An increase of 5.6 percentage points

Explanation of main business by industry, product, and region

During the reporting period, the company's main business revenue grew by 25.26% year-on-year, with export sales up 25.78% and domestic sales up 19.78%, mainly due to international market expansion, the addition of overseas LO brands, and increased domestic orders from subsidiary customers.

(2). Production and sales volume analysis table

√ applicable, □ not applicable

Main products	Unit	Production volume	Sales volume	Inventory levels	Production volume increased or decreased compared to the previous year (%)	Sales volume increased or decreased compared to last year (%)	Inventory volume increased or decreased compared to last year (%)
Office chair	Piece	7,041,911.16	6,942,910.16	427,297.00	-0.95	-1.78	30.16
Sofa	Piece	734,606.00	739,864.00	25,361.00	-7.10	-6.47	-17.17
Massage chair	Piece	13,035.00	4,147.00	11,023.00	-11.68	-71.96	416.30

Explanation of Production and

Sales Volume: This phase of the office environment solution is a design solution and supporting office products, and is temporarily not counted by production and sales volume. Orders for office chairs and sofas have declined due to trade frictions, while orders for massage chairs in overseas markets have decreased, resulting in lower production and sales volume.

(3). Cost analysis table

Unit: yuan

By industry							
By industry	Cost composition items	Current Period's Amount	Proportion of total costs for this period (%)	Amount in the same period last year	Proportion of total costs in the same period last year (%)	Percentage of change in the amount for this period compared to the same period last year (%)	Situation Description
Manufacture	Direct materials	1,738,529,420.44	80.14	1,502,026,867.95	80.71	15.75	
	Direct manual labor	288,081,540.56	13.28	225,902,629.63	12.14	27.52	
	Manufacturing overhead	142,254,980.22	6.56	103,700,507.07	5.57	37.18	
	Export tax rebate costs	400,481.84	0.02	29,318,202.23	1.58	-98.63	
	Sub-total	2,169,266,423.06	100.00	1,860,948,206.88	100.00	16.57	
By product							
By product	Cost composition items	Current Period's Amount	Proportion of total costs for this period (%)	Amount in the same period last year	Proportion of total costs in the same period last year (%)	Percentage of change in the amount for this period compared to the same period last year (%)	Situation Description
Office chair	Direct materials	923,013,999.05	83.13	887,021,070.82	83.46	4.06	
	Direct manual labor	129,155,644.35	11.63	109,561,758.56	10.31	17.88	
	Manufacturing overhead	57,882,644.16	5.21	48,003,702.07	4.52	20.58	
	Export tax rebate costs	328,217.43	0.03	18,188,940.55	1.71	-98.20	
	Sub-total	1,110,380,504.99	100.00	1,062,775,472.00	100.00	4.48	
Sofa	Direct materials	389,023,987.38	72.53	445,465,014.35	75.63	-12.67	
	Direct manual labor	101,357,357.93	18.90	95,351,618.40	16.19	6.30	
	Manufacturing overhead	45,958,059.16	8.57	38,854,218.82	6.60	18.28	
	Export tax rebate costs	53,207.32	0.01	9,369,287.97	1.59	-99.43	
	Total	536,392,611.79	100.00	589,040,139.54	100	-8.94	
Massage chair	Direct materials	13,501,652.18	71.17	21,202,414.71	69.5	-36.32	
	Direct manual labor	2,717,927.10	14.33	4,935,314.34	16.18	-44.93	
	Manufacturing overhead	2,748,582.33	14.49	3,909,291.64	12.82	-29.69	
	Export tax rebate costs	2,317.57	0.01	458,047.33	1.5	-99.49	
	Sub-total	18,970,479.18	100.00	30,505,068.02	100.00	-37.81	
Office environment solutions	Direct materials	170,172,981.73	77.49				
	Direct manual labor	28,812,356.70	13.12				
	Manufacturing overhead	20,621,038.82	9.39				
	Export tax rebate costs	-					
	Sub-total	219,606,377.25	100.00				
	Direct materials	242,816,800.10	85.52	148,338,368.07	83.04	63.69	
	Direct manual labor	26,038,254.48	9.17	16,053,938.33	8.99	62.19	

Others	Manufacturing overhead	15,044,655.75	5.30	12,933,294.54	7.24	16.33	
	Export tax rebate costs	16,739.52	0.01	1,301,926.38	0.01	-98.71	
	Sub-total	283,916,449.85	100.00	178,627,527.32	100.00	58.94	
Total		2,169,266,423.06	100.00	1,860,948,206.88	100.00	16.57	

Cost analysis and other explanations

This was mainly due to increased sales costs in materials, labor, and manufacturing expenses. The decline in export tax rebate costs this period was mainly due to the impact of national tax and fee reduction policies.

(4). Main sales customers and key suppliers

√ Applicable □ Not Applicable The top five customers had sales of 1,225.329 million yuan, accounting for 42.20% of total annual sales ; Among the top five customers, related party sales were 0 million yuan, accounting for 0% of the annual total sales.

The top five suppliers had a procurement amount of 180.884 million yuan, accounting for 9.35% of the annual procurement total ; Among the top five suppliers, related party purchases amounted to 0 million yuan, accounting for 0% of the annual total procurement .

Other notes

None

3. Fees

√ applicable, □ not applicable

Subject	Current Issue	Figures for the same period last year	Change rate (%)	Reasons for the change
Selling expenses	195,226,887.94	123,748,175.86	57.76	While sales revenue increased, expenses such as transportation and miscellaneous fees, sales staff salaries, and booth fees also increased
Administrative expenses	163,191,514.51	77,212,212.01	111.35	Employee compensation and benefits expenses increased, depreciation and amortization in management expenses caused by increased office fixed assets, and overseas expansion consulting fees increased
Financial expenses	-6,575,961.08	-16,779,698.92	-60.81	Exchange rate fluctuations have an impact

4. R&D investment

(1). R&D Investment Table

√ Applicable □ Not applicable Unit: yuan

This period's expensed R&D investment	109,214,652.04
This period of capitalized R&D investment	
Total R&D investment	109,214,652.04
Total R&D investment as a percentage of operating revenue (%)	3.76

Number of R&D personnel in the company	498
The proportion of R&D personnel in the company's total workforce (%)	8.45
Proportion of R&D investment capitalized (%)	

(2). Situation description

√ Applicable □ Not Applicable During the reporting period, the parent company invested in 9 R&D projects, all completed by the end of 2019 and are now in the production trial sales stage.

5. Cash flow

√ applicable, □ not applicable

Subject	Current Issue	Figures for the same period last year	Change rate (%)	Reasons for the change
Net cash flow from operating activities	286,223,308.02	15,506,135.27	1745.87	The main reason is the growth in sales profit
Net cash flow from investing activities	-365,178,838.19	-8,297,349.97	4301.15	Mainly due to increased cash flow from investing activities paid by subsidiaries and other business units
Net cash flow from financing activities	221,675,824.98	-47,280,950.82	-568.85	Mainly due to increased bank borrowing

(2) Explanation of significant profit changes caused by non-core business

□ applicable, √ not applicable

(3) Analysis of Assets and Liabilities

√ applicable, □ not applicable

1. Asset and liability status

Unit: yuan

Project name	Ending numbers for the current period	Proportion of Ending Figures for the Current Period to Total Assets (%)	Previous period ending numbers	Proportion of Previous Period Ending Figures to Total Assets (%)	Percentage Change of Amount at the End of This Period from the End of the Previous Period (%)	Situation Description
Monetary funds	567,363,140.52	15.15	421,311,112.35	14.59	34.67	Note 1
Trading financial assets	196,254,617.69	5.24			100.00	Note 2
Notes receivable	8,102,343.67	0.22	400,000.00	0.01	1,925.59	Note 3
Accounts receivable	574,225,579.01	15.34	432,748,679.94	14.99	32.69	Note 4
Prepaid items	47,244,410.57	1.26	29,008,110.37	1.00	62.87	Note 5
Other receivables	60,955,740.71	1.63	103,135,008.40	3.57	-40.90	Note 6
Inventory	418,677,364.18	11.18	252,581,324.00	8.75	65.76	Note 7
Other current assets	25,718,519.71	0.69	977,394,003.47	33.86	-97.37	Note 8
Available-for-sale financial assets			48,991,549.50	1.70	-100.00	Note 9
Long-term equity investment	275,994,531.45	7.37	8,013,251.11	0.28	3,344.23	Note 10
Other equity instrument investments	103,467,873.60	2.76			100.00	Note 11
Other non-liquid finance	80,367,287.67	2.15			100.00	Note 12

Assets						
Fixed assets	959,515,999.37	25.63	335,591,381.87	11.62	185.92	Note 13
Construction in progress	122,502,043.60	3.27	140,968,729.77	4.88	-13.10	Note 14
Intangible assets	146,290,883.99	3.91	95,661,569.07	3.31	52.93	Note 15
Goodwill	12,963,624.96	0.35			100.00	Note 16
Long-term deferred expenses	14,240,801.52	0.38	9,736,512.00	0.34	46.26	Note 17
Deferred income tax assets	19,012,891.27	0.51	10,701,386.46	0.37	77.67	Note 18
Other non-current assets	111,293,361.60	2.97	20,738,360.00	0.72	436.65	Note 19
Short-term loans	58,268,601.39	1.56	40,000,000.00	1.39	45.67	Note 20
Notes payable	54,370,484.58	1.45	13,911,732.90	0.48	290.82	Note 21
Accounts payable	519,777,172.98	13.88	392,317,090.32	13.59	32.49	Note 22
Advance payments	48,575,404.84	1.30	12,353,910.09	0.43	293.20	Note 23
Employee compensation payable	74,596,129.87	1.99	49,077,759.03	1.70	52.00	Note 24
Taxes payable	32,030,226.71	0.86	5,927,285.38	0.21	440.39	Note 25
Non-current liabilities due within one year	28,811,200.00	0.77			100.00	Note 26
Long-term loans	223,974,631.39	5.98			100.00	Note 27
Long-term payables	2,168,042.80	0.06			100.00	Note 28
Long-term payable employee compensation	27,593,926.80	0.74			100.00	Note 29

Other notes

Note 1: Mainly due to increased cash flow resulting from sales growth;

Note 2: Mainly due to changes in financial instruments standards;

Note 3: Mainly due to increased receipts of notes receivable;

Note 4: Mainly due to increased sales revenue;

Note 5: Mainly due to increased advance payments from overseas subsidiaries;

Note 6: Mainly due to the recovery of insurance compensation;

Note 7: Mainly due to increased inventory at newly added subsidiaries during the period;

Note 8: Mainly due to changes in financial instruments standards;

Note 9: Mainly due to changes in financial instruments standards;

Note 10: Mainly due to acquisitions of subsidiaries and other business units during the period;

Note 11: Mainly due to changes in financial instrument standards;

Note 12: Mainly due to changes in financial instrument standards;

Note 13: Mainly due to the consolidation of fixed assets from new subsidiaries and the completion and consolidation of new factory buildings;

Note 14: Mainly due to the completion and conversion of new factory

buildings; Note 15: Mainly due to the addition of land ownership rights for the subsidiary;

Note 16: Mainly goodwill generated from the acquisition of subsidiaries;

Note 17: Mainly caused by factory maintenance;

Note 18: Mainly due to increased provision for bad debts on receivables;

Note 19: Mainly due to payment of investment funds for which the investment certificate has not yet been obtained;

Note 20: Mainly due to the subsidiary's receivables from discounting the parent company's bank drafts;

Note 21: Mainly due to reduced bank deposit payments on accounts payable;

Note 22: Mainly due to increased sales revenue;

Note 23: Mainly due to increased advance payments from overseas subsidiaries;

Note 24: Mainly due to increased employee compensation payable from newly established and acquired subsidiaries;

Note 25: Mainly due to the increase in VAT payable and income payable theory;

Note 26: Mainly due to long-term loans of overseas subsidiaries maturing within one year;

Note 27: Mainly due to acquisitions of overseas companies increasing Swiss bank borrowing;

Note 28: Mainly due to increased long-term financial lease payments;

Note 29: Mainly due to post-retirement benefits - net liabilities set by benefit plans.

2. Major asset restrictions as of the end of the reporting period

☒ applicable, ☐ not applicable

Project	Carrying amount at the end of the period	Reasons for limitation
Monetary funds	15,821,590.65	Bank acceptance deposit, State Grid electricity bill deposit
Total	15,821,590.65	

3. Other Notes

☐ applicable, ☒ not applicable

(4) Analysis of industry operational information

☒ Applicable ☐ Not

applicable For details, please refer to the "Section 3 Company Business Overview" section "1. Main Business, Business Model, and Industry Situation Explanation During the Reporting Period" section "(3) Industry Explanation," and the "1. Discussion and Analysis of Business Situation" section of this report for industry analysis.

Analysis of operational information in the furniture manufacturing industry

1 Physical store situation during the reporting period

☐ applicable, ☒ not applicable

2 Profitability of each product type during the reporting period

☒ Applicable ☐ Not applicable Unit: ten thousand yuan

Currency: Renminbi

Product types	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin changed (%) compared to the previous year
Office chair	146,254.43	111,038.05	24.08	0.10	0.04	4.16
Sofa	71,679.78	53,639.26	25.17	-0.02	-0.09	5.80
Massage chair	3,325.50	1,897.05	42.95	-0.30	-0.38	7.51
Office environment solutions	32,188.72	21,960.64	31.78			
Others	35,074.54	28,391.64	19.05	0.77	0.59	8.95
Total	288,522.97	216,926.64	24.81	0.25	0.17	5.60

3 Production and sales of each product type during the reporting period

☒ applicable, ☐ not applicable

Product types	Self-produced products (ten thousand units)	Outsourced Production (10,000 units)	Purchased Finished Products (10,000 pieces)	Other sources (ten thousand items)	Sales Quantity (10,000 units)	Sales year-on-year increase or decrease (%)
Office chair	704.19				694.29	-1.78
Sofa	73.46				73.99	-6.46
Massage chair	1.30				0.41	-72.30

4 Profitability of each brand during the reporting period

☒ Applicable ☐ Not applicable Unit: ten thousand yuan

Currency: Renminbi

Brand	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin changed (%) compared to the previous year
Henglin	1,366.48	1,035.12	24.25	-5.25	-1.65	-2.77
Tai Mi	266.66	149.86	43.80	-51.74	-53.48	2.10
Nouhaus	983.83	637.44	35.21			
Lista Office	32,188.72	21,960.64	31.78			

5 Profitability of each sales channel during the reporting period

☒ Applicable ☐ Not applicable

Unit: ten thousand yuan

Currency: Renminbi

Sales channels	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin changed (%) compared to the previous year
Total for stores						
Directly operated stores						
Dealerships						
Online sales	1,044.06	656.92	37.00	448.12	471.53	-2.66
Bulk business	287,478.91	216,269.72	25.00	24.91	16.29	25.00
Others						
Total	288,522.97	216,926.64	25.00	25.26	16.57	5.79

6 Profitability of Different Regions During the Reporting Period

√ Applicable □ Not applicable Unit: ten thousand yuan

Currency: Renminbi

Region	Proportion of operating revenue (%)	Operating income	Gross margin (%)	Operating revenue increased or decreased year-on-year (%)	Gross profit margin increased or decreased compared to last year (%)
Domestic sales	16.13	46,524.63	19.58	31.92	3.98
Within the territory, all are considered	16.13	46,524.63	19.58	31.92	3.98
Oceania	0.62	1,782.74	30.72	17.94	7.08
Southeast Asia	0.90	2,595.21	36.45	-23.58	11.23
Africa	0.64	1,852.99	19.48	56.61	-6.83
America	24.44	70,512.5	21.07	2.47	2.13
Europe	40.57	117,042.77	24.35	42.56	5.74
Asia	16.71	48,212.13	35.63	26.64	12.22
Overseas total	83.87	241,998.34	25.78	24.05	5.92
Total	100	288,522.97	25	25.26	5.79

(5) Investment Status Analysis 1. Overall

analysis of external equity investments

√ applicable, □ not applicable

1. April 30, 2019 In order to better expand into the European market, accelerate the international layout of production, R&D, and markets, enhance the company's overall market competitiveness and brand influence, further expand its market share and industry position, and strengthen its operating performance; Enhance the company's R&D and design capabilities, attract world-class talent to join the company, build competitive advantages in office environment solutions, and improve the company's sustainable profitability and core competitiveness; The company held the eighth meeting of the fifth board of directors and reviewed and approved the "Proposal on Binding Bidding for the Acquisition of Overseas Company Equity." The company's wholly-owned subsidiary Meijia Investment established a wholly-owned subsidiary Heng Ruy AG in Switzerland, which was established on May 31, 2019 Heng Ruy AG signed a Purchase and Purchase Agreement with Alfred Lienhard and

Franziska Lienhard Nava , with Heng Ruy AG paying a total of 63.88 million Swiss francs in cash (approximately RMB). 438 million yuan) to purchase

Alfred Lienhard and Franziska

Lienhard Nava holds 100% equity in Swiss FFL Holding AG . On August 22, 2019, FFL Holding AG (which owns Lista Office LO and LO). FFL Holding AG (which owns Lista Office LO and LO brands) became wholly-owned subsidiaries of Meijia Investment. Swiss Lista Office is Switzerland's leading provider of professional office environment solutions and office furniture manufacturers, with the Lista Office LO and LO office furniture brands , capable of providing clients with office furniture design, R&D, It manufactures and integrates integrated office environment solutions, while also offering a combination of acoustic and aesthetic design solutions. With a 25% market share, it ranks first in the industry, becoming Switzerland's leading brand in comprehensive office environment services.

2. November 26 , 2018 In an orderly manner, the company will implement its global manufacturing division of labor layout, avoid risks of international trade frictions, fully expand into Southeast Asia and other overseas markets, better meet international market demands, enhance the company's profitability and competitive strength, support the company's sustained and healthy development, consolidate and enhance its industry market position, and lay a solid foundation for future development; The company held the fifth meeting of the fifth Board of Directors and reviewed and approved the "Henglin Co., Ltd. Proposal on Wholly-Owned Subsidiary's Investment in Vietnam," investing USD 48 million to build an office and residential furniture production base in Vietnam. On December 27 , 2018, the company acquired a total of 20.8 million USD (approximately 143 million RMB), Acquired 100% equity of Taiwan Tatung Co., Ltd. (Tatung Co., Ltd.) Vietnam Responsibility Co., Ltd. (Tatung Vietnam), the Vietnamese subsidiary. The main purpose of the acquisition was to utilize existing land, factories, and other assets to build a Vietnam office and residential furniture manufacturing base, enabling rapid production and operation and avoiding trade frictions. In 2020, the company planned to invest an additional \$12 million in its production base in Vietnam, bringing total investment in Vietnam to \$60 million.

3. The company's wholly-owned subsidiary Meijia Investment established Vietnam Hang Phong Furniture Company (VIETNAM HANG PHONG FURNITURE COMPANY) in Vietnam on May 22 , 2019), with a registered capital of 2 million USD.

4. The company's wholly-owned subsidiary Meijia Investment established Heng Ruy AG in the United States on June 3, 2019, with a registered capital of 100,000 Swiss francs.

5. The company's wholly-owned subsidiary Meijia Investment established Nouhuas Co., Ltd. (Nouhuas Co., Ltd) in South Korea on July 25, 2019, with registered capital 2 million US dollars.

6. The company's wholly-owned subsidiary Meijia Investment established its wholly-owned subsidiary , PT Henglin Furniture Development Co., Ltd., in Indonesia on August 9, 2019), with a registered capital of 6 million USD.

7 . Purchase of 29.8128% equity in Yongyu Bamboo Industry listed on the New Third Board and related party transactions by cash . For details, see "Section 5 Major Matters" under "14 Major Related Party Transactions" under "(2) Related Party Transactions Involving Asset or Equity Acquisition or Sale" under " 2 Matters Disclosed in the Interim Announcement but with Subsequent Progress or Changes." As of November 20, 2019, the company held 28,401,782 million shares of Yongyu Bamboo Industry, accounting for 30.91 %. Investing in outstanding flooring brand companies aligns with the company's strategy of asset or capital integration around the "office environment solutions" and "custom home furnishing" industries, and also aligns with the company's long-term development strategy. At the same time, as a benchmark enterprise in China's SPV and SPC flooring industries, Yongyu Bamboo Industry also provides a good complement to the company's "office environment solutions" and "custom furnishing" businesses. The company will leverage the synergy effect with Yongyu Bamboo Industry to complement each other's advantages and integrate resources in market and channels, products and technology, production and operations management experience, and capital. This strong synergy will further expand the company's market share, effectively improve operating performance, and bring better returns to shareholders.

8 . The company's wholly-owned subsidiary Meijia Investment established Vietnam Yongyu , a joint investment company in Vietnam on August 9, 2019, with a registered capital of USD 11.26 million, holding 49.27% of the shares . This joint investment with Yongyu Bamboo Industry in Vietnam aligns with the company 's strategy of asset or capital integration around the " office environment solutions " and " custom home furnishings " industries, as well as the company's long-term development strategy, effectively enhancing operating performance , bringing better returns to shareholders.

(1) Significant equity investment

☒ applicable, ☐ not applicable

For details, see the above "Overall Analysis of External Equity Investments" for the purchase of 100% equity in Swiss FFL Holding AG , the cash purchase of 29.8128% equity in Yongyu Bamboo Industry listed on the New Third Board and related party transactions, the investment in 49.00% equity in Vietnam Yongyu , and the acquisition of Anhui Cigna 51.00% equity matters.

(2) Significant non-equity investments

☐ applicable, ☒ not applicable

(3) Financial assets measured at fair value

☐ applicable, ☒ not applicable

(6) Major asset and equity sales

☐ applicable, ☒ not applicable

(7) Analysis of major holding and associate companies

☒ applicable, ☐ not applicable

Name of the holding or associate company	Business nature	Registered capital	Company shareholding ratio	Total Assets (10,000 yuan)	Net Assets (10,000 yuan)	Net Profit (10,000 yuan)
Huzhou Hengxin	Processing and sales of steel and plastic products	20 million yuan	75.00%	20,703.26	16,267.11	2,680.76
Hengyou Technology	Research, development, production, and sales of furniture	8 million yuan	100.00%	17,417.91	8,726.93	2,861.29
Hengyi furniture	Research, development, production, and sales of furniture	58 million yuan	100.00%	12,355.56	7,755.42	1,623.28
Mead International	Investment	1 million Hong Kong dollars	100.00%	12,398.48	6,235.44	740.03
Guangde Henglin	Research, development, production, and sales of home furnishings, furniture, and accessories	223 million yuan	100.00%	26,468.56	19,311.53	-995.23
Ruide Sponge	Production and sales of sponge and furniture	HKD 40.2 million	80.00%	9,682.91	5,012.68	783.36
FFL Holding AG	Research, development, manufacturing, and sales of office furniture, as well as other environment solutions	1 million Swiss francs	100.00%	38,227.83	24,546.83	2,887.29

(8) The structure controlled by the company

☐ applicable, ☒ not applicable

3. Company Discussion and Analysis on Future Development (1) Industry Landscape and Trends

☒ applicable, ☐ not applicable

1. Major industry policy support

At the national level, the following policies are mainly favorable to the development of the furniture industry:

行业政策	发布单位	发布时间	主要内容
《轻工业调整和振兴规划》	国务院办公厅	2009年5月	加快家具、五金、塑料等行业重点专业市场建设，进一步发挥专业流通市场的作用，促进国内消费。加快实施技术改造，提升行业总体技术水平。支持优势品牌企业跨地区兼并重组、技术改造和创新能力建设，推动产业整合，提高产业集中度。
《中国家具协会关于家具设计保护试行办法》	中国家具协会	2000年10月	由国家知识产权局授予的家具设计专利权、依照中国同外国签订的协议或共同参加的知识产权国际条约获准的家具设计权应该受到保护。
《中国家具行业“十三五”发展规划》	中国家具协会	2016年3月	对家具行业面临的形势、发展的主要目标、发展的战略措施进行了具体的规划。
《轻工业发展规划（2016-2020年）》	工业和信息化部	2016年7月19日	《规划》提出，“十三五”要以市场为导向，以提高发展质量和效益为中心，以深度调整、创新提升为主线，以企业为主体，以增强创新、质量管理和品牌建设能力为重点，大力实施增品种、提品质、创品牌的“三品”战略，改善营商环境，从供给侧和需求侧两端发力，推进智能和绿色制造，优化产业结构，构建智能化、绿色化、服务化和国际化的新型轻工业制造体系，为建设制造强国和服务全面建成小康社会的目标奠定基础。《规划》从大力实施“三品”战略、增强自主创新能力、积极推动智能化发展、着力调整产业结构、全面推行绿色制造、统筹国内外市场等六个方面提出了具体任务部署。
《轻工业高质量发展行动计划（2018-2020年）》	工业和信息化部	2018年6月28日	为破解发展中的新矛盾、新问题，全力推动轻工业高质量发展，特制定本行动计划（2018-2020年）。

The "13th Five-Year Development Plan for China's Furniture Industry" sets out the main goals for the furniture industry during the 13th Five-Year Plan period: the furniture industry must proactively adapt to the new economic normal, accelerate the transformation of its development model, and maintain stable industry growth. After entering a medium-to-high-speed development phase, seeking progress while maintaining stability will be the general tone for the furniture industry, maintaining an average annual growth rate of about 9%-10% in main business revenue. The furniture industry should further strengthen trade exchanges, adapt to the new international situation, fully build industry synergy, actively respond to trade frictions, and improve product added value and foreign trade levels. It is necessary to continue consolidating and enhancing the dominant position of Chinese furniture in the international market, maintaining an average annual growth rate of 3%-5% in furniture export value. The furniture industry needs to explore niche fields and deepen its presence in the domestic market. We must fully digest and understand national policy planning, continuously adjust the industry's development direction, and adapt to the diverse consumption needs of the people. Continue to expand consumer demand, unleash consumption potential, and maintain an average annual growth rate of 8%-10% in retail sales of furniture products. Further promote structural adjustment and transformation and upgrading of the furniture industry, pushing the industry toward mid-to-high-end levels. Further enhance enterprise competitiveness, enhance profitability, improve overall industry profitability, strengthen the cultivation of large backbone enterprises, maintain an average annual profit margin of about 6% for the main business in the furniture industry, and maintain an average annual growth rate of over 15% in total profit. We must enhance the awareness of independent R&D among furniture enterprises, improve their innovation capabilities, increase overall industry R&D investment, improve the overall technical level of the industry, and maintain an average annual R&D expenditure of over 4 billion yuan in furniture manufacturing. Fully leverage the circulation role of specialized furniture markets, optimize circulation environments, promote coordinated development between furniture markets and the industry as a whole, and keep the annual growth rate of furniture market areas within 15%.

2. Industry Landscape

1) Landscape of China's Office Furniture Industry

With the steady growth of market demand, the number of office furniture manufacturers in China has entered a period of steady annual growth of about 6%. In 2017, there were more than 1,200 office furniture manufacturers nationwide, a year-on-year increase of 7.9%, with East China accounting for 554 companies, accounting for 46.19%, making it the main concentration area for office furniture manufacturers in China. Additionally, South China and Central China account for 24.2% and 10.4% respectively. The output value of office furniture from the Pearl River Delta and Yangtze River Delta accounts for two-thirds of China's total output, but in terms of the number of enterprises, the Pearl River Delta is nearly twice that of the Yangtze River Delta, mainly because they are at different stages of development. The office furniture industry cluster in the Pearl River Delta formed earlier, and has now completed initial industrial integration, with increased concentration. The Yangtze River Delta region is still in its early stages of industrial development, with fragmented industries and numerous small and medium-sized enterprises. Against the backdrop of ongoing China-US trade frictions, as the industry matures and production costs gradually rise, our office furniture industry is entering an accelerated period of consolidation, and the number of office furniture manufacturers is expected to decline.

Nationwide, China's office furniture industry has basically formed a pyramid-shaped distribution pattern. In the early 21st century, well-known foreign brands recognized the huge market potential of office furniture in China and set up factories in China. These well-known foreign brands leveraged their strong product R&D capabilities and brand recognition to occupy the high-end office furniture market in China. Later, some local office furniture companies in China gradually developed and expanded by leveraging foreign production techniques, design and R&D, establishing certain brand influence and recognition domestically. However, due to a lack of unique product styles, a stable consumer base has yet to be established. These two types of manufacturers are at the top of the pyramid, positioned in the domestic mid-to-high-end market, and possess certain profitability. OEM/ODM companies in the mid-tier of the pyramid, mainly export-oriented, have developed strong production capabilities after years of cooperation with foreign brand owners, but their R&D and design capabilities are weak, and they have not yet established their own brands and channels, placing them in a passive position in the industry chain. Generally, meeting the

assessment standards of foreign buyers can establish relatively stable partnerships, but their profit margins are squeezed year by year, resulting in low product gross margins. There are many regional manufacturers at the bottom of the pyramid, generally facing issues such as low production mechanization, poor product quality, and weak R&D and design capabilities. Positioned in the regional mid- to low-end market, they compete for market share through price wars. As production costs rise, future survival space will be greatly squeezed.

2) The structure of the U.S. office furniture industry

The U.S. office furniture market is mainly dominated by several large companies from the U.S. and Canada (with revenues exceeding \$ 500 million), which are also global leaders in the office furniture industry. In 2018, the top five companies together held a market share of about 55 %. Over 70% of the market share is held by the top ten companies. Steelcase Inc., Herman Miller Inc., Haworth, Inc., HNI Corporation, and Knoll, Inc. It is ranked among the top five global brands, followed closely by KI, Kimball, and Canada's two largest companies, Global and Teknion. Currently, the U.S. office furniture market is in a mature and stable phase, with increasing industry concentration, and small and micro enterprises are gradually withdrawing from market competition. The Matthew effect of U.S. office furniture production is evident, with nearly half of the market share divided by five giants including Steelcase and Herman Miller, with Steelcase alone holding 18.6% and became the most influential office furniture manufacturer in the United States. Steelcase and Herman Miller are leading companies in the U.S. office furniture industry, with a history spanning over a century. Both companies have now passed rapid growth periods and maintain stable growth.

3) Office chair industry landscape

China has leveraged its cost advantages in labor, land, and resources to capture the market share of mid- and low-end products in industrialized countries. So far, the global chair industry has basically formed a stable tripartite balance of Asia, Europe, and North America. At the same time, Western seating and its styles were widely introduced to developing countries, including some Western designers seeking development there, ushering in a period of close integration between Eastern and Western furniture.

Taking office chairs as an example, "adjustable height-adjustable rotating chairs" are the main export category of office chairs in China, with export value in 2017 of approximately In 2018, this category accounted for 66.33% of total imports in the United States, 43.90% of Germany's total imports, and 64.40% of Japan's total imports. In 2019, the export value was approximately 2.788 billion USD. Although China's office chair export value accounts for a high proportion among importing countries, it is only one-tenth of the global office chair market size. This shows that China's office chair exports are still limited to the retail market and have not truly entered the larger contract market. In the global chair industry, developed countries still play an important role, especially traditional powerhouses like Italy and Germany. They either leverage their design advantages, processing equipment, and technological advantages to firmly occupy the high-end international chair market, gradually shifting production of mid- to low-end products to developing countries. During industrial upgrading and optimization, developed countries have gradually strengthened their pricing power over the manufacturing stage, forming a clear competitive advantage and continuously squeezing the survival space of the intermediate segment. For China's chair industry, it is urgent to replicate the development paths of developed countries such as Europe and America, and to enhance its position in the global chair industry through qualitative improvement rather than quantitative growth.

Currently, China's chair industry is still relatively fragmented, and no companies have emerged that cover the upstream and downstream of the industry chain and have strong influence nationwide, providing market participants with a direction and space for development. According to statistics from the Zhejiang Chair Industry Association, in 2019, there were more than 700 Anji chair enterprises, achieving sales revenue of 40.5 billion yuan; There are 190 above-scale chair enterprises in Anji County, with enterprises exceeding 100 million yuan

59 enterprises above designated size achieved sales revenue of 23.05 billion yuan , a year-on-year increase of 2.2%, accounting for 38.7 % of the total sales revenue of enterprises above designated size in Anji County. Its tax contribution ranked first among major industries in Anji County; Anji County's cumulative furniture exports reached 19.036 billion yuan, a year-on-year increase of 7.2 %, accounting for 70.9% of the county's total exports . In Anji County, Zhejiang Province, where the company headquarters is located, companies in the same industry include Yongyi Furniture Co., Ltd. (stock code: 603600.SH), Zhongyuan Home Co., Ltd. (stock code: 603709.SH), among others. According to statistics from the National Customs Information Center of the General Administration of Customs and the China Chamber of Commerce for Import and Export of Light Industry and Handicrafts, from 2008 to 2019, the company's office chair annual export value consistently ranked first in the industry; From 2017 to 2019, the proportion of the company's office chair export value in Huzhou's office chair export value was 12.13%, 12.37%, and 14.88%, respectively, from 2017 to 2019 The annual proportion of the company's office chair export value to the national office chair export value was 6.35%, 6.50%, and 7.05 %; Its market position is very solid.

3. Development Trends

Under the new circumstances, China's furniture industry has ended its phase of rapid development and entered a phase of medium-to-high-speed growth. A large base, large increments, and slowing growth will become the industry norm. The survival of the fittest among companies will further intensify the industry's " Matthew Effect ." will become more prominent, with the overall level and concentration of the industry improving. Quality over quantity and creation over manufacturing are gradually becoming a consensus in industry development. The furniture industry still maintains a dominant position in international trade, with China leading the world in furniture production and exports, but its competitive advantage built on low costs may gradually weaken as national conditions change. At present, furniture export trade faces new situations and pressures. Consolidating traditional advantages and accelerating the cultivation of new competitive advantages will be the main tasks for China's furniture trade going forward. Relevant laws, regulations, and industry standards in the domestic furniture industry are becoming increasingly sophisticated, placing higher demands on the production, sales, and service of furniture companies. Furniture companies need to continuously enhance technology, improve management, enhance independent innovation capabilities, and continuously cultivate core competitiveness. Currently, China's environmental carrying capacity has reached or is close to its limit. The furniture industry must further promote green and environmentally friendly development methods, reduce energy consumption, and improve manufacturing efficiency. The furniture industry should gradually establish an efficient, clean, low-carbon, and circular green manufacturing system to meet the new demands of sustainable economic and environmental development.

The office environment is like the home decoration of a company. Compared with traditional furniture, office furniture is multifunctional, user-friendly, personalized, and diversified. Driven by artificial intelligence, office furniture will develop toward intelligence in the future. As the post-80s and post-90s generations gradually become the main force in the workplace, this group prefers to pursue unique, minimalist, and technologically advanced products. Therefore, customized and intelligent office furniture better meets the needs of modern young people. The intelligent transformation of office furniture products better meets the new market demands of corporate clients, bringing new selling points and growth points. At the same time, giants like Apple and Xiaomi have begun to enter the smart furniture market, driving the growth of the smart office furniture market. Combining modern technology with furniture products makes furniture products smarter, and using fashionable artistic elements to create more fashionable furniture products is an inevitable trend in the future of office furniture.

Most Anji furniture manufacturers are midstream in the supply chain and have weaker influence, so they are forced to bear more new tariffs, which forces them to face the choice of lowering sales prices, shifting capacity, or losing customer orders. At present, amid fierce industry competition, the room for further price declines is very limited, and the ongoing rise in land rent and labor costs has made many manufacturers, especially large and medium-sized non-listed producers, hesitant to relocate production capacity. After more than 30 years of rapid development, Anji Chair Industry has faced increasingly constrained industry development due to high external dependence, low product added value, and lack of brand advantages. With insufficient internal transformation momentum, the industry is clearing low-end capacity and increasing concentration

to achieve transformation. According to the industry smile curve theory, the medium- to long-term development trend is to extend to both ends of the high value-added curve by providing product design and R&D capabilities and building brand awareness and marketing channel networks.

(2) Company Development Strategy

☒ applicable, ☐ not applicable

Company Development Vision: To become a world-leading home furnishing manufacturer and service provider.

In this new development period, the company will actively seize national strategic opportunities and follow the trends of the furniture industry, focusing on the main business line of "seating (chairs, sofas, massage chairs) + office environment solutions (office furniture) + custom home furnishings," driven by innovation, intensive development, internationalization, and integrated integration of industry and integration, establishing an international perspective and pattern to ensure domestic office chair exports and Swiss Lista Office Leveraging its market-leading position in office environments, we strive to expand the domestic market share of Swiss Lista Office in office environment solutions, continue to implement a key client marketing strategy, and be user- and customer demand-oriented. By increasing R&D innovation, innovating product categories, and expanding marketing channels, we enhance the competitiveness and influence of our products in domestic and international markets, making full use of existing online channels Resources for B to C marketing and offline B to B marketing, further expanding the company's own brand online sales, focusing on cross-border e-commerce and exploring emerging marketing such as influencer livestream sales, thereby improving domestic and international market performance; Optimize supply chain management, promote centralized procurement, and reduce procurement costs; While deeply cultivating existing OEM and ODM businesses, the company integrates global resources and develops OBM business solutions based on the philosophy that "creating a good office environment is not a cost, but an investment", implementing "office environment solutions" and "home furnishing" strategies to drive company development, expanding business scale and improving efficiency through organic growth and external mergers and acquisitions. Driving the company's sustainable development.

1. Strategic planning

In the next five years, the company aims to become a world-leading provider of seating and office environment solutions and a furniture manufacturer with complete sales channels, outstanding R&D and design capabilities, strong comprehensive production capacity, well-known brands, scientific management, and clear core competitiveness. The company will mainly strive in the following areas: First, market-oriented, it will enhance the competitiveness and influence of its products in domestic and international markets by increasing R&D innovation, innovating product categories, and expanding marketing channels. Fully leveraging existing online B2C marketing and offline B2B marketing resources, further expanding its own brands " Henglin ", " NOUHAUS, " "Lista Office LO," and "LO" and other online sales, focusing on building cross-border e-commerce and exploring emerging marketing such as influencer livestream sales, with continued consolidation and expansion of the European and American markets as the main battleground, striving to develop the Southeast Asian market, actively expanding the domestic market, establishing strategic cooperation mechanisms with long-term customers, improving sales channels, stabilizing and expanding market share, and in the next five years, the plan is to achieve sales revenue of its own brand OBM exceeding that of OEM and ODM Sales revenue. Second, using technological progress as a means and employing " Provincial Enterprise Research Institutes with Intelligent Functions, Provincial High-Tech Enterprise R&D Centers, Zhejiang Enterprise Technology Centers, Zhejiang Industrial Design Centers, Postdoctoral Workstations in Zhejiang Province, and Academician and Expert Workstations ." As a platform, we continuously strengthen design, R&D, innovation, and technical accumulation, improve manufacturing processes, enhance design, R&D, and production capabilities, and continuously improve the technological level and innovation capabilities of the company's seating furniture, office furniture, custom home furnishings, and other products, covering a series of comprehensive production capabilities; Third, based on scientific management, continuously improve company management systems, enhance management levels, strengthen product quality control, production cost control, and human resource management, increase employees' enthusiasm and efficiency, and enhance the scientific and artistic nature of company management; Fourth, continue to promote lean manufacturing, continuously strengthen the comprehensive capability to provide high-quality products, build **independent brands such as " Henglin ", " NOUHAUS, " "Lista Office LO," and "LO," enhance customer satisfaction, and establish a good reputation and brand value within the industry;** Fifth, **integrate resources from all sides and vigorously promote the creative integration of " Internet +" and " big data "** thinking into business model and management model

innovation across all stages of product R&D, production, and sales of seating, office furniture, and custom home furnishings. Enhance employee and customer satisfaction, and improve shareholder return on investment.

This enables the company to shift from a single product output model in the future to a comprehensive business model focused on brand, product, and technology output, becoming a world-leading provider of seating, office environment solutions, and furniture manufacturing that integrates design, R&D, production, sales, and service.

(3) Business Plan

√ applicable, □ not applicable

2020 marked the beginning of the company's high-quality development. Under the leadership of Chairman Wang Jianglin, the company thoroughly summarized the work of 2019 and comprehensively planned for 2020. The annual work tasks set out the requirements and goals of "accelerating and high-quality development," focusing on the company's product design and R&D, management, branding, human resources, marketing, finance, procurement, and manufacturing tasks. It established the principles of maintaining strategic focus, deepening reform and innovation, setting the right direction, strictly implementing the plan, and comprehensively promoting the company's high-quality development. Strategic guidance and goal orientation remain unchanged, confidence in high-quality development remains unchanged, and the pursuit of excellent quality. The endogenous driving force of consistently excellent enterprises remains unchanged. All departments and subsidiaries of the company earnestly implement the overall requirements for high-quality development, focusing on seven major high-quality development areas: product design and R&D, management, branding, human resources, marketing, finance, procurement, and manufacturing. They systematically plan and advance high-quality development work for 2020 and the next five years, comprehensively promote the company's high-quality development, and strive to build the company into a world-class international home furnishing enterprise.

1. Product design and R&D

Focusing on healthy seating, office furniture, and custom home products, we strengthen product research and development and new product development, continuously designing products with distinctive R&D features, strong market demand, high technological content, and excellent quality and performance. Since the company currently mainly relies on OEM and ODM manufacturing, the development of independent intellectual property lags far behind improvements in productivity and product quality, which has become one of the bottlenecks in the company's growth. Based on the sample design, technological innovation and original design should be the breakthrough points. In the future, the R&D department will further increase original design, vigorously promote product innovation, and strive to endow seating, office furniture, and custom home furnishings with new meaning through a series of new processes and designs, from function to appearance, forming a unique style to win the favor of customers, users, and consumers, thereby promoting the company's shift from OEM and ODM models to OBM and other transformations that create high added value.

The company will strengthen the construction of existing R&D centers, enhance cooperation with research institutions and universities, vigorously promote industry-university-research collaboration, and enhance joint research on common technologies, key technologies, and supporting technologies. Not only will we continue to strengthen cooperation with technical universities for research, but we will also increase collaboration with art design and business institutions to explore new design and business models, and enhance brand planning and development. Strengthen cooperation with relevant hospitals, medical research institutions, and medical schools to study the impact of health seating, office furniture, and custom home furnishings on the health of different populations, study the medical needs of different groups for health seating, and actively develop health seating with medical and medical care features. We insist on independent technological innovation, continuously improve product technology and craftsmanship, and achieve branded manufacturing of seating furniture, office furniture, and custom home products. Continue to leverage the company's strengths in product development and design, create differentiated competitive advantages, and design more distinctive and vibrant new products to launch on the market.

Increase investment in new product development and funding. The bonus for R&D personnel is linked to the number of R&D achievements and the economic benefits brought by them, and other factors are comprehensively considered. Change the model of R&D investment based on total amount and quantity, focusing on existing problems and R&D projects, and allocate R&D funds based on comprehensive evaluation of future benefits and risks, with R&D funding exceeding 3%-4%. Artificial restrictions. R&D and design personnel are mainly loosely organized and irregular small teams, organized by groups. Whoever proposes new projects, ideas, or problems will be led as the team leader, serving as the project leader and beneficiary, breaking down barriers such as job seniority; The project leader applies for evaluation based on ideas, feasibility, expected fund usage, personnel allocation, and potential benefits. After passing the evaluation, a team is formed and R&D funding is applied. After project completion, evaluations are conducted, and relevant team members are rewarded based on their contributions and the economic benefits brought by the project, after which the team is disbanded. The project evaluation committee is composed of the Expert Committee and includes the deputy general manager, general management office, R&D department supervisor, finance department supervisor, relevant technical backbones, workshop supervisors, sales department staff, and other relevant personnel. About 50% of staff are technical and production staff, with on-site questions and voting conducted on site.

Actively introduce and absorb advanced domestic and international processes and equipment technologies, actively adopt new processes, new technologies, new materials, and new concepts, continuously improve enterprises' independent technological innovation capabilities, increase product technological content, and enhance product functionality. The focus of new product development is on upgrading and upgrading existing products, enhancing the technological content of existing products. Building on the establishment of the Smart Health Sitting Equipment Research Institute, it collaborates with experts in magnetic therapy, far-infrared, and massage fields to jointly explore and develop more green and environmentally friendly seats, office furniture, custom home furnishings, and some extended home products.

2. Management

Improve the functions of the human resources department, improve efficiency through management, and tap potential through management. Fully leverage the positive role of human resources in recruitment, in tapping and enhancing the potential of existing human resources, and in formulating systematic training. On the basis of strengthening basic management, the company will achieve a shift from standardized, normalized, and institutionalized management to informatization, artistry, and scientific management. The reward system shifted from purely post-event incentives to a comprehensive incentive system before, during, and after the event, turning employees' external motivation into internal motivation. Through management, the chairman is freed from daily trivialities and can focus on the company's future strategic development and overall operational planning; This frees the deputy general manager responsible for R&D from administrative tasks and other trivial tasks, allowing them to focus on technology research and development; Enable professionals from other departments to fully utilize their talents in their respective spaces. We strive to create a vibrant corporate culture, enhance cohesion, enhance corporate cohesion, provide talent with better platforms and spaces to showcase their abilities, and provide a fair competitive environment.

Information management, as a crucial part of business management, is always integrated into daily management work. Sales information will provide an important basis for product adjustments, updates, and design and development; Customer suggestions and opinions will provide targeted references for controlling and improving service and product quality; Supply and demand information in the procurement market will provide a basis for purchase volume, procurement points, purchase prices, and seasonal or seasonal purchases; Inventory information provides a basis for inventory quantity and product quality, as well as inventory management and procurement planning. Based on the established ERP information management, the company will build product data management systems (PDM), bill of materials (BOM), manufacturing execution systems (MES), supply chain management systems (SCM), and customer relationship management systems. Digital systems such as CRM, warehousing and logistics system WMS, and intelligent chair assembly and packaging production lines integrate the company's effective information collection, analysis, and utilization mechanisms to achieve overall control over product quality, service quality, customer satisfaction, and inventory management, enabling accurate and timely adjustment of marketing strategies accordingly.

3. Brand Aspect

Currently, the company mainly focuses on OEM and ODM manufacturing, with lagging behind in independent brand building, making brand building tasks challenging and urgent. Based on the current market environment, while stabilizing its export business, the company has begun to proactively use free brands to open domestic sales channels, and is transforming its production and sales models according to market characteristics such as domestic sales of seating, office furniture, and custom home furnishings. The company has gradually moved away from heavy reliance on exports and OEM/ODM, shifting toward relying on both domestic and export sales, with independent brands and OBM and other products Coordinated development of OEM and ODM . The company will actively focus on building a sales network through its own brand: focusing on third-party e-commerce platforms such as Amazon, establishing Nouhaus Inc. Inc. and Nouhuas Co., Ltd. (Korea) Co., Ltd. as cross-border e-commerce operation companies, to promote The independent brands "Henglin," " NOUHAUS," "Lista Office LO," and "LO" have gone global; Establishing a domestic sales network under the brands "Henglin," " Lista Office LO," and "LO," conducting e-commerce online sales to capture the domestic market and promote and enhance its own brand.

At the level of brand strategy implementation, we adhere to the core brand value concept of winning customers' trust through high-quality products and honest service. We continuously promote the brand's core values at every point of communication with consumers— such as advertising, promotion, terminals, products, and services— throughout all business activities, advertising, promotion, terminals, products, and services, constantly enhancing brand awareness, reputation, and loyalty.

4. Human resources

Developing talent is key for a company. The company's growth requires various types of professionals, and a lack of talent will seriously restrict the company's growth. The company will build a strong marketing team; Establish a talent pipeline; Modern management team (internal interactive management team) to strengthen management of core frontline personnel; Strengthen the selection of basic talent; Implementing effective incentive policies; Plan employees' career paths to ensure reasonable mobility among senior employees within the company; Continuously improve employee satisfaction, retain talent, and create talent; Establish scientific and feasible employee promotion pathways to enhance personal value; Improve the company's compensation and labor security system, employ and nurture people scientifically, and fulfill social responsibilities; Improve the organizational structure, formulate scientific and clear departmental and job responsibilities, achieve reasonable division of labor, clear responsibilities, and efficient collaboration. According to the company's development plan, in addition to strengthening training and continuing education on operational skills for existing employees and continuously expanding the skilled workforce, as well as cultivating various types of talent within the company, the company also needs to adopt various channels and methods to attract talents suited to the company's development needs, striving to build and reserve human resources, which is an important project and continuously inject new vitality and momentum into the company's development.

By accumulating sufficient human resources, building a strong marketing team, building a strong talent pipeline, cultivating a group of professional management personnel, enabling reasonable job mobility among veteran employees within the company, and continuously improving employee satisfaction, the company aims to achieve high-quality human resources.

5. Marketing aspects

The company integrates marketing innovation and brand strategy with corporate image strategy, enhancing high-level competitive vitality, implementing brand marketing, and comprehensively building the company brand. Continuously promote innovation in marketing functions, fully utilize modern internet technology, build e-commerce platforms (including cross-border e-commerce), accelerate informatization, construct flexible and efficient sales networks, and continuously study market changes and consumer demand shifts. Based on the company's actual situation, we actively introduce various modern transaction methods, organizational forms, and service approaches, and through active planning and marketing methods, consolidate and enhance our industry position, and actively strengthen the construction of weak sales links such as domestic sales.

The company will actively focus on building a sales network through its own brands: focusing on third-party e-commerce platforms such as Amazon, establishing Nouhaus Inc. (USA) and Nouhuas Co., Ltd . (Korea) Co., Ltd. cross-border e-commerce

operation companies, promoting the "Henglin" and The independent brands "NOUHAUS," "Lista Office LO," and "LO" have gone global; Established a domestic sales network under the brands "Henglin," "NOUHAUS," "Lista Office LO," and "LO."

By implementing a product portfolio strategy, we maximize the satisfaction of diverse consumer needs. By gradually introducing and refining new product development strategies, we aim to achieve a strategic system of one generation of sales, one development, one research, and one reserve. By improving specialized management of product lines, we ensure the market success and maximization of benefits for each product. Product pricing combines cost pricing with market pricing, creating a sense of value for consumers and establishing a comprehensive pricing system that adapts to diversified channel development. At the same time, the information system is integrated into customer management, professional marketing and service personnel are allocated to form a customer service team, emphasizing the maintenance, accumulation, development, and utilization of customer resources, enhancing the positioning of customer service within the company, answering customer questions at any time, making customer service one of the company's strong competitive trump cards, and cultivating a highly loyal customer base through a virtuous cycle of customer reputation.

Actively promote media communication, formulating media communication strategies based on the relationship between media audiences and clients. Enhance the value of soft articles. Flexible use of various new marketing methods such as new product tours, various exhibitions, customer liaisons, media seminars, advertorial communication, online marketing, advertising, etc., actively carrying out promotional and sponsorship activities, and enhancing corporate image and brand awareness by taking on certain social responsibilities. Actively participating in well-known domestic and international industry exhibitions to enhance the visual display of the company's products.

6. Financial aspects

Finance personnel carry out financial management and financial analysis from a strategic perspective. Make financial analysis a crucial basis for strategic decisions, strive to achieve maximum output with minimal input, and work to minimize financial risks, never sacrificing long-term interests for short-term economic gains.

7. Procurement and manufacturing aspects

Establish strategic partnerships with suppliers, improve supplier screening, cooperation, and evaluation mechanisms to ensure that raw materials meet enterprise requirements in terms of quality, performance, price, and delivery time. Adhere to focusing on R&D and marketing, refine the high-end manufacturing model, strengthen control over key links, and improve production efficiency. Expanding factory buildings, adding equipment, and increasing production capacity; Continuous and effective process and product improvement; Actively implement cost control to reduce manufacturing costs at every stage.

(4) Potential Risks

√ applicable, □ not applicable

1. Economic, political, and social conditions, government policy risks

The company's revenue comes from export business, and its operating performance, financial condition, and outlook are affected by changes in international economics, politics, policies, and laws. To this end, the company will increase technological innovation while strengthening the after-sales service market, consolidating and ensuring stable development in overseas markets, while further building the "Henglin" brand and the "Tai Mi" brand for massage chairs, expanding the domestic market, and achieving synchronized domestic and international development.

2. Industry development risks

The global office furniture industry is undergoing transformation and upgrading, with competition extending from manufacturing to services. Office furniture consumption is shifting from practicality to quality, and personalization and user-friendliness will become the mainstream development of the furniture industry. Individual enterprises in China's furniture industry are still small in scale and will inevitably undergo consolidation; If the company fails to respond promptly to market and technological changes, fails to adapt to the market, and fails to meet customer needs, it may adversely affect its financial position and operating performance. To this end, the company will expand its business, deeply optimize product structure, and enhance product added value, such as establishing an integrated office environment integrated service ecosystem, creating a new model of office renovation + customization + finished products + soft furnishings + office life; Layout aesthetics with fully integrated whole-house custom home furnishings; and provide more comprehensive and higher-quality products and services to global customers.

3. Market competition risk

As market competition intensifies, the selling price of some products may decrease or demand may decrease. If peers successfully lower product costs or launch new office chairs, sofas, and massage chairs, the company's sales and profit margins may be adversely affected. To this end, the company adopts a differentiated strategy, strengthens strategic collaboration with customers, further meets domestic and international market demands, and continuously enhances the value and competitiveness of the "Henglin" brand.

4. Cost fluctuation risk

The cost structure of office chairs, sofas, massage chairs, and other seating mainly consists of leather, sponge, iron products, plastic products, wood products, electronic and electrical components, labor, electricity, and manufacturing expenses. Due to fluctuations in raw material prices such as steel and chemicals and changes in production capacity, changes in raw material demand driven by the prosperity of the furniture industry, inflationary pressures caused by successive quantitative easing in countries worldwide, and continuous increases in labor costs, the company faces the risk of cost fluctuations. To this end, the company will:

(1) Integrate key material suppliers and establish partnerships; Establish and improve supplier evaluation mechanisms; For suppliers of key materials, establish management mechanisms covering procurement, technology, quality, and other aspects.

(2) Strengthen research on raw material price trends and ensure timely procurement; Broaden supply channels to ensure stable and effective supply channels.

(3) Improve material utilization, enhance automation, optimize personnel allocation, improve efficiency, save energy and reduce consumption, strictly control process costs, optimize packaging solutions, increase loading and container volume, lower packaging and logistics costs, intensify R&D innovation and achievement transformation, improve productivity, improve management levels, and generate comprehensive benefits.

(4) By building factories in Vietnam and producing and selling locally, we strengthen customer loyalty and order confidence, while leveraging advantages in materials, electricity prices, and labor costs to mitigate cost fluctuation risks.

5. Exchange rate fluctuation risk

The reform of China's RMB exchange rate formation mechanism follows the principles of initiative, graduality, and controllability, implementing a managed floating exchange rate system based on market supply and demand, adjusted with reference to a basket of currencies. Although the root cause of international trade imbalances lies in each country's economic structure, fluctuations in the world economy, turmoil in some countries, escalating tensions in local hotspots, and monetary tightening measures by various countries will lead to exchange rate fluctuations. Exports account for more than 80% of the company's business. If there are significant fluctuations in exchange rates, it will impact the company's performance. To this end, (1) the company's finance department will strengthen monitoring of the company's foreign currency transactions and may manage potential exchange rate fluctuations by optimizing

export settlement currencies and using various proactive preventive measures such as currency exchange rate financial instruments; (2) By building factories in Vietnam for local production and sales, the company enhances customer loyalty and order confidence while avoiding exchange rate fluctuation risks and keeping risks within controllable limits.

6. The company may not be able to quickly respond to the risks of rapid technological innovation and rising standards in the furniture manufacturing industry or its client industries. The company focuses on developing proprietary technologies and new office furniture products. The development process for new products may take longer, which can lead to higher expenses. Before new products can generate revenue, significant capital and resources may need to be invested. If competitors launch new products before the company, the company's investment in developing new products may not generate sufficient profit. If a company cannot anticipate or respond promptly to technological changes or fails to successfully develop new products that meet customer needs, its business activities, performance, and financial condition may be adversely affected. To maintain its competitive edge, the company will continue to increase R&D investment, enhance independent innovation capabilities, strengthen R&D project management, establish market-oriented R&D mechanisms, and build strategic partnerships with customers.

7. Environmental and social risks

As the national policies, plans, and standards for environmental governance become more detailed and strict, companies may face risks of discrepancies between certain or single-field indicators and the new policies and standards comprehensively formulated by the state. First, the company adheres to the philosophy of "resource conservation and environmental friendliness," striving to continuously practice this concept through technological innovation, process innovation, equipment innovation, new material application, and investment in environmental protection facilities, enabling the company's industry to reach internationally leading levels in materials, processes, technology, equipment, energy conservation and environmental protection, and functionality; Second, the company has established a Safety and Environmental Protection Department responsible for establishing the company's environmental, health, and safety management system, providing strong support for the company's long-term sustainable development of environmental, social, and safety production; Third, continuously raise awareness of environmental protection among all staff, regularly conducting publicity, implementation, and training on environmental protection, energy conservation, and circular economy; Fourth, strictly enforce internal supervision and assessment, fully implementing all measures and goals of environmental protection work.

8. Risks of major public health events

The World Health Organization has declared COVID-19 a global "pandemic." Currently, the pandemic has had a significant impact on the economic operation of the entire society, and the pandemic is still spreading globally, leaving the situation uncertain. It is expected that this COVID-19 pandemic and its prevention and control measures will have some impact on the production and operations of the company and its domestic and overseas subsidiaries, as well as the collection of accounts receivable. The extent of the impact will depend on the progress and duration of epidemic prevention and control and the implementation of prevention policies worldwide, with considerable uncertainty. The company will closely monitor the development of the novel coronavirus pneumonia epidemic and its impact on the company.

(5) Others

☐ applicable, ☒ not applicable

4. The company fails to disclose situations and reasons in accordance with the standards due to non-compliance with the standards or special reasons such as state secrets or trade secrets

☐ applicable, ☒ not applicable

Section 5 Important matters

I. Plan for Profit Distribution of Common Shares or Capital Reserve Conversion (

1) Formulation, implementation, or adjustment of cash dividend policies

√ Applicable □ Not Applicable According to the 18th meeting of the company's fifth Board of Directors, the company's 2019 profit distribution plan is as follows: Based on the total share capital of A shares on the equity registration date at the time of 2019 profit distribution, cash dividends will be distributed to all shareholders for every 10 shares 2.80 yuan (tax included), totaling 28,000,000.00 yuan, with the remaining undistributed profits carried forward to subsequent years for distribution.

The company's independent directors believe that the company's 2019 profit distribution plan is based on the company's 2019 forecast Annual business plans, external investment progress, capital costs, and other factors, from the perspective of the company's long-term development, conducive to safeguarding shareholders' rights, complying with the cash dividend policy stipulated in the Articles of Association, possessing legality, compliance, and reasonableness, conducive to the company's healthy and stable development, and without any circumstances that harm the interests of company shareholders, especially minority shareholders. The company's independent directors unanimously agree to this profit distribution plan and submit it to the company in 2019. The proposal must be approved by more than two-thirds of the voting rights held by shareholders attending the meeting.

(2) The company's common stock dividend distribution plan or plan for the past three years (including the reporting period), and the plan or plan for converting capital reserve to share capital

Unit: Yuan Currency: Renminbi

Dividends are annual	Number of bonus shares for every 10 shares	Dividend per 10 shares (yuan) (including tax).	For every 10 shares to be converted (shares).	Amount of cash dividends (tax included)	Net profit attributable to ordinary shareholders of the listed company in the consolidated statements for the dividend year	Percentage of net profit attributable to common shareholders of the listed company in the consolidated financial statements (%)
2019	0	2.80	0	28,000,000.00	243,394,956.06	11.50
2018	0	2.80	0	28,000,000.00	170,950,478.82	16.38
2017	0	8.90	0	89,000,000.00	165,730,302.45	53.70

(3) Cash repurchase of shares is included in cash dividends

□ applicable, √ not applicable

(4) If the company is profitable during the reporting period and the parent company's profits available to common shareholders are positive, but no common share cash profit distribution plan has been proposed, the company shall disclose the reasons in detail as well as the use and usage plan of the undistributed profits

□ applicable, √ not applicable

II. Fulfillment of commitments

(1) Commitments made by the company's actual controller, shareholders, related parties, acquirer, and other relevant parties committed to the reporting period or continuing to the reporting period

√ applicable □ not applicable Yes Yes

Background of the commitment	Commitment type	Committing party	Commitment content	Commitment time and deadline	Timely fulfillment of the specified deadline	as if unable to do so	As if not yet (wu).
					Timely fulfillment of the specified deadline	Timely performance should indicate that the performance has not been completed	Next

enforced

					Limit	Fulfillment	The reason	Step plan
Commitments related to initial public offerings	Share lock-up	Controlling shareholder and actual controller Wang Jianglin and director Wang Yaqin	Within thirty-six months from the date the company's stock is listed, I shall not transfer or entrust others to manage the shares I already hold, nor will the company repurchase such shares. If the above share lock-up commitments are violated and the shares held are transferred without authorization, the proceeds from the transfer will belong to the company. I will abide by my commitment regarding the share lock-up period; After the lock-up period for shares held during the employee's tenure expires, the annual transfer of company shares shall not exceed 25% of the total shares held by the individual ; Within six months after resignation, he must not transfer the shares he already holds in the company; Within 12 months after declaring six months after leaving office, the proportion of shares sold through the Shanghai Stock Exchange must not exceed 50% of the company's total shares held by the individual . If the company shares held are reduced within two years after the lock-up period expires, the reduction price must not be lower than the issue price (if the company's shares have ex-rights or ex-dividend events such as dividends, bonus shares, capital reserve conversion to share capital, etc., the issue price will be adjusted ex-rights or ex-dividend); If the company's stock continues within 6 months after listing, If the average closing price over 20 trading days is lower than the issue price (if the company's stock undergoes dividends, bonus shares, capital reserve conversion to share capital, or other ex-rights and ex-dividend events during this period, the issue price should be adjusted accordingly) or if the closing price at the end of six months after listing is lower than the issue price (if the company's stock shares have dividends, bonus shares, capital reserve conversion to share capital, or other ex-rights and ex-dividend events during this period, the issue price should be adjusted accordingly), The lock-up period for the company shares I hold is automatically extended by 6 months, and performance will not be terminated due to changes in position or resignation. If the above commitments are violated and the company is sold or transferred shares without authorization, the proceeds from such reduction or transfer shall belong to the company. If the proceeds are not submitted to the company, the company has the right to withhold the portion of cash dividends and salaries payable to the individual equal to the proceeds.	2017 11 From the 21st to 2021 May 21st	Yes	Yes		
	Share lock-up	Shareholders: Henglin Trading and Wang Fan	Within thirty-six months from the date the company's shares are listed, I/the company shall not transfer or entrust others to manage the shares already held by the company, nor shall the company repurchase such shares. If the above share lock-up commitments are violated and the shares are transferred without authorization, the proceeds from the transfer will belong to the company. If the company's shares are sold within two years after the lock-up period expires, the reduction price for the company/ the company shall not be lower than the issue price (if the company's shares have ex-rights or ex-dividend or ex-rights or ex-dividend matters such as dividends, bonus shares, capital reserve conversion to share capital, etc., the issue price will be adjusted accordingly); If within 6 months after listing, the average closing price of the company's shares for 20 consecutive trading days is lower than the issue price (if the stock pays dividends, bonus shares, increases capital reserves, or other ex-rights and ex-dividend events during this period, the issue price should be adjusted accordingly) or 6 days after listing If the closing price at the end of the month is lower than the issue price (if the company's shares undergo dividends, bonus shares, capital reserve conversion to share capital, or other ex-rights and ex-dividend events during this period, the issue price shall be adjusted accordingly), the lock-up period for the company's shares held by the company or the company shall be automatically extended by 6 months.	2017 11 From the 21st to 2021 May 21st	Yes	Yes		
	Others	Company	Within three years from the date of listing, if the closing price of the company's stock is lower than the audited net asset value per share at the end of the most recent period for twenty consecutive trading days, the company's stock price (net assets per share = total equity attributable to ordinary shareholders of the parent company in the consolidated financial statements+ year-end).	2017 11 From the 21st to 2020	Yes	Yes		

			(If, due to matters such as the 11th month of ex-rights and dividend, the closing price of the above stock is not comparable to the company's audited net asset value per share over the 20 days at the end of the most recent period, the closing price shall be adjusted accordingly), the company and related parties shall comply with laws, regulations, normative documents, the company's articles of association, and internal governance systems. After timely fulfilling relevant statutory procedures, measures were taken to stabilize the company's stock price, and it was ensured that after the measures were implemented, the company's equity distribution still met listing requirements. (1) Share repurchase: Once the prerequisites for stabilizing the share price are met, the company should initiate a board meeting within ten trading days to discuss the plan for share repurchase for public shareholders and submit it to the shareholders' meeting for approval. If the company repurchases shares for the purpose of stabilizing the stock price, in addition to meeting relevant laws and regulations, it must also meet the following conditions: (1) The total amount of funds used for share repurchase must not exceed the total amount raised from the company's initial public offering; (2) The price at which the company repurchases shares shall not exceed the audited net asset value per share at the end of the most recent period; (3) The company's single share repurchase fund must not be less than 5 million yuan; (4) The proportion of shares repurchased in a single transaction shall not exceed 2% of the company's total share capital; (5) Funds used for repurchase should be paid from the company's after-tax profit; (6) After the board of directors announces the share repurchase plan, if the closing price of the shares for five consecutive trading days exceeds the audited ex-rights net asset value per share at the end of the most recent period, the board of directors shall resolve to terminate the share repurchase and not initiate the repurchase for the next three months; (7) The company's share repurchase proposal must be approved by resolution of the board of directors and the shareholders' meeting, with the shareholders' meeting requiring approval by more than two-thirds of the voting rights held by shareholders attending the meeting; (8) When the company intends to appoint new directors and senior management within three years after listing, the company will require these newly appointed directors and senior management to sign relevant commitments in accordance with the stock price stabilization plan and related measures. (2) Controlling shareholder increases shareholding: (1) When any of the following conditions occur, the controlling shareholder shall increase their holdings in the company's shares under the premise of meeting the conditions and requirements stipulated by the "Measures for the Administration of Acquisitions of Listed Companies" and other laws and regulations: a. The company's share repurchase plan shall be implemented for 10 consecutive years after the implementation date. The closing price of the company's stock after ex-rights on the trading day was all lower than the audited net asset value per share at the end of the most recent period; B Company reactivates the activation conditions three months from the date the repurchase plan is completed; (2) The controlling shareholder's single increase in holdings must not be less than RMB 5 million, and the number of shares increased in a single transaction shall not exceed 2% of the company's total share capital; (3) The controlling shareholder shall not reduce their holdings in the company during the increase plan period and the statutory period. (3) Company directors (excluding independent directors and directors not receiving compensation from the company) and senior management increasing their holdings (1) When any of the following conditions occur, the company's directors (excluding independent directors and directors not receiving compensation) and senior management personnel at that time				
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			The company's stock holdings should be increased only after meeting the conditions and requirements stipulated by the "Measures for the Administration of Acquisitions of Listed Companies" and other laws and regulations: a. After the implementation date of the controlling shareholder's plan to increase the company's shares, the closing price of the company's shares after ex-rights for 10 consecutive trading days has been lower than the company's most recent audited net asset value per share after the last period end; b. The activation conditions will be triggered again within 3 months from the date the controlling shareholder's plan to increase shares is completed ; (2) Directors obligated to increase their holdings (excluding independent directors and directors not receiving remuneration from the company) and senior management commit that the amount used to increase company shares shall not be less than 35% of the previous year's personal remuneration of the director or senior management , but not more than 50% of the previous year's individual remuneration , and during the implementation period of the increase plan and issuance period, the holdings of the company will not be reduced; (3) The company will make the above commitment to stabilize the company's stock price a necessary condition for the future appointment of directors (excluding independent directors and directors not paid by the company) and senior management, and will require such directors and senior management to make written commitments on equal terms when new directors and senior management are hired in the future. When the prerequisites for initiating stock price stabilization measures are met, the company shall hold a board meeting within five trading days, announce the specific measures to be taken, and complete subsequent legal procedures. If the board fails to fulfill the above obligations, all directors shall be liable to the tradable shareholders for compensation limited to the previous year's salary. If the issuer fails to fulfill the above share price stabilization obligations, it shall be liable to compensate tradable shareholders up to the maximum repurchase amount committed to the shareholder. If the controlling shareholder fails to fulfill or fully fulfills the above obligation to stabilize the share price, the company has the right to temporarily withhold the after-tax compensation or cash dividends payable to the controlling shareholder for that year and subsequent years, equal to the total amount of funds raised for the increase in shares the controlling shareholder should have minus the amount already invested in the current share increase plan, until the controlling shareholder fulfills the share increase obligations and other related obligations under the "Proposal on Post-Listing Share Price Stabilization Measures by Zhejiang Henglin Chair Industry Co., Ltd." If company directors (excluding independent directors and directors not remunerated by the company) or senior management fail to fulfill or fully fulfill the above obligation to stabilize the share price, the company has the right to temporarily withhold the amount payable for after-tax compensation or cash dividends equal to the amount of shares they should increase shares in the company minus the amount already invested in the current share increase plan, until these directors and senior management fulfill the "Plan for Post-IPO Share Price Stabilization Measures of Zhejiang Henglin Chair Industry Co., Ltd." Obligations to increase holdings and other related obligations under this category.					
Others	The controlling shareholder and actual controller is Wang Jianglin, and the shareholder holding more than 5% of the shares is Henglin Trading	Within two years from the expiration of the company's share lock-up period, the company will increase or decrease its holdings based on its financial situation and funding needs. If the shares held by the company are reduced within two years after the lock-up period expires, the annual reduction shall not exceed 10% of the shares held at the end of the previous year, and the reduction price shall not be lower than the issue price (if the company's shares go ex-rights or ex-dividend during this period, the issue price will be adjusted accordingly). I/the company will notify the company of the reduction three trading days in advance, and will implement the reduction plan after the company announces it. If the above commitments are not fulfilled, I / the company will publicly explain the failure to fulfill the commitments in the company's shareholders' meeting and in the designated newspapers and magazines of the China Securities Regulatory Commission	2021 May 21 to 2023 May 22	Yes	Yes			

			Specific reasons for the commitments and apologizing to other shareholders and public investors; If the above commitments are not fulfilled, the lock-up period for the restricted shares held by the company or the company will be automatically extended by 6 months; If the above commitments are not fulfilled, resulting in losses suffered by investors in securities trading, I or the company will compensate investors for losses in accordance with the law; If I/ the company receives income due to failure to fulfill the above commitment, the income shall belong to the company, and within 5 days of receiving the income, the above income shall be paid to the company's designated account; If the income is not submitted to the company, the company has the right to withhold the amount payable to the company in cash dividends and salaries equal to the income from unauthorized share reduction or illegal transfer.					
Others	Directors and senior management personnel	(1) Do not offer benefits to other units or individuals free of charge or under unfair conditions, nor use other means to harm the company's interests; (2) Restrict and control job-related consumption behavior; (3) Do not use company assets for investment or consumption activities unrelated to the performance of your duties; (4) The compensation system formulated by the company's board remuneration committee involving the individual is linked to the implementation of the company's compensation compensation measures; (5) If the company plans to implement equity incentives for the individual in the future, the exercise conditions of the equity incentives will be linked to the implementation of the company's compensation return measures; (6) If I violate or refuse to fulfill the above commitments, I will publicly explain and apologize at the company's shareholders' meeting and in the designated newspapers and magazines of the China Securities Regulatory Commission; If I violate the promise and cause losses to the company or shareholders, I will bear compensation responsibilities according to law.	Long-term effectiveness	No	Yes			
Resolve competition within the same industry	Controlling shareholder and actual controller Wang Jianglin	From the date of signing the "Letter of Commitment to Avoid Competition in the Same Industry," (1) I and other enterprises under my control will continue to refrain from directly or indirectly engaging in business activities that constitute peer competition with the company or its subsidiaries both domestically and abroad, and are willing to bear liability for any economic losses caused to the company due to breach of the above commitments; (2) If the company or its controlling subsidiaries further expand their products and business scope, neither the company nor other enterprises controlled by the company or its controlling subsidiaries will compete with the expanded products or businesses of the company or its controlling subsidiaries; If there is a possibility of competition with the expanded products or businesses of the company or its controlling subsidiaries, I and other enterprises I control will withdraw from competition with the company or its controlling subsidiaries as follows: A . Stop producing products that constitute competition or may be competitive products; B . Cease operations that constitute or may constitute competition; C . Incorporating competing businesses into the company for operation; D. Transferring competing business to unrelated third parties. If I violate the above commitments and cause losses to the company, I will compensate the company for all losses incurred; If the company benefits from breach of this commitment, the company shall fully compensate the gains; During the period during which I hold 5% or more of the company's shares, this commitment is valid.	Long-term effectiveness	No	Yes			
Resolve competition within the same industry	Shareholders holding more than 5% of the shares are Henglin Trading and Trading	From the date of signing the "Letter of Commitment to Avoid Competition in the Same Industry," (1) the company and other enterprises controlled by it will continue to refrain from directly or indirectly engaging in business activities that constitute peer competition with the company or its controlled subsidiaries both domestically and abroad, and are willing to bear any economic losses caused to the company by breaching the above commitments	Long-term effectiveness	No	Yes			

			Liability for compensation for loss; (2) If the company or its controlling subsidiaries further expand their products and business scope, the company and other enterprises controlled by it will not compete with the expanded products or businesses of the company or its controlling subsidiaries; If there is a possibility of competition with the company's expanded products or businesses, the company and other enterprises controlled by it will withdraw from competition with the company or its controlling subsidiaries as follows: A . Stop producing products that constitute competition or may be competitive products; B . Cease operations that constitute or may constitute competition; C . Incorporating competing businesses into the company for operation; D. Transferring competing business to unrelated third parties. If the company violates the above commitments and causes losses to the company, the company will compensate for all losses incurred as a result; If the company benefits from breach of this commitment, the company shall fully compensate the gains; This commitment is valid for the period when the company holds 5% or more of the company's shares.					
	Resolving related-party transactions	Controlling shareholder and actual controller Wang Jianglin	The above statements, commitments, and guarantees will remain valid until I am no longer the controlling shareholder or actual controller of the joint-stock company; If the above commitments are violated, the joint-stock company has the right to require me to undertake any losses caused by the related party transactions to the joint-stock company or other shareholders (if any), and I shall also pay the profits from the related transactions to the joint-stock company; The joint-stock company has the right to withhold and offset the aforementioned related amounts from salary and dividend income payable to the individual.	Effective	No	Yes		
	Others	Controlling shareholder and actual controller Wang Jianglin	Neither I nor the enterprises I control will occupy company funds by any means such as loans, debt repayment, advance payments, or any other means in the future; During my tenure as the controlling shareholder and actual controller of the company, I will strictly implement the CSRC's regulations on regulating fund transactions between listed companies and related enterprises; If I violate my commitment to prevent the use of company funds, I promise to immediately repay the debts owed to the company due to the aforementioned fund occupation and pay the company at the same bank for the same period	Long-term effectiveness	No	Yes		

			Interest calculated from the loan interest rate; If the above cash payment obligations are not fulfilled, the company has the right to offset the dividends from shares directly or indirectly controlled by the company.					
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(2) If the company's assets or projects have profit forecasts and the reporting period is still within the profit forecast period, the company must explain whether the assets or projects meet the original profit forecast and the reasons

☐ has reached ☐ not reached ☒ is not applicable

(3) The completion status of performance commitments and their impact on goodwill impairment testing

☐ applicable, ☒ not applicable

3. Status of Fund Occupation and Progress of Debt Collection During the Reporting Period

☐ applicable, ☒ not applicable

4. The company's explanation of the accounting firm's "Non-standard Opinion Audit Report."

☐ applicable, ☒ not applicable

5. Analysis and explanation of the reasons and impact of changes in accounting policies, accounting estimates, or corrections of major accounting errors (1) The company's analysis and explanation of the reasons and impacts of changes in accounting policies and accounting estimates

☐ applicable, ☒ not applicable

(2) The company's analysis and explanation of the reasons and impact of the correction of major accounting errors

☐ applicable, ☒ not applicable

(3) Communication with the previous accounting firm

☐ applicable, ☒ not applicable

(4) Other Explanations

☐ applicable, ☒ not applicable

6. Appointment and Dismissal of Accounting Firms

Unit: ten thousand yuan; Currency: RMB

	Currently appointed
Name of a domestic accounting firm	Tianjian Certified Public Accountants (Special General Partnership)
Remuneration for domestic accounting firms	100
Audit years of domestic accounting firms	5 years

	Name	Reward
Internal control audit accounting firm	Tianjian Certified Public Accountants (Special General Partnership)	20
Sponsor	Industrial Securities Co., Ltd	-

Explanation of the Appointment and Dismissal of the Accounting Firm ☒ Applicable ☐ Not Applicable On May 20, 2019, the company approved the reappointment of Tianjian Certified Public Accountants (Special General Partnership) for 2019 Annual financial and internal control audit institution.

Explanation of the Situation of Changing the Accounting Firm During the Audit Period ☐ Applicable ☒ Not Applicable

7. Situations Facing the Risk of Listing Suspension

(1) Reasons Leading to the Suspension of Listing

☐ applicable, ☒ not applicable

(2) Countermeasures the Company intends to take

☐ applicable, ☒ not applicable

8. Circumstances and reasons facing delisting

☐ applicable, ☒ not applicable

9. Bankruptcy Reorganization-Related Matters

☐ applicable, ☒ not applicable

10. Major litigation and arbitration matters

☐ The company has major litigation or arbitration matters this year ☒ The company has no major litigation or arbitration matters this year

11. Penalties and rectification by listed companies and their directors, supervisors, senior management, controlling shareholders, actual controllers, and acquirers

☐ applicable, ☒ not applicable

12. Explanation of the integrity status of the company, its controlling shareholders, and actual controllers during the reporting period

☒ Applicable ☐ Not Applicable During the reporting period, the company's controlling shareholder and actual controller had good integrity, and there were no unfulfilled effective court judgments or negative debts

Large debts that have not been repaid due or are not repaid.

13. Situation and Impact of the Company's Equity Incentive Plan, Employee Stock Ownership Plan, or Other Employee Incentive Measures (1)

Relevant incentive matters have been disclosed in the interim announcement and have been implemented without progress or changes in subsequent implementation

☐ applicable, ☒ not applicable

(2) Incentive information not disclosed in the interim announcement or for which there has been subsequent progress

Equity Incentive Situation ☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not applicable

Employee stock ownership plan status: ☐ applicable, ☒ not applicable

Other incentives ☐ applicable ☒ not applicable

14. Major related-party transactions

(1) Related Party Transactions Related to Daily Operations 1. Matters disclosed in the interim announcement and with no progress or changes in subsequent implementation

☐ applicable, ☒ not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ applicable, ☒ not applicable

3. Matters not disclosed in the interim announcement

☐ applicable, ☒ not applicable

(2) Related Party Transactions Arising from the Acquisition or Sale of Assets or Equity 1. Matters disclosed in the interim announcement but with no progress or changes in subsequent implementation

☐ applicable, ☒ not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☒ Applicable ☐ Not Applicable Purchase of 29.8128% equity in Yongyu Bamboo Industry, a company listed on the New Third Board in cash, and related party transactions

By acquiring 29.8128% equity in Yongyu Bamboo Industry and investing in an outstanding flooring brand company, it aligns with the company's strategy of asset or capital integration around the "office environment solutions" and "custom home furnishing" industries, and also aligns with the company's long-term development strategy. At the same time, as a benchmark enterprise in China's SPV and SPC flooring industries, Yongyu Bamboo Industry also provides a good complement to the company's "office environment solutions" and "custom home" businesses. The company will leverage the synergy effect with Yongyu Bamboo Industry to complement each other's advantages and integrate resources in market and channels, products and technology, production and operations management experience, and capital. This strong synergy will further expand the company's market share, effectively improve operating performance, and bring better returns to shareholders.

(1) On May 30, 2019, the company held the ninth meeting of the fifth board of directors and reviewed and approved the "Proposal on the Company's Cash Purchase of 29.8128% Equity in the Listed Company Yongyu Bamboo Industry and Related Party Transactions." Related directors Mr. Wang Jianglin and Ms. Wang Yaqin abstained from voting. For details, please refer to the relevant announcement disclosed by the company on May 31, 2019, on the Shanghai Stock Exchange website (www.sse.com.cn).

(2) On June 17, 2019, the company's second extraordinary general meeting of shareholders in 2019 reviewed and approved the above proposal, and related shareholders abstained from voting. For details, please refer to the relevant announcement disclosed by the company on June 18, 2019, on the Shanghai Stock Exchange website (www.sse.com.cn).

(3) On July 11, 2019, all parties involved in the above related-party transaction completed the relevant equity delivery procedures. After the transaction, the company held 29.8128% equity in Yongyu Bamboo Industry, becoming the second largest shareholder of Yongyu Bamboo Industry. For details, please refer to the relevant announcement disclosed by the company on July 12, 2019, on the Shanghai Stock Exchange website (www.sse.com.cn).

3. Matters not disclosed in the interim announcement

☐ applicable, ☒ not applicable

4. If performance commitments are involved, the achievement of performance during the reporting period shall be disclosed

☐ applicable, ☒ not applicable

(3) Major related-party transactions for joint outward investment 1. Matters disclosed in interim announcements but with no progress or changes in subsequent implementation

☐ applicable, ☒ not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ applicable, ☒ not applicable

3. Matters not disclosed in the interim announcement

☐ applicable, ☒ not applicable

(4) Related Creditor-Debtor Transactions 1. Matters disclosed in the interim announcement but with no progress or changes in subsequent implementation

☐ applicable, ☒ not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ applicable, ☒ not applicable

3. Matters not disclosed in the interim announcement

☐ applicable, ☒ not applicable

(5) Others

☒ applicable, ☐ not applicable

1. On January 9, 2019, the company held its first extraordinary general meeting of shareholders of 2019, where the "Proposal on Handling Deposit, Settlement Business, and Related Party Transactions at Anji Rural Commercial Bank" was reviewed and approved. The company and its controlling subsidiary plan From 2019 to 2021, for working capital deposits, daily settlement services (employee salary and bonus, payment and collection, deposit of margin, wealth management products, etc.), and savings generated by settlement at Zhejiang Anji Rural Commercial Bank Co., Ltd., the daily deposit balance limit shall not exceed RMB 10 100 million yuan, and the settlement fee shall be carried out according to the fee standards agreed upon by both parties, and the fee shall not exceed the service fee standard for similar services provided by domestic financial institutions. For details, please refer to the company's announcement No. 2018-100.

2. On January 9, 2019, the company held its first extraordinary shareholders' meeting of 2019, where the "Proposal on Using Idle Raised Funds for Cash Management and Related Party Transactions at Anji Rural Commercial Bank" was reviewed and approved. Agree that the company will use idle raised funds to purchase wealth management products at Anji Rural Commercial Bank, and timely implement a cumulative purchase plan of up to RMB 300 million in bank wealth management products. The investment products will be low-risk, short-term principal-guaranteed wealth management products with controllable investment risk. The above investment products do not involve securities investment and must not be used for stocks and their derivatives, securities investment funds, or bank wealth management or trust products for securities investment purposes or unsecured debt investment targets. The investment limit is valid for 12 months from the date of approval by the shareholders' meeting, and the product term shall not exceed 12 months. Within the above limits and periods, funds can be used on a rolling basis. The company's finance department is authorized to handle matters related to the purchase and subsequent management of wealth management products. Independent directors, the Board audit committee, and the sponsor institution have each expressed their consent to this matter. For details, please refer to the company's announcement No. 2018-099.

15. Major Contracts and Their Performance (1) Custody, Contracting, and Leasing Matters 1. Custody Status

☐ applicable, ☒ not applicable

2. Contracting Status

☐ applicable, ☒ not applicable

3. Leasing situation

☐ applicable, ☒ not applicable

(2) Guarantee Status

☐ applicable, ☒ not applicable

(3) Entrusting others to manage cash assets

1. Entrusted wealth management situation

(1) Overall situation of entrusted wealth management

☐ applicable, ☒ not applicable

Other situations

☐ applicable, ☒ not applicable

(2) Individual entrusted wealth management situation

☒ applicable, ☐ not applicable

On November 13, 2018, the company held its fourth extraordinary general meeting of shareholders of 2018, where the proposals "On Using Idle Own Funds for Cash Management" and "Proposals on Using Idle Raised Funds for Cash Management" were reviewed and approved. Without affecting the company's normal operations, the company plans to use idle own funds not exceeding 200 million yuan to timely purchase financial institution wealth management products with lower risk or better liquidity; Additionally, under the premise of ensuring that the raised funds investment plan is not affected as planned, the company plans to use up to 90,000 yuan of idle raised funds for cash management, mainly to purchase short-term principal-protected wealth management products with high safety, good liquidity, and low risk. The above investment quota can be used on a rolling basis within 12 months starting from December 24, 2018. The product duration does not exceed 12 months.

On January 9, 2019, at its first extraordinary general meeting of shareholders of 2019, the company reviewed and approved the "Proposal on Using Idle Raised Funds for Cash Management and Related Party Transactions at Anji Rural Commercial Bank." Approval is granted for the company to use idle raised funds to purchase wealth management products at Anji Rural Commercial Bank, and timely implement low-risk, short-term principal-guaranteed wealth management products with a cumulative amount not exceeding RMB 300 million. The investment quota may be used on a rolling cycle within 12 months from the date of approval by the shareholders' meeting, with a product term not exceeding 12 months.

Subsequently, entrusted wealth management matters have been disclosed in the interim announcement in accordance with the relevant provisions of the Shanghai Stock Exchange Stock Listing Rules. For details, please refer to the company's previous wealth management progress announcements published on the Shanghai Stock Exchange website (www.sse.com.cn) and in the company's designated statutory

information disclosure media, China Securities Journal, Shanghai Securities News, Securities Daily, and Securities Times:2019-001 、 2019-005 、 2019-006 、 2019-007 、 2019-008 、 2019-009 、 2019-012 、 2019-013 、 2019-038 、 2019-039 、 2019-048 、 2019-050 、 2019-072 。

Other situations

☐ applicable, ☒ not applicable

(3) Entrusted Wealth Management Impairment Provision

☐ applicable, ☒ not applicable

2. Entrusted loan situation

(1) Overall situation of entrusted loans

☐ applicable, ☒ not applicable

Other situations

☐ applicable, ☒ not applicable

(2) Individual entrusted loan situation

☐ applicable, ☒ not applicable

Other situations

☐ applicable, ☒ not applicable

(3) Provision for impairment of entrusted loans

☐ applicable, ☒ not applicable

3. Other Situations

☐ applicable, ☒ not applicable

(4) Other major contracts

☐ applicable, ☒ not applicable

16. Explanation of Other Major Matters

☒ applicable, ☐ not applicable

Matters related to changing the company name

Given the significant changes in the domestic furniture industry market competition, and in pursuit of higher operational efficiency and profit points, and considering the company's future business plans and product and market positioning, since its listing, the company has actively implemented a core business upgrade strategy, focusing on optimizing and adjusting its product structure. While deeply cultivating its existing core business, it has integrated global resources and developed the market for office environment solutions with the philosophy that "creating a good office environment is not a cost, but an investment." The "custom home" strategy drives the company's development. Therefore, the "chair industry" can no longer cover existing businesses.

Based on the upgrade of its core business, to accurately reflect the company's future development strategy, the company held its positions on July 12, 2019 and July 29, 2019, respectively. On the 10th meeting of the fifth Board of Directors and the third extraordinary general meeting of shareholders in 2019, the company reviewed and approved

the "Proposal on Proposed Change of Company Name." The company name was changed from "Zhejiang Henglin Chair Industry Co., Ltd." to "Henglin Home Co., Ltd.", while the company's stock abbreviation and stock code remained unchanged, continuing to be "Henglin Co., Ltd." and "603661".

17. Actively fulfilling social responsibilities (1)

Poverty alleviation work of listed companies

√ applicable, □ not applicable

1. Targeted poverty alleviation planning

√ Applicable □ Not Applicable The company implements the national deployment and requirements for targeted poverty alleviation, integrates with enterprise development, leverages the enterprise's leading role, and actively connects with poverty alleviation work. Taking on social responsibility through industry, education, and support and support.

2. Annual Overview of Targeted Poverty Alleviation

√ Applicable □ Not Applicable During the reporting period, the company assisted 150,000 yuan to weak villages in Suichang County and invested 780,000 yuan to support the construction of the Two Mountains Cultural Hall in Anji Rural Area, supporting rural revitalization; Invested 500,000 yuan in county civilization creation to build 10 caring post booths; Support 50,000 yuan from the County Entrepreneurs Scholarship Fund to assist impoverished college students; 100,000 yuan for the Zhangwuzhen Peace Guard and 120,000 yuan for the construction of Xiaofeng Xiaode Garden ; 20,000 yuan for consolation to teachers at Sunshine Primary School; Subsidies of 30,000 yuan for employees' children attending kindergarten; It also actively participates in family planning publicity and activities to comfort impoverished students in society, fulfilling its corporate responsibilities.

3. Targeted poverty alleviation effectiveness

√ Applicable □ Not applicable Unit: ten thousand yuan Currency: RMB

Indicators	quantity and implementation status
1. Overall Situation	
Where: 1 Funds	98

4. Follow-up targeted poverty alleviation plans

√ applicable □ not applicable The company will continue to actively fulfill its social responsibilities, implement the decisions and deployments of the CPC Central Committee and the State Council on poverty alleviation, and unswervingly support targeted poverty alleviation work.

(2) Social responsibility work

√ Applicable □ Not applicable For specific details, please refer to the "Henglin Home Co., Ltd . 2019 Annual Social Responsibility Report" disclosed on the Shanghai Stock Exchange website (<http://www.sse.com.cn>).

(3) Environmental Information Situation

1. Environmental protection status of companies and their important subsidiaries that are key pollutant discharge units published by environmental protection authorities

√ applicable, □ not applicable

(1) Pollution discharge information

√ Applicable □ Not applicable The company's controlling subsidiary, Huzhou Hengxin Metal Products Co., Ltd., was listed as a key pollutant discharge unit in Huzhou City in 2018 .

The Huzhou Hengxin exhaust gas standards are as follows:

Emission Standard for Air Pollutants in Industrial Coating Processes DB33/2146-2018; Boiler Emission Standard for Air Pollutants GB 13271-2014; Comprehensive Emission Standard for Air Pollutants GB16297-1996; Boiler Air Pollutant Emission Standard GB13271-2014.

The wastewater standards are as follows:

Integrated Sewage Discharge Standard GB8978-1996 ; Indirect discharge limits for nitrogen and phosphorus pollutants from industrial enterprise wastewater DB 33/887— 2013; Sewage discharged into urban sewer water quality standards GB/T 31962-2015.

The control indicators are as follows:

(1) Wastewater: COD_{Cr} ≤ 2.8028 t/a; Ammonia nitrogen ≤ 0.27825 t/a.

(2) Exhaust gas: SO₂ ≤ 0.39206 t/a; NO_x ≤ 1.79544t/a ; VOCs ≤ 0.961t/a ; Industrial smoke dust ≤ 0.1572 t/a.

(2) Construction and operation of pollution prevention facilities

√ applicable, □ not applicable

- 1 . Wastewater: Production wastewater and domestic sewage treated by septic tanks undergo two-stage physical and chemical treatment before sedimentation and filtration before being discharged to the sewage treatment plant according to standards. The main methods are: degreasing and phosphating wastewater is treated by the plant's own sewage treatment system to meet the management standards of the Anji County Sewage Treatment Plant, then uniformly treated by the Anji County Sewage Treatment Plant, and after meeting the Class A standard of the "Pollutant Discharge Standard for Urban Sewage Treatment Plants" (GB18918-2002), it is discharged into the Xitiao Creek.
- 2 . Waste gas: Spray plastic exhaust gas, paint immersion organic exhaust gas, welding exhaust gas are classified and treated. Exhaust gases are treated by clean water spray and low-temperature plasma treatment systems before being discharged at high altitude to meet standards. The main types include: (1) welding dust generated during production, which uses top suction hoods to capture welding smoke and dust, and the collected smoke is discharged from high altitude through pipelines; (2) During production, powder coatings in the powder spraying room are collected by matching fans and recycled by pulse back-blow fiber filter cartridge collectors. The filter cartridge is made of polyester fiber material and is discharged after recovery by supporting equipment; (3) After collecting powder coating and immersion paint exhaust gases, they are treated by a scrubber tower + low-temperature plasma treatment system system, and then discharged at high altitude through a 15m exhaust stack; According to monitoring results, all meet standard emission standards.
- 3 . Solid Waste: Huzhou Hengxin has established an indoor temporary solid waste storage facility. (1) Sludge generated during the production process from sewage treatment is classified as hazardous solid waste. Huzhou Hengxin has signed a "Hazardous Waste Disposal and Utilization Contract" with a company holding a "Hazardous Waste Business License," which properly collects and entrusts hazardous waste treatment companies for unified treatment; (2) The remaining solid waste is collected and sold to material recycling companies for comprehensive utilization; (3) Household waste is collected by classification and collected uniformly by the sanitation department.

4. Noise: Mainly use low-noise equipment, arrange noise equipment reasonably, use building sound insulation, use silencers and other measures that help reduce noise and vibration. High-noise equipment should be installed inside the workshop and rely on walls for sound insulation.

(3) Environmental impact assessment and other environmental protection administrative permits for construction projects

√ applicable □ Not applicable Huzhou Hengxin, in accordance with the Interim Provisions on the Administration of Pollutant Discharge Permits, actively carried out applications for wastewater and exhaust gas discharge permits, hired a third party to issue evaluation forms, and passed the environmental protection department's review, obtaining a new "one-certificate" pollutant discharge permit.

(4) Emergency response plan for sudden environmental incidents

√ applicable, □ not applicable

According to the "Zhejiang Province Emergency Response Plan Guidelines for Sudden Environmental Incidents" (Enterprise Edition Simplified Edition) and the Ministry of Environmental Protection's "Interim Measures for the Administration of Emergency Response Plans for Sudden Environmental Incidents," and other laws and regulations, Huzhou Hengxin has formulated the "Emergency Plan for Sudden Environmental Pollution Incidents" based on its own production processes, material storage and use, waste waste generation, and environmental risk prevention measures. The plan specifies the emergency responsibilities of the emergency command leading group and relevant departments, and organizes annual emergency drills. Through emergency drills at all levels, timely revisions and improvements are made to the targeting, operability, and applicability of emergency plans, enhancing the emergency response capabilities and fulfillment of responsibilities at all levels, ensuring that effective rescue can be carried out according to the plan in case of an accident. The company has formulated an annual emergency drill plan and implemented it on time. At the same time, the company has established an environmental protection emergency organizational structure, set up an emergency command leadership group for sudden environmental incidents, and set up emergency and alarm hotlines.

(5) Environmental self-monitoring plan

√ Applicable □ Not Applicable Huzhou Hengxin annually signs agreements with third-party companies holding environmental testing qualifications to conduct self-monitoring of all pollution source discharge points such as wastewater, exhaust gas, and noise, all meeting standard emission standards.

(6) Other environmental information that should be disclosed

□ applicable, √ not applicable

2. Environmental protection status of companies other than key pollutant discharge units

√ Applicable □ Not Applicable Except for the controlling subsidiary Huzhou Hengxin Metal Products Co., Ltd., the company and its other subsidiaries are not designated as key pollutant discharge units announced by environmental protection authorities. The company's main products are office chairs, sofas, and massage chairs. During production, small amounts of exhaust gas, solid waste, and noise are generated. Except for a small amount of glue waste packaging barrels, which are hazardous waste, other pollutants are not considered hazardous waste.

During the reporting period, the company and its subsidiaries strictly implemented national laws and regulations related to environmental protection, formulated rigorous environmental operation standards, and took corresponding control measures for the above pollution sources. There were no violations of environmental laws or regulations or pollution accident disputes, and no administrative penalties imposed by environmental protection authorities for environmental violations. For the above pollution sources, the company has taken the following specific control measures:

(1) Exhaust gas control. During production, the company generates a small amount of exhaust gas, mainly including glue spraying exhaust and dust-laden exhaust. Spraying exhaust gas comes from the bonding of the sponge during production. The company uses water-based spraying adhesive as the adhesive, which contains no harmful substances, and installs exhaust hoods at the spraying points to extract the spraying exhaust outside the house. The emissions of spraying exhaust meet the requirements of the "Comprehensive Emission Standard of Air Pollutants" (GB16297-1996) and have no impact on air quality quality; Dust-laden exhaust gas is generated by dust generated during wood processing. The company installed exhaust hoods on the wood processing production line for mechanical exhaust, which is treated by a secondary dust removal device before being discharged to meet standards, with no impact on the environment.

(2) Solid waste control. During production and operation, the company generates a certain amount of solid waste, mainly including scrap scraps, containers, and household garbage. The company achieves resource utilization and harmless treatment of solid waste through comprehensive utilization. Leather and fabric scrap from the corners are sold to material recycling companies, sponge waste is collected by sponge suppliers, and household waste is regularly removed by sanitation departments.

(3) Control of waste glue packaging barrels. The company has signed industrial hazardous waste safe disposal service contracts with companies holding a "Hazardous Waste Business License." Each workshop collects and consolidates the glue waste packaging bins and regularly hands them over to the aforementioned qualified professional recycling companies for processing.

(4) Noise control. The noise generated during the company's production process mainly comes from the operation of machinery such as punch presses. The company reduces the impact of noise on the surrounding environment by using soundproofing and sound-absorbing materials.

3. Explanation of reasons why companies other than key pollutant discharge units have not disclosed environmental information

☐ applicable, ☒ not applicable

4. Explanation of subsequent progress or changes in environmental information disclosed during the reporting period

☒ Applicable ☐ Not Applicable The holding subsidiary Huzhou Hengxin Metal Products Co., Ltd . was listed by the Huzhou Environmental Protection Bureau in March 2019 as a key soil environmental pollution supervision unit in Huzhou City.

According to the notice from the Huzhou Environmental Protection Bureau on March 27 , 2020, regarding the issuance of the "List of Key Pollutant Discharge Units in Huzhou City for 2020 ," Huzhou Hengxin was not included in the 2020 Key Pollutant Discharge Unit Directory.

(4) Other Notes

☐ applicable, ☒ not applicable

18. Situation of Convertible Corporate Bonds

☐ applicable, ☒ not applicable

Section Changes in common shares and shareholder status Six

I. Changes in Common Share Capital (1) Table of Changes in Common Shares 1. Table of Changes in Common Shares

During the reporting period, the total number of ordinary shares and the structure of share capital remained unchanged.

2. Explanation of changes in common shares

☐ applicable, ☒ not applicable

3. The impact of changes in common stock shares on financial indicators such as earnings per share and net asset per share for the most recent year and period (if any)

☐ applicable, ☒ not applicable

4. Other content deemed necessary by the company or required by securities regulatory authorities

☐ applicable, ☒ not applicable

(2) Changes in restricted shares

☐ applicable, ☒ not applicable

II. Securities Issuance and Listing (1) Securities

issuance status as of the reporting period

☐ Applicable ☒ Not Applicable Explanation of securities issuance as of the reporting period (bonds with different interest rates during the term should be specified separately): ☐ Applicable ☒ Not applicable

(2) The total number of common shares of the company, changes in shareholder structure, and changes in the company's asset and liability structure

☐ applicable, ☒ not applicable

(3) Current status of internal employee sections

☐ applicable, ☒ not applicable

III. Shareholders and Actual Controllers (1) Total Number of Shareholders

Total number of ordinary shareholders (accounts) as of the end of the reporting period	15,042
Total number of common shareholders (accounts) as of the end of the month prior to the annual report disclosure date	14,135
Total number of preferred shareholders whose voting rights have been restored as of the end of the reporting period (accounts)	0
Total number of preferred shareholders whose voting rights have been restored at the end of the month prior to the annual report disclosure date (accounts)	0

(2) Table of shareholding status of the top ten shareholders and top ten tradable shareholders (or shareholders with unrestricted trading conditions) as of the end of the reporting period

Unit: shares

Unit: Shares

Shareholding status of the top ten shareholders							
Shareholder Name (Full Name)	Changes during the reporting period	Number of shares held at the end of the period	Proportion (%)	The number of shares held under sales restrictions	pledge or freeze situation		Nature of shareholders
					Shareholding status	Quantity	
Wang Jianglin	0	59,041,333	59.04	59,041,333	None	0	Natural persons within the territory

Anji Henglin Trading Co., Ltd	0	11,250,000	11.25	11,250,000	None	0	Non-state-owned legal entities within the territory
Ye Xiangdong	1,188,800	1,188,800	1.19	0	None	0	Natural persons within the territory
Fang Wenbin	1,110,777	1,110,777	1.11	0	None	0	Natural persons within the territory
Wang Yaqin	0	750,000	0.75	750,000	None	0	Natural persons within the territory
Dong Binzhe	210,000	210,000	0.21	0	None	0	Natural persons within the territory
Wang Fan	0	208,667	0.21	208,667	None	0	Natural persons within the territory
Zhu Haifeng	-204,807	177,966	0.18	0	None	0	Natural persons within the territory
Jiang Longyun	165,000	165,000	0.17	0	None	0	Natural persons within the territory
Zhou Zhihong	+5,000	160,000	0.16	0	None	0	Natural persons within the territory

Shareholding status of the top ten shareholders with unrestricted conditions

Shareholder name	The number of shares circulating under unrestricted conditions	Types and quantities of shares	
		Types	Quantity
Ye Xiangdong	1,188,800	RMB ordinary shares	1,188,800
Fang Wenbin	1,110,777	RMB ordinary shares	1,110,777
Dong Binzhe	210,000	RMB ordinary shares	210,000
Zhu Haifeng	177,966	RMB ordinary shares	177,966
Jiang Longyun	165,000	RMB ordinary shares	165,000
Zhou Zhihong	160,000	RMB ordinary shares	160,000
Zhejiang Yintai Ruiqi Venture Capital Co., Ltd	142,799	RMB ordinary shares	142,799
Guo Chen	135,000	RMB ordinary shares	135,000
Xu Jianhua	127,690	RMB ordinary shares	127,690
Yao Shu Mountain	112,773	RMB ordinary shares	112,773
Explanation of the above shareholder relationships or concerted actions	1. Wang Jianglin is the company's controlling shareholder and actual controller. Anji Henglin Trading Co., Ltd. is a limited liability company invested by Wang Jianglin and his spouse Mei Yimin. Wang Yaqin is Wang Jianglin's elder sister, and Wang Fan is his son. According to Article 83 of the "Measures for the Administration of Acquisitions of Listed Companies" regarding investors and persons acting in concert, Wang Jianglin, Anji Henglin Trading Co., Ltd., Wang Yaqin, and Wang Fan should be recognized as persons acting in concert. 2. The company is unaware of whether there are related relationships among the other top 10 unrestricted shareholders, as well as between the top 10 unrestricted tradable shareholders and the top 10 shareholders, or whether they constitute concerted actors as stipulated in the "Measures for the Administration of Acquisitions of Listed Companies."		
Explanation of preferred shareholders whose voting rights have been restored and the number of shares held	Not applicable		

Number of shares held by the top ten shareholders with restricted sales conditions and restrictions ☒ applicable ☐ Not applicable Unit: shares

Serial number	Name of shareholder with restricted sales conditions	The number of restricted shares held	Listing and trading status of restricted shares		Sales restriction conditions
			Available for listing and trading hours	Added the number of shares available for trading and listing	
1	Wang Jianglin	59,041,333	May 21, 2021	0	Initial release restrictions
2	Anji Henglin Trading Co., Ltd	11,250,000	May 21, 2021	0	Initial release restrictions
3	Wang Yaqin	750,000	May 21, 2021	0	Initial release restrictions
4	Wang Fan	208,667	May 21, 2021	0	Initial release restrictions

Explanation of the above shareholder relationships or concerted actions	Wang Jianglin is the company's controlling shareholder and actual controller. Anji Henglin Trading Co., Ltd. is a limited liability company invested by Wang Jianglin and his spouse Mei Yimin. Wang Yaqin is Wang Jianglin's elder sister, and Wang Fan is Wang Jianglin's son. According to Article 83 of the "Measures for the Administration of Acquisitions of Listed Companies" regarding investors and persons acting in concert, Wang Jianglin, Anji Henglin Trading Co., Ltd., Wang Yaqin, and Wang Fan should be recognized as persons acting in concert.
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(3) Strategic investors or general legal entities become among the top 10 shareholders through the placement of new shares

☐ applicable, ☒ not applicable

IV. Controlling Shareholder and Actual Controller Information (1) Controlling Shareholder

1 . Legal person

☐ applicable, ☒ not applicable

2 . Natural person

☒ applicable, ☐ not applicable

Name	Wang Jianglin
Nationality	China
Whether you have obtained residency rights in other countries or regions	No
Main occupations and positions	Chairman and General Manager

3 . Special Statement Regarding the Company's Absence of Controlling Shareholders

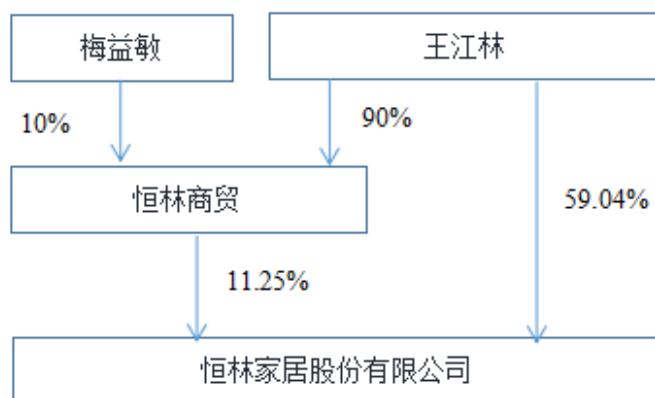
☐ applicable, ☒ not applicable

4 Index and Date of Changes in Controlling Shareholder During the Reporting Period

☐ applicable, ☒ not applicable

5 . Block diagram of the property rights and control relationships between the company and the controlling shareholder

☒ applicable, ☐ not applicable



(2) Actual Controller Information

1 . Legal person

☐ applicable, ☒ not applicable

2 . Natural person

☒ applies to ☐ does not apply to names

	Wang Jianglin
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Nationality	China
Whether you have obtained residency rights in other countries or regions	No
Main occupations and positions	Chairman and General Manager
Domestic and overseas listed companies that have held controlling shares in the past 10 years	Not applicable

3 . Special Statement Regarding the Company's Absence of Actual Controller

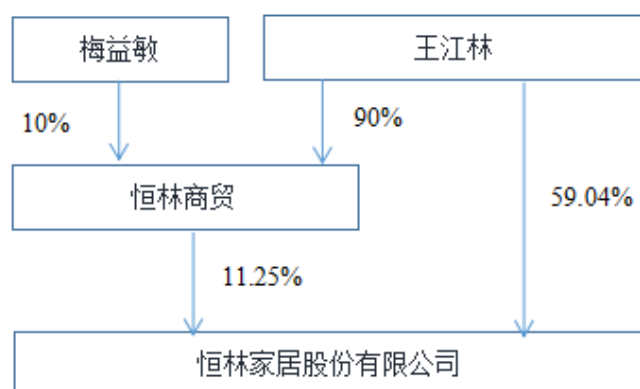
☐ applicable, ☒ not applicable

4 Index and date of changes in actual controller during the reporting period

☐ applicable, ☒ not applicable

5 Block diagram of property rights and control relationships between the company and the actual controller

☒ applicable, ☐ not applicable



6 . The actual controller controls the company through trusts or other asset management methods

☐ applicable, ☒ not applicable

(3) Other information about the controlling shareholder and actual controller

☐ applicable, ☒ not applicable

5. Other corporate shareholders holding more than 10% of shares

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Name of the legal entity shareholder	The person in charge or legal representative of the unit	Date of establishment	Organization Code	Registered capital	Main business operations or management activities
Anji Henglin Trading Co., Ltd	Wang Aiqin	October 24 , 2007	9133052366832526X1	148,000,000	Equity investment
Situation Description	Anji Henglin Trading Co., Ltd. is a limited liability company invested and established by Wang Jianglin and his spouse Mei Yimin				

6. Explanation of Share Restrictions and Share Reductions

☒ Applicable ☐ Not applicable For specific details, see Section 5 "Important Matters" "II. Fulfillment of Commitments" in this report. ☐ applicable, ☒ not

Section Preferred Stock Related
7

applicable

Section 8

The situation of directors, supervisors, senior management, and employees

1. Changes in shareholding and compensation

(1) Changes in shareholding and remuneration of current and former directors, supervisors, and senior management during the reporting period

√ Applicable □ Not applicable Unit: shares

Name	Position (Note).	Gender	Age	The start date of the term	End of term	Number of shares held at the beginning of the year	Year-end holdings	Annual changes in shares	Reasons for changes in additions or decreases	Total pre-tax remuneration received from the company during the reporting period (ten thousand yuan)	Whether compensation is obtained from the company's affiliates
Wang Jianglin	Director and General Manager	Male	50	June 29, 2015	July 15, 2021	59,041,333	59,041,333	0	/	66	No
Wang Yaqin	Director and Deputy General Manager	Female	53	June 29, 2015	July 15, 2021	750,000	750,000	0	/	60	No
The king and Zheng prospered	Director and Deputy General Manager	Male	45	June 29, 2015	July 15, 2021	0	0	0	/	42	No
Zhu Sidong	Director and Chief Financial Officer	Male	50	June 29, 2015	July 15, 2021	0	0	0	/	39	No
Cai Bin	Director	Male	38	June 29, 2015	July 15, 2021	0	0	0	/	33	No
Zhang Yunhui	Director	Male	38	July 16, 2018	July 15, 2021	0	0	0	/	42	No
Chen Jianfu	Board Secretary	Male	39	July 11, 2015	July 15, 2021	0	0	0	/	32	No
Jiang Hongyuan	Independent Director	Male	74	June 29, 2015	July 15, 2021	0	0	0	/	5	No
Xiong Xiaoping	Independent Director	Female	45	June 29, 2015	July 15, 2021	0	0	0	/	5	No
Qin Baorong	Independent Director	Male	60	July 16, 2018	July 15, 2021	600	600	0	/	5	No
Li Changshui	Chairman of the Supervisory Board	Male	55	June 29, 2015	July 15, 2021	0	0	0	/	42	No
Li Hui	Supervisor	Female	35	June 29, 2015	July 15, 2021	0	0	0	/	42	No
Zeng Wei	Employee representative supervisors	Male	36	July 16, 2018	July 15, 2021	0	0	0	/	42	No
Mei Yimin	Deputy General Manager	Female	48	July 16, 2018	July 15, 2021	0	0	0	/	36	No
Jiang Weidong	Deputy General Manager	Male	46	July 16, 2018	April 17, 2020	0	0	0	/	39	No
Total	/	/	/	July 16, 2018	July 15, 2021	59,791,933	59,791,933	0	/	530	

Name	Main work experience
Wang Jianglin	In 1998, he founded Anji County Henglin Furniture Co., Ltd. and served as executive director. Currently serves as Chairman and General Manager of the company; He also serves as Executive Director and General Manager of Guangde Henglin, Chairman and General Manager of Huzhou Hengxin, Executive Director of Hengyou Technology, Executive Director and General Manager of Henglin Furniture, Executive Director and General Manager of Henglin Technology, Executive Director and General Manager of Hengrui Home, Director of Anji Rural Commercial Bank, Director of Anji Hengsheng Technology Microfinance Co., Ltd., Supervisor of Luye Real Estate, Supervisor of Zhejiang Mingdu Investment Co., Ltd., Director of Beijing Yiyun Clean Technology Venture Capital Co., Ltd., Director of Changxing Hengtong Real Estate Development Co., Ltd., and Chairman of Zhejiang Weiya.

Wang Yaqin	Joined the company in 1998, currently serving as Director and Deputy General Manager, successively serving as cashier, Production Department Manager, and Procurement Supervisor; Also serves as Chairman of Ruide Sponge, Supervisor of Guangde Henglin, Director of Mid International, and Supervisor of Henglin Trading.
The king and Zhang prospered	Joined the company in 2008, currently serving as Director and Deputy General Manager, and has previously served as Manager of the R&D Department.
Zhu Sidong	Joined the company in 2003, currently serves as Director and Chief Financial Officer, and has held positions as Accounting and Finance Manager; Also serves as supervisor of Zhejiang Weiya, Henglin Technology, and Hengrui Home.
Cai Bin	Joined the company in 2012, currently serves as a company director, and has served as PMC department manager and general manager's office manager.
Zhang Yunhui	Joined the company in 2011, currently serves as Director and General Manager of Hengyi Furniture, and has previously served as Manager of the Business Department at Hengyou Technology.
Chen Jianfu	Joined the company in 2013 and currently serves as Board Secretary, responsible for and successfully promoting the company's IPO and listing process. Formerly served as Deputy Director of the Studio at Zhejiang Daily News Development Co., Ltd. It has successively received honors such as Gold Medal Board Secretary, Best Board Secretary, Pioneer Board Secretary, Most Innovative Board Secretary, and Best IPO Company.
Jiang Hongyuan	Since June 2015, he has served as an independent director of the company. Currently serves as Honorary Chairman and Director of the Expert Committee of the Zhejiang Home Furnishing Industry Association; Formerly served as Director of Sixth Space Home Group Co., Ltd. and Supervisor of Hangzhou Zhejia Furniture Information Consulting Co., Ltd.
Xiong Xiaoping	Since June 2015, has served as an independent director of the Company, currently serving as Deputy General Manager of Beijing Simurui Medical Pharmaceutical Information Consulting Co., Ltd.; Formerly served as Chief Financial Officer and Board Secretary of Lingkang Pharmaceutical Group Co., Ltd., and Chief Financial Officer and Board Secretary of Tibet Weixinkang Pharmaceutical Co., Ltd.
Qin Baorong	Since July 2018, has served as an independent director of the company; currently a professor and master's supervisor at the School of Information Engineering, Zhejiang University of Technology; He once served as a professor at Yancheng Institute of Technology.
Li Changshui	Joined the company in 2000, currently serves as Chairman of the Supervisory Board and General Manager of the Sofa Division, and has served as Head of the Technology Department and Manager of the Production Department.
Li Hui	Joined the company in 2007 and currently serves as a supervisor at RIVERFOREST HOLDINGS, INC General Manager, previously served as Manager of the International Business Department.
Zeng Wei	Joined the company in 2007, currently serving as Employee Representative Supervisor and Sales Director of the Swivel Chair International Trade Department.
Mei Yimin	Currently serves as Party Secretary, Deputy General Manager, and President of the Party School of Henglin Hongling Academy, concurrently serving as Party Representative of Huzhou City, Party Representative of Anji County, and Vice President of the Huzhou Two New Party Affairs Workers Association.
Jiang Weidong	Joined the company in 2016, from July 16, 2018 to April 17, 2020 Served as Deputy General Manager of the company; Also served as supervisor of Beijing Henglin; He previously served as Chairman of Anji Bamboo Expo Park Co., Ltd. and General Manager of Zhejiang Tianyue Yilong Real Estate Development Co., Ltd.

Other Explanations: ☐ applicable, ☒ not applicable

(2) Equity incentives granted to directors and senior management during the reporting period

☐ applicable, ☒ not applicable

II. Positions of directors, supervisors, and senior management who have left during the reporting period and those who are current or who have left the reporting period (1) Positions in shareholder units

☒ applicable, ☐ not applicable

Names of the staff members	Name of shareholder unit	Positions held within shareholder units	The start date of the term	End of term
Wang Yaqin	Henglin Trading	Supervisor		
Explanation of their positions in shareholder units	None			

(2) Employment in other units

√ applicable, □ not applicable

Names of the staff members	Other unit names	Positions held in other units	The start date of the term	End of term
Wang Jianglin	Zhejiang is second best	Chairman		
	Anji Agricultural and Commercial Bank	Director		
	Anji Hengsheng Technology Microloan Co., Ltd	Director		
	Beijing Yiyun Clean Technology Venture Capital Co., Ltd	Director		
	Changxing Hengtong Real Estate Development Co., Ltd	Director		
	Zhejiang Luye Real Estate Development Co., Ltd	Director		
	Zhejiang Mingdu Investment Co., Ltd	Director		
Zhu Sidong	Zhejiang is second best	Supervisor		
Jiang Hongyuan	Zhejiang Furniture Industry Association	Honorary Chairman and Chairman of the Expert Committee		
Xiong Xiaoping	Tibet Guoluan Technology Co., Ltd	Deputy General Manager, Board Secretary		
Qin Baorong	Zhejiang University of Technology	Professor and master's supervisor		
Explanation of their positions in other units	None			

3. Remuneration of directors, supervisors, and senior management

√ applicable, □ not applicable

Decision-making procedures for the remuneration of directors, supervisors, and senior management	The remuneration of directors, supervisors, and senior management personnel is determined by the Human Resources Department based on the company's compensation management policies, and independent director allowances are approved by the shareholders' meeting.
The basis for determining the remuneration of directors, supervisors, and senior management	The remuneration for company directors, supervisors, and senior management personnel consists of the basic company and year-end performance bonuses. The base salary is determined based on industry salary levels and combined with position, ability, and job responsibilities; Year-end performance bonuses are determined by the Board of Directors based on the company's achievement of annual business targets.
Actual payment of remuneration for directors, supervisors, and senior management	For details, please refer to this section "1. Changes in Shareholding and Remuneration" under "(1) Changes in Shareholding and Remuneration of Directors, Supervisors, and Senior Management Personnel During the Current and Reporting Periods."
The total actual remuneration received by all directors, supervisors, and senior management at the end of the reporting period	5.3 million yuan

4. Changes in the Company's Directors, Supervisors, and Senior Management Personnel

√ applicable, □ not applicable

Name	Positions held	Changes in the situation	Reasons for the change
Jiang Weidong	Deputy General Manager	Dismissed from the engagement	Resigned on April 17 , 2020, due to personal development reasons

5. Explanation of penalties imposed by securities regulatory authorities in the past three years

□ applicable, √ not applicable

VI. Employee Situation of the Parent Company and Major Subsidiaries (1) Employee Situation

The number of employees at the parent company	2,679
Number of employees currently employed at major subsidiaries	3,213
Total number of employees on the job	5,892
The number of retired employees who are required to bear expenses at the parent company and major subsidiaries	193
Professional composition	
Major Categories	Majors and number of students
Production staff	4,745
Sales staff	279
Technicians	498
Financial personnel	67
Administrative staff	303
Total	5,892
Education level	
Category of education level	Quantity (persons)
Master's degree or above	49
Bachelor's degree	396
Junior college and below	5,447
Total	5,892

(2) Salary Policy

√ Applicable □ Not Applicable The company's overall compensation system establishes an internal mechanism that combines duties, authority, responsibilities, and benefits, and a compensation system centered on employee performance-based pay. It follows the distribution principle of "distribution according to work, efficiency priority, balancing fairness and sustainable development," and adopts a distribution model of "position-based grading, ability determining salary, and performance-based rewards" to motivate employees to work and improve overall enterprise management levels. Compensation distribution is mainly determined based on the company's overall performance, job value, and employees' work performance, abilities, experience, education, professional qualifications and titles, work attitude, and spirit of cooperation.

(3) Training Plan

√ Applicable □ Not applicable. The company has established the Hongling Academy, which includes Henglin Party School, Henglin Business School, Henglin Chair Research Institute, Employee Lecture Hall, Social Practice Classroom, and Veterans Training Class. Relying on the academy, the company further optimizes its talent cultivation and training system, deepens employee training for all levels and types, and ensures that employee growth and development become a solid guarantee for the company's transformation and upgrading. In 2019, the company's training covered lean production, customer service, onboarding for new employees, and cadre training.

In 2020, Hongling Academy will continue to develop training programs based on the company's strategic plan, annual business policies, and programs, providing onboarding and on-the-job training for employee development. The onboarding training covers aspects such as company culture and policies, professional ethics and literacy, main products and businesses, production processes, quality management, and occupational safety. On-the-job education includes mandatory training

required by applicable laws and regulations such as environmental, health and safety management systems, as well as specialized training covering all levels and types of personnel. In 2020, Hongling Academy will continue to carry out training, adding content such as target management, performance assessment, and production-sales coordination to lean production, customer service, new employee onboarding training, and cadre training.

(4) Labor outsourcing situation

☐ applicable, ☒ not applicable

7. Others

☐ applicable, ☒ not applicable

Section Corporate governance Nine

1. Explanation of Corporate Governance Matters

☒ Applicable ☐ Not Applicable Since its establishment, the company has gradually established and improved foundational corporate governance systems such as the Rules of Procedure for General Meetings of Shareholders, Rules of Procedure for Board Meetings, Rules of Procedure for Board Meetings of Supervisors, Related Party Transaction Management System, Independent Director System, External Investment Management System, Raised Funds Management System, Shareholders' General Voting Implementation Rules, and Board Secretary System, in accordance with relevant laws and regulations. During the reporting period, the company's shareholders' meeting, board of directors, board of supervisors, and management team established mechanisms for mutual coordination and checks and balances. Independent directors and board secretaries effectively enhanced the fairness and rationality of board decisions, and the corporate governance structure operated effectively in accordance with relevant laws, regulations, and the company's articles of association.

(1) Actual Controller and Listed Company

The company's controlling shareholder and actual controller is Mr. Wang Jianglin. The company and the controlling shareholder and actual controller operate completely separately and independently in terms of assets, personnel, finance, organization, and business; The company's board of directors, board of supervisors, and internal functional departments operate independently, ensuring that major decisions are made by the shareholders' meeting and the board of directors in accordance with the law. The company has established a long-term mechanism to prevent controlling shareholders, actual controllers, and their subsidiaries from occupying the company's assets and infringing upon its interests.

(2) Shareholders and the General Meeting of Shareholders

The company has established a governance structure that ensures all shareholders fully exercise their legal rights and enjoy equal status, with particular emphasis on protecting the rights and interests of small and medium investors; The company maintains effective communication channels with shareholders through investor hotlines and other means; The company earnestly receives visits and phone inquiries from shareholders, ensuring that all shareholders have the right to be informed about major company matters; The company has formulated the "Investor Relations Management System," which ensures effective communication between the company and shareholders through institutional measures, fully safeguarding the interests of investors, especially small and medium investors.

(3) Directors and Board of Directors

The company's board of directors consists of 9 directors, including 3 independent directors, whose number and personnel meet the requirements of laws and regulations. All company directors are conscientiously responsible, diligent, and act with integrity, familiar with relevant laws and regulations, perform their duties with the company's best interests as the premise, and effectively safeguard the interests of the company and all shareholders. The Board of Directors has established four

specialized committees in accordance with relevant regulations: the Strategy Committee, the Remuneration and Appraisal Committee, the Audit Committee, and the Nomination Committee. During the reporting period, the company held seven board meetings. The convening and convening of the board strictly followed the provisions of the Articles of Association and the Rules of Procedure, effectively leveraging the board's decision-making mechanism.

(4) Supervisors and the Board of Supervisors

The number and composition of the company's supervisory board comply with laws, regulations, and the requirements of the Articles of Association; Supervisory board members are diligent and responsible, lawfully supervising and inspecting the company's lawful operations, financial inspections, and internal control compliance in fulfilling their duties, safeguarding the legitimate rights and interests of the company and its shareholders. During the reporting period, the company held four Supervisory Board meetings, effectively leveraging the supervisory mechanism.

(5) Information Disclosure and Transparency

The company strictly fulfills its information disclosure obligations truthfully, accurately, completely, and promptly in accordance with relevant national laws, regulations, rules, and the business rules of the Shanghai Stock Exchange, and ensures confidentiality before disclosure to ensure the disclosure of company information is open, fair, and just, guaranteeing that all shareholders have equal opportunities to access information.

(6) Investor relations and related stakeholders

The company is committed to building good investor relations, establishing multiple communication channels such as telephone and fax and dedicated emails, and takes visits and inquiries from shareholders and investors seriously. The company fully respects and safeguards the legitimate rights and interests of shareholders, creditors, employees, customers, consumers, suppliers, the environment, and other stakeholders, strengthens communication and interaction with stakeholders, actively assumes social responsibility, and makes due contributions to building a harmonious society.

Whether there are significant differences between corporate governance requirements and relevant CSRC regulations; If there are significant discrepancies, the reasons must be explained

☐ applicable, ☒ not applicable

2. Overview of the shareholders' meeting

Session of the Conference	Date of the meeting	Query index for designated websites where resolutions are published	The disclosure date of the resolution
The first extraordinary general meeting of shareholders in 2019	January 9, 2019	www.sse.com.cn	January 10, 2019
2018 Annual General Meeting of Shareholders	May 20, 2019	www.sse.com.cn	May 21, 2019
The second extraordinary general meeting of shareholders in 2019	June 17, 2019	www.sse.com.cn	June 18, 2019
The third extraordinary general meeting of shareholders in 2019	July 29, 2019	www.sse.com.cn	July 30, 2019

Shareholders' Meeting Statement ☐ applicable, ☒ not applicable

3. Performance of Directors' Duties

(1) Attendance of directors in the board of directors and shareholders' meetings

Director's Name	Whether they are independent directors	Board attendance						Attendance at the shareholders' meeting
		Number of board meetings to attend this year	Attendance in person	Number of times participating via communication	Number of delegated attendances	Number of absences	Whether you have failed to attend meetings in person for two consecutive years	Number of times attending shareholders' meetings
Wang Jianglin	No	7	7	0	0	0	No	3
Wang Yaqin	No	7	7	0	0	0	No	4
The king and Zheng prospered	No	7	7	0	0	0	No	4
Zhu Sidong	No	7	7	0	0	0	No	4
Cai Bin	No	7	7	0	0	0	No	4
Zhang Yunhui	No	7	7	0	0	0	No	2
Jiang Hongyuan	Yes	7	7	6	0	0	No	4
Xiong Xiaoping	Yes	7	7	6	0	0	No	4
Qin Baorong	Yes	7	7	6	0	0	No	4

Explanation for missing two consecutive board meetings in person ☐ applicable ☒ not applicable

Number of Board meetings held during the year	7
Among them: Number of on-site meetings	0
Number of meetings held by communication method	0
On-site meetings were held using communication methods	7

(2) Situations where independent directors raise objections to matters related to the company

☐ applicable, ☒ not applicable

(3) Others

☐ applicable, ☒ not applicable

4. If there are objections to important opinions and suggestions raised by special committees under the Board of Directors during the reporting period while performing their duties, specific details shall be disclosed

☐ applicable, ☒ not applicable

5. Explanation of the Supervisory Board's Identification of Company Risks

☐ applicable, ☒ not applicable

6. The company explains the situation regarding its inability to guarantee independence and maintain independent operating capabilities with the controlling shareholder in business, personnel, assets, organization, finance, and other aspects

☐ applicable, ☒ not applicable

If there is competition within the same industry, the company's corresponding solutions, work progress, and follow-up work plans ☐ applicable, ☒ not applicable

7. Evaluation mechanisms for senior management personnel, as well as the establishment and implementation of incentive mechanisms during the reporting period

☒ Applicable ☐ Not

Applicable The Board of Directors implements the company's performance appraisal management measures based on the completion of annual business targets and evaluates the performance of senior management personnel. Currently, the main incentives for senior management are salary incentives. In the future, the company will explore more incentive channels to form a multi-level comprehensive incentive mechanism to effectively motivate senior management and attract and retain outstanding management talent.

8. Whether the internal control self-evaluation report is disclosed

☒ Applicable ☐ Not applicable For details on the company's 2019 internal control self-assessment report, please refer to the "2019 " published on the same day on the Shanghai Stock Exchange website (www.sse.com.cn) and in the company' s designated statutory information disclosure media, China Securities Journal, Shanghai Securities News, Securities Daily, and Securities Times Annual Internal Control Self-Evaluation Report."

Explanation of Major Deficiencies in Internal Control During the Reporting Period ☐ Applicable ☒ Not Applicable

9. Explanation of relevant circumstances in the internal control audit report

☒ applicable ☐ Not applicable For details on the company's 2019 internal control audit report, please refer to the "2019 Internal Control Audit Report " published on the Shanghai Stock Exchange website (www.sse.com.cn) on the same day.

Disclosed internal control audit report: Yes

10. Others

☐ applicable, ☒ not applicable

Section 10 Corporate bond-related information

☐ applicable, ☒ not applicable

Section 11 Financial Reporting

1. Audit Report

√ applicable, □ not applicable

Audit report

Tianjian Shen [2020] No. 4378

To all shareholders of Henglin Home Co., Ltd.:

I. Audit Opinion

We audited the financial statements of Henglin Home Furnishing Co., Ltd. (hereinafter referred to as Henglin Co., Ltd.), including December 2019 consolidated and parent company balance sheets for the 31st, the consolidated and parent company income statements, consolidated and parent company cash flow statements, consolidated and parent company statements of changes in owners' equity, and related notes to the financial statements for 2019.

We believe that the attached financial statements have been prepared in all material respects in accordance with the requirements of the Accounting Standards for Business Enterprises and fairly reflect Henglin Holdings Limited's consolidated and parent company's financial position as of December 31, 2019, as well as in 2019 Consolidated and parent company operating results and cash flows for the year.

2. Forming the basis for the audit opinion

We carried out the audit work in accordance with the Chinese Certified Public Accountant Auditing Standards. The section "Responsibilities of Certified Public Accountants in Auditing Financial Statements" of the audit report further elaborates on our responsibilities under these standards. In accordance with the Code of Professional Ethics for Chinese Certified Public Accountants, we are independent from Henglin Co., Ltd. and fulfill other ethical responsibilities. We believe that the audit evidence we have obtained is sufficient and appropriate, providing a basis for issuing an audit opinion.

3. Key audit matters

Key audit matters are those we consider most important for the current financial statement audit based on our professional judgment. The response to these matters is based on auditing the entire financial statements and forming audit opinions; we do not comment on these matters separately.

(1) Revenue recognition

1. Description of matters

For details on related information disclosures, please refer to Note 3 (24), Note 5 (2) 1, and Note 13 (1) 2 of the financial statements.

Henglin Co., Ltd.'s revenue mainly comes from the sale of office chairs, sofas, office environment solutions, and accessories. In 2019, Henglin Co., Ltd.'s operating revenue was RMB 2,903.737 million.

Henglin Co., Ltd. domestic sales product revenue recognition must meet the following conditions: the company has delivered the product to the buyer according to the contract, the amount of product sales revenue has been determined, payment has been collected or receipt receipts have been obtained, and the related economic benefits are likely to flow in, and the product-related costs can be reliably measured. Recognition of export product revenue must meet the following conditions: the company has declared the product for customs according to the contract, obtained the bill of lading, the amount of product sales revenue has been determined, payment has been collected or receipt vouchers have been obtained, and the related economic benefits are likely to be flowing in, and the product-related costs can be reliably measured. Recognition of overseas sales product revenue must meet the following conditions: the company has delivered the product to the buyer according to the contract, the amount of product sales revenue has been determined, payment has been collected or receipts have been obtained, and related economic benefits are likely to flow in, and the costs related to the product can be reliably measured.

Since operating revenue is one of Hanglin Co., Ltd.'s key performance indicators, there may be inherent risks that the management (hereinafter referred to as management) may achieve specific goals or expectations through inappropriate revenue recognition. Therefore, we identified revenue recognition as a key audit matter.

2. Audit response

For revenue recognition, our audit procedures mainly include:

- (1) Understand the key internal controls related to revenue recognition, evaluate the design of these controls, determine whether they are implemented, and test the effectiveness of the relevant internal controls;
- (2) Review sales contracts, understand the main contract terms or conditions, and evaluate whether the revenue recognition method is appropriate;
- (3) Conduct substantive analysis procedures for operating revenue and gross margin by month, product, customer, etc., identify whether there are significant or abnormal fluctuations, and determine the causes of these fluctuations;
- (4) For domestic sales revenue, sampling is used to check supporting documents related to revenue recognition, including sales contracts, orders, sales invoices, outbound orders, delivery orders, transport orders, and customer receipts; For export revenue, obtain electronic port information and cross-check with book records, and use sampling to check supporting documents such as sales contracts, export declarations, freight bills of lading, and sales invoices;
- (5) Combined with accounts receivable confirmation, sampling confirmation of the current period's sales amount to major customers;
- (6) Implement cutoff tests for operating income recognized before and after the balance sheet date to evaluate whether revenue is recognized within an appropriate period;
- (7) Check whether information related to operating income has been appropriately presented and disclosed in the financial statements.

(2) Impairment of accounts receivable

1. Description of matters

For details on related information disclosures, please refer to Note 3(10) and Note 5(1)4 of the financial statements.

As of December 31, 2019, Henglin Co., Ltd. had a book balance of RMB 637.0163 million, a bad debt provision of RMB 62.7907 million, and a book value of RMB 574.2256 million yuan.

Management measures loss allowances based on the credit risk characteristics of each accounts receivable, based on individual accounts receivable or combinations of accounts receivable, and based on the expected credit loss amount over the entire life. For accounts receivable that measure expected credit losses on a single-item basis, management comprehensively considers reasonable and well-founded information about past events, current conditions, and future economic forecasts, estimates expected cash flows, and determines the provision for bad debts accordingly; For accounts receivable with expected credit losses measured on a portfolio basis, management classifies the portfolio based on aging, referencing historical credit loss experience and adjusting based on forward-looking estimates, and prepares a comparison table between aging accounts receivable and expected credit loss ratios to determine the allowance for bad debts.

Due to the significant amount of accounts receivable and the impairment test involving significant management decisions, we identified the impairment as a key audit matter.

2. Audit response

For accounts receivable impairment, our audit procedures mainly include:

- (1) Understand key internal controls related to accounts receivable impairment, evaluate the design of these controls, determine whether they are implemented, and test the effectiveness of these internal controls;
- (2) Review the subsequent actual write-off or reversal of accounts receivable for which bad debt provisions have been made in previous years, and evaluate the accuracy of management's past forecasts;
- (3) Review management's relevant considerations and objective evidence for impairment testing of accounts receivable, and assess whether management has adequately identified accounts receivable that have been impaired;
- (4) For accounts receivable subject to separate impairment testing, obtain and examine management's forecasts of the present value of future cash flows, evaluate the reasonableness of key assumptions used in forecasts and the accuracy of data, and cross-check with obtained external evidence;
- (5) For accounts receivable that measure expected credit losses on a portfolio basis, evaluate the rationality of management's classification of portfolios according to credit risk characteristics; Evaluate the reasonableness of the balance table between aging accounts receivable and expected credit loss ratios determined by management based on historical credit loss experience and forward-looking estimates; Testing the accuracy and completeness of management's use of data (including aging accounts receivable, etc.) and whether the calculation of bad debt provisions is accurate;
- (6) Review the post-period collection of accounts receivable and evaluate the reasonableness of management's provision for bad debts;
- (7) Discuss the recoverability of significant accounts receivable with management and carry out confirmation procedures;
- (8) Check whether information related to impairments of accounts receivable has been properly presented and disclosed in the financial statements.

4. Other information

Management is responsible for other information. Other information includes those covered in the annual report but excludes the financial statements and our audit reports.

Our audit opinion on the financial statements does not cover other information, nor do we make any form of assurance conclusion regarding such information.

In conjunction with our audit of financial statements, our responsibility is to review additional information and, in the process, consider whether there are material discrepancies with the financial statements or what we learned during the audit, or whether there appears to be material misstatements.

Based on the work we have done, if we identify material misstatements in other information, we should report those facts. In this regard, we have nothing to report.

5. Responsibilities of management and governance for financial statements

Management is responsible for preparing financial statements in accordance with the Accounting Standards for Business Enterprises to ensure fair reflection, and designing, implementing, and maintaining necessary internal controls to ensure that the financial statements are free from material misstatements caused by fraud or error.

When preparing the financial statements, management is responsible for assessing Henglin Corporation's ability to continue as a going concern, disclosing matters related to going concern (if applicable), and applying going concern assumptions unless liquidation, termination of operations, or other realistic options are planned.

The Governance Layer of Henglin Co., Ltd. (hereinafter referred to as the Governance Layer) is responsible for supervising the financial reporting process of Henglin Co., Ltd.

6. Responsibilities of certified public accountants regarding financial statement audits

Our goal is to provide reasonable assurance that the overall financial statements are free from material misstatements caused by fraud or error, and to issue an audit report containing an audit opinion. Reasonable assurance is a high-level assurance, but it does not guarantee that audits conducted according to auditing standards will always detect material misstatements when they occur. Misstatements may be caused by fraud or errors, and if it is reasonably expected that misstatements alone or collectively could affect the economic decisions made by financial statement users based on the financial statements, the misstatement is generally considered material.

In conducting audit work in accordance with audit standards, we apply professional judgment and maintain professional skepticism. At the same time, we also carry out the following tasks:

(1) Identify and assess the risk of material misstatements in financial statements caused by fraud or errors, design and implement audit procedures to address these risks, and obtain sufficient and appropriate audit evidence as a basis for issuing audit opinions. Because fraud may involve collusion, forgery, intentional omission, false statements, or override internal controls, the risk of failing to detect material misstatements due to fraud is higher than failing to detect material misstatements.

(2) Understand internal controls related to audits to design appropriate audit procedures.

(3) Evaluate the appropriateness of management's choice of accounting policies and the reasonableness of accounting estimates and related disclosures.

(4) Conclusions on the appropriateness of management's use of the going concern assumption. At the same time, based on the obtained audit evidence, a conclusion was drawn about whether there is significant uncertainty in matters or circumstances that could cause significant doubts about Henglin Co., Ltd.'s ability to continue as a going concern. If we conclude that there is material uncertainty, the auditing standard requires us to draw the attention of the user of the statement to the relevant disclosures in the financial statements in the audit report; If disclosure is insufficient, we should issue a non-unqualified opinion. Our conclusions are based on information available as of the audit report date. However, future events or circumstances may prevent Henglin Co., Ltd. from going further.

(5) Evaluate the overall presentation, structure, and content of the financial statements, and assess whether the financial statements fairly reflect the relevant transactions

and matters. (6) Obtain sufficient and appropriate audit evidence for the financial information of entities or business activities within Henglin Co., Ltd., in order to issue an audit opinion on the financial statements. We are responsible for guiding, supervising, and executing group audits, and bear full responsibility for audit opinions.

We communicate with the governance layer about the scope of the planned audit, timing, and material audit findings, including discussing the internal control deficiencies we identified during the audit.

We also provide a statement to the governance team regarding compliance with professional ethics requirements related to independence, and communicate with the governance about all relationships and other matters that may reasonably be considered to affect our independence, as well as related preventive measures (if applicable).

From matters communicated with governance, we identified which matters were most important to the current financial statement audit and thus constituted key audit matters. We describe these matters in the audit report unless laws and regulations prohibit public disclosure, or, in very rare cases, if it is reasonably expected that the negative consequences of communicating an issue in the audit report outweigh the benefits in public interest, we determine that such matters should not be disclosed in the audit report.

Tianjian Certified Public Accountants
(Special General Partnership)

Chinese Certified Public Accountant:
(Project Partner)

China · Hangzhou

Chinese Certified Public Accountant:

April 27, 2020

2. Financial Statements Consolidated balance sheet

December 31, 2019 Unit: Yuan Currency: RMB

Prepared by: Henglin Home Co., Ltd

Project	Note	December 31, 2019	December 31, 2018
Current assets:			
Monetary funds		567,363,140.52	421,311,112.35
Settle the reserve funds			
Borrowing funds			
Trading financial assets		196,254,617.69	

Financial assets measured at fair value with changes recognized in current profit or loss			
Derivative financial assets			
Notes receivable		8,102,343.67	400,000.00
Accounts receivable		574,225,579.01	432,748,679.94
Receivables financing			
Prepaid items		47,244,410.57	29,008,110.37
Premiums receivable			
Secured accounts receivable			
Receivable reserve for subinsurance contracts			
Other receivables		60,955,740.71	103,135,008.40
Where: Interest receivable			
Dividends receivable			
Buyback financial assets			
Inventory		418,677,364.18	252,581,324.00
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets		25,718,519.71	977,394,003.47
Total current assets		1,898,541,716.06	2,216,578,238.53
Non-current assets:			
Issuance of loans and advances			
Debt investment			
Available-for-sale financial assets			48,991,549.50
Other debt investments			
Hold-to-maturity investment			
Long-term receivables			
Long-term equity investment		275,994,531.45	8,013,251.11
Other equity instrument investments		103,467,873.60	
Other non-current financial assets		80,367,287.67	
Investment real estate			
Fixed assets		959,515,999.37	335,591,381.87
Construction in progress		122,502,043.60	140,968,729.77
Productive biological assets			
Oil and gas assets			
Right-of-use assets			
Intangible assets		146,290,883.99	95,661,569.07
Development expenditure			
Goodwill		12,963,624.96	
Long-term deferred expenses		14,240,801.52	9,736,512.00
Deferred income tax assets		19,012,891.27	10,701,386.46
Other non-current assets		111,293,361.60	20,738,360.00
Total non-current assets		1,845,649,299.03	670,402,739.78
Total assets		3,744,191,015.09	2,886,980,978.31
Current liabilities:			
Short-term loans		58,268,601.39	40,000,000.00
Borrowing from the central bank			
Borrowed funds			
Trading financial liabilities			

Financial liabilities measured at fair value with changes recognized in profit or loss for the period			6,854,058.96
Derivative financial liabilities			
Notes payable		54,370,484.58	13,911,732.90
Accounts payable		519,777,172.98	392,317,090.32
Advance payments		48,575,404.84	12,353,910.09
Funds for repurchasing financial assets by selling and repurchasing them			
Accepting deposits and interbank deposits			
Acting as an agent for securities trading			
Agency for underwriting of securities payments			
Employee compensation payable		74,596,129.87	49,077,759.03
Taxes payable		32,030,226.71	5,927,285.38
Other payables		22,017,145.89	21,245,497.82
Among them: interest payable			284,444.44
Dividends payable		4,545,211.89	
Payable fees and commissions			
Accounts payable for subinsurance			
Holding liabilities for sale			
Non-current liabilities due within one year		28,811,200.00	
Other current liabilities			
Total current liabilities		838,446,366.26	541,687,334.50
Non-current liabilities:			
Insurance contract reserves			
Long-term loans		223,974,631.39	
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities			
Long-term payables		2,168,042.80	
Long-term payable employee compensation		27,593,926.80	
Projected liabilities			
Deferred income		35,068,315.57	36,129,297.67
Deferred income tax liabilities		16,685,158.22	
Other non-current liabilities			
Total non-current liabilities		305,490,074.78	36,129,297.67
Total liabilities		1,143,936,441.04	577,816,632.17
Owner's equity (or shareholders' equity):			
Paid-in capital (or share capital)		100,000,000.00	100,000,000.00
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve		1,353,957,140.20	1,353,957,140.20
Subtract: Treasury stock			
Other comprehensive income		44,446,179.79	-9,654.08
Special reserves			
and surplus public accumulation		50,000,000.00	50,000,000.00
General risk preparation			
Undistributed profits		972,539,144.43	757,144,188.37

Total equity (or shareholders' equity) attributable to the parent company		2,520,942,464.42	2,261,091,674.49
Minority Interests		79,312,109.63	48,072,671.65
Total owners' equity (or shareholders' equity).		2,600,254,574.05	2,309,164,346.14
Total liabilities and owners' equity (or shareholders' equity).		3,744,191,015.09	2,886,980,978.31

Legal representative: Wang Jianglin; person in charge of accounting: Zhu Sidong; head of accounting department: Zhu Sidong

Parent company balance sheet

December 31, 2019 Unit: Yuan Currency: RMB

Prepared by: Henglin Home Co., Ltd

Project	Note	December 31, 2019	December 31, 2018
Current assets:			
Monetary funds		301,964,909.38	327,468,516.14
Trading financial assets		165,650,000.00	
Financial assets measured at fair value with changes recognized in current profit or loss			
Derivative financial assets			
Notes receivable		4,209,537.32	
Accounts receivable		391,148,207.77	328,610,910.04
Receivables financing			
Prepaid items		37,538,151.46	35,422,480.51
Other receivables		594,541,661.73	106,169,086.21
Where: Interest receivable			
Dividends receivable			
Inventory		145,195,170.05	125,532,523.53
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets		5,286,710.82	779,583,990.39
Total current assets		1,645,534,348.53	1,702,787,506.82
Non-current assets:			
Debt investment			
Available-for-sale financial assets			48,991,549.50
Other debt investments			
Hold-to-maturity investment			
Long-term receivables			
Long-term equity investment		551,266,599.82	372,254,546.16
Other equity instrument investments		103,467,873.60	
Other non-current financial assets		80,367,287.67	
Investment real estate			
Fixed assets		357,453,584.99	224,724,168.56
Construction in progress		40,981,841.77	117,920,159.46
Productive biological assets			
Oil and gas assets			

Right-of-use assets			
Intangible assets		76,513,384.35	76,715,247.81
Development expenditure			
Goodwill			
Long-term deferred expenses		5,841,907.20	9,736,512.00
Deferred income tax assets		13,709,523.91	9,496,442.27
Other non-current assets		5,944,793.60	3,000,000.00
Total non-current assets		1,235,546,796.91	862,838,625.76
Total assets		2,881,081,145.44	2,565,626,132.58
Current liabilities:			
Short-term loans		30,290,238.36	40,000,000.00
Trading financial liabilities			
Financial liabilities measured at fair value with changes recognized in profit or loss for the period			6,854,058.96
Derivative financial liabilities			
Notes payable		82,348,847.61	13,911,732.90
Accounts payable		343,193,602.15	302,156,349.15
Advance payments		11,275,908.98	11,736,694.90
Employee compensation payable		38,907,475.08	33,363,056.06
Taxes payable		5,680,030.13	3,272,554.54
Other payables		33,046,458.39	52,312,500.22
Among them: interest payable			284,444.44
Dividends payable			
Holding liabilities for sale			
Non-current liabilities due within one year			
Other current liabilities			
Total current liabilities		544,742,560.70	463,606,946.73
Non-current liabilities:			
Long-term loans			
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities			
Long-term payables			
Long-term payable employee compensation			
Projected liabilities			
Deferred income		35,068,315.57	36,129,297.67
Deferred income tax liabilities		8,171,448.62	
Other non-current liabilities			
Total non-current liabilities		43,239,764.19	36,129,297.67
Total liabilities		587,982,324.89	499,736,244.40
Owner's equity (or shareholders' equity):			
Paid-in capital (or share capital)		100,000,000.00	100,000,000.00
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve		1,346,972,609.43	1,346,972,609.43
Subtract: Treasury stock			

Other comprehensive income		46,304,875.48	
Special reserves			
and surplus public accumulation		50,000,000.00	50,000,000.00
Undistributed profits		749,821,335.64	568,917,278.75
Total owners' equity (or shareholders' equity).		2,293,098,820.55	2,065,889,888.18
Total liabilities and owners' equity (or shareholders' equity).		2,881,081,145.44	2,565,626,132.58

Legal representative: Wang Jianglin; person in charge of accounting: Zhu Sidong; head of accounting department: Zhu Sidong

Consolidated income statement

January– December 2019 Unit: RMB Currency: RMB

Project	Note	Fiscal Year 2019	Fiscal Year 2018
1. Total operating revenue		2,903,737,030.75	2,317,811,065.00
Among them: operating revenue		2,903,737,030.75	2,317,811,065.00
Interest income			
Already earned premiums			
Fee and commission income			
2. Total operating costs		2,654,263,459.51	2,159,096,916.39
Specifically: operating costs		2,178,558,275.53	1,863,574,085.83
Interest expenses			
Fees and commission expenses			
Withdrawal and protection funds			
Net compensation expenditure			
Appropriation of the net insurance liability reserve			
Policy dividend expenditure			
Coverage costs			
Taxes and surcharges		14,648,090.57	13,542,957.66
Selling expenses		195,226,887.94	123,748,175.86
Administrative expenses		163,191,514.51	77,212,212.01
R&D expenses		109,214,652.04	97,799,183.95
Financial expenses		-6,575,961.08	-16,779,698.92
Where: interest expenses		10,983,581.47	1,614,301.40
Interest income		13,503,481.32	1,393,894.37
Add: Other income		27,444,132.87	21,492,804.97
Investment gains (losses are indicated with "-")		38,010,226.47	44,373,837.57
Among them: investment returns on associates and joint ventures		7,467,434.12	-878,403.62
Derecognition of gains on financial assets measured at amortized cost		-214,606.17	
Foreign exchange gains (losses are indicated with "-")			
Net hedging gains (losses are indicated by "-")			
Gains from changes in fair value (loss is defined as)		6,854,058.96	-6,854,058.96

Fill in the "-" mark)			
Credit impairment loss (loss is indicated by a "-")		-31,957,116.34	
Asset impairment losses (losses are indicated with "-")		-9,013,457.68	-13,850,869.46
Gains from asset disposal (losses are indicated with "-")		-642,156.55	255,566.48
III. Operating Profit (Loss is indicated by a "-")		280,169,258.97	204,131,429.21
Add: Non-operating income		9,106,120.85	196,233.74
Decrease: Non-operating expenses		2,719,852.17	12,388,393.15
IV. Total Profit (Total loss is indicated by a "-" mark)		286,555,527.65	191,939,269.80
Less: income tax expenses		39,090,383.11	19,070,717.34
5. Net Profit (Net loss is indicated by a "-")		247,465,144.54	172,868,552.46
(1) Classification by Business Continuity			
1. Net profit from continuing operations (net loss is indicated by "-").		247,465,144.54	172,868,552.46
2. Net profit from termination of operations (net loss is indicated by a "-") mark			
(2) Classification by ownership			
1. Net profit attributable to shareholders of the parent company (net loss is indicated by "-").		243,394,956.06	170,950,478.82
2. Minority Shareholders' Profit and Loss (net loss is indicated with a "-") mark		4,070,188.48	1,918,073.64
6. Net after tax of other comprehensive income		3,651,927.16	-18,929.58
(1) Net after-tax amount of other comprehensive income attributable to the parent company		3,647,689.17	-9,654.08
1. Other comprehensive income that cannot be reclassified into profit or loss		5,496,730.78	
(1) Re-measure and set changes in the benefit plan			
(2) Other comprehensive income under the equity method that cannot be converted to profit or loss			
(3) Changes in the fair value of investments in other equity instruments		5,496,730.78	
(4) Changes in the fair value of the enterprise's own credit risk			
2. Reclassify into other comprehensive income in profit or loss		-1,849,041.61	-9,654.08
(1) Other comprehensive income that can be transferred to profit or loss under the equity method			
(2) Changes in the fair value of other debt investments			
(3) Gains or losses on changes in fair value of available-for-sale financial assets			
(4) The amount of financial assets reclassified and included in other comprehensive income			
(5) Held-to-maturity investments are reclassified as gains and losses from available-for-sale financial assets			
(6) Credit impairment provisions for other debt investments			

(7) Cash Flow Hedging Reserves (the effective portion of cash flow hedging gains and losses)			
(8) Differences in foreign currency financial statement translation		-1,849,041.61	-9,654.08
(9) Others			
(2) Net after-tax amount of other comprehensive income attributable to minority shareholders		4,237.99	-9,275.50
7. Total comprehensive income		251,117,071.70	172,849,622.88
(1) Total comprehensive income attributable to the owners of the parent company		247,042,645.23	170,940,824.74
(2) Total comprehensive income attributable to minority shareholders		4,074,426.47	1,908,798.14
8. Earnings per share:			
(1) Basic earnings per share (yuan/share).		2.43	1.71
(2) Diluted earnings per share (yuan/share).		2.43	1.71

For business combinations under common control occurring during the period, the net profit realized by the merged party before the merger was: 0 yuan, compared to the previous period

Net profit achieved: 0 yuan.

Legal representative: Wang Jianglin Head of Accounting: Zhu Sidong Head of Accounting Department: Zhu Sidong

Parent company's income statement

January– December 2019 Unit: RMB Currency: RMB

Project	Note	Fiscal Year 2019	Fiscal Year 2018
1. Operating income		1,705,605,846.79	1,586,855,602.77
Decrease: operating costs		1,257,436,415.52	1,254,878,958.34
Taxes and surcharges		9,469,924.87	9,064,435.17
Selling expenses		107,009,957.52	109,196,172.98
Administrative expenses		90,808,069.20	51,441,273.12
R&D expenses		61,280,473.18	64,590,486.82
Financial expenses		-1,285,506.30	-13,992,847.33
Where: interest expenses		4,114,425.91	1,614,301.40
Interest income		9,522,987.43	1,657,514.27
Add: Other income		20,008,474.70	19,235,419.34
Investment gains (losses are indicated with "-")		53,108,764.05	43,411,571.17
Among them: investment returns on associates and joint ventures		6,889,362.76	-377,873.44
Derecognition of gains on financial assets measured at amortized cost		-214,606.17	
Net exposure hedging gains (losses are indicated by "-")			
Gains from changes in fair value (losses are indicated by "-")		6,854,058.96	-6,854,058.96
Credit impairment loss (loss indicated by "-")		-28,812,642.01	
Asset impairment losses (losses are marked with "-")		-7,893,281.88	-11,789,752.10

Fill in)			
Gains from asset disposal (losses are indicated with "-")		1,970,996.00	46,735.96
II. Operating Profit (Loss is indicated by a "-")		226,122,882.62	155,727,039.08
Add: Non-operating income		8,967,911.77	14,125.97
Decrease: Non-operating expenses		620,108.09	10,105,344.96
3. Total Profit (Total Loss is indicated by a "-" mark)		234,470,686.30	145,635,820.09
Less: income tax expenses		25,566,629.41	15,717,340.03
IV. Net Profit (Net loss is indicated with a "-")		208,904,056.89	129,918,480.06
(1) Net profit from continuing operations (net loss is indicated by "-")		208,904,056.89	129,918,480.06
(2) Net profit from discontinued operations (net loss is indicated by "-")			
5. Net after-tax amount of other comprehensive income		5,496,730.78	
(1) Other comprehensive income that cannot be reclassified into profit or loss		5,496,730.78	
1. Re-measure and set changes in the benefit plan			
2. Other comprehensive income that cannot be converted into profit or loss under the equity method			
3. Changes in the fair value of investments in other equity instruments		5,496,730.78	
4. Changes in the fair value of the company's own credit risk			
(2) Other comprehensive income to be reclassified into profit or loss			
1. Other comprehensive income that can be turned into profit or loss under the equity method			
2. Other changes in the fair value of debt investments			
3. Gains or losses on changes in fair value of available-for-sale financial assets			
4. The amount of financial asset reclassification included in other comprehensive income			
5. Held-to-maturity investments are reclassified as gains and losses from available-for-sale financial assets			
6. Other credit impairment provisions for debt investments			
7. Cash Flow Hedging Reserve (the effective portion of the cash flow hedging gains and losses).			
8. Differences in foreign currency financial statement translation			
9. Others			
6. Total comprehensive income		214,400,787.67	
7. Earnings per share:			
(1) Basic earnings per share (yuan/share).			
(2) Diluted earnings per share (yuan/share).			

Legal representative: Wang Jianglin Head of Accounting: Zhu Sidong

Head of Accounting
Department: Zhu Sidong

Consolidated cash flow statement

January– December 2019 Unit: RMB Currency: RMB

Project	Note	Fiscal Year 2019	Fiscal Year 2018
1. Cash Flow from Operating Activities:			
Cash received from selling goods and providing services		2,943,188,844.02	2,246,542,964.50
Net increase in customer deposits and interbank deposits			
Net increase in borrowings from central banks			
Net increase in borrowed funds from other financial institutions			
Cash received from the original insurance contract premium			
Net cash received from reinsurance business			
Net increase in policyholder deposits and investment funds			
Collect cash for interest, fees, and commissions			
Net increase in borrowed funds			
Net increase in repurchase business funds			
Net cash received from acting as an agent for securities trading			
Received tax refunds		213,012,350.66	200,558,822.42
Receiving other cash related to operating activities		76,100,893.75	29,002,701.45
Subtotal of cash inflows from operating activities		3,232,302,088.43	2,476,104,488.37
Cash paid for purchasing goods and accepting services		2,133,633,460.57	1,840,482,005.56
Net increase in customer loans and advances			
Net increase in deposits with central banks and interbank funds			
Pay the original insurance contract compensation amount in cash			
Net increase in borrowed funds			
Cash payments for interest, fees, and commissions			
Cash for paying policy dividends			
Cash paid to and for employees		494,603,986.29	371,331,543.05
All taxes and fees paid		73,428,100.36	65,161,285.06
Pay other cash related to operating activities		244,413,233.19	183,623,519.43
Subtotal of cash outflows from operating activities		2,946,078,780.41	2,460,598,353.10
Net cash flow from operating activities		286,223,308.02	15,506,135.27
2. Cash Flow from Investing Activities:			
Recoup the cash received from the investment		1,843,800,000.00	365,400,000.00
Cash received from investment returns		44,165,234.23	57,717,737.21
Net cash recovered from disposal of fixed assets, intangible assets, and other long-term assets		3,722,556.77	7,573,161.44
Disposal of net cash received by subsidiaries and other business units			
Receiving other cash related to investment activities		40,580,911.17	38,919,149.48
Subtotal of cash inflows from investing activities		1,932,268,702.17	469,610,048.13
Cash paid for the purchase and construction of fixed assets, intangible assets, and other long-term assets		282,257,539.48	189,331,521.57
Cash paid for investment		1,522,087,295.14	190,000,000.00
Net increase in pledge loans			
Cash paid by subsidiaries and other business units is acquired		470,954,115.09	36,979,331.65
Pay other cash related to investment activities		22,148,590.65	61,596,544.88
Subtotal of cash outflows from investing activities		2,297,447,540.36	477,907,398.10
Net cash flow from investing activities		-365,178,838.19	-8,297,349.97

3. Cash Flow from Financing Activities:			
Absorb the cash received from investments		664,684.51	4,239,964.99
Among them: the subsidiary absorbs cash received from minority shareholders' investments		664,684.51	4,239,964.99
Obtain the cash received from the loan		470,199,173.03	40,000,000.00
Receiving other cash related to fundraising activities			
Subtotal of cash inflows from financing activities		470,863,857.54	44,239,964.99
Cash paid for debt repayment		201,926,790.00	
Cash paid for dividends, profits, or interest payments		38,231,562.56	90,332,236.56
Among them: dividends and profits paid by subsidiaries to minority shareholders			
Pay other cash related to fundraising activities		9,029,680.00	1,188,679.25
Subtotal of cash outflows from financing activities		249,188,032.56	91,520,915.81
Net cash flow from financing activities		221,675,824.98	-47,280,950.82
4. The Impact of Exchange Rate Fluctuations on Cash and Cash Equivalents		3,702,342.71	7,373,099.10
5. Net increase in cash and cash equivalents		146,422,637.52	-32,699,066.42
Add: Opening cash and cash equivalents balance		405,118,912.35	437,817,978.77
6. Cash and cash equivalents at period-end		551,541,549.87	405,118,912.35

Legal representative: Wang
Jianglin

Head of Accounting: Zhu Sidong
Head of Accounting Department: Zhu
Sidong

Parent company cash flow statement

January– December 2019 Unit: RMB Currency: RMB

Project	Note	Fiscal Year 2019	Fiscal Year 2018
1. Cash Flow from Operating Activities:			
Cash received from selling goods and providing services		1,637,037,316.89	1,533,933,164.81
Received tax refunds		156,341,160.07	152,858,512.49
Receiving other cash related to operating activities		38,152,847.47	27,020,753.57
Subtotal of cash inflows from operating activities		1,831,531,324.43	1,713,812,430.87
Cash paid for purchasing goods and accepting services		1,163,379,175.28	1,226,847,342.82
Cash paid to and for employees		251,618,002.67	245,514,824.66
All taxes and fees paid		42,613,053.49	38,203,184.57
Pay other cash related to operating activities		177,626,727.22	138,433,271.28
Subtotal of cash outflows from operating activities		1,635,236,958.66	1,648,998,623.33
Net cash flow from operating activities		196,294,365.77	64,813,807.54
2. Cash Flow from Investing Activities:			
Recoup the cash received from the investment		1,653,800,000.00	365,400,000.00
Cash received from investment returns		60,231,854.69	56,254,940.63
Net cash recovered from disposal of fixed assets, intangible assets, and other long-term assets		9,653,512.05	420,204.47
Disposal of net cash received by subsidiaries and other business units			
Receiving other cash related to investment activities		24,560,612.33	134,494,362.56
Subtotal of cash inflows from investing activities		1,748,245,979.07	556,569,507.66
Purchase and build fixed assets, intangible assets, and other long-term assets		88,392,063.70	129,854,499.65

Cash paid by assets			
Cash paid for investment		1,309,855,421.14	267,669,074.98
Cash paid by subsidiaries and other business units is acquired			
Pay other cash related to investment activities		522,841,473.65	153,676,181.28
Subtotal of cash outflows from investing activities		1,921,088,958.49	551,199,755.91
Net cash flow from investing activities		-172,842,979.42	5,369,751.75
3. Cash Flow from Financing Activities:			
Absorb the cash received from investments			
Obtain the cash received from the loan		190,122,810.00	40,000,000.00
Receiving other cash related to fundraising activities			
Subtotal of cash inflows from financing activities		190,122,810.00	40,000,000.00
Cash paid for debt repayment		201,926,790.00	
Cash paid for dividends, profits, or interest payments		32,108,631.99	
Pay other cash related to fundraising activities			
Subtotal of cash outflows from financing activities		234,035,421.99	91,518,536.21
Net cash flow from financing activities		-43,912,611.99	-51,518,536.21
4. The Impact of Exchange Rate Fluctuations on Cash and Cash Equivalents		-5,107,971.77	4,208,209.13
5. Net increase in cash and cash equivalents		-25,569,197.41	22,873,232.21
Add: Opening cash and cash equivalents balance		311,742,516.14	288,869,283.93
6. Cash and cash equivalents at period-end		286,173,318.73	311,742,516.14

Legal representative: Wang Jianglin Head of Accounting: Zhu Sidong

Head of Accounting
Department: Zhu Sidong

Consolidated Statement of Changes in Owners' Equity

January– December 2019 Unit: RMB Currency: RMB

Project	Fiscal Year 2019														
	Equity attributable to the parent company's owners											Minority Interests	Total owners' equity		
	Paid-in capital (or share capital).	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	General risk preparation	Undistributed profits			Others	Sub-total
		Preferred stock	Perpetual debt	Others											
1. Ending balance of the previous year	100,000,000.00				1,353,957,140.20		-9,654.08		50,000,000.00		757,144,188.37		2,261,091,674.49	48,072,671.65	2,309,164,346.14
Add: Change in accounting policy							40,808,144.70						40,808,144.70		40,808,144.70
Correction of previous errors															
Merger under common control															
Others															
2. Beginning balance for the current year	100,000,000.00				1,353,957,140.20		40,798,490.62		50,000,000.00		757,144,188.37		2,301,899,819.19	48,072,671.65	2,349,972,490.84

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3. Amount of change in the current period (decrease by “ _ ” (Fill in number)						3,647,689.17				215,394,956.06		219,042,645.23	31,239,437.98	250,282,083.21
(1) Total comprehensive income						3,647,689.17				243,394,956.06		247,042,645.23	4,074,426.47	251,117,071.70
(2) Owners' capital contributions and reductions													664,684.51	664,684.51
1. Common shares invested by the owner													664,684.51	664,684.51
2. Capital contributed by holders of other equity instruments														
3. Share-based payments are recorded in owners' equity														

amount															
4. Others															
(3) Profit distribution											-28,000,000.0 0		-28,000,000.00		-28,000,000.00
1. Appropriation of surplus reserve															
2. Extract general risk provisions															
3. Distribution to owners (or shareholders).											-28,000,000.0 0		-28,000,000.00		-28,000,000.00
4. Others															
(4) Internal carryover of owners' equity															
1. Capital reserve converted into capital (or share capital).															
2. Full															

Surplus Reserve Converted Capital (or Share Capital)															
3. Surplus reserve to offset losses															
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan															
5. Carryforward retained earnings from other comprehensive income															
6. Others															
(5) Special Reserves															
1. Extraction for this period															
2. Used this term															
(6)														26,500,327.0	26,500,327.00

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Others													0		
4. Ending balance for the current period	100,000,000.00				1,353,957,140.20		44,446,179.79		50,000,000.00		972,539,144.43		2,520,942,464.42	79,312,109.63	2,600,254,574.05

Project	Fiscal Year 2018														
	Equity attributable to the parent company's owners												Minority Interests	Total owners' equity	
	Paid-in capital (or share capital).	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	Corporate risk preparation	Undistributed profits	Others			Sub-total
		Preferred stock	Perpetual debt	Others											
1. Ending balance of the previous year	100,000,000.00				1,353,957,140.20				50,000,000.00		675,193,709.55		2,179,150,849.75	30,673,908.53	2,209,824,758.28
Add: Change in accounting policy															
Correction of previous errors															
Merger under common control															
Others															
2. Original	100,000,000.0				1,353,957,140.2				50,000,000.0		675,193,709.5		2,179,150,849.7	30,673,908.5	2,209,824,758.2

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Initial balance of the term	0				0				0			5		5		3		8
3. Amount of change in the current period (decrease by Fill in the "-" mark).							-9,654.08					81,950,478.82		81,940,824.74		17,398,763.12		99,339,587.86
(1) Total comprehensive income							-9,654.08					170,950,478.82		170,940,824.74		1,908,798.14		172,849,622.88
(2) Owners' capital contributions and reductions																15,489,964.98		15,489,964.98
1. Common shares invested by the owner																15,489,964.98		15,489,964.98
2. Capital contributed by holders of other equity instruments																		
3. Share-based payment is credited to the exchange																		

The amount of the owner's rights															
4. Others															
(3) Profit distribution										-89,000,000.00		-89,000,000.00		-89,000,000.00	
1. Appropriation of surplus reserve															
2. Extract general risk provisions															
3. Distribution to owners (or shareholders).										-89,000,000.00		-89,000,000.00		-89,000,000.00	
4. Others															
(4) Internal carryover of owners' equity															
1. Capital reserve converted to capital (or															

Share capital)															
2. Surplus reserve converted into capital (or share capital).															
3. Surplus reserve to offset losses															
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan															
5. Carryforward retained earnings from other comprehensive income															
6. Others															
(5) Special Reserves															
1. Extraction for this period															
2. This period's															
envoy															

Use															
(6) Others															
4. Ending balance for the current period	100,000,000.00				1,353,957,140.20		-9,654.08		50,000,000.00		757,144,188.37		2,261,091,674.49	48,072,671.65	2,309,164,346.14

Legal representative: Wang Jianglin

Head of Accounting: Zhu Sidong

Head of Accounting
Department: Zhu Sidong**Statement of changes in the parent company's owners' equity**

January– December 2019 Unit: RMB Currency: RMB

Project	Fiscal Year 2019										
	Paid-in capital (or share capital).	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	Undistributed profits	Total owners' equity
		Preferred stock	Preferred debt	Others							
1. Ending balance of the previous year	100,000,000.00				1,346,972,609.43				50,000,000.00	568,917,278.75	2,065,889,888.18
Add: Change in accounting policy							40,808,144.70				40,808,144.70
Correction of previous errors											
Others											
2. Beginning balance for the current year	100,000,000.00				1,346,972,609.43		40,808,144.70		50,000,000.00	568,917,278.75	2,106,698,032.88
3. Amount of increase or decrease for the current period (decrease indicated by a "-") mark							5,496,730.78			180,904,056.89	186,400,787.67
(1) Total comprehensive income							5,496,730.78			208,904,056.89	214,400,787.67
(2) Owners' capital contributions and reductions											
1 . Common shares invested by the owner											
2. Capital contributed by holders of other equity instruments											
3 . Share-based payments are recorded in owners' equity											

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amount											
4. Others (III) Profit Distribution	-28,000,000.00										
											-28,000,000.00
1. Appropriation of surplus reserve											
2. Distribution to owners (or shareholders).									-28,000,000.00		-28,000,000.00
3. Others (4) Internal											
carryover of owners' equity											
1. Capital reserve converted into capital (or share capital).											
2. Surplus reserve converted into capital (or share capital).											
3. Surplus reserve to offset losses											
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan											
5. Carryforward retained earnings from other comprehensive income											
6. Others (5)											
Special Reserves											
1. Extraction for this period											
2. Use (6) Others for this period.											
IV. Ending balance for this period:											
100,000,000.00											
					1,346,972,609.43		46,304,875.48		50,000,000.00	749,821,335.64	2,293,098,820.55

Project	Fiscal Year 2018										
	Paid-in capital (or share capital).	Other equity instruments			Capital reserve	Less: Inventory of other comprehensive earnings	of other stock	Special reserves	and surplus public accumulation	Undistributed profits	Total owners' equity
		prioritize equity and	perpetual and bonds								
1. 2,024,971,408.12 of the previous period (minus)	100,000,000.00	Change during policy	Correction of previous	346,972,609.43	Others	2. Beginning balance of the current	50,000,000.00	Change during the	527,998,798.69	2,024,971,408.12	
	100,000,000.00				1,346,972,609.43				50,000,000.00	527,998,798.69	2,024,971,408.12
										40,918,480.06	40,918,480.06

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Underestimated with "-" (1) Total comprehensive income	129,918,480.06										
129,918,480.06 (2) Owners' capital contributions and reductions											
1. Common shares invested by the owner											
2. Capital contributed by holders of other equity instruments											
3. The amount of share-based payments included in owners' equity											
4. Others (III) Profit Distribution	-89,000,000.00										
											-89,000,000.00
1. Appropriation of surplus reserve											
2. Distribution to owners (or shareholders).									-89,000,000.00		-89,000,000.00
3. Others											
(4) Internal carryover of owners' equity											
1. Capital reserve converted into capital (or share capital).											
2. Surplus reserve converted into capital (or share capital).											
3. Surplus reserve to offset losses											
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan											
5. Carryforward retained earnings from other comprehensive income											
6. Others (5) Special Reserves											
1. Extraction for this period											
2. Use (6) Others for this period. IV. Ending balance for this period:											
100,000,000.00											
					1,346,972,609.43				50,000,000.00	568,917,278.75	2,065,889,888.18

Legal representative: Wang Jianglin

Head of Accounting: Zhu Sidong

Head of Accounting Department:
Zhu Sidong

3. Basic Company Information

1. Company Overview

✓ applicable, ☐ not applicable

Henglin Home Furnishing Co., Ltd. (hereinafter referred to as the Company or the Company) was formerly Zhejiang Henglin Furniture Co., Ltd. (hereinafter referred to as Henglin Furniture Company). Henglin Furniture Co., Ltd. was established as a limited liability company jointly funded by natural persons Wang Jianglin and Wen Huilian, and was established on April 3, 1998 Registered with the Anji County Administration for Industry and Commerce on the same day, obtaining the business license of a corporate legal entity issued by the Anji County Administration for Industry and Commerce. Henglin Furniture Company was fully restructured into a joint-stock company on October 31, 2007, and was established on December 25, 2007 It is registered with the Huzhou Administration for Industry and Commerce, with its headquarters located in Huzhou, Zhejiang Province. The company currently holds a business license with the unified social credit code 913305007044702971, with a registered capital of 100 million yuan and a total of 100 million shares (par value 1 yuan per share). Among them, shares subject to sales restrictions are: 71.25 million shares of A-shares; 28.75 million circulating shares with unrestricted trading conditions are A shares. The company's stock was listed and traded on the Shanghai Stock Exchange on November 21, 2017.

Our company belongs to the furniture manufacturing industry. Its main business activities include the research, development, production, and sales of seats and accessories, electric massage devices, furniture, and accessories. Our main products include: office chairs, sofas, massage chairs, and office environment solutions.

2. Scope of consolidated financial statements

✓ Applicable ☐ Not Applicable The Company has included 25 subsidiaries, including Huzhou Hengxin Metal Products Co., Ltd., Anji Hengyou Technology Co., Ltd., Guangde Henglin Home Co., Ltd., and Mid International Co., Ltd., in the scope of this consolidated financial statement. For details, please refer to the notes to this financial statement regarding changes in the scope of consolidation and the explanation of interests in other entities.

4. Basis for preparing financial statements

1. Preparation Basics

The Company's financial statements are prepared on a continuing operation basis.

Important Reminder: Based on the actual production and operational characteristics, the company has formulated specific accounting policies and estimates for transactions or matters such as impairment of financial instruments, depreciation of fixed assets, amortization of intangible assets, and revenue recognition.

2. Going Concern

✓ Applicable ☐ Not Applicable The Company does not have any matters or circumstances that would raise significant doubts about its ability to continue as a going concern within the 12 months from the end of the reporting period.

5. Important accounting policies and estimates

Specific accounting policies and estimates: ☒ applicable, ☐ not applicable

1. Declaration of compliance with corporate accounting standards

The financial statements prepared by the company comply with the requirements of the Enterprise Accounting Standards and truthfully and completely reflect the company's financial position, operating results, changes in shareholders' equity, and cash flow.

2. Accounting period

The company's accounting year runs from January 1 to December 31 (Gregorian calendar).

3. Business cycle

☒ applicable ☐ not applicable. The company's operating business cycle is relatively short, and 12 months is used as the liquidity classification standard for assets and liabilities.

4. Accounting standard currency

The company's accounting base currency is RMB.

5. Accounting treatment methods for business combinations under common control and those not under common control

☒ applicable, ☐ not applicable

1. Accounting Treatment Method for Business Combinations under Common Control The assets and liabilities acquired by the company in a business combination are measured at the carrying amount of the acquiree party in the consolidated financial statements of the ultimate controlling party on the merger date. The company adjusts capital reserve based on the difference between the carrying amount of owners' equity in the consolidated financial statements of the ultimate controlling party and the carrying amount of the consolidated consideration paid or the total par value of issued shares; If capital reserve is insufficient to offset, retained earnings shall be adjusted.
2. Accounting Treatment for Business Combinations Not Under Common Control The company recognizes the difference in the merger cost on the acquisition date as goodwill for the share of the fair value of the acquiree's identifiable net assets obtained during the merger; If the merger cost is less than the fair value share of the acquiree's identifiable net assets obtained during the merger, a review is conducted on the fair value of each identifiable asset, liability, and contingent liability obtained from the acquiree, as well as the measurement of the merger cost. If, after review, the merger cost is still less than the fair value share of the acquiree's identifiable net assets obtained during the merger, the difference is included in profit or loss.

6. Preparation methods for consolidated financial statements

√ applicable ☐ not applicable: the parent company includes all subsidiaries it controls within the scope of consolidation in the consolidated financial statements. The consolidated financial statements are based on the financial statements of the parent company and its subsidiaries. Based on other relevant information, the parent company prepares them in accordance with the "Accounting Standard for Business Enterprises No. 33 — Consolidated Financial Statements."

7. Classification of joint venture arrangements and accounting treatment for joint operations

√ applicable, ☐ not applicable

1. Joint venture arrangements are divided into joint operations and joint ventures.
2. When the company is a joint venture in joint operations, the following items related to the share of interests in the joint operation are recognized:
 - (1) Recognition of assets held individually, as well as jointly held assets based on shareholding shares;
 - (2) Recognizing liabilities borne individually and liabilities jointly assumed based on their shareholdings;
 - (3) Recognizing income generated from the sale of the company's share of joint operating output;
 - (4) Recognizing income generated from the sale of assets through joint operations based on the company's shareholdings;
 - (5) Recognize expenses incurred individually, as well as expenses incurred in joint operations based on the company's share.

8. Criteria for determining cash and cash equivalents

Cash equivalents refer to investments held by a company with a short term (generally maturing within three months from the date of purchase), strong liquidity, easy conversion into known amounts of cash, and minimal risk of value fluctuations.

9. Foreign currency transactions and foreign currency statement conversion

√ applicable, ☐ not applicable

1. Foreign currency business conversion

For foreign currency transactions, at initial confirmation, the approximate exchange rate of the spot exchange rate on the transaction date is used to convert the amount into RMB. On the balance sheet date, foreign currency monetary items are converted using the spot exchange rate on the balance sheet date. Exchange differences arising from exchange rate differences, except for the principal and interest differences related to the purchase and construction of capitalized assets, are included in current profit or loss; Foreign currency non-monetary items measured at historical cost are still converted using the spot exchange rate on the

transaction date, without changing their RMB amount; Foreign currency non-monetary items measured at fair value are translated using the spot exchange rate on the fair value determination date, with the difference recognized in current profit or loss or other comprehensive income.

2. Foreign Currency Financial Statement Translation Asset and liability items in the balance sheet are translated using the spot exchange rate on the balance sheet date; For owners' equity items, except for the "Undistributed Profits" item, other items are converted at the spot exchange rate on the transaction date; The income and expense items in the income statement are translated using the approximate exchange rate at the spot exchange rate on the transaction date. The foreign currency financial statement differences generated from the above conversion are recorded in other comprehensive income.

10. Financial instruments

√ applicable, □ not applicable

1. Classification of Financial Assets and Liabilities Financial assets are initially recognized into the following three categories: (1) Financial assets measured at amortized cost; (2) Financial assets measured at fair value with changes recognized in other comprehensive income; (3) Financial assets measured at fair value with changes recognized in profit or loss for the period.

Financial liabilities are initially recognized into the following four categories: (1) Financial liabilities measured at fair value with changes recognized in current profit or loss; (2) Financial liabilities arising from transfers of financial assets that do not meet the conditions for derecognition or continued involvement in the transferred financial assets; (3) Financial guarantee contracts not falling under (1) or (2) above, and loan commitments not falling under (1) above and at loans at below market rates; (4) Financial liabilities measured at amortized cost.

2. Basis, measurement methods, and conditions for derecognition of financial assets and liabilities

- (1) Basis and Initial Measurement Method for Recognizing Financial Assets and Liabilities When a company becomes a party to a financial instrument contract, it recognizes a financial asset or financial liability. When initially recognizing financial assets or liabilities, they are measured at fair value; For financial assets and liabilities measured at fair value with changes recognized in profit or loss, related transaction expenses are directly included in profit or loss; For other categories of financial assets or liabilities, related transaction fees are included in the initial recognition amount. However, if the company's initially recognized accounts receivable do not contain significant financing components, or if the company does not consider financing components in contracts less than one year, the initial measurement is based on the transaction price.

(2) Subsequent measurement methods for financial assets

- 1) Financial assets measured at amortized cost Using the effective interest rate method, subsequent measurement is carried out based on amortized cost. Gains or losses arising from financial assets measured at amortized cost that are not part of any hedging relationship are recognized in profit or loss at the time of derecognition, reclassification, amortization using the effective interest method, or recognition of

impairment.

- 2) Debt instrument investments measured at fair value with changes recognized in other comprehensive income are measured at fair value for subsequent measurement. Interest, impairment losses or gains, and exchange gains calculated using the effective interest rate method are included in current profit or loss, while other gains or losses are included in other comprehensive income. Upon derecognition, the cumulative gains or losses previously recognized in other comprehensive income are transferred out from other comprehensive income and included in current profit or loss.
- 3) Equity instrument investments measured at fair value with changes recognized in other comprehensive income are measured at fair value for subsequent measurement. Dividends obtained (excluding those that are part of investment cost recovery) are included in current profit or loss, while other gains or losses are recognized in other comprehensive income. Upon derecognition, the cumulative gains or losses previously recognized in other comprehensive income are reversed from other comprehensive income and included in retained earnings.
- 4) Financial assets measured at fair value with changes recognized in profit or loss Gains or losses (including interest and dividend income) arising from gains or losses (including interest and dividend income) are included in profit or loss unless the financial asset is part of a hedging relationship.

(3) Subsequent measurement methods for financial liabilities

- 1) Financial liabilities measured at fair value with changes recognized in profit or loss These financial liabilities include trading financial liabilities (including derivatives classified as financial liabilities) and financial liabilities designated as measured at fair value with changes recognized in profit or loss. For such financial liabilities, subsequent measurements are made at fair value. The fair value change amount of financial liabilities designated at fair value as measured at fair value and recognized in profit or loss due to changes in the company's own credit risk is recognized in other comprehensive income, unless such treatment would cause or amplify accounting mismatches in profit or loss. Other gains or losses arising from such financial liabilities (including interest expenses, excluding fair value changes caused by changes in the company's own credit risk) are included in current profit or loss unless the financial liability is part of a hedging relationship. Upon derecognition, the cumulative gains or losses previously recognized in other comprehensive income are reversed from other comprehensive income and included in retained earnings.

2) Financial liabilities formed by transfers that do not meet derecognition conditions or continue to be involved in transferred financial assets

shall be measured in accordance with the relevant provisions of "Enterprise Accounting Standard No. 23— Transfer of Financial Assets."

- 3) Financial guarantee contracts not falling under 1) or 2) above, and loan commitments not falling under 1) above and at below-market interest rates, are subsequently measured after initial recognition at the higher of the following two amounts:
 - (1) Loss provisions determined according to impairment provisions for financial instruments;
 - (2) The balance of the initial recognition amount minus the cumulative amortization amount determined according to relevant regulations.
- 4) Financial liabilities measured at amortized cost Using the effective interest rate method to measure amortized costs. Financial negative measured at amortized cost and not part of any hedging relationship

Gains or losses arising from debts are recognized in profit or loss at the time of derecognition and amortization using the effective interest method.

(4) Derecognition of financial assets and liabilities

- 1) The financial asset is derecognized when any of the following conditions are met: (1) The contractual right to receive the cash flows of the financial asset has been terminated; (2) The financial asset has been transferred, and the transfer meets the requirements for derecognition of financial assets in "Accounting Standard for Business Enterprises No. 23 — Transfer of Financial Assets."
- 2) When the current obligation of a financial liability (or part thereof) has been discharged, the financial liability (or portion thereof) is derecognized accordingly.
3. Basis and Measurement Method for Recognizing Financial Asset Transfers If the company has transferred almost all risks and rewards related to ownership of financial assets, the recognition of the financial asset shall be terminated, and the rights and obligations arising or retained during the transfer shall be separately recognized as assets or liabilities; Retain almost all risks and rewards of ownership of financial assets, and continue to recognize the transferred financial assets. If the company neither transfers nor retains almost all risks and rewards related to ownership of the financial asset, the following situations shall be handled accordingly: (1) If control over the financial asset is not retained, the financial asset is de-recognized, and the rights and obligations arising or retained during the transfer are separately recognized as assets or liabilities; (2) If control over the financial asset is retained, the relevant financial assets are recognized according to the degree of continued involvement in the transferred financial assets, and the relevant liabilities are recognized accordingly. If the overall transfer of financial assets meets the conditions for derecognition, the difference between the following two amounts is included in current profit or loss: (1) The carrying amount of the transferred financial asset on the date of derecognition; (2) The consideration received from the transfer of financial assets, sum of the amount corresponding to the derecognition portion of the cumulative fair value change directly recognized in other comprehensive income (the financial assets involved are debt instrument investments measured at fair value and whose changes are recognized in other comprehensive income). If part of the financial asset has been transferred and the transferred portion as a whole meets the conditions for derecognition, the carrying amount of the entire financial asset before the transfer shall be allocated between the derecognized portion and the continued recognition portion according to the relative fair value of the transfer date, and the difference between the following two amounts shall be recorded in profit or loss for the current period: (1) The carrying amount of the derecognized portion; (2) The consideration for the derecognition portion is summed with the amount corresponding to the derecognition portion of the cumulative fair value changes originally directly recognized in other comprehensive income (the financial assets involved are debt instrument investments measured at fair value and whose changes are recognized in other comprehensive income).
4. Methods for Determining the Fair Value of Financial Assets and Liabilities: The company uses valuation techniques applicable to current circumstances and supported by sufficient data and other information to determine the fair value of relevant financial assets and liabilities. The company divides the input values used in valuation technology into the following levels, using them in order:
 - (1) The first-level input value is the unadjusted quote of the same asset or liability available on the measurement date in the active market;

- (2) The second-level input value is the directly or indirectly observable value of the relevant asset or liability, excluding the first-level input, including: quotes of similar assets or liabilities in the active market; Quotes of identical or similar assets or liabilities in inactive markets; Other observable inputs besides quotes, such as interest rate and yield curves observable during normal quote intervals; market-validated input values, etc.;
- (3) Level 3 input values are unobservable inputs for related assets or liabilities, including interest rates, stock volatility, future cash flows from obligations assumed in business combinations that cannot be directly observed or verified by observable market data, financial forecasts made using their own data, etc.

5. Impairment of financial instruments

- (1) Measurement and accounting for impairment of financial instruments: The company is based on expected credit losses and undertakes loan commitments for financial assets measured at amortized cost, investments in debt instruments measured at fair value with changes recognized in other comprehensive income, lease receivables, and loans classified as financial liabilities measured at fair value with changes recognized in current profit or loss. Financial guarantee contracts that do not constitute financial liabilities measured at fair value and whose changes are recognized in profit or loss, or financial liabilities not classified as financial asset transfers that do not meet derecognition criteria or continue to be involved in transferred financial assets, are subject to impairment and loss provision.

Expected credit loss refers to the weighted average of credit losses of financial instruments weighted by the risk of default. Credit loss refers to the difference between all contract cash flows receivable at the original effective interest rate discounted and all expected cash flows to be collected, i.e., the present value of the total cash shortfall. For financial assets purchased or originated by the company that have suffered credit impairment, discounts are made at the credit-adjusted effective interest rate of those financial assets.

For financial assets that have been purchased or incurred with credit impairment, the company only recognizes the cumulative change in expected credit losses over the entire life since initial recognition as a loss provision at the balance sheet date.

For accounts receivable that do not contain significant financing components or do not consider financing components in contracts not exceeding one year, the company uses a simplified measurement method to measure loss provisions based on the expected credit loss amount over the entire life.

For lease receivables and accounts receivable containing significant financing components, the company uses a simplified measurement method, measuring loss provisions based on the expected credit loss amount over the entire life of the company.

For financial assets other than the above measurement methods, the company assesses at each balance sheet date whether their credit risk has significantly increased since initial recognition. If credit risk has significantly increased since initial recognition, the company measures loss provisions based on the expected credit loss over the entire life; If credit risk has not increased significantly since initial recognition, the company measures loss allowance based on the expected credit loss amount for the financial instrument over the next 12 months.

The company uses available reasonable and well-founded information, including forward-looking information, to determine whether the credit risk of financial instruments has significantly increased since initial recognition by comparing the risk of default on the balance sheet date with the risk of default on the initial recognition date.

At the balance sheet date, if the company determines that the financial instrument has only low credit risk, it is assumed that the credit risk of that instrument has not significantly increased since initial recognition.

Companies assess expected credit risk and measure expected credit losses based on individual financial instruments or combinations of financial instruments.

When based on a portfolio of financial instruments, the company divides financial instruments into different portfolios based on common risk characteristics.

At each balance sheet date, the company remeasures expected credit losses, and the amount of increased or reversed loss provisions is recognized as an impairment loss or gain in profit or loss. For financial assets measured at amortized cost, loss provisions offset the carrying amount of the financial asset as shown on the balance sheet; For debt investments measured at fair value and whose changes are recognized in other comprehensive income, the company recognizes loss provisions in other comprehensive income and does not offset the carrying amount of the financial asset.

(2) Financial instruments for assessing expected credit risk and measuring expected credit losses by portfolio.

(1) Specific methods for assessing and measuring expected credit losses

Project	Determine the basis for the combination	Methods for measuring expected credit losses
Other receivables — Related parties within the merger scope	Related parties within the scope of consolidation	Referring to historical credit loss experience, combined with current conditions and forecasts of future economic conditions, the expected credit loss is calculated based on default risk exposure and the expected credit loss rate over the next 12 months or the entire life
Other receivables— aging combination	Aging of accounts	

(3) Receivables with expected credit losses measured on a combined basis

1) Specific combinations and methods for measuring expected credit losses

Project	Determine the basis for the combination	Methods for measuring expected credit losses
Bank acceptance bills receivable	Classified by the rating of the accepting unit	Referring to historical credit loss experience, combined with current conditions and forecasts of future economic conditions, the expected credit loss is calculated based on default risk exposure and the expected credit loss rate over the entire lifetime
Commercial acceptance bills receivable		
Accounts receivable— related parties within the consolidation scope	Related parties within the scope of consolidation	The company referencing historical credit loss experience, combined with current conditions and forecasts of future economic conditions, calculates expected credit losses based on default risk exposure and expected credit loss rates over the next 12 months or the entire life
Accounts receivable — aging combination	Aging of accounts	The company draws on historical credit loss experience, combining current conditions with forecasts of future economic conditions, and applies default risk exposure and anticipated credit losses over the next 12 months or the entire life

		Rate, calculating expected credit losses
2) Accounts receivable — Comparison table of aging combinations with expected credit loss rates over the entire life		

Aging of accounts	Expected credit loss rate for accounts receivable (%)
1 1 year (inclusive, same below).	5.00
1-2 years	10.00
2-3 years	20.00
3-4 years	50.00
4-5 years	80.00
5 than 5 years	100.00

6. Elimination of Financial Assets and Liabilities Financial assets and liabilities are presented separately on the balance sheet and do not offset each other. However, if the following conditions are met, the company presents the net amount after mutual elimination on the balance sheet: (1) The company has a statutory right to offset the recognized amount, and such statutory right is currently enforceable; (2) The company plans to settle on a net basis, or simultaneously realize the financial asset and settle the financial liability. For transfers of financial assets that do not meet the conditions for derecognition, the company will not offset the transferred financial assets and related liabilities.

11. Notes Receivable: Methods for determining and accounting for expected credit losses on notes receivable

√ applicable ☐ not
 applicable refer to
 financial instruments

12. Accounts Receivable: Methods for determining and accounting for expected credit losses on accounts receivable

√ applicable ☐ not applicable refer to financial instruments

13. Financing of receivables

√ applicable ☐ not
 applicable refer to
 financial instruments

14. Other Receivables Methods for determining and accounting for expected credit losses on other receivables

√ applicable ☐ not applicable refer

15. Inventory

√ applicable, □ not applicable

1. Classification of Inventory Inventory includes finished goods or goods held for sale during daily activities, work-in-progress during production, and materials and materials consumed during production or service provision.

2. Valuation method for issued inventory: Issued inventory

uses the month-end weighted average method.

3. Basis for Determining Net Realizable Value of Inventory: On the balance sheet date, inventory is measured at the lower of cost or net realizable value, and an inventory write-down provision is made based on the difference between the cost of a single inventory and net realizable value. For inventory directly used for sale, its net realizable value is determined during normal production and business operations by deducting estimated selling expenses and related taxes from the estimated selling price of the inventory; For inventory that needs to be processed, its net realizable value is determined during normal production and operation by deducting the estimated costs to be incurred at completion, estimated selling expenses, and related taxes and fees; On the balance sheet date, if part of the same inventory has a contract price agreement and the other part does not, determine its net realizable value separately and compare it with the corresponding cost to determine the amount to be made or reversed for inventory write-down.

4. Inventory Inventory System The

inventory system is perpetual inventory.

5. Amortization methods for low-value consumables and packaging

(1) Low-value consumables are amortized

using the one-time off-sale method.

(2) Packaging materials are amortized using the one-time off-sale method.

16. Holding assets for sale

√ applicable, □ not applicable

1. Classification of Non-current Assets or Disposal Groups Held for Sale The company classifies non-current assets or disposal groups that meet the following conditions into the hold-for-sale category: (1) Sold immediately under current circumstances according to the usual practice of selling such assets or disposal groups in similar transactions; (2) The sale is highly likely, meaning the company has already

A resolution has been made on the sale plan and a definite purchase commitment has been obtained, with the sale expected to be completed within one year. Non-current assets or disposal groups acquired by the company specifically for resale that meet the condition of " expected sale to be completed within one year " on the acquisition date, and are likely to meet other classification criteria for hold-for-sale within a short period (usually three months), are classified as hold-for-sale on the acquisition date.

If any of the following reasons beyond the company's control result in transactions between non-related parties failing to be completed within one year, and the company still commits to selling non-current assets or disposal groups, the non-current assets or disposal group will continue to be classified as holding for sale:

(1) The buyer or other parties have unintentionally set conditions that lead to a delay in the sale, and the company has taken timely action on these conditions, It is expected that the delay factors will be smoothly resolved within one year from the date the conditions that cause the sale delay are set; (2) Due to rare circumstances that cause the non-current assets held for sale or the disposal group to fail to complete the sale within one year, the company has already taken necessary measures in response to these new situations within the initial year and re-meets the classification criteria for holding for sale.

2. Measurement of non-current assets held for sale or disposal groups

(1) Initial and subsequent measurements: Initial measurement and remeasurement of non-current assets held for sale or disposal groups at the balance sheet date, if their carrying amount exceeds the net fair value minus selling expenses, the carrying amount is written down to the net amount after fair value minus selling expenses. The write-down amount is recognized as an asset impairment loss, included in current profit or loss, and impairment provision for assets held for sale is also made.

For non-current assets or disposal groups classified as held for sale on the acquisition date, the initial measurement assumed not classified as held for sale is assumed at the initial measurement of the net amount and fair value minus selling expenses, and the lower of the two is used. Except for non-current assets or disposal groups acquired through business combinations, any difference arising from the net amount of the non-current assets or disposal group after fair value minus selling expenses is included in profit or loss for the current period.

For asset impairment losses recognized by the disposal group holding assets for sale, the carrying amount of goodwill in the disposal group is first offset, and then, based on the proportion of the carrying amount of non-current assets in the disposal group, the carrying amount is proportionally offset.

Non-current assets held for sale or non-current assets in disposal groups are not subject to depreciation or amortization, and interest and other expenses on liabilities held in disposal groups held for sale continue to be recognized.

(2) Accounting treatment for reversal of asset impairment losses: If the net amount of non-current assets held for sale on the subsequent balance sheet date increases after deducting the sale expenses, the previously written down amount is restored and reversed within the asset impairment loss amount recognized after being classified as holding for sale, with the reversed amount included in profit or loss. Impairment losses on assets recognized before classification as held for sale are not reversed.

If the net amount of the disposal group held for sale on the subsequent balance sheet date increases after deducting disposal expenses, the previously written down amount shall be restored, and the amount of impairment losses recognized as non-current assets after being

classified as holding for sale shall be reversed, and the reversed amount shall be recognized in profit or loss. Impairment losses on assets recognized before being classified as holding for sale on goodwill that have been offset and non-current assets are not reversed.

The amount of asset impairment losses recognized by the disposal group holding assets for sale will be increased proportionally according to the carrying amount of non-current assets in the disposal group excluding goodwill.

- (3) No longer classified as held for sale and derecognized accounting treatment When non-current assets or disposal groups are removed from the holding for sale category or non-current assets from the holding disposal group because they no longer meet the conditions for holding for sale, the following two are measured at the lower of the following: 1) Carrying amount before classification as held for sale, The adjusted amount for depreciation, amortization, or impairment that should have been recognized if it were not classified as holding for sale; 2) Amount that can be recovered.

When derecognition of non-current assets held for sale or disposal groups, any unrecognized gains or losses are included in the current profit or loss.

17. Debt investment

(1). Methods for determining expected credit losses from debt investments and accounting treatment

☐ applicable, ☒ not applicable

18. Other debt investments

(1). Other methods for determining and accounting for expected credit losses on debt investments

☐ applicable, ☒ not applicable

19. Long-term receivables

(1). Methods for determining and accounting for expected credit losses on long-term receivables

☐ applicable, ☒ not applicable

20. Long-term equity investment

☒ applicable, ☐ not applicable

1. Determination of Joint Control and Significant Impact: According to relevant agreements, there is shared control over a certain arrangement, and the related activities of the arrangement must be unanimously agreed upon by all parties sharing control; such decisions are recognized as joint control. It has the authority to participate in decision-making of the investee's financial and operational policies, but cannot control or jointly control the formulation of these policies with other parties, which is considered a significant impact.

2. Determination of investment costs

- (1) In business combinations under common control, if the acquiring party pays cash, transfers non-cash assets, assumes debt, or issues equity securities as consideration, the initial investment cost shall be based on the share of the carrying amount of owners' equity acquired in the consolidated financial

statements of the ultimate controlling party on the merger date. Capital reserve adjusted for the difference between the initial investment cost of long-term equity investments and the carrying amount of the consolidated consideration paid or the total par value of the issued shares; If capital reserve is insufficient to offset, retained earnings shall be adjusted. The company has achieved long-term equity investments formed by business combinations under one control through multiple transactions in stages, determining whether it constitutes a "package transaction." For "package transactions," each transaction is accounted for as a single transaction that acquires control. For transactions not considered "package transactions," on the merger date, the initial investment cost is determined based on the share of the net assets of the merged party entitled to the merged party's carrying amount in the consolidated financial statements of the ultimate controlling party. The initial investment cost of long-term equity investments on the merger date is the difference between the book value of the long-term equity investment before the merger plus the book value of the newly paid shares on the merger date, and the capital reserve is adjusted; If capital reserve is insufficient to offset, retained earnings shall be adjusted.

- (2) For business combinations not under common control, the initial investment cost shall be based on the fair value of the merger consideration paid on the purchase date.

The company has made long-term equity investments formed by business combinations under non-common control through multiple transactions in stages, distinguishing between individual and consolidated financial statements for relevant accounting treatment:

- 1) In individual financial statements, the initial investment cost is calculated using the sum of the carrying amount of the original equity investment plus the cost of new investments.
 - 2) In consolidated financial statements, determine whether it constitutes a "package transaction." For "package transactions," each transaction is accounted for as a single transaction to gain control. For transactions not considered "package transactions," for equity held before the purchase date, the equity of the acquired party is remeasured at the fair value of the equity on the purchase date, and the difference between fair value and book value is included in the current investment income; If the equity held by the acquiree before the purchase date involves other comprehensive income under the equity method, the related other comprehensive income is converted to income for the current period as of the purchase date. However, other comprehensive income arising from changes in net liabilities or net assets of the investee remeasured the set beneficiary plan is excluded.
 - (3) Except for those formed by business combinations: For those obtained by paying cash, the actual purchase price paid shall be used as the initial investment cost; For acquisitions obtained by issuing equity securities, the initial investment cost is based on the fair value of the issued equity securities; For acquisitions through debt restructuring, the initial investment cost shall be determined according to the "Enterprise Accounting Standard No. 12—Debt Restructuring"; For exchanges of non-monetary assets, the initial investment cost is determined according to the "Enterprise Accounting Standard No. 7—Non-monetary Asset Exchange."
3. Subsequent measurement and profit and loss recognition methods: For long-term equity investments controlled by investees, the cost method is used for accounting; Long-term equity investments in associates and joint ventures are accounted for using the equity method.

4. Methods for handling subsidiary investments until loss of control through multiple transactions and stepwise disposal

- (1) Individual financial

statements: For disposed equity, the difference between its carrying amount and actual proceeds is included in current profit or loss. For the remaining equity, if it still has significant influence over the investee or jointly controls it with other parties, it shall be accounted for using the equity method; If control, joint control, or significant influence over the investee can no longer be exercised, accounting shall be conducted in accordance with the relevant provisions of the "Enterprise Accounting Standard No. 22 — Recognition and Measurement of Financial Instruments."

(2) Consolidated financial statements

- 1) For phased disposal of the subsidiary through multiple transactions until loss of control, and it does not constitute a "package transaction", before losing control, the difference between the disposal price and the subsidiary's net asset share continuously calculated from the purchase or merger date corresponding to the disposal of the long-term equity investment is adjusted to adjust capital reserve (capital premium). If the capital premium is insufficient to offset the loss, Offsetting retained earnings.

When control of the atomic company is lost, the remaining equity is remeasured at its fair value on the day control is lost. The sum of the consideration obtained from disposal of equity and the fair value of the remaining equity minus the share of net assets of the original subsidiary that should be continuously calculated from the acquisition or merger date, calculated according to the original shareholding ratio, is included in the investment income during the period when control is lost, and goodwill is offset. Other comprehensive income related to equity investments in the original subsidiary should be converted into current investment income upon loss of control.

- 2) Gradually dispose of multiple transactions and treat each transaction as a "package transaction" involving a subsidiary's investment until it loses control, treating each transaction as a single transaction that disposes of the subsidiary and loses control. However, before losing control, the difference between each disposal proceeds and the share of the subsidiary's net assets corresponding to the disposal investment is recognized as other comprehensive income in the consolidated financial statements, and upon loss of control, it is transferred to the profit or loss for the period when control is lost.

21. Investment Real Estate

Not applicable

22. Fixed assets

(1). Confirm the conditions

√ applicable ☐ not Fixed assets refer to tangible assets held for the production of goods, provision of services, leasing, or business management, with a useful life exceeding one accounting year. Fixed assets are recognized when they also meet the conditions where economic benefits are likely to flow and costs can be reliably measured.

(2). Depreciation methods

√ applicable, ☐ not applicable

Category	Depreciation methods	Depreciation period (years)	Residual value rate	Annual depreciation rate
Category	Depreciation methods	Depreciation period (years).	Residual value rate (%)	Annual Depreciation Rate (%)

Houses and buildings	Average years method	5-20	5	4.75-19.00
Machinery and equipment	Average years method	3-10	5	9.50-31.67
Means of transportation	Average years method	5	5	19.00
Electronics and other equipment	Average years method	3-10	5	9.50-31.67
Land ownership [Note].	Non-amortized			

[Note]: Swiss company land ownership does not require depreciation provision.

(3). Basis, valuation, and depreciation methods for identifying fixed assets leased through financing

☐ applicable, ☒ not applicable

23. Construction in progress

☒ applicable, ☐ not applicable

1. If construction in progress also meets the conditions for economic benefits likely to flow in and costs that can be reliably measured, it will be confirmed. Construction in progress is measured at the actual cost incurred before the asset reaches its intended usable state.
2. When construction in progress reaches the intended usable state, transfer to fixed assets at the actual project cost. If the project has reached the intended usable state but has not yet completed the final settlement, the estimated value shall first be transferred into fixed assets, and after the final settlement is completed, the original provisional value shall be adjusted according to the actual cost, but no depreciation already accrued shall be adjusted.

24. Loan expenses

☒ applicable, ☐ not applicable

1. Principles for Recognizing Borrowing Expenses Borrowing expenses incurred by the company that can be directly attributed to the purchase, construction, or production of assets that meet capitalization conditions shall be capitalized and included in the cost of the relevant assets; Other borrowing expenses are recognized as expenses upon incurrence and included in current profit or loss.
2. Capitalization period of borrowing expenses
 - (1) Capitalization begins when borrowing expenses simultaneously meet the following conditions: 1) Asset disbursement has occurred; 2) The borrowing fee has already been incurred; 3) The purchase, construction, or production activities necessary to bring the asset to its intended usable or saleable state have already commenced.
 - (2) If an asset meeting the capitalization conditions experiences an abnormal interruption during the purchase, construction, or production process, and the interruption lasts for more than 3 consecutive months, the capitalization of borrowing expenses is suspended; Borrowing expenses incurred during the interruption period are recognized as current period expenses until asset acquisition, construction, or production activities resume.
 - (3) When the assets that are purchased or produced that meet capitalization conditions reach the intended usable or saleable state, borrowing expenses stop capitalizing.

3. Capitalization Rate and Capitalization Amount of Loan Expenses For special loans borrowed for the purchase, construction, or production of assets that meet capitalization criteria, the interest amount to be capitalized is determined by the interest expense actually incurred in the special loan period (including amortization of discounts or premiums determined by the effective interest rate method) minus interest income from depositing unused loan funds in banks or investment income from temporary investments; If general loans are used for the purchase, construction, or production of assets that meet capitalization conditions, the amount of interest to be capitalized on the general loan is calculated based on the weighted average of asset expenditures exceeding the special loan by the capitalization rate of the general loan.

25. Biological assets

☐ applicable, ☒ not applicable

26. Oil and gas assets

☐ applicable, ☒ not applicable

27. Right-of-use assets

☐ applicable, ☒ not applicable

28. Intangible assets

(1) Pricing methods, service life, and impairment testing

☒ applicable, ☐ not applicable

- Intangible assets include land use rights, patent rights, and non-patented technology, and are initially measured at cost.
- For intangible assets with a limited useful life, amortization should be systematically and reasonably within the useful life according to the expected realization method of the economic benefits associated with the intangible asset. If the expected realization method cannot be reliably determined, straight-line amortization is adopted. The specific terms are as follows:

Project	Amortization period (years).
Land use rights	50
Software	5-10
Non-patented technology	10

Intangible assets with an uncertain useful life are not amortized; the company reviews the useful life of such assets in each accounting period. For intangible assets with an uncertain useful life, the basis for determining such uncertainty is: land and buildings with permanent ownership.

(2). Accounting policies for internal R&D expenditures

☒ Applicable ☐ Not

Applicable Expenses during the research phase of internal R&D projects are recognized in profit or loss at the time of incurred. Expenditures during the development phase of internal R&D projects that meet the following conditions are recognized as intangible assets: (1) The completion of the intangible asset to make it available for use or sale is technically feasible; (2) There is an intention to complete the intangible asset and use or sell it; (3) The way the intangible asset generates economic benefits, including proof that the product produced using the intangible asset has a market or that the intangible asset itself has a market and the intangible asset will be used internally, and its usefulness can be proven; (4) Have sufficient technical, financial, and other resource support to complete the development of the intangible asset and have the capability to use or sell it; (5) Expenditures attributable to the development stage of the intangible asset can be reliably measured.

29. Long-term asset impairment

√ Applicable □ Not applicable For long-term equity investments, investment real estate measured using the cost model, fixed assets, construction in progress, intangible assets with limited useful lives, and other long-term assets, if there are indications of impairment at the balance sheet date, the recoverable amount is estimated. For goodwill and intangible assets with uncertain useful lives resulting from business combinations, impairment testing is conducted annually, regardless of whether there are indications of impairment. Goodwill is tested for impairment in combination with related asset groups or combinations of asset groups.

If the recoverable amount of the above long-term assets is lower than their carrying amount, an asset impairment provision is recognized based on the difference and included in current profit or loss.

30. Long-term deferred expenses

√ Applicable □ Not Applicable Long-term deferred expenses are accounted for for expenses already incurred and whose amortization period is more than 1 year (excluding 1 year). Long-term deferred expenses are recorded at actual amounts and amortized in installments within the benefit period or specified period. If long-term deferred expense items cannot benefit future accounting periods, all amortized value of the unamortized item is transferred to current profit or loss.

31. Employee compensation

(1). Accounting treatment methods for short-term compensation

√ Applicable □ Not Applicable During the accounting period when employees provide services to the company, the actual short-term compensation is recognized as a liability and included in current profit or loss or the cost of related assets.

(2). Accounting treatment methods for post-employment benefits

√ Applicable ☐ Not Applicable Post-employment benefits

are divided into a deposit plan and a benefit plan.

(1) During the accounting period when employees provide services to the company, the amount of contributions calculated according to the established deposit plan is recognized as a liability and included in current profit or loss or related asset costs.

(2) The accounting treatment for setting up benefit plans usually includes the following steps:

- 1) Based on the expected cumulative welfare unit method, use unbiased and consistent actuarial assumptions to estimate relevant demographic and financial variables, measure the obligations arising from the benefit plan, and determine the period to which the obligations belong. At the same time, obligations arising from setting up benefit plans are discounted to determine the present value of the benefit plan obligations and the current service cost;
- 2) If a beneficiary plan has assets, the deficit or surplus formed by subtracting the fair value of the assets of the beneficiary plan is recognized as a net liability or net asset for a beneficiary plan. If there is a surplus in the beneficiary plan, the net assets of the beneficiary plan are measured by the lower of the plan's surplus or the asset limit;
- 3) At the end of the period, employee compensation costs arising from the beneficiary plan are recognized as service costs, the net interest on the net liabilities or assets of the beneficiary plan, and changes arising from remeasurement of the beneficiary plan's net liabilities or assets. Among these, service costs and net interest on the beneficiary plan's net liabilities or net assets are recognized in current profit or loss or related asset costs, and changes arising from remeasuring and setting the beneficiary plan's net liabilities or net assets are recognized in other comprehensive income. Moreover, in subsequent accounting periods, it is not allowed to be reversed to profit or loss, but amounts recognized in other comprehensive income can be transferred within the scope of equity.

(3) Accounting treatment for dismissal benefits

√ applicable ☐ not applicable For severance benefits provided to employees, the employee compensation liability arising from the dismissal benefits is recognized earlier in either of the following two and is included in current profit or loss: (1) When the company cannot unilaterally withdraw severance benefits provided due to the plan to terminate the labor relationship or the proposed layoffs; (2) When the company recognizes costs or expenses related to restructuring involving the payment of severance benefits.

(4). Other accounting methods for long-term employee benefits

√ Applicable ☐ Not Applicable Other long-term benefits provided to employees that meet the conditions for setting a deposit plan shall be accounted for according to relevant provisions of the deposit plan; Other long-term benefits are accounted for in accordance with the relevant provisions for setting benefit plans. To simplify related accounting treatment, the cost of employee compensation generated is recognized as service costs, net interest on other long-term employee benefit net liabilities or net assets, and changes arising from remeasuring other long-term employee benefit net liabilities or net assets, and the total net amount of these components is included in current profit or loss or related asset cost.

32. Lease liabilities

☐ applicable, ☒ not applicable

33. Projected liabilities

☒ applicable, ☐ not applicable

1. Obligations arising from contingent matters such as external guarantees, litigation, product quality assurance, or loss contracts become current obligations of the company. Fulfilling such obligations is likely to result in economic benefits flowing out of the company, and the amount of such obligations can be reliably measured, the company will recognize such obligations as estimated liabilities.
2. The company initially measures the estimated liabilities based on the best estimate of expenditures required to fulfill the relevant current obligations and reasserts the carrying amounts of the expected liabilities at the balance sheet date.

34. Share-based payments

☒ applicable, ☐ not applicable

1. Types of share-based payments include equity-settled share-based payments and cash-settled share-based payments.
 2. Accounting treatment related to the implementation, modification, or termination of the share-based payment plan
- (1) Equity-settled share-based payment: For equity-settled share-based payments that are immediately exercisable after grant, the fair value of the equity instrument is recognized at the fair value of the equity instrument at relevant costs or expenses, and capital reserves are adjusted accordingly. For equity-settled shares in exchange for employee services that can be exercised after completing the waiting period or meeting specified performance conditions, on each balance sheet date during the waiting period, based on the best estimate of the number of exercisable equity instruments, the services received during the period are included in relevant costs or expenses at the fair value of the equity instrument grant date, and capital reserves are adjusted accordingly.

Shares paid in exchange for the rights of the other party's services. If the fair value of the other party's services can be reliably measured, it shall be measured at the fair value of the other party's services on the acquisition date; If the fair value of the services of another party cannot be reliably measured, but the fair value of the equity instrument can be reliably measured, it shall be measured at the fair value of the equity instrument on the date of service acquisition, included in relevant costs or expenses, and correspondingly increase owners' equity.

- (2) Cash-settled share-based payment: For shares immediately exercisable after granting in exchange for employee services, cash-settled share-based payments are recognized at the fair value of the company's liabilities on the

grant date, with corresponding increases in liabilities. For services completed during the waiting period or when specified performance conditions are met, the exercise of employee services is paid in cash-settled shares. On each balance sheet date during the waiting period, based on the best estimate of the exercisable situation, the services received during the period are included in the relevant costs or expenses and corresponding liabilities at the fair value of the company's liabilities.

- (3) **Modification or Termination of Share Payment Plan** If modifications increase the fair value of the granted equity instruments, the company will recognize the increase in acquired services accordingly based on the increase in the fair value of the equity instruments; If the modification increases the number of equity instruments granted, the company will accordingly recognize the fair value of the increased equity instruments as an increase in access to services; If the company modifies the vesting conditions in a manner favorable to the employee, the company considers the modified exercisable conditions when handling them.

If the modification reduces the fair value of the granted equity instrument, the company continues to recognize the amount of services received based on the equity instrument's fair value on the grant date, without considering the reduction in the equity instrument's fair value; If the amendment reduces the number of equity instruments granted, the company will treat the reduction as cancellation of the granted equity instruments; If the exercisable conditions are modified in a manner unfavorable to the employee, the modified exercisable conditions are not considered when handling them.

If the company cancels or settles the granted equity instruments during the waiting period (except where they are cancelled due to failure to meet the vesting conditions), the cancellation or settlement will be treated as accelerated exercisability, immediately recognizing the amount originally recognized during the remaining waiting period.

35. Other financial instruments such as preferred stocks and perpetual bonds

☐ applicable, ☒ not applicable

36. Income

☒ applicable, ☐ not applicable

1. Revenue recognition principles

- (1) **Sale of goods:** Revenue from the sale of goods is recognized when the following conditions are met: 1) The principal risks and rewards of the ownership of the goods are transferred to the buyer; 2) The company no longer retains the usual rights of continued management associated with ownership, nor does it exercise effective control over sold goods; 3) The amount of income can be reliably measured; 4) Relevant economic benefits are likely to flow in; 5) Costs that have already occurred or will be incurred can be reliably measured.
- (2) **Provision of Services:** The results of the service provision transactions can be reliably estimated at the balance sheet date (while the amount meeting the income can be reliably measured).

The related economic benefits are likely to flow in, the progress of the transaction can be reliably determined, and the costs incurred and to be incurred in the transaction can be reliably measured), the percentage-to-completion method is used to recognize revenue from service provision, and the completion progress of the service transaction is determined based on the proportion of costs already incurred to the estimated total cost. If the results of the service transaction cannot be reliably estimated at the balance sheet date, and the cost of services already incurred is expected to be compensated, service revenue is recognized based on the amount of the cost already incurred, and the cost of services is carried forward at the same amount; If the labor costs already incurred are not expected to be compensated, the labor costs already incurred are included in current profit or loss, and labor income is not recognized.

(3) **Transfer of Asset Use Rights** The income from the transfer of asset usage rights is recognized when the relevant economic benefits are likely to flow and the income amount can be reliably measured. Interest income is calculated based on the time others use the company's monetary funds and the actual interest rate; Usage fee income is calculated and determined according to the charging time and method stipulated in the relevant contract or agreement.

2. **Specific methods of revenue recognition:** The company mainly sells office chairs, sofas, massage chairs, and accessories. Revenue recognition for domestic sales products must meet the following conditions: the company has delivered the product to the buyer as stipulated in the contract, the amount of product sales revenue has been determined, payment has been collected or receipts have been obtained, and related economic benefits are likely to be inflow, and the product-related costs can be reliably measured. Recognition of export product revenue must meet the following conditions: the company has declared the product for customs according to the contract, obtained the bill of lading, the amount of product sales revenue has been determined, payment has been collected or receipt vouchers have been obtained, and the related economic benefits are likely to be flowing in, and the product-related costs can be reliably measured. Recognition of overseas sales product revenue must meet the following conditions: the company has delivered the product to the buyer according to the contract, the amount of product sales revenue has been determined, payment has been collected or receipts have been obtained, and related economic benefits are likely to flow in, and the costs related to the product can be reliably measured.

37. Government subsidies

√ applicable, □ not applicable

- Government subsidies are recognized when the following conditions are met: (1) The company is able to meet the conditions attached to the government subsidy; (2) The company can receive government subsidies. Government subsidies that are monetary assets shall be measured according to the amount received or receivable. Government subsidies for non-monetary assets shall be measured at fair value; If fair value cannot be reliably obtained, it shall be measured at the nominal amount.
- Basis for Determining Government Grants Related to Assets and Accounting Treatment Methods** Government Grants Stipulated in Government Documents for the Purchase or Construction of Long-term Assets Classified as Asset-Related Government Grants. If the government document is unclear, the basic conditions required to obtain the subsidy shall be used as the basis for judgment. Government subsidies based on the basic condition of forming long-term assets through purchase, construction, or other means shall be considered asset-related government subsidies. Government grants related to the

asset may be offset by the carrying amount of the asset or recognized as deferred income. Government grants related to assets recognized as deferred income are recognized in profit or loss over the asset's useful life in a reasonable and systematic manner. Government subsidies measured in nominal amounts are directly included in current profit or loss. If the relevant assets are sold, transferred, scrapped, or damaged before the end of their useful life, the undistributed balance of related deferred income shall be transferred to the profit or loss of the asset disposal period.

3. Basis for Determining Government Grants Related to Income and Accounting Treatment Methods Government grants other than those related to assets are classified as government grants related to income. For government grants that include both asset-related and income-related components, it is difficult to distinguish between asset-related and income-related subsidies, and are generally classified as income-related government grants. Government grants related to revenue, used to compensate for related costs, expenses, or losses in future periods, are recognized as deferred income and recognized in current profit or loss or offset related costs during the recognition period; If used to compensate for incurred related costs, expenses, or losses, they should be directly included in current profit or loss or offset related costs.
4. Government subsidies related to the company's daily business activities are included in other income or offset related costs and expenses according to the substance of the economic business. Government subsidies unrelated to the company's daily activities are included in non-operating income and expenses.

5. Accounting treatment methods for interest subsidies on policy-based preferential loans

- (1) When the finance department allocates the interest subsidy funds to the lending bank, and the lending bank provides a loan to the company at a policy preferential interest rate, the actual amount received shall be used as the book value of the loan, and the relevant borrowing fees shall be calculated based on the loan principal and the policy preferential rate.
- (2) If the finance department directly allocates interest subsidy funds to the company, the corresponding interest subsidy will be used to offset the relevant borrowing expenses.

38. Deferred Income Tax Assets/Deferred Income Tax Liabilities

√ applicable, ☐ not applicable

1. Based on the difference between the carrying amount of assets and liabilities and their tax basis (for items not recognized as assets and liabilities whose tax basis can be determined according to tax laws, the difference between the tax base and its carrying amounts), deferred income tax assets or deferred income tax liabilities are recognized at the applicable tax rate expected for the recovery period or the liability.
2. Recognize deferred income tax assets only to the extent that it is very likely to obtain taxable income that can be used to offset deductible temporary differences. On the balance sheet date, if there is conclusive evidence that sufficient taxable income is likely to be obtained in future periods to offset deductible temporary differences, deferred tax assets not recognized in previous accounting periods are recognized.
3. On the balance sheet date, the carrying amount of deferred tax assets is reviewed. If it is unlikely that sufficient taxable income will not be obtained in future periods to offset the benefits of deferred income tax assets, the carrying amount of the deferred tax asset is written down. The write-down amount is reversed when it is likely that sufficient taxable income will be obtained.
4. The company's current income tax and deferred income tax are recognized as income tax expenses or gains in profit or loss, but do not include income tax

arising from the following situations: (1) Business combination; (2) Transactions or matters directly confirmed in owners' equity.

39. Leasing

(1). Accounting treatment methods for operating leases

☒ applicable, ☐ not applicable

1. Based on the difference between the carrying amount of assets and liabilities and their tax basis (for items not recognized as assets and liabilities whose tax basis can be determined according to tax laws, the difference between the tax base and its carrying amounts), deferred income tax assets or deferred income tax liabilities are recognized at the applicable tax rate expected for the recovery period or the liability.
2. Recognize deferred income tax assets only to the extent that it is very likely to obtain taxable income that can be used to offset deductible temporary differences. On the balance sheet date, if there is conclusive evidence that sufficient taxable income is likely to be obtained in future periods to offset deductible temporary differences, deferred tax assets not recognized in previous accounting periods are recognized.
3. On the balance sheet date, the carrying amount of deferred tax assets is reviewed. If it is unlikely that sufficient taxable income will not be obtained in future periods to offset the benefits of deferred income tax assets, the carrying amount of the deferred tax asset is written down. The write-down amount is reversed when it is likely that sufficient taxable income will be obtained.
4. The company's current income tax and deferred income tax are recognized as income tax expenses or gains in profit or loss, but do not include income tax arising from the following situations: (1) Business combination; (2) Transactions or matters directly confirmed in owners' equity.

(2). Accounting treatment methods for financial leasing

☒ Applicable ☐ Not Applicable When the company is the lessee of the lease term, on the lease term start date, the company uses the lower of the fair value of the leased asset and the present value of the minimum lease payment as the book value of the leased asset, and the minimum lease payment amount as the carrying amount of long-term payables. The difference is unrecognized financing expenses, and initial direct costs incurred are included in the value of the leased asset. For each period of the lease term, the effective interest rate method is used to calculate and recognize the financing costs for the current period.

When the company is the lessor, on the lease start date, the company uses the sum of the minimum lease receipt on the lease start date and the initial direct costs as the book value of the finance lease receivable, while also recording the unsecured residual value; The difference between the minimum lease receivables, initial direct costs, and the sum of unsecured residual value and present value is recognized as unrealized financing income. For each period of the lease, the effective interest rate method is used to calculate and recognize the financing income for the current period.

(3). Methods for determining leases and accounting treatment under the new lease standards

☐ applicable, ☒ not applicable

40. Other important accounting policies and estimates

□ applicable, √ not applicable

41. Changes in important accounting policies and estimates**(1). Significant changes in accounting policies**

√ applicable, □ not applicable

The content and reasons for the changes in accounting policies	Approval procedures	Remarks (Name and amount of the significantly affected report item)
In accordance with the Ministry of Finance's "Notice on Revising and Issuing the 2019 Format of General Enterprise Financial Statements" (Cai Kuai [2019] No. 6) and the requirements of enterprise accounting standards, prepare the 2019 annual financial statements, This change in accounting policy adopts the retrospective adjustment method		See other instructions for details
Implemented by the Ministry of Finance since January 1, 2019 The revised "Accounting Standard for Business Enterprises No. 22 — Financial Instrument Recognition and Measurement," "Enterprise Accounting Standards." Section No. 23— Transfer of Financial Assets" and "Enterprises Accounting Standard No. 24— Hedging and Hedging Accounting Standard for Business Enterprises No. 37— Financial Instruments (hereinafter referred to as the New Financial Instruments Standard). According to relevant regulations on the transition between old and new standards, the comparison is comparable Information during the period will not be adjusted, and the first execution date will be implemented Differences between the new and original standards are retrospectively adjusted to this newspaper Reporting beginning retained earnings or other comprehensive income.		See other instructions for details

Other notes

1. The company prepares the 2019 annual financial statements in accordance with the Ministry of Finance's "Notice on Revising and Issuing the 2019 Annual General Enterprise Financial Statement Format" (Cai Kuai [2019] No. 6) and the Enterprise Accounting Standards. This accounting policy change adopts the retrospective adjustment method. The key financial items and amounts significantly affected in the 2018 financial statements are as follows:

Items and amounts originally presented in the report		Newly reported report items and amounts	
Notes receivable and accounts receivable	433,148,679.94	Notes receivable	400,000.00

		Accounts receivable	432,748,679.94
Notes payable and accounts payable	406,228,823.22	Notes payable	13,911,732.90
		Accounts payable	392,317,090.32

2. Since January 1, 2019, our company has implemented the revised "Accounting Standard for Business Enterprises No. 22— Recognition and Measurement of Financial Instruments" and the "Accounting Standard for Business Enterprises No. 22" as revised by the Ministry of Finance No. 23— Transfer of Financial Assets, Accounting Standard for Business Enterprises No. 24— Hedging, and Accounting Standard for Business Enterprises No. 37— Financial Instruments Presentation (hereinafter referred to as the New Financial Instruments Standard). According to the relevant provisions on the transition between old and new standards, no adjustments are made to comparable period information. On the first implementation date, differences between the new standard and the original standard are retrospectively adjusted for retained earnings or other comprehensive income at the beginning of the reporting period.

The new Financial Instruments Standards have changed the classification and measurement methods of financial assets, establishing three measurement categories: amortized costs; Measured at fair value and recognized in other comprehensive income; Measured at fair value, and any changes thereof are recognized in profit or loss for the period. Companies classify these based on their own business models and the contracted cash flow characteristics of financial assets. Equity investments must be measured at fair value, with changes recognized in profit or loss, whereas non-trading equity investments may be recognized at fair value at initial recognition and have their changes recognized in other comprehensive income (gains or losses at disposal cannot be reversed to profit or loss, but dividend income is included in current profit or loss), and this choice cannot be revoked.

The new financial instruments standard requires that the measurement of impairment of financial assets be changed from the "incurred loss model" to the "expected credit loss model," applicable to financial assets measured at amortized cost, financial assets measured at fair value with changes recognized in other comprehensive income, and lease receivables.

- (1) The main impacts of implementing the new financial instruments standards on the company 's financial statements as of January 1, 2019 are as follows:

Project	Balance sheet		
	December 31, 2018	New Financial Instruments Standards Adjust Impact	January 1, 2019 Day
Trading financial assets		961,414,010.8 3	961,414,010.8 3
Other current assets	977,394,003.4 7	-961,414,010. 83	15,979,992.64
Available-for-sale financial assets	48,991,549.50	-48,991,549.5 0	
Other equity instrument investments		97,001,131.50	97,001,131.50
Short-term loans	40,000,000.00	284,444.44	40,284,444.44

Other payables	21,245,497.82	-284,444.44	20,961,053.38
Financial liabilities measured at fair value with changes recognized in profit or loss for the period	6,854,058.96	-6,854,058.96	
Trading financial liabilities		6,854,058.96	6,854,058.96
Deferred income tax liabilities		7,201,437.30	7,201,437.30
Other comprehensive income	-9,654.08	40,808,144.70	40,798,490.62

(2) As of January 1, 2019, the company's financial assets and liabilities were classified and measured according to the new

Financial Instruments Standard and the original Financial Instruments Standard, with the results compared in the table below:

Project	Original Financial Instruments Standards		New Financial Instruments Standards	
	Measurement categories	Book value	Measurement categories	Book value
Monetary funds	Amortized Costs (Payments and Receivables)	421,311,112.35	Amortized cost	421,311,112.35
Notes receivable	Amortized Costs (Payments and Receivables)	400,000.00	Amortized cost	400,000.00
Accounts receivable	Amortized Costs (Payments and Receivables)	432,748,679.94	Amortized cost	432,748,679.94
Other receivables	Amortized Costs (Payments and Receivables)	103,135,008.40	Amortized cost	103,135,008.40
Other current assets	Amortized Costs (Payments and Receivables)	977,394,003.47	Financial assets measured at fair value with changes recognized in current profit or loss	961,414,010.83
			Amortized cost	15,979,992.64
Available-for-sale funds financing	Measured by cost (available).	48,991,549.50	Financial assets measured at fair value with changes recognized in other comprehensive income	97,001,131.50
Production	Sell-off financial assets			
Short-term loans	Amortized Costs (Other Financial Liabilities)	40,000,000.00	Amortized cost	40,284,444.44
Financial liabilities measured at fair value with changes recognized in profit or loss for the period	Financial assets measured at fair value with changes recognized in current profit or loss	6,854,058.96	Financial liabilities measured at fair value with changes recognized in profit or loss for the period	6,854,058.96
Notes payable	Amortized Costs (Other Financial Liabilities)	13,911,732.90	Amortized cost	13,911,732.90
Accounts payable	Amortized Costs (Other Financial Liabilities)	392,317,090.32	Amortized cost	392,317,090.32

Amortized costs (other cash and other payables 21,245,497.82	Amortized costs 20,961,053.38	Liabilities).
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(3) On January 1, 2019, the company's original financial assets and liabilities were adjusted to new financial assets and liabilities

classified and measured in accordance with the new Financial Instruments Standards and the reconciliation table as follows: Listed

	according to the original Financial Instruments Standards Listed under the new Financial Instruments Standards (2018).
December 31) Reclassification	Re-metering (January 1, 2019).

A. Financial assets

a. Amortized cost

Monetary funds				
The balance is based on the original CAS22 and the new balance	421,311,112.35			421,311,112.35
Balance listed in CAS22				
Notes receivable				
According to the original CAS22				
The listed balance				
And the new note	400,000.00			400,000.00
CAS22 listing				
Balance				
Accounts receivable				
The balance is based on the original CAS22 and the new balance	432,748,679.94			432,748,679.94
Balance listed in CAS22				
Other receivables				
The balance is based on the original CAS22 and the new balance	103,135,008.40			103,135,008.40
Balance listed in CAS22				

Other liquidity sources				
Production				
According to the original CAS22				
The listed balance	977,394,003.47			
Less: Transferred out to fair value with changes recognized in profit or loss (New Financial Instruments Standard)		-961,414,010.83		
Balance listed according to the new CAS22				15,979,992.64
Total financial assets measured at amortized cost	1,934,988,804.16	-961,414,010.83		973,574,793.33

b. Measured at fair value, and its changes are recognized in the current period's profit or loss

Trading finance				
Assets				
According to the original CAS22				
The listed balance				
Add: Transferred to fair value with changes recognized in profit or loss (New Financial Instruments Standard)		961,414,010.83		
According to the new CAS22				
The listed balance				961,414,010.83
Measured at fair value, and any changes are recognized for the current period		961,414,010.83		961,414,010.83

Total financial assets with profit or loss				
c. Measured at fair value and its changes recognized in other comprehensive income				
Available for sale				
Financing assets				
According to the original CAS22				
The listed balance	48,991,549.50			
Less: Transferred out to other comprehensive income measured at fair value with changes recognized (New Financial Instruments Standard)		-48,991,549.50		
According to the new CAS22				
The listed balance				
Other rights workers				
Investment				
According to the original CAS22				
The listed balance				
Plus: Transferred to other comprehensive income measured at fair value and whose changes are recognized (New Financial Instruments Standard)		48,991,549.50	48,009,582.00	
According to the new CAS22				
The listed balance				97,001,131.50
Total financial assets measured at fair value with changes recognized in other comprehensive income	48,991,549.50		48,009,582.00	97,001,131.50

B. Financial liabilities

a. Amortized cost

Short-term loans				
Balance as originally presented in CAS22	40,000,000.00			
Add: Transfer to measured at amortized cost (new financial instruments standard)		284,444.44		
Balance listed according to the new CAS22				40,284,444.44
Notes payable				
The balance is based on the original CAS22 and the new balance	13,911,732.90			13,911,732.90
Balance listed in CAS22				
Accounts payable				
The balance is based on the original CAS22 and the new balance	392,317,090.32			392,317,090.3
Balance listed in CAS22				2
Other payables				
Balance as originally presented in CAS22	21,245,497.82			
Less: Transferred to measured at amortized cost (New Financial Instruments Standard)		-284,444.44		
Balance listed according to the new CAS22				20,961,053.38

Total amount measured at amortized cost	467,474,321.04			467,474,321.04
Rong was in debt				4

b. Measured at fair value, and its changes are recognized in the current period's profit or loss

Financial liabilities measured at fair value with changes recognized in profit or loss for the period				
Balance as originally presented in CAS22	6,854,058.96			
Less: Transferred out to fair value with changes recognized in profit or loss (New Financial Instruments Standard)		-6,854,058.96		
Balance listed according to the new CAS22				
Trading financial liabilities				
Balance as originally presented in CAS22				
Add: Transferred to fair value with changes recognized in profit or loss (New Financial Instruments Standard)		6,854,058.96		
Balance listed according to the new CAS22				6,854,058.96
Total financial liabilities measured at fair value with changes recognized in profit or loss	6,854,058.96			6,854,058.96

(4) On January 1, 2019, the company's original ending amount of financial asset impairment provision was adjusted to comply with the new financial instruments standard

The reconciliation table for new loss provisions for classification and measurement is as follows:

Project	Loss provision under the original financial instruments standard / estimated liabilities recognized under the contingent event standard (as of December 31, 2018).	Reclassification	Re-metering	Loss provision under the new financial instrument standard (January 1, 2019).
Accounts receivable	23,822,095.95			23,822,095.95
Other receivables	5,947,702.37			5,947,702.37
Total	29,769,798.32			29,769,798.32

3. Since June 10, 2019, the company has implemented the revised "Accounting Standard for Business Enterprises No. 7— Transaction of Non-monetary Assets."

Since June 17, 2019, the revised "Accounting Standard for Business Enterprises No. 12— Debt Restructuring" has been implemented. This meeting

Changes in planning policies are handled using the method of future application.

(2). Significant changes in accounting estimates

☐ applicable, ☒ not applicable

(3). Adjustments to the implementation of the new financial instruments standard, new income standard, or new lease standard starting in 2019, as well as the implementation of relevant items in the financial statements at the beginning of the year

☒ Applicable ☐ Not Applicable Consolidated Balance Sheet Unit: RMB Currency: RMB

Project	December 31, 2018	January 1, 2019	Adjustment numbers
Current assets:			
Monetary funds	421,311,112.35	421,311,112.35	
Settle the reserve funds			
Borrowing funds			
Trading financial assets		961,414,010.83	961,414,010.83
Financial assets measured at fair value with changes recognized in current profit or loss			
Derivative financial assets			
Notes receivable	400,000.00	400,000.00	
Accounts receivable	432,748,679.94	432,748,679.94	
Receivables financing			
Prepaid items	29,008,110.37	29,008,110.37	
Premiums receivable			
Secured accounts receivable			
Receivable reserve for subinsurance contracts			
Other receivables	103,135,008.40	103,135,008.40	

Where: Interest receivable			
Dividends receivable			
Buyback financial assets			
Inventory	252,581,324.00	252,581,324.00	
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets	977,394,003.47	15,979,992.64	-961,414,010.83
Total current assets	2,216,578,238.53	2,216,578,238.53	
Non-current assets:			
Issuance of loans and advances			
Debt investment			
Available-for-sale financial assets	48,991,549.50		-48,991,549.50
Other debt investments			
Hold-to-maturity investment			
Long-term receivables			
Long-term equity investment	8,013,251.11	8,013,251.11	
Other equity instrument investments		97,001,131.50	97,001,131.50
Other non-current financial assets			
Investment real estate			
Fixed assets	335,591,381.87	335,591,381.87	
Construction in progress	140,968,729.77	140,968,729.77	
Productive biological assets			
Oil and gas assets			
Right-of-use assets			
Intangible assets	95,661,569.07	95,661,569.07	
Development expenditure			
Goodwill			
Long-term deferred expenses	9,736,512.00	9,736,512.00	
Deferred income tax assets	10,701,386.46	10,701,386.46	
Other non-current assets	20,738,360.00	20,738,360.00	
Total non-current assets	670,402,739.78	718,412,321.78	48,009,582.00
Total assets	2,886,980,978.31	2,934,990,560.31	48,009,582.00
Current liabilities:			
Short-term loans	40,000,000.00	40,284,444.44	284,444.44
Borrowing from the central bank			
Borrowed funds			
Trading financial liabilities		6,854,058.96	6,854,058.96
Financial liabilities measured at fair value with changes recognized in profit or loss for the period	6,854,058.96		-6,854,058.96
Derivative financial liabilities			
Notes payable	13,911,732.9	13,911,732.9	
Accounts payable	392,317,090.32	392,317,090.32	
Advance payments	12,353,910.09	12,353,910.09	

Funds for repurchasing financial assets by selling and repurchasing them			
Accepting deposits and interbank deposits			
Acting as an agent for securities trading			
Agency for underwriting of securities payments			
Employee compensation payable	49,077,759.03	49,077,759.03	
Taxes payable	5,927,285.38	5,927,285.38	
Other payables	21,245,497.82	20,961,053.38	-284,444.44
Among them: interest payable	284,444.44		-284,444.44
Dividends payable			
Payable fees and commissions			
Accounts payable for subinsurance			
Holding liabilities for sale			
Non-current liabilities due within one year			
Other current liabilities			
Total current liabilities	541,687,334.50	541,687,334.50	
Non-current liabilities:			
Insurance contract reserves			
Long-term loans			
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities			
Long-term payables			
Long-term payable employee compensation			
Projected liabilities			
Deferred income	36,129,297.67	36,129,297.67	
Deferred income tax liabilities		7,201,437.30	7,201,437.30
Other non-current liabilities			
Total non-current liabilities	36,129,297.67	43,330,734.97	7,201,437.30
Total liabilities	577,816,632.17	585,018,069.47	7,201,437.30
Owner's equity (or shareholders' equity):			
Paid-in capital (or share capital)	100,000,000.00	100,000,000.00	
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve	1,353,957,140.20	1,353,957,140.20	
Subtract: Treasury stock			
Other comprehensive income	-9,654.08	40,798,490.62	40,808,144.70
Special reserves			
and surplus public accumulation	50,000,000.00	50,000,000.00	
General risk preparation			
Undistributed profits	757,144,188.37	757,144,188.37	
Equity attributable to the parent company (or	2,261,091,674.49	2,301,899,819.19	40,808,144.70

Shareholders' equity) total			
Minority Interests	48,072,671.65	48,072,671.65	
Total owners' equity (or shareholders' equity).	2,309,164,346.14	2,349,972,490.84	40,808,144.70
Total liabilities and owners' equity (or shareholders' equity).	2,886,980,978.31	2,934,990,560.31	48,009,582.00

Explanation of adjustments for each item: ☒ applicable, ☐ not applicable

Parent Company's Balance Sheet Unit: RMB Currency: RMB

Project	December 31, 2018	January 1, 2019	Adjustment numbers
Current assets:			
Monetary funds	327,468,516.14	327,468,516.14	
Trading financial assets		771,414,010.83	771,414,010.83
Financial assets measured at fair value with changes recognized in current profit or loss			
Derivative financial assets			
Notes receivable			
Accounts receivable	328,610,910.04	328,610,910.04	
Receivables financing			
Prepaid items	35,422,480.51	35,422,480.51	
Other receivables	106,169,086.21	106,169,086.21	
Where: Interest receivable			
Dividends receivable			
Inventory	125,532,523.53	125,532,523.53	
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets	779,583,990.39	8,169,979.56	-771,414,010.83
Total current assets	1,702,787,506.82	1,702,787,506.82	
Non-current assets:			
Debt investment			
Available-for-sale financial assets	48,991,549.50		-48,991,549.50
Other debt investments			
Hold-to-maturity investment			
Long-term receivables			
Long-term equity investment	372,254,546.16	372,254,546.16	
Other equity instrument investments		97,001,131.50	97,001,131.50
Other non-current financial assets			
Investment real estate			
Fixed assets	224,724,168.56	224,724,168.56	
Construction in progress	117,920,159.46	117,920,159.46	

Productive biological assets			
Oil and gas assets			
Right-of-use assets			
Intangible assets	76,715,247.81	76,715,247.81	
Development expenditure			
Goodwill			
Long-term deferred expenses	9,736,512.00	9,736,512.00	
Deferred income tax assets	9,496,442.27	9,496,442.27	
Other non-current assets	3,000,000.00	3,000,000.00	
Total non-current assets	862,838,625.76	910,848,207.76	48,009,582.00
Total assets	2,565,626,132.58	2,613,635,714.58	48,009,582.00
Current liabilities:			
Short-term loans	40,000,000.00	40,284,444.44	284,444.44
Trading financial liabilities		6,854,058.96	6,854,058.96
Financial liabilities measured at fair value with changes recognized in profit or loss for the period	6,854,058.96		-6,854,058.96
Derivative financial liabilities			
Notes payable	13,911,732.9	13,911,732.9	
Accounts payable	302,156,349.15	302,156,349.15	
Advance payments	11,736,694.90	11,736,694.90	
Employee compensation payable	33,363,056.06	33,363,056.06	
Taxes payable	3,272,554.54	3,272,554.54	
Other payables	52,312,500.22	52,028,055.78	-284,444.44
Among them: interest payable	284,444.44		-284,444.44
Dividends payable			
Holding liabilities for sale			
Non-current liabilities due within one year			
Other current liabilities			
Total current liabilities	463,606,946.73	463,606,946.73	0.00
Non-current liabilities:			
Long-term loans			
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities			
Long-term payables			
Long-term payable employee compensation			
Projected liabilities			
Deferred income	36,129,297.67	36,129,297.67	
Deferred income tax liabilities		7,201,437.3	7,201,437.3
Other non-current liabilities			
Total non-current liabilities	36,129,297.67	43,330,734.97	7,201,437.30
Total liabilities	499,736,244.40	506,937,681.70	7,201,437.30

Owner's equity (or shareholders' equity):			
Paid-in capital (or share capital)	100,000,000.00	100,000,000.00	
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve	1,346,972,609.43	1,346,972,609.43	
Subtract: Treasury stock			
Other comprehensive income		40,808,144.70	40,808,144.70
Special reserves			
and surplus public accumulation	50,000,000.00	50,000,000.00	
Undistributed profits	568,917,278.75	568,917,278.75	
Total owners' equity (or shareholders' equity).	2,065,889,888.18	2,106,698,032.88	40,808,144.70
Total liabilities and owners' equity (or shareholders' equity).	2,565,626,132.58	2,613,635,714.58	48,009,582.00

Explanation of adjustments for each item: ☒ applicable ☐ Not applicable The company has implemented the new financial instruments standards since January 1, 2019. The specific impact accounts and amounts are detailed in the above adjustment report.

(4). Explanation of comparative data prior to retrospective adjustments to the new financial instruments standard or new leasing standard since 2019

☐ applicable, ☒ not applicable

42. Others

☐ applicable, ☒ not applicable

6. Taxes

1. Main types of taxes and tax rates

Main tax types and tax rates: ☒ applicable: ☐ not applicable

Tax types	Tax Base	Tax rates
Value-added tax	Selling goods or providing taxable services	16%, 13%, 6% [Note 1] (Export goods are subject to a "tax exemption, credit, and refund" policy); Hong Kong subsidiaries have no VAT; Swiss subsidiaries are subject to a 7.7 % VAT rate
Consumption tax		
Business tax		
Urban maintenance and construction tax	The amount of turnover tax payable	5% [Note 2].
Corporate income tax	Taxable income	25% 、 15%
Property tax	For ad valorem levies, 1.2% of the residual value after deducting 30% from the original property value in one installment shall be paid; Rent is followed	1.2% 、 12%

	If levied, 12% of the rental income shall be paid	
Education surcharge	The amount of turnover tax payable	3%[Note 2].
Local education surcharge	The amount of turnover tax payable	2%[Note 2].

[Note 1]: According to the "Announcement on Deepening Policies Related to VAT Reform" issued by the Ministry of Finance, State Taxation Administration, and General Administration of Customs (Ministry of Finance, State Taxation Administration, General Administration of Customs Announcement No. 39 of 2019), Starting from April 1 , 2019, the company will adjust the tax rate for VAT taxable sales activities that were previously subject to the 16% tax rate to 13%.

[Note 2]: Overseas subsidiaries are not subject to urban maintenance and construction tax, education surcharge, or local education surcharge.

If there are taxpayers with different corporate income tax rates, the disclosure statement ☒ applicable ☐ not applicable

Name of the taxpayer	Income tax rate (%)
Zhejiang Henglin Chair Industry Co., Ltd	15%
Huzhou Hengxin Metal Products Co., Ltd	15%
Anji Hengyou Technology Co., Ltd	15%
Anji Hengyi Furniture Co., Ltd	15%
Mead International Limited [Note 1].	-
HOMYLIN INC[Note 2].	29.84%
Homylin GmbH	15%
EVER CONSTANT INVESTMENT PTE LTD	15%
EVER GLARY PTE LTD	15%
NOUHAUS, INC[Note 2].	29.84%
Meijia Investment (Hong Kong) Limited [Note 1].	-
Vietnam Hengfeng Home Furnishing Co., Ltd	15%
PT HENGLIN FURNITURE DEVELOPMENT [Note 3].	0.5%
7TH HAVEN PTE. LTD	15%
Nouhaus Co., Ltd	11%
FFL Holding AG [Note 4].	25.90%
Other taxpayers other than those mentioned above	25%

[Note 1]: Hong Kong subsidiary Mead International Limited is exempt from profits tax on income derived from outside Hong Kong. [Note 2] : The U.S. subsidiary HOMYLIN INC charges 8.84% state tax and 21 % federal tax on pre-tax profits .

[Note 3]: If the Indonesian subsidiary's turnover is less than 4.8 billion rupiah, a 0.5% tax rate applies, and the revenue earned from the company is settled. [Note 4]: For example, in St. Gallen, a state tax of 17.40 % and a federal tax of 8.50% are levied on pre-tax profits . Tax rates vary by state.

2. Tax incentives

☒ Applicable ☐ Not

Applicable The company obtained the High-Tech Enterprise Certificate with number GR201933002158 on December 4, 2019, with a validity period of 3 years From 2019 to 2021, corporate income tax was levied at a reduced rate of 15 %.

Subsidiary Huzhou Hengxin Metal Products Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR201733002077 on November 13, 2017, with a validity period of 3 From 2017 to 2019, corporate income tax was levied at a reduced rate of 15 %.

Subsidiary Anji Hengyou Technology Co., Ltd . obtained the High-Tech Enterprise Certificate No. GR201933004374 on December 4, 2019, with a validity period of 3 From 2019 to 2021, corporate income tax was levied at a reduced rate of 15 %.

Subsidiary Anji Hengyi Furniture Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR201933004146 on December 4, 2019, with a validity period of 3 From 2019 to 2021, corporate income tax was levied at a reduced rate of 15 %.

3. Others

☐ applicable, ☒ not applicable

VII. Notes to Consolidated Financial Statement Items 1. Monetary Funds

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Cash on hand	238,800.77	66,329.32
Bank deposits	551,204,716.27	404,979,309.37
Other monetary funds	15,919,623.48	16,265,473.66
Total	567,363,140.52	421,311,112.35
Where: the total amount of funds deposited abroad	54,541,650.34	3,702,027.95

Other Notes: At the end of the period, the bank acceptance deposit was 14,965,590.65 yuan, and the State Grid electricity bill deposit was 856,000.00 yuan. These are restricted in use and do not qualify as cash or cash equivalents.

2. Trading financial assets

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Financial assets measured at fair value with changes recognized in current profit or loss	196,254,617.69	961,414,010.83
Among them:		
Wealth management products	196,254,617.69	961,414,010.83
Designate financial assets measured at fair value with changes recognized in profit or loss for the period		

Where: Total		
	196,254,617.69	961,414,010.83

Other notes: ☒ applicable ☐ Not applicable Differences between the beginning and the previous year's end (as of December 31, 2018) are detailed in Section 11 , Section 5, 41 Changes in Significant Accounting Policies and Estimates of this report.

3. Derivative financial assets

☐ applicable, ☒ not applicable

4. Notes receivable

(1). Classified presentation of notes receivable

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Bank acceptance bills	8,102,343.67	400,000.00
Commercial acceptance bills		
Total	8,102,343.67	400,000.00

(2). Notes receivable pledged by the company at the end of the period

☐ applicable, ☒ not applicable

(3) Notes receivable endorsed or discounted at the end of the period and not yet due on the balance sheet date

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Amount derecognized at period end	The amount not derecognized at the end of the period
Bank acceptance bills	414,499.50	
Commercial acceptance bills		
Total	414,499.50	

The acceptor of a bank acceptance bill is a commercial bank. Since commercial banks have high creditworthiness, the likelihood of non-payment upon maturity is low. Therefore, the Company will derecognize the bank acceptance bills that have been endorsed or discounted. However, if such notes are not paid upon due, the company will still bear joint liability to the holder according to the Negotiable Instruments Law.

(4) Notes at period end where the company transferred the bill to accounts receivable due to the drawer's failure to fulfill the contract

☐ applicable, ☒ not applicable

(5). Classified disclosure according to bad debt provision method

☐ Applicable ☒ Not Provision for Bad Debts Provision on an Individual Basis:

☐ applicable, ☒ not applicable

Bad debt provision by portfolio: ☒ applicable ☐ Not applicable Bundled provision item: Bank acceptance bill
portfolio Unit: RMB Currency: RMB

Name	Ending balance		
	Notes receivable	Bad debt provision	Provisioning Rate (%)
Bank acceptance bill portfolio	8,102,343.67		
Total	8,102,343.67		

Criteria and explanation for recognizing bad debts based on portfolio ☐ applicable ☒ Not applicable

If bad debt provisions are made under the general expected credit loss model, please refer to other receivables disclosure: ☐ applicable, ☒ not applicable

(6). Bad debt provisions

☐ applicable, ☒ not applicable

(7). Actual write-off of notes receivable during the period

☐ applicable, ☒ not applicable

Other Notes: ☐ applicable; ☒ not applicable

5. Accounts receivable

(1) Disclosure by Age

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Aging of accounts	Ending book balance
1 1 year	
Where: Within 1 year, sub-item	
1 within 1 year	621,866,127.81
1 to 2 years	8,070,691.94
2 to 3 years	5,505,033.55
3 than 3 years	1,182,182.00
3 to 4 years	311,713.07
4 to 5 years	80,554.12
5 than 5 years	

Total	637,016,302.49
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(2). Classified disclosure by bad debt provision method

√ applicable, □ not applicable

Unit: Yuan Currency: RMB

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Accrual rate (%)		Amount	Proportion (%)	Amount	Accrual rate (%)	
Bad debt provisions are made on a per-item basis	46,205,991.36	7.25	32,014,377.26	69.29	14,191,614.10					
Among them:										
VIVA OFFICE COMMERCIAL LIMITED	45,386,500.66	7.12	31,194,886.56	68.73	14,191,614.1					
Anji County People's Court	517,716.00	0.08	517,716.00	100	0.0					
Jiaxing Guangmei Furniture Co., Ltd	301,774.70	0.05	301,774.70	100	0.0					
Bad debt provisions are made based on the portfolio	590,810,311.13	92.75	30,776,346.22	5.21	560,033,964.91	456,570,775.89	100.00	23,822,095.95	5.22	432,748,679.94
Among them:										
Aging portfolio	590,810,311.13	92.75	30,776,346.22	5.21	560,033,964.91	456,570,775.89	100.00	23,822,095.95	5.22	432,748,679.94
Total	637,016,302.49	100.00	62,790,723.48	9.86	574,225,579.01	456,570,775.89	100.00	23,822,095.95	5.22	432,748,679.94

Provision for bad debts on a per-item basis: √ applicable □ Not applicable Unit: yuan Currency: RMB

Name	Ending balance			
	Book balance	Bad debt provision	Provisioning Rate (%)	Reasons for accrual
VIVA OFFICE COMMERCIAL LIMITED	45,386,500.66	31,194,886.56	68.73	Net assets are negative, and the likelihood of full receivables recovery is low

Anji County People's Court	517,716.00	517,716.00	100.00	Quality issues are hard to resolve
Jiaxing Guangmei Furniture Co., Ltd	301,774.70	301,774.70	100.00	The other party's reputation issues are hard to undo
Total	46,205,991.36	32,014,377.26	69.29	/

Explanation of Provision for Bad Debts on an Individual Basis: ☒ Applicable ☐ Not Applicable The sales data in the table is a summary of the ending accounts receivable balances of VIVA OFFICE COMMERCIAL LIMITED and its subsidiaries.

Bad debt provision by portfolio: ☒ applicable ☐ Not applicable Combination provision item: Aging portfolio
Unit: RMB Currency: RMB

Name	Ending balance		
	Accounts receivable	Bad debt provision	Provisioning Rate (%)
1 1 year	584,391,032.04	29,219,551.60	5.00
1-2 years	3,331,869.36	333,186.93	10.00
2-3 years	1,512,960.54	302,592.11	20.00
3-4 years	1,182,182.00	591,091.00	50.00
4-5 years	311,713.07	249,370.46	80.00
5 than 5 years	80,554.12	80,554.12	100.00
Total	590,810,311.13	30,776,346.22	5.21

Criteria and explanations for recognizing bad debts based on portfolio: ☐ applicable, ☒ not applicable

If bad debt provisions are made under the general expected credit loss model, please refer to other receivables disclosure: ☐ applicable, ☒ not applicable

(3). Bad debt provision

☒ Applicable ☐ Not applicable Unit: yuan

Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Provision for bad debts is made on a standalone basis		32,014,377.26				32,014,377.26
Bad debt provisions are made based on the portfolio	23,822,095.95	-238,250.18	62,416.00	720,629.91	7,850,714.36	30,776,346.22
Total	23,822,095.95	31,776,127.08	62,416.00	720,629.91	7,850,714.36	62,790,723.48

Other changes include increases in business combinations under non-common control. Among these, the amount of bad debt provisions to be recovered or reversed for the current period is important: ☐ applicable, ☒ not applicable

(4). Actual write-off of accounts receivable during the period

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Redemption amount
Accounts receivable actually written off	720,629.91

Among them, important accounts receivable write-off situations ☐ applicable ☒ Not applicable Accounts receivable write-off instructions: ☐ applicable ☒ not applicable

(5). The top five accounts receivable by the debtor by ending balance

☒ applicable, ☐ not applicable

Unit name	Book balance	Percentage of accounts receivable balance (%)	Bad debt provision
IKEA Supply AG [Note 1].	83,264,083.38	13.07	4,163,204.17
Hangzhou Offis Technology Co., Ltd	56,060,621.49	8.80	2,803,031.07
VIVA OFFICE FURNITURE COMMERCIAL CO., LTD [Note 2].	45,386,500.67	7.12	31,194,886.56
Office Depot International B.V. [Note 3].	32,955,340.17	5.17	1,647,767.01
NITORI CO., LTD [Note 4].	25,099,062.34	3.95	1,254,953.12
Sub-total	242,765,608.05	38.11	41,063,841.93

[Note 1]: The data in the table is for IKEA Supply AG and others under the same actual controller, INGKA PRO HOLDING B.V

Aggregate data of the accounts receivable balances at the end of each period for each company.

[Note 2]: The sales data in the table refers to year-end accounts receivable for VIVA OFFICE COMMERCIAL LIMITED and its subsidiaries

Summary data of accounts receivable balances.

[Note 3]: The sales data in the table is for Office Depot, Inc and its subsidiaries' year-end accounts receivable balances.

[Note 4]: The data in the table is a summary of the year-end accounts receivable balance of NITORI CO., LTD and its subsidiaries.

(6). Accounts receivable derecognized due to the transfer of financial assets√ applicable, ☐ not applicable

Project	Derecognition amount	Gains or losses related to derecognition of the product	Methods of financial asset transfer
Accounts receivable factoring	24,046,624.34	-214,606.17	Buyout no-recourse factoring business
Sub-total	24,046,624.34	-214,606.17	

(7) The amount of assets and liabilities formed by transferring accounts receivable and continuing to be involved☐ applicable, √ not applicableOther notes: ☐ applicable, √ not applicable**6. Financing of receivables**☐ applicable, √ not applicable**7. Advance payments****(1). Advance payments are presented by age**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Aging of accounts	Ending balance		Opening balance	
	Amount	Proportion (%)	Amount	Proportion (%)
1 1 year	45,100,770.66	95.47	25,313,087.19	87.26
1 to 2 years	1,938,208.88	4.10	1,496,313.38	5.16
2 to 3 years	19,925.12	0.04	1,358,014.42	4.68
3 than 3 years	185,505.91	0.39	840,695.38	2.90
Total	47,244,410.57	100.00	29,008,110.37	100.00

Explanation of reasons for untimely settlement of important advance payments with an aging of over one year: None

(2). The top five prepayments by period-end balance collected by prepayment targets√ applicable, ☐ not applicable

Unit name	Book balance	Proportion of the balance of advance payments (%)
Ningbo Xinersheng Trading Co., Ltd	2,003,400.00	4.24

Zhejiang Mantangjin Supply Chain Management Co., Ltd	1,695,050.00	3.59
Zhejiang Qiancheng Petrochemical Co., Ltd	1,440,000.00	3.05
Shanghai Yixuan New Materials Co., Ltd	1,386,870.00	2.94
Jiangsu Junting Import & Export Co., Ltd	915,240.00	1.94
Sub-total	7,440,560.00	15.76

Other Notes: ☐ applicable; ☒ not applicable

8. Other receivables item listing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Interest receivable		
Dividends receivable		
Other receivables	60,955,740.71	103,135,008.40
Total	60,955,740.71	103,135,008.40

Other notes: ☐ applicable, ☒ not applicable

Interest receivable

(1). Classification of interest receivable

☐ applicable, ☒ not applicable

(2). Significant overdue interest

☐ applicable, ☒ not applicable

(3). Provision for bad debts

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

Dividends receivable

(4). Dividends receivable

☐ applicable, ☒ not applicable

(5). Significant dividends receivable with an age exceeding one year

☐ applicable, ☒ not applicable

(6). Provision for bad debts

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

Other receivables**(7). Disclosure by age**

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Aging of accounts	Ending book balance
1 1 year	
Where: Within 1 year, sub-item	
1 within 1 year	43,268,671.43
1 to 2 years	21,007,225.10
2 to 3 years	2,488,364.75
3 than 3 years	
3 to 4 years	24,914.30
4 to 5 years	24,930.00
5 than 5 years	284,442.00
Total	67,098,547.58

(8) Classification by the nature of the funds

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Nature of the funds	Ending book balance	Beginning book balance
Deposit, security deposit	33,097,750.59	28,855,807.18
Temporary payment receivable	7,831,503.31	4,215,870.42
export tax rebate	17,427,102.60	25,284,494.46
Opening up loans	8,742,191.08	8,000,000.00
Insurance compensation		42,726,538.71
Total	67,098,547.58	109,082,710.77

(9). Provision for doubtful accounts

☒ Applicable ☐ Not

applicable Unit: yuan Currency: RMB

Bad debt provision	Phase One	Phase Two	Stage three	Total
	Expected credit losses over the next 12 months	Expected credit loss throughout the entire life (no credit impairment).	Expected credit loss over the entire life (credit impairment has occurred).	
Balance as of January 1, 2019	5,216,392.91	440,908.43	290,401.03	5,947,702.37
The balance as of January 1, 2019 is for this period				
-- Move on to the second stage	-991,242.66	991,242.66		
-- Move on to the third stage	-59,118.59	-248,836.48	307,955.07	
-- Return to the second phase				
-- Back to Phase One				
Provision for this period	-2,016,713.33	799,170.71	1,398,531.88	180,989.26
This issue is back				
Sold off this period				
This period is redeemed for this period				
Other changes	14,115.24			14,115.24
Balance as of December 31, 2019	2,163,433.57	1,982,485.32	1,996,887.98	6,142,806.87

Other changes are additions in business combinations not under common control. Explanation of significant changes in the book balance of other receivables with loss provisions during the current period:

☐ applicable, ☒ not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ applicable ☒ not applicable

(10). Bad debt provisions

☒ Applicable ☐ Not applicable Unit: yuan

Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Other allowances for bad debts on receivables	5,947,702.37	180,989.26			14,115.24	6,142,806.87
Total	5,947,702.37	180,989.26			14,115.24	6,142,806.87

Among these, the amount of bad debt provision for recovery or recovery in this period is important: ☐ applicable, ☒ not applicable

(11). Other receivables actually written off during the period

☐ applicable, ☒ not applicable

(12). Other receivables among the top five ending balances collected by the debtor√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Unit name	The nature of the funds	Ending balance	Aging of accounts	Proportion (%) of the total ending balance of other receivables	Provision for bad debts: Ending balance
Anji County National Tax Bureau	export tax rebate	17,427,102.60	1 1 year	25.97	871,355.13
Huzhou Customs, People's Republic of China	Deposit,	4,855,000.00	1 1 year	7.24	242,750.00
	security deposit	5,490,100.00	1-2 years	8.18	549,010.00
Zhejiang Zhongyao Construction Co., Ltd	Opening up loans	7,920,000.00	1-2 years	11.80	792,000.00
	Temporary payment receivable	2,000,000.00	1 1 year	2.98	100,000.00
CÔNG TY TNHH MATER WORLD INVESTMENT	Deposit, security deposit	5,633,698.87	1 1 year	8.40	281,684.94
CÔNG TY TNHH HOÀNG HÙNG	Deposit, security deposit	4,108,981.80	1-2 years	6.12	410,898.18
Total	/	47,434,883.27		70.69	3,247,698.25

(13). Receivables involving government grants☐ applicable, √ not applicable**(14). Other receivables derecognized due to financial asset transfers**☐ applicable, √ not applicable**(15). The amount of assets and liabilities formed by transferring other receivables and continuing to be involved**☐ applicable, √ not applicableOther notes: ☐ applicable, √ not applicable**9. Inventory****(1). Inventory classification**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance			Opening balance		
	Book balance	Prepare for price declines	Book value	Book balance	Prepare for price declines	Book value
Raw materials	156,260,244.33	6,905,969.65	149,354,274.68	77,443,431.98	2,078,490.10	75,364,941.88

Product-in-progress	37,901,845.76		37,901,845.76	42,623,116.14		42,623,116.14
Inventory goods	257,440,138.30	27,627,987.81	229,812,150.49	134,649,280.58	2,396,802.47	132,252,478.11
Turnover materials						
Consumable biological assets						
Completed but unsettled assets formed under construction contracts						
Commissioned processing materials	1,609,093.25		1,609,093.25	2,340,787.87		2,340,787.87
Total	453,211,321.64	34,533,957.46	418,677,364.18	257,056,616.57	4,475,292.57	252,581,324.00

(2). Provision for inventory write-downs

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	Increase in amount this period		Amount reduced for this period		Ending balance
		Accounting	Others	Return or re-sell	Others	
Raw materials	2,078,490.10	5,574,949.39		747,469.84		6,905,969.65
Product-in-progress						
Inventory goods	2,396,802.47	3,355,223.26	23,384,476.22	1,508,514.14		27,627,987.81
Turnover materials						
Consumable biological assets						
Completed but unsettled assets formed under construction contracts						
Total	4,475,292.57	8,930,172.65	23,384,476.22	2,255,983.98		34,533,957.46

1. Other increases caused by business combinations not under common control and foreign currency statement translations.

2. The specific basis for determining the net realizable value, and the reasons for the write-down provision for inventory reversed or written off during the period

The specific basis for determining net realizable value is detailed in Note 3 of the financial statements regarding inventory; The reduction in inventory write-down provisions during this period is all due to the reduction

Write-off with the requisition or sale of inventory.

(3) Explanation of the ending inventory balance including the amount of borrowing expenses capitalized

□ applicable, √ not applicable

(4). Completed but unsettled assets formed from construction contracts at the end of the period

☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not Apply

10. Holding assets for sale

☐ applicable, ☒ not applicable

11. Non-current assets maturing within one year

☐ applicable ☒ Not applicable

Significant debt investments at period

end and other debt investments: ☐

applicable ☒ Not applicable Other

explanations None

12. Other current assets

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
VAT to be deducted	18,759,999.12	10,181,426.25
Corporate income tax prepayment	6,958,520.59	5,798,566.39
Total	25,718,519.71	15,979,992.64

Other Notes: For differences between the beginning and the previous year-end (as of December 31, 2018), please refer to Section 11, Section 5, 41 of this report, Changes in Significant Accounting Policies and Estimates.

13. Debt investment**(1). Debt investment situation**

☐ applicable, ☒ not applicable

(2). Significant debt investments at period end

☐ applicable, ☒ not applicable

(3). Impairment provision provision

☐ applicable, ☒ not applicable

The amount of impairment provisions made for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ Applicable ☒ Not applicable

Other Notes: ☐ applicable; ☒ not applicable

14. Other debt investments**(1). Other debt investments**

☐ applicable, ☒ not applicable

(2). Other significant debt investments at the end of the period

☐ applicable, ☒ not applicable

(3). Impairment provision provision

☐ applicable, ☒ not applicable

The amount of impairment provisions made for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ Applicable ☒ Not applicable

Other notes: ☐ applicable, ☒ not applicable

15. Long-term receivables**(1). Long-term receivables**

☐ applicable, ☒ not applicable

(2). Provision for bad debts

☐ applicable, ☒ not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ Applicable ☒ Not applicable

(3) Long-term receivables derecognized due to financial asset transfers

☐ applicable, ☒ not applicable

(4). The amount of assets and liabilities formed by transferring long-term receivables and continuing to be involved

☐ applicable, ☒ not applicable

Other Notes: ☐ applicable; ☒ not applicable

16. Long-term equity investment

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Invested list	Opening balance	Changes in this period								Ending balance	Impairment
		Additional investment	Decrease	Confirmed under the equity method	Its	Its	Announce the issuance of cash	Plan	Others		

Position			Investment less	Investment gains and losses	He adjusted his overall income	Other changes in interests	Gold dividends or profits	Provision for impairment			Prepare the ending balance
1. Joint ventures											
Zhejiang Weiya Office Furniture Trading Co., Ltd	4,096,078.88			-2,353,272.31						1,742,806.57	
Sub-total	4,096,078.88			-2,353,272.31						1,742,806.57	
2. Joint ventures											
VIVA OFFI CE COM MER CIAL LIMI TED	3,917,172.23			-3,917,172.23							
Zhejiang Yongyu Bamboo Industry Co., Ltd		166,427,691.14		9,242,635.07			-8,932,730.24			166,737,595.97	
VIET NAM YON G YU FLO ORIN G COL TD		97,686,036.00		4,245,922.91						101,931,958.91	
Büro SON A AG				190,359.71					4,071,702.52	4,262,062.23	

A. Beck AG				58,960.97					1,261,146.80	1,320,107.77	
Sub-total	3,917,172.23	264,113,727.14		9,820,706.43			-8,932,730.24		5,332,849.32	274,251,724.88	
Total	8,013,251.11	264,113,727.14		7,467,434.12			-8,932,730.24		5,332,849.32	275,994,531.45	

Other Notes: According to the "Investment Cooperation Agreement" and supplementary agreement signed between the company and Zhejiang Yongyu Home Co., Ltd., the company and Zhejiang Yong...

Yu Home Furnishing Co., Ltd. jointly invested to establish VIETNAM YONG YU FLOORING COLTD, with the company investing 10,000 yuan

10,000 yuan subscribed to 49% of its equity, and Zhejiang Yongyu Home Co., Ltd. subscribed 40 million yuan for 51 % of its equity. Long-term equity

The amount increased during the investment period may differ from the contract due to the currency of contribution involved. When VIETNAM YONG YU FLOORING

When COLTD has distributable profits, the company has the right to request VIETNAM YONG YU FLOORING COLTD to give 6,000 in priority

Investment return of ten thousand yuan. If the returned investment amount is not reached, Zhejiang Yongyu Home Furnishing Co., Ltd. has no right to profit distribution. Lord

After receiving the return of the 60 million yuan investment, the company and Zhejiang Yongyu Home Co., Ltd. will distribute profits according to their shareholding ratios.

If VIETNAM YONG YU FLOORING COLTD suffers losses due to poor management, the shares shall be borne according to the shareholding ratios of both parties

Responsibility.

Other increases were due to business combinations and foreign currency statement translations not under common control.

17. Other equity instrument investments

(1). Investment in other equity instruments

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Zhejiang Anji Rural Commercial Bank Co., Ltd	103,467,873.60	97,001,131.50
Total	103,467,873.60	97,001,131.50

Note: 1 For the difference between the beginning and the end of the previous year (as of December 31, 2018), see Section 11, Section 541 of this report.

2. The reason for designating equity instrument investments measured at fair value with changes recognized in other comprehensive income

The equity investment of Zhejiang Anji Rural Commercial Bank Co., Ltd. cannot be controlled, jointly controlled, or exerts significant influence

Non-listed company equity investments are non-trading and are held to obtain dividend income.

(2). Cases involving investments in non-trading equity instruments

□ Applicable √ Not

Applicable Other Notes: ☐
 Applicable ☒ Not Applicable

18. Other non-current financial assets

☒ applicable, ☐ not applicable

Unit: Yuan Currency: RMB

Project	Ending balance	Opening balance
Classified as financial assets measured at fair value with changes recognized in profit or loss for the period	80,367,287.67	
Total	80,367,287.67	

Other notes: ☒ applicable, ☐ not applicable. Among them, wealth management products cost 80,367,287.67 yuan

19. Investment real estate

Investment property measurement model Not applicable

20. Fixed assets item listing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Fixed assets	959,515,999.37	335,591,381.87
Fixed asset disposal		
Total	959,515,999.37	335,591,381.87

Other notes: ☐ applicable, ☒ not applicable

Fixed Assets (1). Fixed asset status

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Houses and buildings	Machinery and equipment	Means of transportation	Electronics and other equipment	Land ownership	Total
1. Book Value Original:						
1	281,260,486.39	162,737,752.58	13,945,806.28	29,971,844.90		487,915,890.15

. Opening balance						
2 . Increase in amount this period	597,056,644.99	413,241,064.84	4,777,922.04	108,797,678.26	170,124,997.87	1,293,998,308.00
1) Purchase	(673,303.81	56,541,447.86	4,777,922.04	15,313,141.17		77,305,814.88
2) Transfer of construction in progress to	(179,446,437.86	18,766,449.96		1,895,305.83		200,108,193.65
3) Increase in business combinations	(416,936,903.32	337,933,167.02		91,589,231.26	170,124,997.87	1,016,584,299.47
3 . Amount reduced for this period	5,270,385.30	10,710,880.27	1,208,548.87	3,579,971.95		20,769,786.39
1) Disposal or scrapping	(5,270,385.30	10,710,880.27	1,208,548.87	3,579,971.95		20,769,786.39
4 . Ending balance	873,046,746.08	565,267,937.15	17,515,179.45	135,189,551.21	170,124,997.87	1,761,144,411.76
2. Accumulated depreciation						
1 . Opening balance	71,687,710.29	54,946,152.04	8,529,551.69	17,161,094.26		152,324,508.28
2 . Increase in amount this period	314,972,486.72	260,667,505.57	1,859,747.05	86,326,210.64		663,825,949.98
1) Accrual	(16,099,176.07	23,843,156.88	1,859,747.05	6,778,806.75		48,580,886.75
	(298,873,310.65	236,824,348.69		79,547,403.89		615,245,063.23

2) Increase in business combinations						
3 . Amount reduced for this period	2,841,514.02	7,477,129.50	916,452.73	3,370,234.65		14,605,330.90
1) Disposal or scrapping	(2,841,514.02	7,477,129.50	916,452.73	3,370,234.65		14,605,330.90
4 . Ending balance	383,818,682.99	308,136,528.11	9,472,846.01	100,117,070.25		801,545,127.36
3. Impairment provision						
1 . Opening balance						
2 . Increase in amount this period				83,285.03		83,285.03
1) Accrual	(			83,285.03		83,285.03
3 . Amount reduced for this period						
1) Disposal or scrapping	(					
4 . Ending balance				83,285.03		83,285.03
4. Book value						
1 . Final exam	489,228,063.09	257,131,409.04	8,042,333.44	34,989,195.93	170,124,997.87	959,515,999.37

Book value						
2 . Opening accounts Value	209,572,776.10	107,791,600.54	5,416,254.59	12,810,750.64		335,591,381.87

(2). Temporarily idle fixed assets

☐ applicable, ☒ not applicable

(3). Status of fixed assets leased through financial leasing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Book value	Accumulated depreciation	Impairment provision	Book value
Machinery and equipment	4,336,085.60	842,727.60		3,493,358.00
Sub-total	4,336,085.60	842,727.60		3,493,358.00

(4) Fixed assets leased out through operating leases

☐ applicable, ☒ not applicable

(5) Status of fixed assets without property ownership certificates

☐ Applicable ☒ Not Applicable Other Notes: ☐ Applicable ☒ Not Applicable

Fixed asset disposal

☐ applicable, ☒ not applicable

21. Listing of Construction in Progress Projects

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Construction in progress	122,502,043.60	140,968,729.77
Engineering materials		
Total	122,502,043.60	140,968,729.77

Other notes: ☐ applicable, ☒ not applicable

Construction in progress**(1). Status of Construction in Progress**

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	Ending balance			Opening balance		
	Book balance	Impairment provision	Book value	Book balance	Impairment provision	Book value
Equipment to be installed	30,660,231.45		30,660,231.45	12,808,334.33		12,808,334.33
Annual production line project for 250,000 sets of functional sofas				23,862,656.20		23,862,656.20
Annual production line project for 3 million sets of health seating equipment	18,620,689.60		18,620,689.60	85,504,894.98		85,504,894.98
An annual production project of 350,000 sets of eco-friendly whole-house custom furniture technical renovation projects	42,579,604.76		42,579,604.76	4,675,693.86		4,675,693.86
Showroom decoration				2,721,012.79		2,721,012.79
Workshop renovation				6,982,978.25		6,982,978.25
Meiyun Zhishu Scheduling Easy System Software	2,212,191.60		2,212,191.60	2,212,191.60		2,212,191.60
Capacity expansion projects				1,339,393.94		1,339,393.94
ERP and APS-MES data Interface				268,965.51		268,965.51
Yizheng BPM software	195,283.01		195,283.01	86,792.45		86,792.45
Communication terminal equipment (intelligent electrical safety sensor terminal)	505,815.86		505,815.86	505,815.86		505,815.86
The project covers 42,203 square meters of land	385,215.13		385,215.13			
Area B new office building #7	279,245.28		279,245.28			
Kingdee Cloud Software	1,904,538.98		1,904,538.98			
Procurement Collaboration System (Xuanzhe)	327,422.78		327,422.78			
Municipal roads and drainage engineering	1,577,399.08		1,577,399.08			
Vietnam project factory construction	23,254,406.07		23,254,406.07			
Total	122,502,043.60		122,502,043.60	140,968,729.77		140,968,729.77

(2). Changes in major construction projects during the current period

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project name	Budget amount	Opening balance	Increase in amount this period	Amount transferred into fixed assets for this period	Other reductions during the period	Ending balance	The cumulative investment in the project accounts for the proportion of the budget (%)	Project progress	Accounted interest amount for the capitalization current period	Other Capitalized interest amount for the current period	Interest capitalized for the current period	Source of funding
Annual production 30 0 Ten Thousand Sets of Health Seats Production Line Project [Note]	133,704,215.23	85,504,894.98	38,252,165.48	103,315,364.39	1,821,006.47	18,620,689.60	99.13	99.13				Raised funds and own funds

Annual production 25 Ten thousand sets of functional sets production line project	184,379,137. 54	23,862,656.20	1,038,004.07	24,302,992.97	597,667.30		100.00	100.00				Raised funds and own funds
Annual production 35 Ten thousand sets of eco-friendly plastic house construction furniture technical innovation project	260,036,496. 35	4,675,693.86	85,233,888.01	47,134,432.11	195,545.00	42,579,604.76	34.58	34.58				Raised funds and own funds
Vietnam project factory construction	26,920,208.3 2		23,254,406.07			23,254,406.07	86.38	86.38				Own funds
Workshop innovation	8,807,001.29	6,982,978.25	1,824,023.04	8,807,001.29			100.00	100.00				Own funds

Total	613,847,058	121,026,223.2	149,602,486.67	183,559,790.76	2,614,218.77	84,454,700.43	/	/			//	
Plan	73	9										

The three-dimensional warehouse in the 3 million sets of health seat production line project is still in the commissioning stage and has not yet met the conditions for consolidation.

(3). Impairment provision for construction in progress during the period

☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not Apply

Engineering materials

(4). Project material status

☐ applicable, ☒ not applicable

22. Productive biological assets

(1). Productive biological assets using a cost-measurement model

☐ applicable, ☒ not applicable

(2) Productive biological assets measured using fair value measurement models

☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not Apply

23. Oil and gas assets

☐ applicable, ☒ not applicable

24. Right-of-use assets

☐ applicable, ☒ not applicable

25. Intangible assets

(1). Intangible assets

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Land use rights	Patent rights	Non-patented technology	Software	Total
1. Book Value (Original Value).					
1. Opening balance	96,609,397.28		5,681,981.12	4,429,022.51	106,720,400.91
2. Increase this period	40,938,013.81			64,077,884.46	105,015,898.27

Add the amount					
(1) Purchase	40,938,013.81			3,209,936.91	44,147,950.72
(2) Internal R&D					
(3) Increase in business combinations				60,529,955.49	60,529,955.49
Construction in progress has been transferred				337,992.06	337,992.06
3. Amount reduced during the period				1,609,845.37	1,609,845.37
(1) Disposal				1,609,845.37	1,609,845.37
4. Ending balance	137,547,411.09		5,681,981.12	66,897,061.60	210,126,453.81
2. Accumulated Amortization					
1. Opening balance	9,665,815.68		568,198.08	824,818.08	11,058,831.84
2. Increase in amount during the period	2,496,397.54		568,198.08	51,271,678.85	54,336,274.47
(1) Accrual	2,496,397.54		568,198.08	1,526,606.02	4,591,201.64
2) Increase in business combinations				49,745,072.83	49,745,072.83
3. Amount reduced during the period				1,559,536.49	1,559,536.49
(1) Disposal				1,559,536.49	1,559,536.49
4. Ending balance	12,162,213.22		1,136,396.16	50,536,960.44	63,835,569.82
3. Impairment provision					
1. Opening balance					
2. Increase in amount during the period					
(1) Accrual					
3. Amount reduced during the period					

(1) Disposal					
4. Ending balance					
4. Book value					
1. Carrying Amount at Period End	125,385,197.87		4,545,584.96	16,360,101.16	146,290,883.99
2. Beginning book value	86,943,581.60		5,113,783.04	3,604,204.43	95,661,569.07

At the end of the period, intangible assets formed through internal R&D accounted for 0% of the total intangible asset balance

(2). Land use rights without proper property certificates

☐ Applicable ☒ Not Applicable Other Notes: ☐ Applicable ☒ Not Applicable

26. Development expenditure

☐ applicable, ☒ not applicable

27. Goodwill

(1). Original book value of goodwill

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

The name of the investee or matters that generate goodwill	Opening balance	This period has increased		Decreased this period		Ending balance
		Formed by a business merger		Disposal		
Anhui Cigna Furniture Co., Ltd		12,963,624.96				12,963,624.96
Total		12,963,624.96				12,963,624.96

(2). Goodwill impairment provision

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

The name of the investee or matters that generate goodwill	Opening balance	This period has increased		Decreased this period		Ending balance
		Accounting		Disposal		
Anhui Cigna Furniture Co., Ltd	0					0
Total	0					0

(3). Information related to the asset group or portfolio in which the goodwill is located√ applicable, ☐ not applicable

Composition of asset groups or portfolios	Anhui Cigna Furniture Co., Ltd
The book value of an asset group or a combination of asset groups	49,066,808.41
The carrying amount of goodwill allocated to this asset group or its portfolio and allocation method	25,418,872.47 / fair value
The carrying amount of asset groups or combinations of asset groups that include goodwill	74,485,680.88
Whether the asset group or portfolio is consistent with the asset group or portfolio determined during the purchase date and prior year's goodwill impairment test	No

(4). Describe the goodwill impairment testing process, key parameters (such as forecast period growth rate, stable period growth rate, profit margin, discount rate, forecast period, etc. when future cash flows are expected at present value, as applicable), and the method for recognizing goodwill impairment losses

√ applicable ☐ not Know-how. The recoverable amount of goodwill is calculated at the present value of projected future cash flows, which are based on the company's approved 4-year period

The cash flow forecast is based on the current cash flow forecast, using a discount rate of 13.70%. Cash flows after the forecast period are expected to grow at zero

The rate inference shows that this growth rate is comparable to the overall long-term average growth rate of the furniture manufacturing industry.

Other key data used in impairment testing include: expected product price, sales volume, production costs, and other related expenses.

The company has identified these key data based on historical experience and market development forecasts. The discount rate used by the company reflects the current market commodities

The pre-tax interest rate for the time value of the coin and the specific risk of the relevant asset group.

(5). The impact of goodwill impairment testing

√ Applicable ☐ Not Applicable The above estimate of recoverable amounts indicates that goodwill has not suffered impairment losses.

Other Notes: ☐ applicable; √ not applicable

28. Long-term deferred expenses

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	Increase in amount this period	Amortization amount for the current period	Other reductions	Ending balance
Employee dormitory rent	9,736,512.00		3,894,604.80		5,841,907.20
Purchase factory buildings for maintenance		8,787,592.48	388,698.16		8,398,894.32
Total	9,736,512.00	8,787,592.48	4,283,302.96		14,240,801.52

Other notes: None

29. Deferred income tax assets / deferred income tax liabilities

(1). Deferred income tax assets that have not been offset

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance		Opening balance	
	Temporary differences can be deducted	Deferred income tax on assets	Temporary differences can be deducted	Deferred income tax on assets
Provision for asset impairment	63,995,305.96	9,930,571.07	25,973,806.36	4,199,171.52
Unrealized profits from insider trading	1,646,998.98	321,512.06	364,743.00	54,711.45
Losses can be deducted				
Deferred income	35,068,315.57	5,260,247.34	36,129,297.67	5,419,394.65
Fair value changes in financial liabilities measured at fair value and whose changes are recognized in profit or loss			6,854,058.96	1,028,108.84
Others	21,878,505.00	3,500,560.80		
Total	122,589,125.51	19,012,891.27	69,321,905.99	10,701,386.46

(2). Unoffset deferred income tax liabilities

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance		Opening balance	
	Taxable temporary differences	Deferred income tax liabilities	Taxable temporary differences	Deferred income tax liabilities
Appreciation of assets in non-shared-control business combinations				
Changes in the fair value of other debt investments				
Changes in fair value of investments in other equity instruments	54,476,324.10	8,171,448.62	48,009,582.00	7,201,437.30
Changes in the fair value of long-term employee compensation	53,210,685.00	8,513,709.60		
Total	107,687,009.10	16,685,158.22	48,009,582.00	7,201,437.30

For details on the difference between the beginning of the period and the previous year-end (as of December 31, 2018), please refer to Section 11, Section 5-41 of this report.

(3). Deferred income tax assets or liabilities presented on a net basis after elimination

☐ applicable, √ not applicable

(4). Failure to recognize details of deferred income tax assets

√ Applicable ☐ Not

applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Temporary differences can be deducted	39,555,466.88	8,271,284.53
Losses can be deducted	66,556,939.53	10,456,472.24
Total	106,112,406.41	18,727,756.77

(5). Deductible losses on assets not recognized for deferred income tax will mature in the following years

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Year	Ending amount	Opening amount	Note
2020	59,944.86	59,944.86	
2021	1,452,525.83	1,452,525.83	
2022	2,090,069.62	2,090,069.62	
2023	4,757,895.75	6,853,931.93	
2024	58,196,503.47		
Total	66,556,939.53	10,456,472.24	/

Other notes: □ applicable, √ not applicable

30. Other non-current assets

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Advance payment for the land		3,000,000.00
Advance payment for land and purchase [Note 1].	6,175,000.00	17,738,360.00
Prepaid equity purchase funds [Note 2].	99,173,568.00	
Prepaid patent fees [Note 3].	5,944,793.60	
Total	111,293,361.60	20,738,360.00

Other notes:

[Note 1]: In June 2018, the company merged with Ruide Sponge (Zhejiang) Co., Ltd. (hereinafter referred to as Ruide Sponge) under non-common control, based on:

- On June 16, 2006, Ruide Sponge signed the "Agreement for Lease of Industrial Plant and Industrial Land" with Anji County Dipu Town Collective Asset Management Co., Ltd. (hereinafter referred to as Dipu Collective Asset Management Company), stipulating that from 2007, From March 1 to February 28, 2009, Ruide Sponge was sold at a monthly rate of 10 Ten thousand yuan in rent leased the industrial land and industrial factory buildings located by Dipu Collective Asset Management Company located in Kangshan Ecological Industrial Park, Kangshan Village, Dipu Town (hereinafter referred to as Kangshan Industrial Land and Kangshan Industrial Plant). It was also agreed that after March 1, 2009, Ruide Sponge was willing to acquire the aforementioned Kangshan industrial land and Kangshan

industrial plants Dipu Collective Asset Management Company agreed to purchase the land at 80,000 yuan per mu, the ground buildings at the final settlement price, and the rent already paid could be offset at 50% of the purchase price. Subsequently, both parties signed a renewal agreement.

- 2) Because Ruide Sponge intends to purchase the leased land and factory buildings, Ruide Sponge signed the "Industrial Land and Factory Transfer Agreement" with Dipu Collective Asset Management Company on April 23, 2018, stipulating that Dipu Collective Asset Management Company will be involved in 2018 Complete the procedures for converting the remaining land from agricultural to land supply by the end of December to ensure the land meets the conditions for listing and transfer; Land is calculated at 80,000 yuan per mu based on the total project land area , with any excess borne by Dipu Collective Asset Management Company. The factory is calculated at the final settlement price upon completion; 50% of the lease payment paid by Ruide Sponge can be deducted from the purchase price. Any shortfall must be paid in full within three working days after Ruide Sponge obtains the land transaction confirmation letter. If 50% of the rent paid exceeds the purchase price, the excess portion will be refunded by Dipu Collective Asset Management Company within three working days after Ruide Sponge receives the land transaction confirmation. Upon confirmation, the rent can be used to offset the purchase price of 6.175 million yuan. The remaining land for the project was signed by Ruide Sponge on December 29, 2018, with the Anji County Bureau of Land and Resources in Zhejiang Province under the 'State-Owned Construction Land Use Rights Transfer Contract,' agreeing to transfer the land with the number of land numbers Dipu Street 2018-80, County Asset Management Company (2005) 15303-3 parcel, with a land parcel area of 27,972 square meters (total land area 28,528 square meters), and a total land transfer price of 12.42 million yuan. In December 2018 , Ruide Sponge paid a land transfer deposit of 2.5 million yuan (including other non-current assets) and paid the land transfer fee in January 2019 856,640 yuan, with a total land transfer fee of 3,356,640.00 yuan paid, of which Dipu Collective Asset Management Company will bear the land transfer fee of 9,063,360.00 yuan (including other non-current assets). Ruide Sponge obtained the land use certificate for this land in March 2019 , which has been carried forward as an intangible asset in this period.

As of the date the financial statements are presented, the transfer price for the factory between Ruide Sponge and Dipu Collective Asset Management Company has not yet been finalized. According to the agreement, the company recorded 6.175 million yuan of rent offset for the purchase price in other non-current assets. In summary, as of December 31, 2019, the total amount of other non-current assets— prepaid land and home purchase payments amounted to 6,175,000.00 yuan. [Note 2] : On November 26, 2018, the company held the fifth meeting of the fifth Board of Directors and reviewed and approved the "Proposal on Wholly-Owned Subsidiary Investment in Vietnam". To expand into Southeast Asia and other overseas markets, the company plans to invest USD 48 million in Vietnam with its own and self-raised funds. This investment will use the company's wholly-owned subsidiary, Meijia Investment (Hong Kong) Co., Ltd. (hereinafter referred to as " Meijia Investment "), as the investment entity. The acquired company, Datong Vietnam Liability Co., Ltd. (hereinafter referred to as " Datong Vietnam "), was established with investment from Datong Co., Ltd., according to the agreement between Meijia Investment and Datong Co., Ltd. in December 2018 On the 27th, the equity transfer agreement was signed to acquire all of Datong Vietnam's equity at a purchase price of 20.8 million USD, with the payment to be made in four installments. The company completed the purchase of the shares in January and March 2019 Paid a total of USD 14.56 million in three equity transfers, completed the Vietnam Investment Certificate in January 2020 , and recorded it as other non-current assets at the end of the period. [Note 3]: The company signed a 3D chair leg

technology transfer contract with Dongguan Boke Furniture Products Co., Ltd ., with a contract price of 750,000 euros. The company has paid the amount, as of 2019 By December 31, 2021 , it had not obtained a patent certificate, and at the end of the current period, it was listed as other non-current assets.

31. Short-term loans

(1). Classification of short-term loans

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
pledge loans	14,965,590.65	
Mortgage loans		
Guaranteed loans		
Credit loans	43,303,010.74	40,284,444.44
Total	58,268,601.39	40,284,444.44

Explanation of short-term loan classification: For differences between beginning and previous year-end figures (as of December 31 , 2018), please refer to Section 11, Section 5, 41 of this report regarding changes in important accounting policies and accounting estimates.

(2) Overdue and unrepaid short-term loans

☐ applicable, √ not applicable

Among them, the important overdue and unpaid short-term loans are as follows: ☐ applicable √ Not applicable Other notes ☐ applicable √ Not applicable

32. Trading financial liabilities

☐ applicable, √ not applicable

33. Derivative financial liabilities

☐ applicable, √ not applicable

34. Notes payable

(1). Notes payable listing

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Types	Ending balance	Opening balance
Commercial acceptance bills	7,520,894.55	13,911,732.90
Bank acceptance drafts	46,849,590.03	
Total	54,370,484.58	13,911,732.90

The total amount of notes payable that have matured and not been paid at the end of the period is 0 yuan.

35. Accounts payable

(1). Presentation of accounts payable

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
1 1 year	502,270,173.22	384,245,763.08
1-2 years	10,395,222.06	3,676,447.60
2-3 years	3,202,824.04	2,566,248.35
3 than 3 years	3,908,953.66	1,828,631.29
Total	519,777,172.98	392,317,090.32

(2) Significant accounts payable with an aging of more than one year

☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not Apply

36. Advance payments

(1). Presentation of advance receipt payments

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
1 1 year	47,424,497.74	11,580,761.01
1-2 years	582,918.34	364,778.29
2-3 years	280,618.76	117,476.00
3 than 3 years	287,370.00	290,894.79
Total	48,575,404.84	12,353,910.09

(2) Important advance receipts with an accounting age exceeding one year

☐ applicable, ☒ not applicable

(3) Settlement of unfinished projects formed by year-end construction contracts

☐ Applicable ☒ Not Applicable Other Notes ☐ Applicable ☒ Not Apply

37. Payable employee compensation**(1). Presentation of employee compensation payable**

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Short-term compensation	43,233,618.29	480,675,351.93	455,486,917.00	68,422,053.22
2. Post-resignation benefits—set up a deposit plan	5,844,140.74	39,630,115.78	39,402,579.87	6,071,676.65
3. Dismissal benefits		468,700.00	366,300.00	102,400.00
4. Other benefits expiring within one year				
Total	49,077,759.03	520,774,167.71	495,255,796.87	74,596,129.87

(2). Short-term salary presentation

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Salaries, bonuses, allowances, and subsidies	40,271,818.58	429,550,292.25	406,259,207.33	63,562,903.50
2. Employee welfare expenses	6,814.18	8,348,532.66	8,265,804.53	89,542.31
3. Social insurance fees	1,479,133.08	29,109,197.35	27,154,962.84	3,433,367.59
Among them: medical insurance fees	1,024,829.75	26,020,298.56	24,076,612.81	2,968,515.50
Work injury insurance premiums	260,410.21	1,710,759.77	1,721,212.24	249,957.74
Maternity insurance premiums	193,893.12	1,378,139.02	1,357,137.79	214,894.35
4. Housing provident fund	657,141.00	11,102,625.00	11,074,950.00	684,816.00
5. Union funds and employee education expenses	818,711.45	2,564,704.67	2,731,992.30	651,423.82
6. Short-term paid absence				
7. Short-term profit-sharing plan				
Total	43,233,618.29	480,675,351.93	455,486,917.00	68,422,053.22

(3). Set the deposit plan listing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Basic pension insurance	5,817,853.25	38,719,250.86	38,573,970.72	5,963,133.39
2. Unemployment insurance premiums	26,287.49	910,864.92	828,609.15	108,543.26
3. Enterprise annuity contributions				
Total	5,844,140.74	39,630,115.78	39,402,579.87	6,071,676.65

Other notes: ☐ applicable, ☒ not applicable

38. Taxes payable

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Value-added tax	9,986,936.78	1,215,455.78
Consumption tax		
Business tax		
Corporate income tax	12,838,100.16	669,992.95
Personal income tax		
Urban maintenance and construction tax	1,326,302.41	843,190.27
Withholding and payment of individual income tax	3,592,842.37	665,122.01
Property tax	338,640.19	816,562.21
Land use tax	325,330.40	490,064.46
Education surcharge	790,888.86	505,914.17
Local education surcharge	527,259.25	337,276.11
Others	2,303,926.29	383,707.42
Total	32,030,226.71	5,927,285.38

Other notes: Others include disability protection funds, stamp duty, etc.

39. Other payables items are listed

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Interest payable		
Dividends payable	4,545,211.89	
Other payables	17,471,934.00	20,961,053.38
Total	22,017,145.89	20,961,053.38

Other notes: ☒ applicable ☐ Not applicable Differences between beginning and previous year-end figures (as of December 31, 2018) are detailed in Section 11, Section 5, 41 Changes in Significant Accounting Policies and Estimates of this report.

Interest payable

(1). Classification and listing

☐ applicable, ☒ not applicable

Dividends payable

(2). Classification and listing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Common stock dividends		
dividends from preferred shares and perpetual bonds of equity instruments		
Preferred Stock / Perpetual Bond Dividend- XXX		
Preferred Stock / Perpetual Bond Dividend- XXX		
Dividends payable- XXX		
Dividends payable- XXX		
Minority Dividends for Subsidiaries	4,545,211.89	
Total	4,545,211.89	

Other explanations, including significant dividends unpaid for more than one year, should be disclosed as the reason for non-payment: None

Other payables

(1). Other payables are listed according to the nature of the funds

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Deposit, security deposit	2,214,049.75	4,509,149.75
Temporary accounts payable	6,304,592.61	11,531,000.91
Equity acquisition payment [Note].	4,800,000.00	4,800,000.00
Opening up loans	4,153,291.64	
Others		120,902.72
Total	17,471,934.00	20,961,053.38

[Note]: This is an equity acquisition payment not yet paid by the merger of Ruide Sponge under non-common control.

(2) Other significant payables with an accounting age exceeding one year

☐ Applicable ☒ Not Applicable Other Notes: ☐ Applicable ☒ Not Applicable

40. Holding liabilities for sale

☐ applicable, ☒ not applicable

41. Non-current liabilities due within one year

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
1 loans maturing within one year	28,811,200.00	
1 payable maturing within one year		
1 payables due within one year		
1 liabilities due within one year		
Total	28,811,200.00	

Other notes: None

42. Other current liabilities

Other current liabilities ☐ applicable ☒ Not applicable Changes in short-term payable bonds: ☐ applicable ☒ Not applicable Other notes: ☐ applicable ☒ Not applicable

43. Long-term loans**(1). Long-term loan classification**

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
pledge loans		
Mortgage loans	223,974,631.39	
Guaranteed loans		
Credit loans		
Total	223,974,631.39	

Explanation of long-term loan
classification: None Other

explanations, including interest rate

range: ☐ applicable, ☒ not applicable

44. Bonds payable

(1). Bonds payable

☐ applicable, ☒ not applicable

(2). Changes in bonds payable: (excluding preferred stock, perpetual bonds, and other financial instruments classified as financial liabilities)

☐ applicable, ☒ not applicable

(3). Explanation of conversion conditions and conversion timing for convertible corporate bonds

☐ applicable, ☒ not applicable

(4). Explanation of other financial instruments classified as financial liabilities

Basic Information on Other Financial Instruments such as Preferred Shares and Perpetual Bonds Outstanding at Period End ☐ Applicable ☒ Not Applicable

Table of changes in preferred shares, perpetual bonds, and other financial instruments issued at the end of the period ☐ Applicable ☒ Not applicable Explanation of the basis for classifying other financial instruments as financial liabilities: ☐ applicable ☒ Not applicable

Other notes: ☐ applicable, ☒ not applicable

45. lease liabilities

☐ applicable, ☒ not applicable

46. Listing of long-term payables items

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Long-term payables	2,168,042.80	
Special payables		
Total	2,168,042.80	

Other notes: ☐ applicable, ☒ not applicable

Long-term payables**(1). Present long-term payables according to the nature of the funds**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	Ending balance
Long-term financial lease payments	2,168,042.80	
Total	2,168,042.80	

Other notes: None

Special payables**(2). List special payables according to the nature of the funds**☐ applicable, √ not applicable**47. Long-term payable to employee compensation**√ applicable, ☐ not applicable**(1). Long-term payable employee compensation schedule**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
1. Post-Employment Benefits- Set the benefit plan and net liabilities	27,593,926.80	
2. Dismissal benefits		
3. Other long-term benefits		
Total	27,593,926.80	

(2). Set changes to benefit plansPresent Value of Benefit Plan Obligations: ☐ Applicable √ Not applicable Plan Assets: ☐ Applicable √Not applicable Setting beneficiary plan net liabilities (net assets) ☐ Applicable √ Not applicableExplanation of the content and associated risks of setting a benefit plan, and its impact on the company's future cash flows, timing, and uncertainties: ☐ applicable √ Not applicable

Explanation of Material Actuarial Assumptions and Sensitivity Analysis Results for Setting the Beneficiary Plan

☐ Applicable √ Not ApplicableOther notes: ☐ applicable, √ not applicable

48. Estimated liabilities

☐ applicable, ☒ not applicable

49. Deferred income

Deferred Income Situation ☒ Applicable ☐ Not Applicable Unit: RMB Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance	Causes of formation
Government subsidies	36,129,297.67		1,060,982.10	35,068,315.57	Receive government grants related to assets
Total	36,129,297.67		1,060,982.10	35,068,315.57	Receive government grants related to assets

Projects involving government subsidies: ☒ applicable ☐ Not applicable Unit: RMB Currency: RMB

Liability items	Opening balance	The amount of new subsidies added this period	This period is included in non-operating income	Other income amounts included in the current period	Other changes	Ending balance	Asset-related/ Earnings-related
Annual production Infrastructure subsidy for the 3 million sets of health sitting equipment production line project	13,397,750.00			23,854.52		13,373,895.48	Asset-related
Subsidies for purchasing commercial housing	470,597.60			26,891.28		443,706.32	Asset-related
Subsidies for purchasing factory land and land	22,260,950.07			1,010,236.30		21,250,713.77	Asset-related
Sub-total	36,129,297.67			1,060,982.10		35,068,315.57	

Other notes: ☒ applicable, ☐ not applicable. For details on government subsidies included in profit or loss for the current period, please refer to Note 37 of Note 5 of these financial statements.

50. Other non-current liabilities

☐ applicable, ☒ not applicable

51. Share capital

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

	Opening balance	This change is adjusted by (+, 1).					Ending balance
		Issuance of new shares	Bonus shares	Housing provident fund conversion to shares	Others	Sub-total	
Total number of shares	100,000,000.00						100,000,000.00

Other notes: None

52. Other equity instruments

(1) Basic information of other financial instruments such as preferred shares and perpetual bonds issued at the end of the period

☐ applicable, ☒ not applicable

(2) Statement of changes in preferred shares, perpetual bonds, and other financial instruments outstanding at the end of the period

☐ Applicable ☒ Not applicable Other changes in equity instruments during the period, explanations of reasons for changes, and the basis for related accounting treatment: ☐ Applicable ☒ Not applicable

Other notes: ☐ applicable, ☒ not applicable

53. Capital reserve

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance
Capital Premium (Share Premium)	1,353,955,901.58			1,353,955,901.58
Other capital reserves	1,238.62			1,238.62
Total	1,353,957,140.20			1,353,957,140.20

Other explanations, including changes in the current period and reasons for changes: None

54. Treasury stock

☐ applicable, ☒ not applicable

55. Other comprehensive income

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	The amount incurred during the current period						Ending balance
		Pre-tax amount for the current period	Less: Previously recognized in other comprehensive income, now transferred to profit or loss	Less: Previously recognized as other comprehensive income, now transferred into retained earnings	Less: income tax expenses	After tax, the attribution belongs to the parent company	After-tax attributions belong to minority shareholders	
1. Other items that cannot be reclassified into profit or loss	40,808,144.70	6,466,742.10			970,011.32	5,496,730.78		46,304,875.48

Comprehensive income								
Specifically:								
Re-measurement of changes in the beneficiary plan								
Other comprehensive income that is recorded in profit or loss								
Other equity instrument investments	40,808,144.70	6,466,742.10			970,011.32	5,496,730.78		46,304,875.48

Fair value changes								
Changes in the fair value of the company's own credit risk								
2. Other comprehensive income to be reclassified into profit or loss	-9,654.08	-1,844,803.62				-1,849,041.61	4,237.99	-1,858,695.69
Where: Equity method is acceptable								

Other comprehensive income converted to profit or loss	Other debt investments	Fair value changes in other debt investments	Amount reclassified into other comprehensive income of financial assets	Other receivables
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Investment credit impairment provision								
The effective portion of cash flow hedging gains and losses								
Differences in foreign currency financial statement translation	-9,654.08	-1,844,803.62				-1,849,041.61	4,237.99	-1,858,695.69
Other comprehensive income total	40,798,490.62	4,621,938.48			970,011.32	3,647,689.17	4,237.99	44,446,179.79

Other explanations, including adjustments to the effective portion of cash flow hedging gains and losses to the initial recognized amount of hedged items: For differences between the beginning and the end of the previous year (December 31, 2018), see Section 11, Section 5, 41 Changes in Significant Accounting Policies and Estimates of this report.

56. Special reserves

☐ applicable, ☒ not applicable

57. Surplus reserve

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance
Statutory surplus reserve	50,000,000.00			50,000,000.00
Arbitrarily reap surplus public funds				
Reserve fund				
Enterprise Development Fund				
Others				
Total	50,000,000.00			50,000,000.00

Explanation of surplus reserve, including changes in the current period and reasons for changes: None

58. Undistributed profits

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	This issue	Last issue
Undistributed profits at the end of the previous period before adjustment	757,144,188.37	675,193,709.55
Adjusted the total undistributed profit at the beginning of the period (adjustment increased).		
+, adjust minus -).		
Adjusted for the undistributed profit at the beginning of the period after adjustment	757,144,188.37	675,193,709.55
Add: Net profit attributable to owners of the parent company for the period	243,394,956.06	170,950,478.82
Less: Approximate statutory surplus reserve		
Appropriation of arbitrary surplus reserves		
Extract general risk provisions		
Dividends payable on common stock	28,000,000.00	89,000,000.00
Dividends converted into common stock dividends converted into share capital		
Undistributed profit at the end of the period	972,539,144.43	757,144,188.37

Details of Adjusted Beginning Undistributed Profits:

1. Due to retrospective adjustments in the "Enterprise Accounting Standards" and related new regulations, the beginning undistributed profit was affected 0 yuan.

2. Due to changes in accounting policies, the undistributed profit at the beginning of the period was 0 yuan.

3. Due to corrections of major accounting errors, the undistributed profit at the beginning of the period was 0 yuan.

4. Changes in the scope of consolidation due to unified control affecting beginning undistributed profits 0 yuan.

5. Other adjustments have a total impact of 0 yuan on undistributed profit at the beginning of the period .

59. Operating income and operating costs

(1). Operating income and operating costs

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period		Previous period amount	
	Income	Cost	Income	Cost
Main business	2,885,229,747.30	2,169,266,423.06	2,303,438,388.88	1,860,948,206.88
Other businesses	18,507,283.45	9,291,852.47	14,372,676.12	2,625,878.95
Total	2,903,737,030.75	2,178,558,275.53	2,317,811,065.00	1,863,574,085.83

Other notes: None

60. Taxes and surcharges

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Consumption tax		
Business tax		
Urban maintenance and construction tax	5,819,818.90	4,907,137.74
Education surcharge	3,470,935.03	2,944,282.63
Resource tax		
Property tax	1,460,325.61	1,659,800.56
Land use tax	822,802.86	1,206,549.00
Vehicle and vessel usage tax		
Stamp duty	625,830.85	761,666.63
Local education surcharge	2,341,080.80	1,962,855.09
Others	107,296.52	100,666.01
Total	14,648,090.57	13,542,957.66

Other notes: None

61. Sales expenses

√ applicable ☐ not applicable items

Unit: yuan Currency: RMB

	The amount of this period	Previous period amount
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Transportation and miscellaneous expenses	82,368,659.84	68,839,549.84
Marketing promotion fees	35,339,278.13	20,750,391.64
Employee compensation	57,754,941.72	15,853,713.20
Sales business expenses	13,956,085.88	15,712,621.26
Others	5,807,922.37	2,591,899.92
Total	195,226,887.94	123,748,175.86

Other notes: None

62. Administrative expenses

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Employee compensation	70,976,610.72	36,241,077.31
Depreciation and amortization expenses	22,858,044.59	18,629,258.94
Taxes	1,782,527.01	712,844.94
Office expenses	22,821,204.21	8,554,945.08
Travel expenses	7,177,824.98	2,919,725.20
Consulting fees	25,298,676.56	4,323,747.64
Business hospitality expenses	1,737,245.96	1,346,324.46
Others	10,539,380.48	4,484,288.44
Total	163,191,514.51	77,212,212.01

Other notes: None

63. R&D expenses

√ applicable, □ not applicable

Unit: Yuan Currency: RMB

Project	The amount of this period	Previous period amount
Direct material input	17,618,156.73	16,121,940.20
Employee compensation	58,948,615.05	50,131,174.39
Depreciation and amortization expenses	1,897,892.40	1,112,799.09
Mold equipment development and manufacturing expenses	7,466,708.08	6,612,559.92
New product design fees	16,830,871.29	18,441,715.85
Testing fees	3,767,379.12	3,523,763.53
Patent fees	822,303.94	743,934.29
Others	1,862,725.43	1,111,296.68
Total	109,214,652.04	97,799,183.95

Other notes: None

64. Financial expenses√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Interest expenses	10,983,581.47	1,614,301.40
Decrease: Interest income	-13,503,481.32	-1,393,894.37
Exchange gains and losses	-9,508,573.38	-19,148,554.11
Others	5,452,512.15	2,148,448.16
Total	-6,575,961.08	-16,779,698.92

Other notes: None

65. Other income√ applicable, ☐ not applicable

Unit: Yuan Currency: RMB

Project	The amount of this period	Previous period amount
Government subsidies related to assets [Note].	1,060,982.10	1,037,127.57
Government subsidies related to income [Note].	26,027,509.06	20,361,372.15
Refund of withholding personal income tax handling fees	355,641.71	94,305.25
Total	27,444,132.87	21,492,804.97

Other Notes: For details on government grants recognized in other income during the period, please refer to Note 37 of Note 5 to these financial statements.

66. Investment returns√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Long-term equity investment income calculated using the equity method	7,467,434.12	-878,403.62
Investment income from disposing of long-term equity investments		
Investment returns of financial assets measured at fair value with changes recognized in profit or loss during the holding period	1,621,905.36	
Disposal of investment income from financial assets measured at fair value with changes recognized in profit or loss for the period	24,608,773.62	-12,020,400.00
The investment returns during the holding period of a held-to-maturity investment		
Dispose of investment returns obtained from held-to-maturity investments		
Available-for-sale financial assets		4,041,713.88

Investment returns obtained during the holding period		
Investment income from disposal of available-for-sale financial assets		
Investment returns of trading financial assets during the holding period		
Dividend income earned during the holding period of other equity instrument investments	4,526,719.54	
Interest income earned during the holding period of debt investments		
Interest income earned during the holding period of other debt investments		
Investment income obtained from the disposal of trading financial assets		
Investment income obtained from disposal of other equity instrument investments		
Investment income obtained from disposal of debt investments		
Investment income obtained from disposal of other debt investments		
Investment returns from bank wealth management products		53,230,927.31
Receivables financing	-214,606.17	
Total	38,010,226.47	44,373,837.57

Other notes: None

67. Net exposure hedging gains

☐ applicable, ☒ not applicable

68. Gains from changes in fair value

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Sources of income generated from fair value changes	The amount of this period	Previous period amount
Trading financial assets		
Where: gains from changes in fair value generated by derivative financial instruments		
Trading financial liabilities	6,854,058.96	-6,854,058.96
Investment properties measured at fair value		
Total	6,854,058.96	-6,854,058.96

Other notes: None

69. Credit impairment losses

√ applicable, □ not applicable

Unit: Yuan Currency: RMB

Project	The amount of this period	Previous period amount
Other bad debt losses on other receivables		
Impairment losses on debt investments		
Other debt investment impairment losses		
Long-term bad debt losses from receivables		
Bad debt losses	-31,957,116.34	
Total	-31,957,116.34	

Other notes: None

70. Asset impairment losses

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
1. Bad debt losses		-12,311,744.55
2. Inventory write-down losses	-8,930,172.65	-1,539,124.91
3. Impairment Losses on Available-for-Sale Financial Assets		
4. Impairment losses on held-to-maturity investments		
5. Impairment losses on long-term equity investments		
6. Impairment losses on investment properties		
7. Impairment losses on fixed assets	-83,285.03	
8. Impairment losses of engineering materials		
9. Impairment losses on construction in progress		
10. Impairment losses on productive biological assets		
11. Impairment losses on oil and gas assets		
12. Impairment losses on intangible assets		
13. Goodwill impairment losses		
14. Others		
Total	-9,013,457.68	-13,850,869.46

Other notes: None

71. Asset disposal gains

√ applicable □ not applicable items

Unit: yuan Currency: RMB

	The amount of this period	Previous period amount
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Gains from the disposal of fixed assets	-642,156.55	255,566.48
Total	-642,156.55	255,566.48

Other notes: None

72. Non-operating income

Non-operating income situation: ☒ Applicable ☐ Not applicable Unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount	Amounts included in non-recurring gains and losses for the current period
Total gains from disposal of non-current assets	90,400.00		90,400.00
Among them: gains from the disposal of fixed assets			
Gains from disposal of intangible assets			
Gains from debt restructuring			
Non-monetary asset exchange gains			
Accepting donations			
Government subsidies			
Fire compensation payments	8,918,058.19		8,918,058.19
Others	97,662.66	196,233.74	97,662.66
Total	9,106,120.85	196,233.74	9,106,120.85

Government subsidies included in current profit or loss ☐ applicable ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

73. Non-operating expenses

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount	Amounts included in non-recurring gains and losses for the current period
Total losses from disposal of non-current assets	1,891,292.61	2,481,569.99	1,891,292.61
Among them: Losses from disposal of fixed assets	1,891,292.61	2,481,569.99	1,891,292.61
Intangible assets section			

Losses			
Debt restructuring losses			
Non-monetary asset exchange losses			
Donations to the public		6,000.00	
Local Water Conservancy Construction Fund	13,757.03	21,003.48	
Fire losses		9,767,620.95	
Others	814,802.53	112,198.73	814,802.53
Total	2,719,852.17	12,388,393.15	2,706,095.14

Other notes: None

74. Income tax expenses

(1). Income tax expense schedule

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Current income tax expense	42,752,336.96	21,222,632.43
Deferred income tax expenses	-3,661,953.85	-2,151,915.09
Total	39,090,383.11	19,070,717.34

(2). Adjustment process for accounting profit and income tax expenses

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period
Total profit	286,555,527.65
Income tax expense calculated at statutory /applicable tax rates	42,983,329.15
The impact of subsidiaries applying different tax rates	-131,490.25
Adjust the impact of income tax for prior periods	-1,208,117.35
Impact of non-taxable income	-3,379,007.93
The impact of non-deductible costs, expenses, and losses	3,932,832.54
The impact of deductible losses from previously unrecognized deferred income tax assets	-488,071.39
The impact of deductible temporary differences or deductible losses on deferred income tax assets was not recognized during the period	12,580,900.22
The impact of the R&D additional deduction	-15,199,991.88
Income tax expenses	39,090,383.11

Other notes: ☐ applicable, √ not applicable

75. Other comprehensive income

√ applicable, □ not applicable, see the notes for details

76. Cash flow statement items**(1). Other cash received related to operating activities**

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Receiving government subsidies	25,474,360.86	17,197,925.92
Received the market reward on behalf of Wang Jianglin		8,300,000.00
Bank deposit interest income	13,503,481.32	1,393,894.37
Recovery of the deposit	2,652,200.00	940,800.00
Non-operating income		196,233.74
Receive insurance compensation related to inventory	34,209,203.73	
Others	261,647.84	973,847.42
Total	76,100,893.75	29,002,701.45

Other cash notes received related to operating activities: None

(2) Other cash paid in connection with operating activities

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Period expenses	221,814,571.48	162,160,136.36
Pay the deposit and security deposit	9,614,698.87	14,897,212.46
Pay the rent	1,714,285.80	5,491,285.80
Pay the listing rewards collected by Wang Jianglin	8,300,000.00	
Pay recurrent payments	2,000,000.00	
Others	969,677.04	1,074,884.81
Total	244,413,233.19	183,623,519.43

Other cash payments related to operating activities: None

(3). Other cash received related to investment activities

√ applicable □ not applicable items

Unit: yuan Currency: RMB

	The amount of this period	Previous period amount
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Recovery of foreign exchange swap margin	14,780,000.00	38,919,149.48
Recovery of the land purchase deposit	8,365,518.00	
Receiving insurance payouts related to fixed assets	17,435,393.17	
Total	40,580,911.17	38,919,149.48

Other cash notes received related to investment activities: None

(4). Other cash paid in connection with investment activities

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Margin for forward forex contracts		14,780,000.00
Bank acceptance draft margin	14,965,590.65	
Settlement of forward foreign exchange contracts	4,683,000.00	12,020,400.00
Payment of long-term assets, project payments, and other deposits	2,500,000.00	11,796,144.88
Fundraising		23,000,000.00
Total	22,148,590.65	61,596,544.88

Other cash payments related to investment activities: None

(5). Other cash received related to fundraising activities

☐ applicable, √ not applicable

(6). Other cash payments related to fundraising activities

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Pay issuance fees		1,188,679.25
Repayment of loans and interest	9,029,680.00	
Total	9,029,680.00	1,188,679.25

Other cash payments related to fundraising activities: None

77. Supplementary information to the cash flow statement

(1). Supplementary information to the cash flow statement

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Additional information	Current Period's Amount	Previous period amount
1. Adjust net profit to cash flow from operating activities:		
Net profit	247,465,144.54	172,868,552.46
Plus: Asset impairment provision	40,970,574.02	13,850,869.46
Depreciation of fixed assets, depreciation of oil and gas assets, depreciation of productive biological assets	48,580,886.75	30,188,245.02
Amortization of right-of-use assets		
Amortization of intangible assets	4,591,201.64	2,689,290.85
Long-term deferred expenses are amortized	4,283,302.96	2,434,128.00
Losses from disposal of fixed assets, intangible assets, and other long-term assets (income is indicated by "-").	642,156.55	-255,566.48
Losses from fixed asset scrapping (income is indicated with a "-") mark	1,800,892.61	2,481,569.99
Loss on changes in fair value (income is indicated with a "-") mark	-6,854,058.96	6,854,058.96
Financial expenses (income is indicated with a "-") mark).	1,475,008.09	-17,534,252.71
Investment losses (returns are indicated with "-").	-38,010,226.47	-44,373,837.57
Deferred income tax assets decrease (increase indicated by "-").	-3,644,509.18	-2,151,915.09
Deferred income tax liabilities increase (decrease indicated by "-") indicates a decrease	-17,444.67	
Inventory reduction (increases are indicated with a "-") mark	-72,361,521.59	-89,821,750.10
Reduction of operating receivables (increases are indicated with a "-") mark	-216,525,124.29	-166,834,002.66
Increase in operating payables (decrease is indicated by a "-") mark	273,827,026.02	95,343,124.19
Others		9,767,620.95
Net cash flow from operating activities	286,223,308.02	15,506,135.27
2. Major investments and fundraising activities not involving cash receipts and expenditures:		
Debt becomes capital		
Convertible corporate bonds maturing within one year		
Financing leased fixed assets		
3. Net changes in cash and cash equivalents:		
Ending balance of cash	551,541,549.87	405,118,912.35
Less: the opening balance of cash	405,118,912.35	437,817,978.77
Add: Ending balance of cash equivalents		
Less: Opening balance of cash equivalents		
Net increase in cash and cash equivalents	146,422,637.52	-32,699,066.42

(2) Net cash payments for acquiring subsidiaries during the period√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

	Amount
Cash or cash equivalents paid during the period of business combinations during the period	
Among them: Anhui Cigna Furniture Co., Ltd	27,061,500.00
FFL Holding AG	484,989,663.46
Less: cash held by the subsidiary on the purchase date and cash equivalents	
Among them: Anhui Cigna Furniture Co., Ltd	1,738,783.37
FFL Holding AG	39,358,265.00
Add: Cash or cash equivalents paid in the current period due to business combinations occurring in prior periods	
Obtain net cash payments from subsidiaries	470,954,115.09

Other notes: None

(3). Net cash received for disposal of subsidiaries during the period☐ applicable, √ not applicable**(4). Composition of cash and cash equivalents**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
1. Cash	551,541,549.87	405,118,912.35
Where: Cash on hand	238,800.77	66,329.32
Bank deposits that can be used for payment at any time	551,174,716.27	404,949,309.37
Other monetary funds that can be used at any time for payment	128,032.83	103,273.66
Central bank deposits available for payment		
Deposit funds from the same industry		
Funds from interbank funds were disbursed		
2. Cash equivalents		
Among them: bond investments maturing within three months		
3. Balance of cash and cash equivalents at the end of the period	551,541,549.87	405,118,912.35
Among them: the parent company or subsidiaries within the group use restricted cash and cash equivalents		

Additional notes: √ applicable, ☐ not applicable

At the end of the period, among other monetary funds, the bank acceptance deposit was 14,965,590.65 yuan, and the State Grid electricity bill deposit was 856,000.00 yuan, which were used

Restricted and not cash or cash equivalents.

78. Notes on items in the statement of changes in owners' equity

Explanation of the names and adjustment amounts of "Other" items adjusted to the previous year-end balance: ☐ applicable, ☒ not applicable

79. Assets whose ownership or usage rights are restricted

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Carrying amount at the end of the period	Reasons for limitation
Monetary funds	15,821,590.65	Bank acceptance deposit, State Grid electricity bill deposit
Notes receivable		
Inventory		
Fixed assets	289,690,097.26	Bank loan collateral and financial leasing collateral
Intangible assets		
Total	305,511,687.91	/

Other notes: Among fixed assets, the collateral amount for bank loans is 286,196,739.26 yuan, and the collateral amount for financial leasing is 3,493,358.00 yuan.

80. Foreign currency monetary projects

(1). Foreign currency monetary items

☒ Applicable ☐ Not applicable Unit: yuan

Project	Ending foreign currency balance	Converted to exchange rate	Convert to RMB balance at the end of the period
Monetary funds	-	-	
Among them: the US dollar	20,102,176.37	6.9762	140,236,802.79
Euro	9,963,045.89	7.8155	77,866,185.15
Swiss franc	7,520,706.00	7.2028	54,170,141.18
Pound sterling	11.37	9.1501	104.04
Vietnamese dong	696,545,099.00	0.0003	208,963.53
Singapore dollar	65,000.00	5.1739	336,303.50
Indonesian rupiah	268,290,833.00	0.0005	134,145.42
Japanese yen	11.00	0.064086	0.70
Han Yuan	1,259,883,446.62	0.006032	7,599,616.95
Accounts receivable	-	-	
Among them: the US dollar	36,311,105.48	6.9762	253,313,534.05

Euro	295,268.75	7.8155	2,307,672.92
Swiss franc	17,417,000.00	7.2028	125,451,167.60
Han Yuan	246,766,871.68	0.006032	1,488,497.77
Long-term loans	-	-	
Among them: Swiss franc	35,095,495.00	7.2028	252,785,831.39
Euro			
Hong Kong dollars			
Accounts payable			
The US dollar	2,954,735.85	6.9762	20,612,828.24
Euro	19,172.10	7.8155	149,839.55
Swiss franc	4,925,900.00	7.2028	35,480,272.52
Vietnam	49,221,213,129.43	0.0003	14,766,363.94
Han Yuan	1,383,087,372.35	0.006032	8,342,783.03

Other notes: None

(2) Explanation of overseas operating entities, including, for important overseas business entities, their main overseas business location, accounting base currency, and selection basis; any changes in the accounting base currency should also be disclosed as well

☐ applicable, ☒ not applicable

81. Hedging

☐ applicable, ☒ not applicable

82. Government subsidies

(1). Basic information about government subsidies

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Types	Amount	Listed items	The amount included in profit or loss for the current period
Government subsidies related to assets	1,060,982.10	Other Revenue	1,060,982.10
Government subsidies related to the income	26,027,509.06	Other Revenue	26,027,509.06

The government subsidy amount recognized in current profit or loss for the period is 27,088,491.16 yuan.

(2). Government subsidy refund status

☐ Applicable ☒ Not applicable Other notes: None

83. Others

☐ applicable, ☒ not applicable

VIII. Change in Scope of Consolidation 1.

Business combination not under common control

√ applicable, ☐ not applicable**(1). Non-common control business combinations that occurred during the period**√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Name of the purchaser	Timing of equity acquisition	Equity acquisition costs	Equity acquisition ratio (%)	Method of equity acquisition	Purchase date	The basis for determining the purchase date	The income of the purchaser from the date of purchase to the end of the period	The net profit of the purchaser from the date of purchase to the end of the period
Anhui Cigna Furniture Co., Ltd	2019/12/3	30,000,000.00	51.00	Pay in cash	2019/11/30	Signing the "Equity Transfer Agreement" and obtaining control	16,676,258.26	1,612,151.47
FFL Holding AG	2019/8/22	484,989,663.46	100.00	Pay in cash	2019/8/31	Signing the "Equity Transfer Agreement" and obtaining control	321,887,244.78	24,471,635.53

Other notes: None

(2). Consolidated costs and goodwill√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Consolidated costs	Anhui Cigna Furniture Co., Ltd	FFL Holding AG
-- Cash	30,000,000.00	484,989,663.46
-- Fair value of non-cash assets		
--The fair value of the debt issued or assumed		
--The fair value of the equity securities issued		
-- The fair value of the contingent consideration		
--The fair value of equity held before the purchase date on the purchase date		
-- Others		
Total consolidated costs	30,000,000.00	484,989,663.46
Less: The fair value share of identifiable net assets acquired	17,036,375.04	484,989,663.46
Goodwill/ Consolidated costs are less than the identifiable net of acquisition	12,963,624.96	

The amount of the fair value share of the asset	
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Method for determining fair value of consolidated costs, explanation of contingent consideration and its changes: None

Main reasons for the formation of large goodwill: None

Other notes: None

(3). The purchasee can identify assets and liabilities on the purchase date

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

	Anhui Cigna Furniture Co., Ltd		FFL Holding AG	
	Fair value on the purchase date	Book value on the purchase date	Fair value on the purchase date	Book value on the purchase date
Assets:	68,887,249.99	64,229,225.48	676,806,082.68	398,194,057.8
Monetary funds	1,738,783.37	1,738,783.37	39,358,265.00	39,358,265.00
Receivables	13,695,293.29	13,695,293.29	116,354,784.37	116,354,784.37
Inventory	18,720,262.06	18,720,262.06	84,428,894.70	84,428,894.70
Fixed assets	26,182,722.07	21,524,697.56	375,190,143.64	103,322,154.07
Intangible assets			10,784,882.67	4,040,847.36
Construction in progress	3,080,744.00	3,080,744.00	4,015,265.20	4,015,265.20
Others	5,469,445.20	5,469,445.20	46,673,847.10	46,673,847.10
Liabilities:	35,482,593.05	35,482,593.05	181,684,374.12	181,684,374.12
Loans				
Payables	14,562,276.60	14,562,276.60	49,280,212.94	49,280,212.94
Deferred income tax liabilities				
Employee compensation payable	849,168.27	849,168.27	40,072,432.78	40,072,432.78
Taxes payable	1,824,411.90	1,824,411.90	11,843,588.00	11,843,588.00
Other payables	18,246,736.28	18,246,736.28	38,751,642.20	38,751,642.20
Long-term payable employee compensation			26,908,054.20	26,908,054.20
Others			14,828,444.00	14,828,444.00
Net assets	33,404,656.94	28,746,632.43	495,121,708.56	216,509,683.68
Minority: minority	16,368,281.90	14,085,849.89	10,132,045.10	10,132,045.10

Shareholders' equity is the net acquisition				
of shareholder equity	17,036,375.04	14,660,782.54	484,989,663.46	206,377,638.58
Assets				

Methods for determining the fair value of identifiable assets and liabilities:

The company was appraised by Beijing Northern Asia Asset Appraisal Firm (Special General Partnership) and issued on September 25, 2019

Having obtained confirmation of Anhui Cigna Furniture Co., Ltd. in the "Asset Appraisal Report" (Beifang Yashi Pingbao Zi [2019] No. 01-594).

Identifiable fair value of assets and liabilities.

The company was appraised by Kunyuan Asset Appraisal Co., Ltd., which issued the "Asset Appraisal Report" on February 14 , 2020

(Kunyuan Review Report [2020] No. 204) Recognize the fair value of FFL Holding AG' s identifiable assets and liabilities.

Contingent liabilities incurred by the acquiree in the business combination: None. Other notes: None

(4) Gains or losses arising from equity held before the purchase date remeasured at fair value

Whether there are transactions that achieve a business merger through multiple transactions in stages and gain control during the reporting period ☐ applicable ☒ not applicable

(5) Explanations of the purchase date or the end of the consolidation period where the consolidation consideration cannot be reasonably determined, or where the acquiree can identify the fair value of assets or liabilities

☐ applicable, ☒ not applicable

(6). Other notes

☐ applicable, ☒ not applicable

2. Business combinations under common control

☐ applicable, ☒ not applicable

3. Reverse buying

☐ applicable, ☒ not applicable

4. Dispose of subsidiaries

Is there a situation where a single disposal of the subsidiary results in loss of control immediately after investing in the subsidiary? ☐ applicable. ☒ Not applicable.
 Other notes: ☐ applicable. ☒ not applicable

Whether there are situations where the subsidiary is disposed of through multiple transactions and is disposed of in stages, and control is lost during the current period: ☐ applicable ☒ Not applicable

5. Changes in the scope of consolidation due to other reasons

Explain changes in the scope of consolidation caused by other reasons (e.g., newly established subsidiaries, liquidating subsidiaries, etc.) and related circumstances: ☒ applicable, ☐ not applicable

Company name	Method of equity acquisition	Timing of equity acquisition	Capital contribution	Investment ratio
Beijing Henglin Furniture Technology Co., Ltd	Newly established	2019/1/3	No investment has yet been made	80.00%
NOUHAUS, INC	Newly established	2019/1/18	8,154,290.00	70.00%
Vietnam Hengfeng Home Furnishing Co., Ltd	Newly established	2019/5/22	6,889,600.00	100.00%
EVER CONSTANT INVESTMENT PTE LTD.	Newly established	2019/5/30	68,716.00	100.00%
EVER GLARY PTE LTD	Newly established	2019/5/30	68,716.00	100.00%
PT HENGLIN FURNITURE DEVELOPMENT	Newly established	2019/7/1	31,392,900.00	100.00%
Nouhaus Co., Ltd	Newly established	2019/6/24	14,052,400.00	100.00%
7TH HAVEN PTE. LTD	Newly established	2019/5/28	No investment has yet been made	59.00%
7TH HAVEN, INC	Newly established	2019/7/11	No investment has yet been made	59.00%

Heng Ruy AG	Newly established	2019/6/12	1,429,702.00	100.00%
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6. Others

☐ applicable, ☒ not applicable

IX. Interests in Other Entities 1. Interests in Subsidiaries (1). Composition of the enterprise group

√ applicable, □ not applicable

Subsidiary name	Main business location	Registered address	Business nature	Shareholding ratio (%)		How to obtain it
				Directly	Indirectly	
Huzhou Hengxin Metal Products Co., Ltd	Huzhou, Anji	Huzhou, Anji	Manufacturing	75.00		Established
Anji Hengyou Technology Co., Ltd	Huzhou, Anji	Huzhou, Anji	Manufacturing	100.00		Established
Mead International Co., Ltd	Hong Kong	Hong Kong	Business	100.00		Established
Ruide Sponge (Zhejiang) Co., Ltd	Huzhou, Anji	Huzhou, Anji	Manufacturing	80.00		Business combinations not under common control
Anhui Cigna Furniture Co., Ltd	Guangde, Anhui	Guangde, Anhui	Manufacturing		51.00	Business combinations not under common control
Guangde Henglin Home Furnishing Co., Ltd	Guangde, Anhui	Guangde, Anhui	Manufacturing	100.00		Established
Vietnam Hengfeng Home Furnishing Co., Ltd	Binh Duong, Vietnam	Binh Duong, Vietnam	Manufacturing		100.00	Established
FFL Holding AG	St. Gallen, Switzerland	St. Gallen, Switzerland	Manufacturing		100.00	Business combinations not under common control

Explanation of the difference between shareholding ratio and voting rights in subsidiaries: None

Basis for holding half or less of voting rights but still controlling the investee, or holding more than half of the voting rights but not controlling the investee: None

For important structured entities included in the scope of consolidation, the basis for control: None

Basis for determining whether a company is an agent or principal: None

Other notes: None

(2). Significant non-wholly-owned subsidiaries

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Subsidiary name	Minority shareholder shareholding ratio	Gains and losses attributable to minority shareholders for the current period	Dividends declared to minority shareholders for this period	Ending minority equity balance
Huzhou Hengxin Metal Products Co., Ltd	25.00%	6,701,902.02		40,667,775.28
Ruide Sponge (Zhejiang) Co., Ltd	20.00%	1,001,424.48		12,966,797.31
Anhui Cigna Furniture Co., Ltd	49.00%	789,954.22		17,158,236.12

Explanation of the difference between the shareholding ratio of minority shareholders and the voting rights ratio of subsidiaries: ☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

(3). Key financial information of significant non-wholly-owned subsidiaries

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Subsidiary name	Ending balance						Opening balance					
	Current assets	Non-current assets	Total assets	Current liabilities		Total liabilities	Current assets	Non-current assets	Total assets	Current liabilities		Total liabilities
Huzhou Hengxin Metal Products Co., Ltd	116,332,781.48	90,699,841.15	207,032,622.63	44,361,521.50		44,361,521.50	95,927,294.62	75,843,245.63	171,770,540.25	35,907,047.22		35,907,047.22
Ruide Sponge (Zhejiang) Co., Ltd	53,536,082.66	49,103,037.09	102,639,119.75	37,805,133.23		37,805,133.23	54,552,759.69	42,461,536.76	97,014,296.45	37,187,432.31		37,187,432.31
Anhui Cigna Home Appliances	42,288,341.46	32,838,603.99	75,126,945.45	40,110,137.04		40,110,137.04						

Limited to companies											
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Subsidiary name	The amount of this period				Previous period amount			
	Operating income	Net profit	Total comprehensive income	Cash flow from operating activities	Operating income	Net profit	Total comprehensive income	Cash flow from operating activities
Huafu Hengxin Metal Products Co., Ltd	265,398,655.35	26,807,608.10	26,807,608.10	30,862,761.20	225,572,089.95	12,590,701.79	12,590,701.79	18,439,590.70
Ruao Spongel (Zhejiang) Co., Ltd	116,842,041.46	5,007,122.38	5,007,122.38	17,206,297.60	66,114,066.59	3,576,864.14	3,576,864.14	6,437,963.41
Ashui Cigna Furniture Co., Ltd	16,676,258.26	1,612,151.47	1,612,151.47	14,011,288.73				

Other notes: None

(4). Significant restrictions on using corporate group assets and settling corporate group debts

☐ applicable, ☒ not applicable

(5). Financial support or other support provided to structured entities included in the scope of consolidated financial statements

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

2. Transactions where the owner's equity share of a subsidiary changes but the subsidiary still controls it

☐ applicable, ☒ not applicable

3. Interests in joint ventures or joint ventures

☒ applicable, ☐ not applicable

(1). Significant joint ventures or joint ventures

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Name of the joint venture or associate enterprise	Main business location	Registered address	Business nature	Shareholding ratio (%)		Accounting treatment methods for investments in joint ventures or associates
				Directly	Indirectly	
Zhejiang Weiya Office Furniture Trading Co., Ltd	Huzhou, Anji	Huzhou, Anji	Business	50.00		Equity method accounting
VIVA OFFICE COMMERCIAL LIMITED	Hong Kong	Hong Kong	Business		50.00	Equity method accounting
Zhejiang Yongyu Bamboo Industry Co., Ltd	Huzhou, Anji	Huzhou, Anji	Manufacturing	30.91		Equity method accounting
VIETNAM YONG YU FLOORING COLTD	Binh Duong, Vietnam	Binh Duong, Vietnam	Manufacturing		49.00	Equity method accounting

Explanation of the difference between shareholding ratio and voting rights in joint ventures or associates: None

Grounds for holding less than 20% of voting rights but having significant influence, or holding 20% or more of voting rights but not having significant influence: None

(2). Key financial information of important joint ventures

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

	Ending balance/ Amount incurred during the period		Opening balance/ Amount incurred in the previous period	
	Zhejiang Weiya Office Furniture Trading Co., Ltd	XX Company	Zhejiang Weiya Office Furniture Trading Co., Ltd	XX Company
Current assets	4,331,089.83		16,201,611.69	
Among them: cash and cash equivalents	4,037,424.92		292,717.35	
Non-current assets	93,547.28		404,888.63	
Total assets	4,424,637.11		16,606,500.32	
Current liabilities	90,176.39		7,867,493.08	
Non-current liabilities				

Total liabilities	90,176.39		7,867,493.08	
Minority Interests				
Equity attributable to shareholders of the parent company	4,334,460.72		8,739,007.24	
Net asset share calculated by shareholding ratio	2,167,230.36		4,369,503.62	
Adjustment items	-424,423.79		-273,424.74	
-- Goodwill				
-- Unrealized profit from internal trading	-424,423.79		-273,424.74	
-- Others				
The book value of equity investments in joint ventures	1,742,806.57		4,096,078.88	
The fair value of equity investments in joint ventures with public quotations				
Operating income	4,331,606.86		8,760,242.01	
Financial expenses	-455,829.45		-627,005.84	
Income tax expenses			-64,122.78	
Net profit	-4,706,544.62		-718,667.37	
Net profit from discontinued operations				
Other comprehensive income				
Total comprehensive income	-4,706,544.62		-718,667.37	
Dividends received from joint ventures during the year				

Other notes: None

(3). Key financial information of important associates

√ Applicable □ Not applicable Unit: yuan Currency: RMB

	Ending balance/ Amount incurred during the period			Opening balance/ Amount incurred in the previous period		
	VIVA OFFICE COMMERCIAL LIMITED	Zhejiang Yongyu Bamboo Industry Co., Ltd	VIETNAM YONG YU FLOORING COLTD	VIVA OFFICE COMMERCIAL LIMITED	Zhejiang Yongyu Bamboo Industry Co., Ltd	VIETNAM YONG YU FLOORING COLTD
Current assets	19,770,976.50	513,602,573.99	138,915,753.45	16,173,370.81		
Non-current assets	139,293.98	319,392,349.86	67,336,792.39	1,563,642.86		
Total assets	19,910,270.48	832,994,923.85	206,252,545.84	17,737,013.67		
Negative flow	51,105,157.04	386,641,547.88	118,323,197.97	9,913,179.18		

Debt						
Non-current liabilities		22,385,979.90				
Total liabilities	51,105,157.04	409,027,527.78	118,323,197.97	9,913,179.18		
Minority Interests		44,635,130.88				
Equity attributable to shareholders of the parent company	-31,194,886.56	379,332,265.19	87,929,347.87	7,823,834.49		
Net asset share calculated by shareholding ratio	-15,597,443.28	117,251,603.17	43,085,380.46	3,911,917.25		
Adjustment items	15,597,443.28	49,485,992.80	58,846,578.45			
-- Goodwill		49,485,992.80				
-- Unrealized profit from internal trading						
-- Others	15,597,443.28		58,846,578.45			
The book value of equity investments in associates		166,737,595.97	101,931,958.91	3,917,172.23		
The fair value of equity investments in associates with public quotations						
Operating income	128,168,569.13	425,123,646.87	89,295,689.43	4,320,642.73		
Net profit	-39,018,721.05	29,901,006.85	8,665,148.79	-1,001,060.36		
Net profit from discontinued operations						
Other comprehensive income	-39,018,721.05	29,901,006.85	8,665,148.79	-1,001,060.36		
Total comprehensive income						
The letters received this year are from the company		8,932,730.24				

Dividends from the enterprise					
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Other notes: None

(4). Consolidated financial information of non-significant joint ventures and associates

☐ applicable, ☒ not applicable

(5) Explanation of significant limitations in the ability of the joint venture or associate to transfer funds to the company

☐ applicable, ☒ not applicable

(6). Excess losses incurred by joint ventures or associates

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Name of the joint venture or associate enterprise	Accumulated losses not recognized for previous periods	Unrecognized losses for the period (or net profit shared for the period)	Accumulated unrecognized losses at the end of the period
VIVA OFFICE COMMERCIAL LIMITED		15,597,443.28	15,597,443.28

Other notes: None

(7). Unconfirmed commitments related to joint venture investments

☐ applicable, ☒ not applicable

(8). Contingent liabilities related to investments in joint ventures or associates

☐ applicable, ☒ not applicable

4. Important joint operations

☐ applicable, ☒ not applicable

5. Interests in structured entities not included in the scope of consolidated financial statements

Relevant notes on structured entities not included in the scope of consolidated financial statements: ☐ applicable, ☒ not applicable

6. Others

☐ applicable, ☒ not applicable

10. Risks related to financial instruments

☒ Applicable ☐ Not Applicable The company's goal in risk management is to strike a balance between risk and return, minimize the negative impact of risk on the company's operating performance, and maximize the interests of shareholders and other equity investors. Based on this risk management objective, the company's basic strategy is to

identify and analyze various risks faced by the company, establish an appropriate risk tolerance bottom line, conduct risk management, and supervise risks promptly and reliably to keep risks within defined limits.

In its daily operations, the company faces various risks related to financial instruments, mainly including credit risk, liquidity risk, and market risk. Management has reviewed and approved policies to manage these risks, summarized as follows.

(1) Credit Risk Credit risk refers to the risk that one party in a financial instrument cannot fulfill its obligations, causing financial losses to the other party. The company's credit risk mainly comes from monetary funds and receivables. To control the above related risks, the company has taken the following measures.

(1) Monetary Funds The company deposits bank deposits and other monetary funds in financial institutions with higher credit ratings, resulting in lower credit risk.

(2) Receivables The company continuously conducts credit assessments on customers who transact on credit. Based on credit assessment results, the Company chooses to transact with recognized and creditworthy customers and monitors their accounts receivable balance to ensure the Company does not face significant bad debt risks.

Because the Company's accounts receivable risk points are distributed across multiple partners and customers, as of December 31, 2019, the Company's accounts receivable accounted for 38.11% (December 2018). 31 days: 57.29%) Originating from the top five customers in balance, the company does not face significant credit concentration risk.

The company's maximum credit risk exposure is the book value of each financial asset on its balance sheet. (

2) Liquidity Risk Liquidity risk refers to the risk of a shortage of funds when the company fulfills its obligations to settle by delivering cash or other financial assets. Liquidity risk may stem from the inability to sell financial assets at fair value as soon as possible; Or arise from the other party's inability to repay their contractual debts; Or arise from debts maturing early; Or arise from the inability to generate expected cash flows.

To control this risk, the company comprehensively employs various financing methods such as bill settlement and bank loans, and adopts a combination of long- and short-term financing approaches, optimizing the financing structure to maintain a balance between financing continuity and flexibility. The Company has obtained bank credit lines from multiple commercial banks to meet working capital needs and capital expenditures. Financial liabilities are classified by remaining maturity dates

Project	Final numbers				
	Book value	Undiscounted contract amount	1 1 year	1-3 years	3 than 3 years
Bank loans	311,054,432.78	336,730,978.65	93,591,841.02	52,872,932.88	190,266,204.75
Trading financial liabilities					
Notes payable	54,370,484.58	54,370,484.58	54,370,484.58		
Accounts payable	519,777,172.98	519,777,172.98	519,777,172.98		
Other payables	22,017,145.89	22,017,145.89	22,017,145.89		

Plan	907,219,236.23	932,895,782.10	689,756,644.47	52,872,932.88	190,266,204.75
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(Continued from the previous table)

Project	Initial count				
	Book value	Undiscounted contract amount	1 1 year	1-3 years	3 than 3 years
Bank loans	40,284,444.44	40,715,555.55	40,715,555.55		
Trading financial liabilities	6,854,058.96	6,854,058.96	6,854,058.96		
Notes payable	13,911,732.90	13,911,732.90	13,911,732.90		
Accounts payable	392,317,090.32	392,317,090.32	392,317,090.32		
Other payables	21,245,497.82	21,245,497.82	21,245,497.82		
Sub-total	474,612,824.44	475,043,935.55	475,043,935.55		

(3) Market risk

Market risk refers to the risk that the fair value or future cash flows of financial instruments fluctuate due to changes in market prices. City

Market risks mainly include interest rate risk and foreign exchange risk.

1. Interest rate risk

Interest rate risk refers to the risk that the fair value or future cash flows of financial instruments fluctuate due to changes in market interest rates. Original

The cash flow interest rate risk faced by the company mainly relates to bank loans that calculate interest at floating rates.

2. Foreign exchange risk

Foreign exchange risk refers to the risk that the fair value or future cash flows of financial instruments fluctuate due to changes in foreign exchange rates. Original

The risks faced by the company from exchange rate fluctuations are mainly related to the company's foreign currency monetary assets and liabilities. For foreign currency assets and liabilities, such as:

If short-term imbalances occur, the company will buy and sell foreign currencies at market exchange rates as necessary to ensure net risk exposure is kept within reasonable levels

Accepting the level.

Details of the Company's year-end foreign currency monetary assets and liabilities can be found in Note 5(4)2 of these financial statements.

11. Disclosure of Fair Value 1. The period-end fair value of assets and liabilities measured at fair value

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	Fair value at the end of the period			
	Level 1: Fair Value Measurement	Level 2: Fair Value Measurement	Level 3: Fair Value Measurement	Total
1. Continuous fair value measurement				
(1) Trading financial assets			276,621,905.36	276,621,905.36
1. Financial assets measured at fair value with changes recognized in profit or loss for the period			276,621,905.36	276,621,905.36
(1) Debt instrument investment			276,621,905.36	276,621,905.36
(2) Equity instrument investment				
(3) Derivative financial assets				

2. Designate financial assets measured at fair value with changes recognized in profit or loss for the current period				
(1) Debt instrument investment				
(2) Equity instrument investment				
(2) Other debt investments				
(3) Other equity instrument investments		103,467,873.60		103,467,873.60
(4) Investment real estate				
1. Land use rights for lease				
2. Leased buildings				
3. Land use rights held and prepared for transfer after appreciation				
(5) Biological assets				
1. Consumable biological assets				
2. Productive biological assets				
Total assets continuously measured at fair value		103,467,873.60	276,621,905.36	380,089,778.96
(6) Trading financial liabilities				
1. Financial liabilities measured at fair value and recognized through profit or loss for the period				
Among them: Issuance of trading bonds				
Derivative financial liabilities				
Others				
2. Financial liabilities designated as measured at fair value and recognized through profit or loss for the current period				
Total liabilities measured at fair value on a continuous basis				
2. Non-continuous fair value measurement				
(1) Holding assets for sale				
Total assets measured at fair value in non-continuing terms				
Total liabilities measured at fair value on a non-continuing basis				

2. The basis for determining the market price of the first level fair value measurement project for ongoing and non-ongoing levels

☐ applicable, ☒ not applicable

3. For ongoing and non-ongoing Level 2 fair value measurement projects, qualitative and quantitative information on valuation techniques and key parameters used

☒ applicable ☐ not applicable to ongoing and non-ongoing Level 2 fair value measurement projects, using valuation techniques and qualitative and quantitative information on key parameters

The fair value of equity of Zhejiang Anji Rural Commercial Bank Co., Ltd. is measured based on the recent transaction price of its equity Measurement basis.

4. For ongoing and non-ongoing Level 3 fair value measurement projects, qualitative and quantitative information on valuation techniques and key parameters used

☒ applicable ☐ not applicable Classified as financial assets measured at fair value with changes recognized in profit or loss for the company, as wealth management products purchased by the company, according to contracts

The agreed expected rate of return is calculated and the principal amount is measured as fair value.

Receivables are financed as bank acceptance bills with short face value terms, face value close to fair value, and are based on the face value

Fair value is measured.

5. Ongoing third-level fair value measurement items, adjustment information between beginning and end book value, and sensitivity analysis of unobservable parameters

☐ applicable, ☒ not applicable

6. For ongoing fair value measurement items, if transitions occur between levels during the period, the reasons for the conversion, and the policy for determining the timing of the conversion

☐ applicable, ☒ not applicable

7. Changes in valuation technology and the reasons for these changes during the period

☐ applicable, ☒ not applicable

8. The fair value of financial assets and financial liabilities not measured at fair value

☐ applicable, ☒ not applicable

9. Others

☐ applicable, ☒ not applicable

12. Related Parties and Related Party Transactions 1.

The situation of the parent company of the enterprise

☐ applicable, ☒ not applicable

2. The situation of the company's subsidiaries

For details on the subsidiaries of this company, see the notes ☒ applicable ☐ not applicable See Section 9 of this section

3. The situation of joint ventures and associates within the company

For important joint ventures or associates of this enterprise, see the notes ☒ applicable ☐ not applicable See Section 9 of this section

The situation of other joint ventures or associates that have had related party transactions with the Company during the current period, or other joint ventures or associates formed by prior related party transactions with the Company, are as follows: ☐ Applicable ☒ Not Applicable Other Explanations ☐ Applicable ☒ Not Applicable

4. Other related party information

√ applicable, □ not applicable

Other related party names	Other related parties and the company's relationship
Zhejiang Anji Rural Commercial Bank Co., Ltd	Companies where associate companies or actual controllers serve as directors
Zhejiang Heye Health Technology Co., Ltd	Companies with significant influence exerted by the actual controller
Zhejiang Luye Real Estate Development Co., Ltd	Companies controlled by the actual controller
Mei Yimin	Company shareholders and family members closely related to the actual controller
Wang Fan	Company shareholders and family members closely related to the actual controller
Wuxi Tiaoyue Anyu Equity Investment Partnership (Limited Partnership)	A company controlled by Wang Fan
Wang Yaqin	Company shareholders and family members closely related to the actual controller
Cai Bin	Company director

Other notes: None

5. Related-Party Transactions (1). related-party transactions involving the purchase and sale of goods, provision, and acceptance of services

Procurement Goods/Accepted Labor Status Table √ Applicable □ Not Applicable Unit: RMB Currency: RMB

Related parties	Content of related-party transactions	The amount of this period	Previous period amount
Zhejiang Heye Health Technology Co., Ltd	Purchase materials		3,667.33
Zhejiang Weiya Office Furniture Trading Co., Ltd	Purchase materials	2,654.87	123,754.32

Table of Goods Sold / Provision of Services √ Applicable □ Not applicable

Related parties	Content of related-party transactions	The amount of this period	Previous period amount
Zhejiang Weiya Office Furniture Trading Co., Ltd	Selling goods		209,488.79
Zhejiang Heye Health Technology Co., Ltd	Selling goods	10,449,549.90	21,560,681.74
	Others	14,060.38	148,798.00
Zhejiang Anji Rural Commercial Bank Co., Ltd	Selling goods	392,932.82	220,646.53
Zhejiang Luye Real Estate Development Co., Ltd	Selling goods		11,111.11
VIVA OFFICE COMMERCIAL LIMITED	Selling goods	38,820,441.35	8,539,751.74
Wang Yaqin	Selling goods	5,000.00	
Cai Bin	Selling goods	1,163.79	7,568.96

Unit: Yuan Currency: Renminbi

Explanation of related-party transactions for the purchase and sale of goods, provision, and acceptance of services: □ applicable, √ not applicable

(2). Related entrusted management/contracting and entrusted management/contracting status

Company Entrusted Management/Contracting

Status Table: ☐ Applicable ☒ Not

Applicable Explanation of Related

Custody/Contracting Situation ☐Applicable ☒ Not Applicable

Company Entrusted Management/Contract Status Table ☐ Applicable ☒ Not Applicable Explanation of
 Related Management/Contract Status ☐ Applicable ☒ Not applicable

(3). Related leasing situation

Our company as the lessor: ☒ applicable ☐ Not applicable Unit: RMB Currency: RMB

Name of the lessee party	Types of leased assets	Rental income recognized for the period	Rental income recognized in the previous period
Zhejiang Weiya Office Furniture Trading Co., Ltd	Houses	21,238.94	22,857.14

Our company as the lessee: ☐ applicable ☒ Not applicable Explanation of related leasing situation ☐
☒ applicable ☐ Not applicable

(4). Related Guarantee Status

Our company as the guarantor ☐ applicable ☒ Not applicable Our company as the guaranteed party ☐
☒ applicable ☐ Not applicable Explanation of related collateral ☐ applicable ☒ Not applicable

(5). Related party fund lending

☐ applicable, ☒ not applicable

(6). Asset transfers and debt restructuring of related parties

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Related parties	Content of related-party transactions	The amount of this period	Previous period amount
Wang Jianglin	equity of Zhejiang Yongyu Bamboo Industry Co., Ltd	11,721,070.74	
Mei Yimin	equity of Zhejiang Yongyu Bamboo Industry Co., Ltd	50,875,307.56	
Wuxi Tiaoyue Anyu Equity Investment Partnership (Limited Partnership)	equity of Zhejiang Yongyu Bamboo Industry Co., Ltd	97,939,989.52	

(7). Compensation for key management personnel

√ applicable, □ not applicable

Unit: Yuan Currency: RMB

Project	The amount of this period	Previous period amount
Key management compensation	5,300,000.00	4,550,000.00

(8). Other related-party transactions

□ applicable, √ not applicable

6. Receivables and payables of related parties**(1). Receivables items**

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project name	Related parties	Ending balance		Opening balance	
		Book balance	Bad debt provision	Book balance	Bad debt provision
Accounts receivable	Zhejiang Heye Health Technology Co., Ltd	1,643,219.65	82,904.98	3,399,428.50	169,971.43
	Zhejiang Weiya Office Furniture Trading Co., Ltd	73,450.00	7,345.00	5,823,996.00	563,851.45
	Zhejiang Anji Rural Commercial Bank Co., Ltd	441,642.00	24,820.65	100,260.00	5,013.00
	VIVA OFFICE COMMERCIAL LIMITED	45,386,500.67	31,194,886.56	12,414,553.47	800,662.79
	Cai Bin	8,000.00	800.00	8,000.00	400.00
	Sub-total	47,552,812.32	31,310,757.19	21,746,237.97	1,539,898.67
Other receivables	Zhejiang Weiya Office Furniture Trading Co., Ltd	27,964.38	1,398.22		
	Subtotal	27,964.38	1,398.22		

(2). Payable items

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project name	Related parties	Ending book balance	Beginning book balance
Advance payments	Zhejiang Luye Real Estate Development Co., Ltd		16,900.00
	Wang Fan	11,000.00	
	Sub-total	11,000.00	16,900.00
Other payables	Wang Jianglin		8,300,000.00
	Sub-total		8,300,000.00

The initial 8.3 million yuan was collected on behalf of Wang Jianglin as a listing subsidy.

7. Related Party Commitments

☐ applicable, ☒ not applicable

8. Others

☐ applicable, ☒ not applicable

13. Share-based Payment 1. Overall situation of share-based payment

☐ applicable, ☒ not applicable

2. Payment status of shares settled by equity

☐ applicable, ☒ not applicable

3. Cash-settled share-based payments

☐ applicable, ☒ not applicable

4. Modification or termination of share-based payment

☐ applicable, ☒ not applicable

5. Others

☐ applicable, ☒ not applicable

14. Commitments and Contingencies 1. Important commitments

☐ applicable, ☒ not applicable

2. Contingencies**(1). Significant contingent events as of the balance sheet date**

☐ applicable, ☒ not applicable

(2). If the company does not have any significant or contingent matters that need to be disclosed, it should also be explained:

☐ applicable, ☒ not applicable

3. Others

☐ applicable, ☒ not applicable

15. Matters After the Balance Sheet Date 1. Significant Non-Adjusting Events

☐ applicable, ☒ not applicable

2. Profit distribution

☒ applicable, ☐ not applicable

Unit: Yuan Currency: Renminbi

Profits or dividends to be distributed	28,000,000.00
--	---------------

Profits or dividends declared and approved after review

According to the 2019 profit distribution plan approved at the 18th meeting of the fifth board of directors on April 27, 2020, the company intends to...

Based on the total share capital as of the equity registration date for implementing this profit distribution plan, a cash dividend of 2.80 yuan (inclusive) will be distributed to all shareholders for every 10 shares

Taxes), and the remaining undistributed profits are carried forward to subsequent years for distribution. The above profit distribution plan is pending approval by the shareholders' meeting.

3. Sales return

☐ applicable, ☒ not applicable

4. Other Explanations of Matters After the Balance Sheet Date

☐ applicable, ☒ not applicable

XVI. Other Important Matters 1. Correction of prior accounting errors**(1). Retroactive restatement method**

☐ applicable, ☒ not applicable

(2). Future applicable law

☐ applicable, ☒ not applicable

2. Debt restructuring

☐ applicable, ☒ not applicable

3. Asset swap**(1). Non-monetary asset exchange**

☐ applicable, ☒ not applicable

(2). Other asset swaps

☐ applicable, ☒ not applicable

4. Annuity plans

☐ applicable, ☒ not applicable

5. Termination of operations

☐ applicable, ☒ not applicable

6. Segment information**(1). Basis for determining reporting segments and accounting policies**

☒ applicable, ☐ not applicable

1. Identify the factors considered by the report segment

The company determines reporting segments based on internal organizational structure, management requirements, and internal reporting systems, and uses product segments as the basis

Basis for determining the report section. Assess the operating performance of office chair businesses, sofa businesses, and massage chair businesses. Each reporting division

Total assets and total liabilities are not disclosed due to the inability to accurately classify them.

The company determines reporting segments based on regional divisions, with main business revenue and main business costs ultimately driven by sales revenue

The total assets and liabilities of each reporting segment are not disclosed due to inaccurate classification.

(2). Reporting the financial information of the division

√ Applicable ☐ Not applicable Unit: Yuan Currency: Renminbi

Project	Within the territory	Outside the borders	Offset between parts	Total
Main business revenue	465,246,294.43	2,419,983,452.87		2,885,229,747.30
Main business costs	373,233,723.55	1,796,032,699.51		2,169,266,423.06

Product Division

Project	Office chair	Sofa	Massage chair	Office environment solutions	Others	Total
Main business revenue	1,462,544,286.60	716,797,750.11	33,255,020.39	321,887,244.78	350,745,445.42	2,885,229,747.30
Main business costs	1,110,380,505.08	536,392,611.79	18,970,479.18	219,606,377.25	283,916,449.76	2,169,266,423.06

(3). If the company does not report segments, or cannot disclose the total assets and liabilities of each reporting segment, the reasons should be explained

☐ applicable, √ not applicable

(4). Other notes

☐ applicable, √ not applicable

7. Other important transactions and matters that may affect investor decisions

☐ applicable, √ not applicable

8. Others

☐ applicable, √ not applicable

17. Notes on Main Items in the Parent Company's Financial Statements 1. Accounts Receivable

(1) Disclosure by Age

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Aging of accounts	Ending book balance
1 1 year	
Where: Within 1 year, sub-item	
1 within 1 year	423,847,769.39
1 to 2 years	7,112,460.27
2 to 3 years	5,103,529.21
3 than 3 years	
3 to 4 years	1,150,592.00
4 to 5 years	291,747.70
5 than 5 years	66,964.12
Total	437,573,062.69

(2). Classified disclosure by bad debt provision method

√ Applicable □ Not applicable Unit: yuan

Currency: Renminbi

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Accrual rate (%)		Amount	Proportion (%)	Amount	Accrual rate (%)	
Bad debt provisions are made on a per-item basis	45,904,216.66	10.49	31,712,602.56	69.08	14,191,614.10					
Among them:										
VIVA OFFICE COMMERCIAL LIMITED	45,386,500.66	10.37	31,194,886.56	68.73	14,191,614.10					
Anji County People's Court	517,716.00	0.12	517,716.00	100.00	0					
Bad debt provisions are made based on the portfolio	391,668,846.03	89.51	14,712,252.36	3.76	376,956,593.67	344,670,810.91	100.00	16,059,900.87	4.66	328,610,910.04
Among them:										
Composition of related parties within the scope of consolidation	120,040,991.06	27.43	0	0	120,040,991.06					
Aging portfolio	271,627,854.97	62.08	14,712,252.36	5.42	256,915,602.61	344,670,810.91	100.00	16,059,900.87	4.66	328,610,910.04
Total	437,573,062.69	/	46,424,854.92	/	391,148,207.77	344,670,810.91	/	16,059,900.87	/	328,610,910.04

Provision for bad debts on a per-item basis: √ applicable □ Not applicable Bit: yuan Currency: RMB

Name	Ending balance			
	Book balance	Bad debt provision	Provisioning Rate (%)	Reasons for accrual
VIVA OFFICE COMMERCIAL LIMITED	45,386,500.66	31,194,886.56	68.73	Net assets are negative, and the likelihood of full receivables recovery is low
Anji County People's Court	517,716.00	517,716.00	100.00	Quality issues are hard to resolve
Total	45,904,216.66	31,712,602.56	69.08	

Explanation of Provision for Bad Debts on a Standalone Basis: √ Applicable □ Not Applicable The sales data in the table is a remittance of the year-end accounts receivable balance of VIVA OFFICE COMMERCIAL LIMITED and its subsidiaries

Total data.

Bad debt provision by portfolio: √ applicable □ Not applicable Combination provision item: Accounts receivable with aggregate bad debt provision Unit: yuan Currency: RMB

Name	Ending balance		
	Accounts receivable	Bad debt provision	Provisioning Rate (%)

Composition of related parties within the scope of consolidation	120,040,991.06		
Aging portfolio	271,627,854.97	14,712,252.36	5.42
Total	391,668,846.03	14,712,252.36	3.76

Criteria and explanation for recognizing bad debts based on a combination basis: ☒ applicable ☐ Not applicable

Criteria and explanations for recognizing bad debts based on combined provisions: Accounts receivable are determined based on age and related parties within the consolidation scope as credit risk characteristics

Combination of styles.

Used to determine the amount of bad debt provision for the current period and to assess whether credit risk has significantly increased since initial recognition, among other matters

Input values, assumptions, and other information explained: The company refers to historical credit loss experience, combined with current conditions and future economic conditions

A comparison table between the aging of accounts receivable and the expected credit loss rate over the entire life is prepared to calculate the expected credit loss.

If bad debt provisions are made under the general expected credit loss model, please refer to other receivables disclosure: ☐ applicable, ☒ not applicable

(3). Bad debt provision

☒ Applicable ☐ Not applicable Unit: yuan

Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Provision for bad debts is made on a standalone basis		31,712,602.56				31,712,602.56
Bad debt provisions are made based on the portfolio	16,059,900.87	-627,018.60		720,629.91		14,712,252.36
Total	16,059,900.87	31,085,583.96		720,629.91		46,424,854.92

Among these, the amount of bad debt provisions to be recovered or reversed for the current period is important: ☐ applicable, ☒ not applicable

(4). Actual write-off of accounts receivable during the period

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Redemption amount
Accounts receivable actually written off	720,629.91

Among them, significant accounts receivable write-offs ☐ applicable ☒ not applicable

(5). The top five accounts receivable by the debtor by ending balance

☒ applicable, ☐ not applicable

Unit name	Book balance	Percentage of accounts receivable balance (%)	Bad debt provision
Hangzhou Offis Technology Co., Ltd	56,060,621.49	12.81	2,803,031.07
VIVA OFFICE COMMERCIAL LIMITED [Note 1].	45,386,500.67	10.37	31,194,886.56
Mead International Co., Ltd	45,142,133.18	10.32	
Vietnam Hengfeng Home Furnishing Co., Ltd	37,724,588.60	8.62	
Office Depot, Inc. [Note 2].	32,955,340.17	7.53	1,647,767.01
Sub-total	217,269,184.11	49.65	35,645,684.64

[Note 1]: The sales data in the table is for the year-end of VIVA OFFICE COMMERCIAL LIMITED and its subsidiaries

Summary data of accounts receivable balances.

[Note 2]: The sales data in the table is for Office Depot, Inc and its subsidiaries' year-end accounts receivable balances.

(6). Accounts receivable derecognized due to the transfer of financial assets

☒ applicable, ☐ not applicable

Project	Derecognition amount	Gains or losses related to derecognition of the product	Methods of financial asset transfer
Accounts receivable factoring	24,046,624.34	-214,606.17	Buyout no-recourse factoring business
Sub-total	24,046,624.34	-214,606.17	

(7) The amount of assets and liabilities formed by transferring accounts receivable and continuing to be involved

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

2. Other receivables item listing

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance	Opening balance
Interest receivable		
Dividends receivable		
Other receivables	594,541,661.73	106,169,086.21
Total	594,541,661.73	106,169,086.21

Other notes: ☐ applicable, ☒ not applicable

Interest receivable**(1). Classification of interest receivable**

☐ applicable, ☒ not applicable

(2). Significant overdue interest

☐ applicable, ☒ not applicable

(3). Provision for bad debts

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

Dividends receivable**(4). Dividends receivable**

☐ applicable, ☒ not applicable

(5). Significant dividends receivable with an age exceeding one year

☐ applicable, ☒ not applicable

(6). Provision for bad debts

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

Other receivables**(1) Disclosure by Age**

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Aging of accounts	Ending book balance
1 1 year	
Where: Within 1 year, sub-item	
1 within 1 year	559,347,526.72
1 to 2 years	34,875,304.63
2 to 3 years	2,471,954.30
3 than 3 years	
3 to 4 years	
4 to 5 years	
5 than 5 years	10,000.00
Total	596,704,785.65

(2) Classification by the nature of the funds

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Nature of the funds	Ending book balance	Beginning book balance
Deposit, security deposit	3,676,867.10	13,059,338.72

Opening up loans	578,022,883.00	33,000,000.00
Temporary payment receivable	6,233,132.20	3,493,559.65
export tax rebate	8,771,903.35	18,325,715.00
Insurance compensation		42,726,538.71
Total	596,704,785.65	110,605,152.08

(3). Provision for bad debts

√ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Bad debt provision	Phase One	Phase Two	Stage three	Total
	Expected credit losses over the next 12 months	Expected credit loss throughout the entire life (no credit impairment).	Expected credit loss over the entire life (credit impairment has occurred).	
Balance as of January 1, 2019	4,072,857.34	363,208.53		4,436,065.87
The balance as of January 1, 2019 is for this period				
-- Move on to the second stage	-493,434.51	493,434.51		
-- Move on to the third stage		-246,314.41	246,314.41	
-- Return to the second phase				
-- Back to Phase One				
Provision for this period	-2,895,796.74	376,540.58	246,314.41	-2,272,941.95
This issue is back				
Sold off this period				
This period is redeemed for this period				
Other changes				
Balance as of December 31, 2019	683,636.09	986,869.01	492,628.82	2,163,123.92

Explanation of significant changes in the book balance of other receivables with changes in loss provisions during the period: ☐ applicable, √ not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ applicable √ not applicable

(4). Bad debt provision

√ Applicable ☐ Not applicable Unit: yuan

Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Other allowances for bad debts on receivables	4,436,065.87	-2,272,941.95				2,163,123.92
Total	4,436,065.87	-2,272,941.95				2,163,123.92

Among these, the amount of bad debt provision for recovery or recovery in this period is important: ☐ applicable, ☒ not applicable

(5). Other receivables actually written off during the period

☐ applicable, ☒ not applicable

(6). Other receivables among the top five ending balances collected by the debtor

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Unit name	The nature of the funds	Ending balance	Aging of accounts	Proportion (%) of the total ending balance of other receivables	Provision for bad debts: Ending balance
Meijia Investment (Hong Kong) Limited		500,692,883.00	1 1 year	83.90	
Guangde Henglin Home Furnishing Co., Ltd		34,330,000.00	1 1 year	5.75	
Ruide Sponge (Zhejiang) Co., Ltd		25,000,000.00	1-2 years	4.19	
Anhui Cigna Furniture Co., Ltd		10,000,000.00	1 1 year	1.68	
Zhejiang Zhongyao Construction Co., Ltd	Opening up loans	7,920,000.00	1-2 years	1.33	792,000.00
	Temporary payment receivable	2,000,000.00	1 1 year	0.34	100,000.00
Total	/	579,942,883.00	/	97.19	892,000.00

(7). Receivables involving government subsidies

☐ applicable, ☒ not applicable

(8) Other receivables derecognized due to financial asset transfers

☐ applicable, ☒ not applicable

(9). The amount of assets and liabilities formed by transferring other receivables and continuing to be involved

☐ applicable, ☒ not applicable

Other notes: ☐ applicable, ☒ not applicable

3. Long-term equity investment

☒ Applicable ☐ Not applicable Unit: yuan Currency: RMB

Project	Ending balance			Opening balance		
	Book balance	Impairment provision	Book value	Book balance	Impairment provision	Book value
Investment in subsidiaries	382,786,197.28		382,786,197.28	368,158,467.28		368,158,467.28

Investment in joint ventures and joint ventures	168,480,402.54		168,480,402.54	4,096,078.88		4,096,078.88
Total	551,266,599.82		551,266,599.82	372,254,546.16		372,254,546.16

(1). Investment in subsidiaries

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Investee	Opening balance	This period has increased	Decreased this period	Ending balance	Impairment provisions were made for this period	Impairment provision ending balance
Guangde Henglin Home Furnishing Co., Ltd	213,687,292.30			213,687,292.30		
Huzhou Hengxin Metal Products Co., Ltd	15,000,000.00			15,000,000.00		
Anji Hengyou Technology Co., Ltd	8,000,000.00			8,000,000.00		
Anji Henglin Technology Development Co., Ltd	1,000,000.00			1,000,000.00		
Anji Hengyi Furniture Co., Ltd	58,000,000.00			58,000,000.00		
Anji Hengrui Home Furnishing Co., Ltd	11,200,000.00			11,200,000.00		
Ruide Sponge (Zhejiang) Co., Ltd	45,000,000.00			45,000,000.00		
HOMYLIN INC	1,476,540.18			1,476,540.18		
Henglin (Shenzhen) Home Furnishing Co., Ltd	6,000,000.00	1,800,000.00		7,800,000.00		
Tibet Henglin Furniture Co., Ltd	8,000,000.00	4,000,000.00		12,000,000.00		
HOMYLIN GMBH	794,634.80	673,440.00		1,468,074.80		
NOUHAUS, INC		8,154,290.00		8,154,290.00		
Total	368,158,467.28	14,627,730.00		382,786,197.28		

(2). Investment in joint ventures and joint ventures

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Investment unit	Opening balance	Changes in this period								Ending balance	Impairment provisions ending balance
		Additional investment	Reduct investment	Investment gains and losses recognized under the equity method	Other adjustments	Other changes in equity	Announce the payment of cash dividends or profits	Impairment provision is made	Others		

1. Joint ventures											
Zhejiang Weiya Office Furniture Trading Co., Ltd	4,096,078.88			-2,353,272.31						1,742,806.57	
Sub-total	4,096,078.88			-2,353,272.31						1,742,806.57	
2. Joint ventures											
Zhejiang Yongyu Bamboo Industry Co., Ltd		166,427,691.14		9,242,635.07			8,932,730.24			166,737,595.97	
Sub-total		166,427,691.14		9,242,635.07			8,932,730.24			166,737,595.97	
Total	4,096,078.88	166,427,691.14		6,889,362.76			8,932,730.24			168,480,402.54	

Other notes: None

4. Operating income and operating costs

(1). Operating income and operating costs

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period		Previous period amount	
	Income	Cost	Income	Cost
Main business	1,656,856,059.03	1,223,347,324.66	1,578,000,996.67	1,251,750,811.25
Other businesses	48,749,787.76	34,089,090.86	8,854,606.10	3,128,147.09
Total	1,705,605,846.79	1,257,436,415.52	1,586,855,602.77	1,254,878,958.34

Other notes: None

5. Investment returns

√ Applicable □ Not applicable Unit: yuan Currency: RMB

Project	The amount of this period	Previous period amount
Long-term equity investment income calculated using the cost method	18,000,000.00	
Long-term equity investment income calculated using the equity method	6,889,362.76	-377,873.44
Investment income from disposing of long-term equity investments		
Investment returns of financial assets measured at fair value with changes recognized in profit or loss during the holding period	1,017,287.67	
Disposal of investment income from financial assets measured at fair value with changes recognized in profit or loss for the period	22,890,000.25	-12,020,400.00
The investment returns during the holding period of a held-to-maturity investment		
Dispose of investment returns obtained from held-to-maturity investments		
Investment returns obtained during the holding period of available-for-sale financial assets		4,041,713.88
Investment income from disposal of available-for-sale financial assets		
Investment returns of trading financial assets during the holding period		

Dividend income earned during the holding period of other equity instrument investments	4,526,719.54	
Interest income earned during the holding period of debt investments		
Interest income earned during the holding period of other debt investments		
Investment income obtained from the disposal of trading financial assets		
Investment income obtained from disposal of other equity instrument investments		
Investment income obtained from disposal of debt investments		
Investment income obtained from disposal of other debt investments		
Receivables financing	-214,606.17	
Investment returns from bank wealth management products		51,768,130.73
Total	53,108,764.05	43,411,571.17

Other notes: None

6. Others

☐ applicable, ☒ not applicable

18. Supplementary Information 1. Detailed statement of non-recurring gains and losses for the current period

☒ Applicable ☐ Not Unit: 1 Currency: CNY

Project	Amount	Explanation
Gains and losses on disposal of non-current assets	-2,443,049.16	
Tax refunds and reductions for overstepping authority or without formal approval documents		
Government subsidies included in current profit or loss (excluding government subsidies closely related to enterprise business and enjoyed according to national unified standards, fixed amounts, or fixed amounts)	27,088,491.16	
Fund occupation fees charged to non-financial enterprises included in current profit or loss		
The investment cost for the enterprise to obtain subsidiaries, associates, and joint ventures is less than the income generated by the fair value of the investee's identifiable net assets at the time of acquisition		
Non-monetary asset exchange gains and losses		
Profits and losses from entrusting others to invest in or manage assets	30,913,678.98	
Impairment provisions for various assets made due to force majeure factors, such as natural disasters		
Gains and losses from debt restructuring		
Corporate restructuring expenses, such as employee placement expenses and integration costs		
Gains and losses exceeding fair value arising from transactions with clearly unfair prices		
Net profit or loss of subsidiaries arising from the merger under common control from the beginning to the merger date		

Gains and losses arising from contingent matters unrelated to the company's normal business operations		
In addition to effective hedging business related to the company's normal operations, the fair value gains and losses arising from holding trading financial assets, derivative financial assets, trading financial liabilities, derivative financial liabilities, and other debt investments are also included, as well as investment income from disposals of trading financial assets, derivative financial assets, trading financial liabilities, derivative financial liabilities, and other debt investments	2,171,058.96	
Reversal of impairment provisions for receivables that were tested separately		
Gains and losses from outsourced loans		
Gains and losses arising from changes in fair value of investment property measured subsequently using the fair value model		
The impact of one-time adjustments to current profit or loss in accordance with tax, accounting, and other laws and regulations		
Income from management fees obtained through entrusted operations		
Other non-operating income and expenses not listed above	8,200,918.32	
Other profit and loss items that meet the definition of non-recurring gains and losses	355,641.71	
Income tax impact	-10,203,372.41	
Minority Equity Impact	-542,349.35	
Total	55,541,018.21	

For non-recurring profit and loss items defined by the company according to the "Interpretative Announcement No. 1 on Information Disclosure by Companies Issuing Securities for Public Issuance— Non-recurring Gains and Losses," as well as items that classify the non-recurring gains and losses listed in the "Interpretative Announcement No. 1 on Information Disclosure by Companies Issuing Securities to the Public as Non-recurring Gains and Losses," the reasons should be explained.

☐ applicable, ☒ not applicable

2. Return on Net Assets and Earnings per Share

☒ applicable, ☐ not applicable

Profit during the reporting period	Weighted average return on equity (%)	Earnings per share	
		Basic earnings per share	Diluted earnings per share
Net profit attributable to the company's common shareholders	10.29	2.43	2.43
Net profit attributable to ordinary shareholders after deducting non-recurring gains and losses	7.94	1.88	1.88

3. Differences in accounting data under domestic and overseas accounting standards

☐ applicable, ☒ not applicable

4. Others

☐ applicable, ☒ not applicable

Section 12: List of Reference Documents

List of documents for reference	Financial statements signed and stamped by the company responsible person, the person in charge of accounting, and the head of the accounting department (accounting supervisor);
List of documents for reference	Original audit report stamped by Tianjian Certified Public Accountants (Special General Partnership) and signed and stamped by a certified public accountant;
List of documents for reference	Originals and original manuscripts of announcements of all company documents publicly disclosed on the designated website of the China Securities Regulatory Commission during the reporting period.

Not applicable Chairman: Wang Jianglin Board

approval submission date: April 27 , 2020

Revise information

☐ Applicable ☒ Not applicable